

Before the

FEDERAL MARITIME COMMISSION

Washington, D.C. 20573

Docket No. 23-02

20230930-DK-BUTTERFLY-1, INC. F/K/A BED BATH & BEYOND INC. v.

ORIENT OVERSEAS CONTAINER LINE LIMITED AND OOCL (EUROPE) LIMITED

**COMPLAINANT’S RESPONSES TO RESPONDENTS’
PROPOSED FINDINGS OF FACT**

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I. THE PARTIES

A. Complainant Bed Bath & Beyond, Inc. and 20230930-DK-Butterfly-1, Inc.

1. Complainant Bed Bath & Beyond, Inc. (“BBBY”) was a company incorporated in New Jersey whose principal place of business was New Jersey.

RESPONSE: Admitted that Complainant 20230930-DK-Butterfly-1, Inc., formerly known as Bed Bath & Beyond Inc. (“BBBY”)’s principal place of business was New Jersey. BBBY is a corporation existing under the laws of New York.

2. The BBBY operating in the relevant period was liquidated in bankruptcy in **2023**.

RESPONSE: Denied that BBBY was “liquidated in bankruptcy in 2023.” BBBY filed for Chapter 11 bankruptcy protection in the United States Bankruptcy Court for the District of New Jersey on April 23, 2023. [RX 765-82].

3. On September 21, 2023, BBBY changed its corporate name to 20230930-DK-Butterfly-1, Inc.

RESPONSE: Admitted.

4. The terms “BBBY” and “20230930-DK-Butterfly-1, Inc.” are used interchangeably herein to refer to the same entity, without regard to time.

RESPONSE: Admitted.

5. The following are BBBY former employees and their various capacities, who have either testified in this proceeding, signed sworn declarations, or signed BBBY’s service contracts with OOCL (this list also includes BBBY’s purported liability expert):

a. Juan Guerrero, Senior Vice President of Logistics, and primary signatory on the MQC of the service contracts and amendments thereto between BBBY and OOCL. APP 1938 (Pastor Tr. 34:4-35:9).

b. John Hartmann, Chief Operating Officer, who signed a number of the contract amendments between BBY and OOCL. APP 1167-1168; 1168 (Kastin Tr. 105:25-107:16; 108:3-17; 109:6-13).

c. Holly Etlin, Chief Restructuring Officer and Chief Financial Officer, who signed a sworn declaration in support of BBY's Chapter 11 Petition. RX 000671-763 (Ex. 385, pp. 1-93).

d. Reid Klosowsky, Vice President of Global Transportation. APP 1239 (Klosowsky Tr. 12:21-24).

e. Patrick Hackett, Senior Director of International Supply Chain. APP 816 (Hackett Tr. 10:20-23).

f. Paul Pastor, Senior Associate, Import Logistics, International Supply Chain. APP 1933 (Pastor Tr. 14:13-24).

g. Ian Pinchuk, Senior Director of Global Logistics. APP 2044 (Pinchuk Tr. 9:5-10).

h. Seweryn Soban, International Transportation Manager. APP 2433 (Soban Tr. 13:12-18). Seweryn Soban was not brought on to deal with the management of delivery of containers from the port to distribution centers until December 2021. APP 2433 (Soban Tr. at 11:2-24). He did not perform any type of look-back for the time that preceded his work in January 2022 regarding demurrage or detention. APP 2435 (Soban Tr. at 18:10-14). Any efforts by Seweryn Soban did not start until the tail of end of shipping year 2021; by then the accumulated demurrage and detention charges had already accrued.

i. Melinda Porter, Senior Manager for Import Operations for the West Coast. APP 2122 (Porter Tr. 11:10-13).

- j. Gisella Stupnik, Import Warehouse Manager. APP 2637 (Stupnik Tr. 12:12-14).
- k. David Kestin, Chief Legal Officer and Executive Vice President, and presently independent contractor to BBY's bankruptcy plan administrator. APP 1143-44 (Kestin Tr. 9:5-10; 10:5-8).
- l. Richard Cuniff, Senior Director of Financial Analysis. APP 274 (Cuniff Tr. 9:3-7).
- m. John McCown, maritime consultant, and purported container transportation expert.

RESPONSE:

- a. **Juan Guerrero: Admitted.**
- b. **John Hartmann: Admitted.**
- c. **Holly Etlin: Admitted.**
- d. **Reid Klosowsky: Admitted.**
- e. **Patrick Hackett: Admitted.**
- f. **Paul Pastor: Admitted.**
- g. **Ian Pinchuk: Admitted.**
- h. **Seweryn Soban: Denied.** The proposed finding contains multiple factual propositions and thus contravenes the Presiding Officer's Scheduling Order. (Dkt. 12 (June 8, 2023). Soban joined BBY in 2008. Soban Dep. Tr. 34:4-5 [APP-2439]. In December 2021, he began assisting with the management of container deliveries from ports to distribution centers, onboarded EDRA as a liaison between drayage carriers and distribution centers (Soban Dep. Tr. 11:2-24) [APP-2433], and reconciled demurrage or per-diem payments (Soban Dep. Tr. 37:2-38:19) [APP-2439-40]. He assumed the position of International Transportation Manager in mid-2022. Soban Dep. Tr. 12:8-18 [APP-2433]. The proposed finding lacks clarity regarding why Soban needed to conduct any "look-back analysis" (itself an undefined and unambiguous term) for the period preceding his work in January 2022 related to demurrage or detention. Additionally, the proposed finding uses the term "efforts" without specific definition in a manner material to the RPFF or BBY's responses thereto.
- i. **Melinda Porter: Admitted.**
- j. **Gisella Stupnik: Admitted.**
- k. **David Kestin: Admitted.**
- l. **Richard Cuniff: Admitted.**
- m. **John McCown: Denied** as to the proposed finding's characterization of McCown as a "maritime consultant," "liability expert," or "container transportation expert." McCown has over four decades of operating and investment experience

directly related to the container shipping industry since receiving an MBA from Harvard Business School in 1980. [APP-3755]. Admitted that McCown was retained by BBBY as an expert.

6. Yusen Logistics Co., Ltd. is a company organized under the laws of Japan, with global corporate headquarters located at Shinagawa Seaside Park Tower 4-12-4 Higashishinagawa, Shinagawa-ku, Tokyo, Japan. Yusen's U.S. subsidiary is Yusen Logistics (Americas), Inc., with offices located at 300 Lighting Way, 5th Floor, Secaucus, New Jersey 07094. Yusen also operates numerous offices in all the major port cities in China (Yusen Logistics (China), Co. Ltd. and Yusen Logistics (Shenzhen) Co., Ltd.) and Hong Kong (Yusen Logistics (Hong Kong) Ltd.), with an office located at Level 31, Tower 1, Kowloon Commerce Center, 51 Kwai Cheong Road, Kwai Chung, New Territories, Hong Kong.

RESPONSE: Admitted.

a. Non-party Yusen contracted with BBBY to serve as BBBY's booking agent in Asia. Yusen Logistics (America) and also assisted with BBBY's container transportation logistics issues in the United States. APP 930 (Jacobus Tr. 8:22-9:3); APP 2394 (Shippee Tr. 14:18-23).

RESPONSE: Admitted.

b. Yusen's U.S. subsidiary is Yusen Logistics (America), a non-vessel-operating common carrier ("NVOCC") licensed by the Federal Maritime Commission.

RESPONSE: Admitted.

c. Yusen contracted with BBBY (APP 930 (Jacobus Tr. 8:22-9:3)) and also assisted with BBBY's container transportation logistics issues in the United States (APP 2394 (Shippee Tr. 14:18-23)).

RESPONSE: Admitted.

d. Yusen and BBBY contractually agreed on the procedures as to how Yusen

would perform its services on behalf of BBY. APP 2396-97 (Shippee Tr. 25:4-26:23); RX-000079-153 (Ex. 274, P. 0000616615). The agreement as to booking services has been in place since 2012. RX-000079-153 (Ex. 274, P. 0000616615).

RESPONSE: Denied. The proposed finding contains multiple factual propositions and thus contravenes the Presiding Officer’s Scheduling Order. (Dkt. 12 (June 8, 2023).) The Origin Cargo Management Operating Procedure is a standard operating procedure (SOP) that Yusen routinely provided to each of its accounts. Jacobus Dep. Tr. 104:15-25 [APP-954]. It covers a range of operational services beyond just booking services. [RX-000080]. Additionally, the cited SOP merely shows that it was first effective on June 11, 2012, and later revised on June 17, 2021, and does not establish that the agreement has been in place since 2012. Admitted that during the time period at issue in this action, Yusen had one or more written contracts with BBY concerning its services, including acting as BBY’s booking agent for ocean freight. McQuade Dep. Tr. 100:14-25 [APP-1568].

e. BBY’s cargo moved on “CY” terms. APP 1484-85 (McCown Tr. 193:17-194:14).

RESPONSE: Denied. The proposed finding uses the term “‘CY’ terms” without specific definition in a manner material to the RPFF or BBY’s responses thereto. Additionally, the proposed finding misstates and mischaracterizes the record. McCown was not addressing BBY’s cargo movement specifically but rather discussing general industry practices. McCown Tr. 193:17-194:14 [APP-1484-85].

f. For “CY movements,” that is, for transportation of the containers concluding at the marine terminal at destination, APP 2397 (Shippee Tr. 26:24-27:21), BBY and Yusen agreed that BBY would provide the monthly projections for each carrier with whom BBY had a service contract and Yusen would book per these projections and report any issues to BBY.” APP 2397 (Shippee Tr. 27:22-28:20); RX-000079-153 (Ex. 274, P-0000616637); see also RPFF 44, 50.

RESPONSE: Admitted that the Origin Cargo Management Operating Procedure, which outlines Yusen’s services for the 2021-2022 shipping year, states that for CY loading services, “BBY shall provide monthly projections for each carrier. Yusen will book per this and report any issues to BBB[Y].” Dep. Ex. 274 at P-0000616637 [RX- 000105]. Otherwise denied. The proposed finding contains multiple factual propositions and thus contravenes the Presiding Officer’s Scheduling Order (Dkt. 12 (June 8, 2023)). The proposed finding

misstates and mischaracterizes the record. Shippee's testimony reflects her personal understanding of "CY loading," not "CY movements."

g. As BBY's booking agent, Yusen received booking requests from BBY's suppliers (vendors) at origin and then made booking requests with an ocean carrier to secure space. APP 932 (Jacobus Tr. 15:25-16:11); APP 2045 (Pinchuk Tr. 12:24-13:10).

RESPONSE: Admitted.

h. Under these "CY movements," Yusen did not control the final delivery of BBY's cargo from the port/terminal to BBY's warehouses in the United States. APP 2404 (Shippee Tr. 48:6-12).

RESPONSE: Admitted.

i. BBY's Melinda Porter was responsible for making all of the arrangements for the transportation of BBY's cargo in ocean-going containers from the marine terminal to the warehouse and the return of the empty containers. APP 2648 (Stupnik Tr. 54:1-16).

RESPONSE: Denied. The proposed finding misstates and mischaracterizes the record. Stupnik testified based on her personal knowledge that Porter worked with drayage carriers to coordinate the transportation of BBY's cargo from the marine terminal to the warehouse and the return of the empty containers. Stupnik Dep. Tr. 54:6-16 [APP 2648].

j. "Drayage carriers" are the trucking companies hired to move loaded containers from the marine terminal to the importer's warehouse and returning the empty containers. APP 2648 (Stupnik Tr. 54:10-16)

RESPONSE: Denied. The proposed finding misstates and mischaracterizes the record. Rather than independently providing a definition, Stupnik simply agreed with a specific question presented to her: And the drayage carrier would be basically the truckers who are tasked with taking the containers from the marine terminal to the warehouse and then bringing the empty containers back to the marine terminal, correct?" Stupnik Dep. Tr. 54:10-15 [APP-2648].

k. "E-Dray" is such a drayage carrier and was hired by BBY for the transportation of BBY's cargo in containers from various marine terminals in the United States to BBY's warehouses. APP 2639-40 (Stupnik Tr. 20:22-22:13).

RESPONSE: Denied. The proposed finding misstates and mischaracterizes the record. “EDRAY is not a dray[age] carrier.” Soban Dep. Tr. 157:16 [APP-2469]. Stupnik testified based on her personal knowledge that EDRAY worked with drayage carriers. Stupnik Dep. Tr. 20:22-21:13 [APP-2639-2640]. BBBY brought in EDRAY to streamline the demurrage payment process. See Soban Dep. Tr. 76:5-82:21, 233:2-3 (“A. Bringing in EDRAY, for example, as streamlining the demurrage payment process”) [APP-2449-2451; APP-2488].

- l. BBBY’s drayage carriers (including E-Dray) kept track of issues related to the availability to trucks, truck drivers, and chassis. APP 2647 (Stupnik Tr. 51:10-19).

RESPONSE: Denied. The proposed finding misstates and mischaracterizes the record. “EDRAY is not a dray[age] carrier.” Soban Dep. Tr. 157:16 [APP-2469]. The cited portion of the testimony is pure speculation. Stupnik did not recall ever receiving any information from drayage carriers regarding chassis availability or the availability of trucks or truck drivers. Stupnik Tr. 51:10-52:5 (“Q. Did you keep track of issues related to availability of trucks, truck drivers or chassis? A. No. Q. Did anybody within Bed Bath & Beyond do that to your knowledge? . . . A. The drayage carrier. Q. Did you ever get any information from the drayage carriers about the availability of chassis? A. I do not recall. Q. How about the availability of trucks or truck drivers? A. I do not recall.”) [APP-2647].

- m. The following are Yusen Logistics (America) employees, who testified in this action:

- i. Amanda Jacobus, Director of Client Management and Operations. APP 930 (Jacobus Tr. 8:9-12).

- ii. Rita Shippee, Client Management Specialist assigned for BBBY. APP 2392 (Shippee Tr. 7:17-24-8:7).

- iii. Brian McQuade, Director of Business Development. APP 1545 (McQuade Tr. 8:13-20).

- iv. Marco D’Alfonso, Senior Entry Writer. APP 317 (D’Alfonso Tr. 8:23-9:2).

RESPONSE: Admitted.

- B. Respondents Orient Overseas Container Line Co., Ltd. and OOCL (Europe) Ltd.

7. Orient Overseas Container Line Co., Ltd. (“OOCL Ltd.”) is Federal Maritime Commission Organization Number 011398 and an ocean common carrier and vessel-operating common carrier as that term is defined by 46 U.S.C. § 40102(18).

RESPONSE: Admitted, except that the proposed finding is ambiguous due to an apparent typographical error in OOCL’s use of the term “OOCL Ltd.,” rendering the proposed finding impossible to fully interpret. Orient Overseas Container Line Limited (not Orient Overseas Container Line Co., Ltd.) is Federal Maritime Commission Organization Number 011398 and an ocean common carrier and vessel-operating common carrier as defined by 46 U.S.C. § 40102(18).

8. OOCL (Europe), Ltd. is FMC Org. No. 024786 and an ocean common carrier and vessel-operating common carrier as that term is defined by 46 U.S.C. § 40102(18).

RESPONSE: Admitted.

9. OOCL (Europe), Ltd. operates vessels and offers service only in the U.S. Transatlantic trades, none of which are relevant to this matter.

RESPONSE: Denied. The proposed finding fails to include “an exact citation to evidence” and thus contravenes the Presiding Officer’s Scheduling Order. (Dkt. 12 (June 8, 2023)). The proposed finding addresses issues of “relevancy” and thus constitutes an inappropriate proposed conclusion of law.

10. Both OOCL Ltd. and OOCL (Europe) Ltd. are subsidiaries of Orient Overseas (International) Limited (“OOIL”), a members’ limited liability company incorporated in Bermuda. OOIL’s principal office is 31st Floor, Harbour Centre, 25 Harbour Road, Wanchai, Hong Kong, China. RX-001686-1688, [OOIL – Contact Us](#).

RESPONSE: Admitted. [APP-4423].

11. Orient Overseas Container Line and OOCL are trade names for transportation provided separately by OOCL Ltd. and OOCL (Europe) Ltd. respectively and both are wholly-owned subsidiaries of OOIL.

RESPONSE: Admitted. [APP-4423].

12. As required by the Shipping Act and FMC regulation, both OOCL Ltd. and OOCL (Europe), Ltd. publish tariffs governing rates and services in all the U.S. foreign trades that they serve. Those tariffs are published at www.oocl.com. RX- 001676-78.

RESPONSE: Admitted.

13. OOCL Ltd. operates in the U.S. Trans-Pacific trades, which are relevant to this matter. See e.g., APP 1348 (K. Lam Tr. 38:10-39:5).

RESPONSE: Denied. The proposed finding addresses issues of “relevancy” and thus constitutes an inappropriate proposed conclusion of law. Admitted that OOCL Ltd. operates in the U.S. Trans-Pacific trades.

14. OOCL Ltd. and OOCL (Europe) Ltd. are classified by the FMC as controlled carriers pursuant to 46 U.S.C. § 40102(9). As a controlled carrier, OOCL is not permitted to charge tariff rates that are “below a just and reasonable level.” 46 U.S.C. § 40701(a).

RESPONSE: Admitted.

15. OOCL (USA) Inc. (“OOCL (USA)”) serves OOCL, Ltd. and OOCL (Europe) as their North American agent. OOCL (USA) is neither a vessel-operating common carrier nor an ocean common carrier (as that term is defined by 46 U.S.C. § 40102(18)), nor any other type of entity otherwise subject to the regulation of the Federal Maritime Commission.

RESPONSE: Denied. The proposed finding fails to include “an exact citation to evidence” and thus contravenes the Presiding Officer’s Scheduling Order. (Dkt. 12 (June 8, 2023)). It does not establish the agency relationship between OOCL (USA), OOCL Ltd., and OOCL (Europe). Additionally, the proposed finding addresses issues concerning whether OOCL (USA) is subject to FMC regulation, which is a legal conclusion and thus constitutes an inappropriate proposed conclusion of law.

16. OOCL owns and charters a fleet of large containerships that it deploys in all major international ocean-borne trades, including, but not limited to, the United States foreign trade. APP 2771 (Ye Tr. 28:13-29:1); RX-001679-85, OOCL – Vessels (<https://www.oocl.com/eng/ourservices/vessels>).

RESPONSE: Admitted.

17. Respondents' witnesses, who testified and/or submitted sworn declarations in this action were:

- a. Marvic Chen, OOCL Ltd., Commercial Director Trans-Pacific Trade Eastbound. APP 164 (Chen Tr. 51:9-15).
- b. Stanley Cheung, OOCL Ltd. Senior Manager of Information Services Department ("ISD"). RX 000655-60 (Cheung Declaration).
- c. Vincent Delprete, OOCL (USA) Vice President of Sales. APP 351 (Delprete Tr. 42:2-5).
- d. Paul Devine, OOCL (USA) former President. APP 421 (Devine Tr. 37:9-19).
- e. Andrew Donahue, OOCL (USA) Vice President of Customer Service. APP 539 (Donahue Tr. 21:20-24).
- f. Donna Forminio, OOCL (USA) Regional Business Analyst. APP 616-17 (Forminio Tr. 49:20-50:16).
- g. Teddy Fung, OOCL Ltd. Former Director of Trades. APP 769 (Fung Tr. 37:1-14).
- h. Alex Lam, OOCL Ltd. ISD Assistant General Manager. RX 000637-42 (A. Lam Declaration).
- i. Karen Lam, OOCL Ltd. General Manager Trans-Pacific Trade. APP 1347 (K. Lam Tr. 34:12-15).
- j. Peter Nash, OOCL (USA) Inside Sales Analyst. RX 000663-64 (Nash Declaration).

- k. Glenn Metzger, OOCL (USA), Director of Marketing and Sales and non-retained expert. APP 1591 (Metzger Tr. 7:19-25).
- l. Jim Mitchell, OOCL (USA) New England Sales Representative (primary relationship contact with BBY). APP 1684-85 (Mitchell Tr. 29:24-31:1).
- m. Gavin Murdoch, OOCL (USA) Vice President of Risk Management and Compliance and Safety, Security, and Environmental Controls for OOCL North America. APP 1811 (Murdoch Tr. 39:14-22).
- n. Thomas Schmiemann, OOCL (USA) Vice President of Sales for the Eastern Region. APP 2178 (Schmiemann Tr. 12:2-7).
- o. Tracy Sha, OOCL (USA) Director of Demurrage and Detention Team. APP 2305 (Sha Tr. 31:22-33:7).
- p. Bess Wong, OOCL Ltd. Trans-Pacific Trade Traffic Team. APP 2708 (B. Wong Tr. 22:20-25).
- q. Mickey Wong, OOCL Ltd. ISD Senior Business Analyst. RX 000645-51 (M. Wong Declaration).
- r. Sharon Wong, OOCL Ltd., Deputy Manager of Trans-Pacific Trade. RX 000652-54 (S. Wong Declaration).

RESPONSE: As a preliminary matter, the proposed finding is ambiguous due to an apparent typographical error in OOCL’s use of the term “OOCL Ltd.,” rendering the proposed finding impossible to fully interpret. Orient Overseas Container Line Limited (not Orient Overseas Container Line Co., Ltd.) is Federal Maritime Commission Organization

Number 011398 and an ocean common carrier and vessel-operating common carrier as defined by 46 U.S.C. § 40102(18).

- a. Marvic Chen: Admitted.
 - b. Stanley Cheung: Admitted.
 - c. Vincent Delprete: Admitted.
 - d. Paul Devine: Admitted.
 - e. Andrew Donohue: Admitted.
 - f. Donna Forminio: Admitted.
 - g. Teddy Fung: Admitted.
 - h. Alex Lam: Admitted.
 - i. Karen Lam: Admitted.
 - j. Peter Nash: Admitted.
 - k. Glenn Metzger: Denied that Metzger is OOCL’s “non-retained expert,” as the proposed finding uses the term without a specific definition in a manner material to the RPFf or BBY’s responses thereto. Admitted that Metzger is OOCL (USA)’s Director of Marketing and Sales.
 - l. Jim Mitchell: Admitted.
 - m. Gavin Murdoch: Admitted.
 - n. Thomas Schmiemann: Admitted.
 - o. Tracy Sha: Admitted.
 - p. Bess Wong: Denied. The proposed finding misstates and mischaracterizes the record. Wong was part of the Trans-Pacific Trade Traffic Team for Eastbound in 2006 but moved to the analytics department a year and a half later. Wong Dep. Tr. 22:20-25 [APP-2708].
 - q. Mickey Wong: Admitted.
 - r. Sharon Wong: Admitted.
 - s. Kenny Ye: Admitted.
 - t. Mike Young: Denied. The proposed finding misleadingly selects partial quotes from the record and minimizes Young’s authority and decision-making in regulatory matters. In addition to his role as part of OOCL (USA)’s Process Systems Services (“PSS”) Team, where he focused on improving operational processes, documenting user needs, and collaborating with the ISD team to implement system changes (Young Tr. 43:6-24) [APP-2834], Young was also the “functional department head[] . . . for Regulatory Compliance.” Young Dep. Tr. 49:25-50:16 [APP 2823-2935].
18. OOCL’s retained experts testifying in this proceeding were:
- a. Dr. Lars Jensen, Container Industry Consultant, Vespucci Maritime. APP 1011-1012 (Jensen Tr. 60:22-63:12); APP 4010-28 (Ex. 413, Jensen Report, pp. 1-3, setting forth his qualifications).

b. Boris Steffen, Certified Public Accountant with Province (a corporate restructuring firm). APP 2522 (Steffen Tr. 12:8-13:2; 14-17); APP 3937-94 (Ex. 384, Steffen Report pp. 2-6, setting forth his qualifications).

RESPONSE: Denied. Jensen and Steffen lack qualifications and/or methodological reliability to constitute appropriate “expert” testimony in this action. See BBY’s Finding of Fact Arg.VII. Admitted that OOCL retained Jensen and Steffen as its purported experts. Jensen Report [APP-4010-28]; Ex. 384, Steffen Report [APP 3937-94].

19. OOCL Ltd. and OOCL (Europe) Ltd. are, and were during the relevant period, a member of The OCEAN Alliance, FMC Agreement No. 012426. Other members of The OCEAN Alliance are CMA CGM, S.A., COSCO Shipping Lines Co., Ltd., and the collective Evergreen Line Joint Service Agreement parties. All members of The OCEAN Alliance are vessel-operating common carriers.

RESPONSE: Admitted.

20. OOIL has its shares listed on the Main Board of The Stock Exchange of Hong Kong Limited. RX-001689, [OOIL - About OOIL](#). The OOIL Group has over 430 offices in approximately 90 countries/regions. The ultimate parent company of the Group is China COSCO SHIPPING Corporation Limited (“COSCO SHIPPING”), a state-owned enterprise established in the People’s Republic of China (the “PRC”).

RESPONSE: Admitted.

21. Although they share the same ultimate parent, COSCO Shipping Lines Co., Ltd. is a separate and distinct ocean common carrier from OOCL, Ltd. and OOCL (Europe), Ltd. RX-001690-93, [Cosco buys OOCL for \\$6.3bn to form the world’s third-largest liner company - The Loadstar](#).

RESPONSE: Denied. The proposed finding addresses issues concerning whether COSCO Shipping Lines Co., Ltd. is a separate and distinct ocean common carrier from OOCL, Ltd. and OOCL (Europe), which is a legal conclusion and thus constitutes an inappropriate proposed conclusion of law. The cited article notes that “OOIL’s oft-repeated rebuttal that it

was ‘not aware of, nor involved in any bid related to the company or OOCL,’ appears to have been disingenuous”; “Upon completion of the transaction, . . . Cosco will hold a 90.1% stake in OOIL”; and “After closing, Cosco and OOCL will ‘continue to operate under their separate brands’ . . . Both companies are members of the Ocean Alliance and will continue to work together under this framework.” [RX-001690-93].

II. BED BATH & BEYOND – BANKRUPTCY AND LIQUIDATION

A. BBY’s History

22. Complainant 20230930-DK-Butterfly-1, Inc. was incorporated in 1971 and is headquartered in Union, New Jersey. APP 3937-94 (Ex. 384, Steffen Report at 12).

RESPONSE: Admitted that BBY was founded in 1971 and was headquartered in Union, New Jersey. RX-000671, 675 (Ex. 385, pp. 1-36).

23. Founded in 1971 and headquartered in Union, NJ, BBY grew into the largest home furnishing store chain in the United States and operated 1,533 stores in the U.S. and Canada and employed about 62,000 full-time and part-time workers. APP 3937-94 (Ex. 384, Steffen Report at 12, 28).

RESPONSE: Admitted.

24. BBY’s Chief Restructuring Officer and Chief Financial Officer Holly Etlin recounted BBY’s history, financial mismanagement and decline, and eventual bankruptcy in the declaration she filed in BBY’s Chapter 11 bankruptcy proceeding. RX-000671-706 (Ex. 385, pp. 1-36).

RESPONSE: Denied. The proposed finding misstates and mischaracterizes the record. The Declaration of Holly Etlin, Chief Restructuring Officer and Chief Financial Officer of BBY, was submitted in support of BBY’s Chapter 11 petitions and first day motions. The declaration provides a comprehensive overview of the company’s restructuring efforts, the impact of external economic factors, and the strategic decisions made to avoid bankruptcy. Ex. 385, pp. 1-36 [RX-000671-706].

B. BBY’s Bankruptcy

25. On April 23, 2023, BBY and 73 affiliated debtors each filed a voluntary petition for relief under Chapter 11 of the United States Bankruptcy Code in the United States Bankruptcy Court for the District of New Jersey. Case No. 23-13359 (Papalia, B.J.).

RESPONSE: Admitted.

26. On September 29, 2023, BBY went out of business through its Chapter 11 conversion to Chapter 7 liquidation filing under bankruptcy. APP 3937-94 (Ex. 384, Steffen Report at 12).

RESPONSE: Denied. The proposed finding fails to include “an exact citation to evidence” and thus contravenes the Presiding Officer’s Scheduling Order. (Dkt. 12 (June 8, 2023)).” Admitted that BBY entered dissolution as part of its entry into Chapter 7 bankruptcy proceedings in September 2023. Kastin Decl. ¶¶ 5-6 [APP-5172].

27. The Bankruptcy Plan Administrator hired David Kastin to collect “as much revenue for the wind-down debtor as possible through either litigation or negotiation with vendors.” APP 1193 (Kastin Tr. 208:7-11).

RESPONSE: Denied. The proposed finding misstates and mischaracterizes the record. Kastin’s responsibilities extend beyond simply maximizing revenue recovery. Following BBY’s dissolution as part of its entry into Chapter 7 bankruptcy in September 2023, Kastin became an independent consultant to Complainant’s bankruptcy plan administrator. In such capacity, his duties are to provide legal advice to Complainant’s bankruptcy plan administrator in connection with the winddown of Complainant’s estate. Kastin Decl. ¶ 6 [APP-5172].

28. As of the date of filing, in addition to the instant proceeding, BBY has filed the following formal complaints before the Federal Maritime Commission, asserting claims totaling more than \$213,000,000:

- a. FMC Docket No. 23-10, Bed Bath & Beyond v. Yang Ming Transport Corp. (claiming over \$6M);
- b. FMC Docket No. 23-12, 20230930-DK-Butterfly-1, Inc. v. MSC Mediterranean Shipping Company SA (claiming over \$112M);

c. FMC Docket No. 24-12, 20230930-DK-Butterfly-1, Inc. f/k/a Bed Bath & Beyond Inc. v. Evergreen Line et al. (claiming over \$86M);

d. FMC Docket No. 25-01, 20230930-DK-Butterfly-1, Inc. v. BAL Container Line, Limited (claiming over \$9M).

RESPONSE: Denied. The proposed finding constitutes an inappropriate proposed conclusion of law, specifically as to the claims at issue and alleged damages. BBY's filing of formal complaints does not absolve OOCL of violating the Shipping Act. The logic of this argument is fundamentally flawed, as each case involves its own set of facts and circumstances, and the filing of multiple complaints does not inherently negate the validity of BBY's claims against OOCL. Admitted that BBY has filed complaints against other carriers before the Federal Maritime Commission and that those complaints speak for themselves.

29. OOCL has asserted no claims against BBY in BBY's bankruptcy proceeding.

RESPONSE: Admitted.

C. BBY HAD DIFFICULTY MANAGING ITS SUPPLY CHAIN- BOTH INTERNATIONALLY AND DOMESTICALLY

30. Starting in 2019, BBY changed its product line and sourcing of its products to its detriment. RX 000681-682 (Ex. 385, Etlin Declaration, ¶¶ 24, 25 at pp. 11-12). Ms. Holly Etlin wrote:

. . . . [BBY's] supply chain and method of product development and selection were outdated and supported by old systems.

The Company attempted to implement similar strategies that had recently made Target so successful by focusing on creating Bed Bath & Beyond private-label brands and pursuing a growth strategy. Bed Bath & Beyond's new vision was a digital-first, customer-focused omnichannel retailer with a more curated, inspirational, and differentiated product collection across categories; this also meant a significant deduction of national brands and changes to previous long-standing vendor relationships. The Company hoped this would enhance margins and create an improved value proposition for the consumers.

Unfortunately, this strategy proved not to be successful. Traffic, market share, and important customer programs such as loyalty and registry were impacted. Changes were ushered in faster than the Company built systems to support them, and the transformation strategy proved too much for Bed

Bath & Beyond's supply chain to handle. Customers were confused as they visited Bed Bath & Beyond stores that looked nothing like the stores that had engendered their loyalty over decades, with well-known national brands like KitchenAid mixers and Calphalon cookware being replaced for private-label brands that customers did not want.

The self-inflicted disruption occurred at the same time brick and mortar retailers across the globe felt the unprecedented disruption caused by the COVID-19 pandemic. . . .

Bed Bath & Beyond's massive shift towards private-label brands resulted in longer lead times to produce and ship to stores when compared to the more easily accessible national brands upon which Bed Bath & Beyond built its reputation and customer base.

The Company also implemented changes to its domestic distribution strategy—the network through which product is delivered to stores. The distribution strategy was not equipped for these changes to the upstream supply chain, nor resilient in the face of the pandemic-related issues that occurred at the Port of Los Angeles, which severely affected many companies. The Company wound up with empty shelves as factory closures and shipping bottlenecks delayed the arrival of the new private-label goods. Once the items hit stores, they did not resonate with shoppers. As a result, Bed Bath & Beyond was unable to achieve sufficient levels of inventory to meet demand over the important 2021 holiday season, leading to frustrated customers and sharp declines in sales. During third quarter of 2021, an estimated \$100 million of sales were not fulfilled due to out-of-stocks and in the fourth quarter of 2021, an estimated \$175 million of sales were not delivered. By the end of 2021, Bed Bath & Beyond reported net losses of \$559.6 million, a decrease of approximately 14.8% compared to fiscal year 2020.

Vendors and licensees grew concerned by the pace and scale of changes the Company was undergoing. During the first half of calendar '22, Bed Bath & Beyond further tested its important vendor relationships by slowing payments and trimming down its orders quarter after quarter to focus on its private-label brands—forcing vendors to look to other stores and websites. The Company's cash position forced management to limit the “open-to-buy”—which enables merchandisers to replenish inventory. As the Company's financials worsened, tensions with its merchandise suppliers grew.

RX 000680-682, 685-686 (Ex. 385, Etlin Declaration, p. 10-12, 15-16, ¶¶ 21, 24, 25, 26, 27, 33, 34).

RESPONSE: Admitted only as to the cited Declaration stating the quoted language. Otherwise denied. The proposed finding ignores the fact that the strategic shift toward focusing on creating BBY private-label brands coincided with the unprecedented disruption experienced by brick-and-mortar retailers worldwide due to the COVID-19 pandemic. Etlin Declaration ¶¶ 24-27 [RX-000681-682].

31. In March 2020, BBY announced the closure and reduced hours of stores due to COVID. RX-000822 (P-0000020722).

RESPONSE: Denied. The proposed finding misstates and mischaracterizes the record. On March 20, 2020, Paul Pastor wrote to OOCL employee Jim Mitchell, noting that BBY had announced the *temporary* closure and/or reduced hours of 800 stores. [RX-000822]. Pastor further stated: “[A]t this point[, BBY has] not received any information as it relates to warehouses. . . . How this will impact other parts of our business is to [sic] early to say at this time.” [RX-000822].

32. BBY fired its CEO Mark Tritton on June 29, 2022. RX 000686 (Ex. 385, Etlin Declaration, p. 16, ¶ 35).

RESPONSE: Denied. OOCL misstates and mischaracterizes the record. “Mark Tritton was excused on June 29, 2022.” Ex. 385, Etlin Declaration, p. 16, ¶ 35 [RX 000686].

33. BBY had used its retail stores to store inventory (everyone can recall stuff piled up to the ceiling in stores, that was part of their “brand”); when it closed those stores, it did not account for where the excess inventory would go. The result was BBY’s choice and strategy to leave full containers on the marine terminals or at its warehouse yards. APP 2140 (Porter Tr. 83:7-13).

RESPONSE: Denied. The proposed finding relies on an unsubstantiated generalization by asserting that “everyone can recall” inventory piled in stores. It commits a non sequitur by jumping from store closures to the conclusion that BBY deliberately chose to leave full containers at terminals. The proposed finding also contradicts FOF 30, which states: “The Company wound up with empty shelves as factory closures and shipping bottlenecks delayed the arrival of the new private-label goods.” Ex. 385, Etlin Declaration, p. 16, ¶ 33 [RX 000685]. Further, the proposed finding misstates and mischaracterizes the record. Porter was specifically testifying about La Mirada, stating: “Like I told you earlier, La Mirada does not handle containers as far as unloading, but we did use that yard also for staging of container loads or empties.” Porter Tr. 83:7- 13 [APP 2140].

34. BBY appears to have suffered the same types of problems as other importers did in maintaining its supply chains, when its products would be delivered from suppliers in large lumps. APP 1074 (Jensen Tr. 310:10-311:19).

RESPONSE: Denied. Jensen lacks qualifications and/or methodological reliability to constitute appropriate “expert” testimony in this action. See BBY’s Finding of Fact Arg.VII. The proposed finding misstates and mischaracterizes the record. Jensen himself acknowledged that his statement was merely a hypothesis: “As I said, this is a hypothesis”. Jensen Dep. Tr. 311:13 [APP-1074]. Melinda Porter, BBY’s Senior Manager for Import Operations for the West Coast, recalled that external factors beyond BBY’s control caused shipments to become erratic. Porter Dep. Tr. 127:17-128:10 (“[T]he normal course of business, when it comes to imports, is everything has planned ship dates. And during – which means you plan shipping to China, and then we back into when it arrives to when we actually unload and ship it. So during the pandemic, that didn’t happen. Like, the containers didn’t off-ship according to their, you know, their plan from the import team. So instead of everything kind of flowing in consistently, there was many times where everything just got bottlenecked and then everything got released at once. So instead of having a flow, it was more like a stoppage, like truly, like a plumbing stoppage. It opens, stuff came out. It got packed up. So it was not a consistent flow. And every time you have that, no matter how great the plan and preparations are, you know, it’s a challenge to react when it flows that way.”) [APP-2151].

35. BBY did not reliably use the space it was provided by OOCL; in many instances, BBY cancelled bookings that it had made or it did not tender cargo for bookings that it had made (“no-shows”). See e.g., APP 1605; 1606; 1607; 1613-14; 1623; 1624 (Metzger Tr. 64:14-16; 66:8-68:18; 72:7-73:7; 97:22-98:98:14; 137:5-22; 139:24-141:25); RX-000612 (Ex. (387); RX-000618 (Ex. 393).

RESPONSE: Denied. The proposed finding misstates and mischaracterizes the record. It was OOCL—not BBY—that canceled BBY’s bookings, and when these cancellations occurred, BBY or its agents had to take the initiative in following up on such cancellations. See Shippee Dep. Tr. 95:10-21; 96:9-97:2 [APP-2414]. [REDACTED]

[REDACTED] The average percentage of BBY’s bookings accepted by OOCL was 69.5% from May 2021 through December 2021. See Pinchuk Dep. Ex. 235 (“% accept vs. allocation” Tab, Row 14) [APP-3325]. OOCL did not consistently provide explanations to BBY when bookings were canceled. See Metzger Dep. Tr. 223:9-15 (In many cases, OOCL “pended” bookings—i.e., neither accepting nor rejecting the booking, but instead effectively placing it in limbo—because there was no CSAL file and OOCL had to wait for it to be updated.) [APP-1645]. BBY incurred excess

ocean freight costs for alternative freight during the terms of the Service Contracts under which OOCL failed to make space available to BBY. The proposed finding also does not define “tender” and, in any event, a shipper cannot tender cargo for delivery where a carrier refuses to accept bookings, allocate space, or otherwise prevent a shipper from tendering cargo. The proposed fact relies on witness testimony that lacks credibility, specifically as to Metzger’s testimony. *See* BBY’s Finding of Fact Arg.VIII.B.

Further, the proposed finding fails to include “an exact citation to evidence” and thus contravenes the Presiding Officer’s Scheduling Order. (Dkt. 12 (June 8, 2023).)”. Further, before attempting to book with an NVOCC, BBY via Yusen would first attempt to push other carriers to help or book with a secondary carrier. (*See* BBY’s Finding of Fact 27.) As to bookings cancelled by BBY:

- Yusen provided reasons for booking cancellations, such as a vendor (supplier) not having the goods ready. Shippee Dep. Tr. 88:1-9 [APP-2412].
- A problem with a trucking could cause a container to arrive after the vessel cut-off date. Hackett Dep. Tr. 127:23-128:4 [APP-845].

36. Although never assessed, in an effort to relieve congestion in 2021 responding to the White House Envoy’s overtures, the Port of Los Angeles and the Port of Long Beach threatened the imposition of long-dwell fees against carriers if the long-dwell containers were not removed from their terminals. APP 2844 (Young Tr. 82:5-83:15).

RESPONSE: Admitted. However, it should be noted that OOCL’s internal records explicitly stated that even if the dwell fees had been implemented, the fees would have been passed on to shippers. Young Dep. Tr. 82:2-83:15 [APP-2844]; [REDACTED]

[REDACTED]

37. BBY increased its volume of containers from 10,000 in 2020 to 15,000 in 2021. APP 2645 (Stupnik Tr. 43:7 to 45:7).

RESPONSE: Admitted that Stupnik testified to the volume increase through Southern California based on her personal knowledge. However, one person’s testimony based on one’s recollection cannot be construed that BBY indeed increased its volume of containers from 10,000 in 2020 to 15,000 in 2021.

38. Further, in August and September 2021, when BBY’s warehouses were full, APP 2644; 2678; 2679 (Stupnik Tr. 38:3-40:4; 175:25-177:1), BBY booked 590 containers for carriage by OOCL under its secondary contract. APP RX-000612 (Ex. 387, Tab PCC3-OEP-

038E); APP 1611-12 (Metzger Tr. 87:17-90:10). During the same period, BBY also chartered space from Sparx (an NVOCC) so it could move a “big bulk...at one time.” APP 878 (Hackett Tr. 260:22-261:4).

RESPONSE: Denied. The proposed finding contains multiple factual propositions and thus contravenes the Presiding Officer’s Scheduling Order. (Dkt. 12 (June 8, 2023)). The proposed finding fails to include “an exact citation to evidence” and thus contravenes the Presiding Officer’s Scheduling Order. (Dkt. 12 (June 8, 2023).)”. The proposed finding misstates and mischaracterizes the record. Stupnik testified to warehouses based on personal knowledge but did not specifically address August and September. There were periods during 2020-2021 when BBY’s container yards and some of its warehouses were not full. Porter Dep. Tr. 129:11-130:22 [APP-2151-52]. Porter testified that “in the initial parts of the pandemic, we were not full. They became full as containers were arriving, and you know, due to the pandemic, things were shut down. We were unloading containers into the building and storing the freight.” Porter Dep. Tr. 22:24-23:4 [APP-2115]. Even in the fall of 2021, when warehouses were generally full, not all buildings were at capacity. Porter Dep. Tr. 18:4-9 [APP-21214]. Furthermore, the proposed fact relies on witness testimony that lacks credibility, specifically as to Metzger’s testimony. *See* BBY’s Finding of Fact Arg.VIII.B. It also relies on self-serving analyses that lack *credibility*, specifically as to Ex. 387. *See* BBY’s Finding of Fact Arg.VIII.B. Admitted only as to Hackett’s testimony that “the charters were of interest because we could move a big bulk, kind of, at one time.” Hackett Dep. Tr. 261: 12-18 [APP-878]. Otherwise denied. BBY chartered two vessels at “two to three times the normal rate” simply to get the shipping space it should have received under the Service Contracts. *See* Klosowsky Dep. Tr. 177:12-178:5.

III. OCEAN COMMON CARRIAGE: TERMINOLOGY AND PRACTICE

A. Terminology

39. “Back haul” means the smaller by value or volume leg of a bilateral trade lane. It is generally less profitable on a per-container basis. For example, the “back haul” between China and the United States would be the westbound voyage carrying United States exports to China. APP 1014 (Jensen Tr. 70:15-24); see also [Glossary.indd](#) (Back haul means “the return movement of a . . . container towards the point where the initial load originated.”).

RESPONSE: Denied. The proposed finding misstates and mischaracterizes the record. Jensen did not testify about “backhaul” or its profitability but was instead estimating the average round-trip time for a ship on the Trans-Pacific Trade from Shanghai to Los Angeles. Additionally, the cited website defines “backhaul” as “the return movement of a car or container towards the point where the initial load originated.”

40. A “blank sailing” typically refers to an ocean carrier skipping a sailing in its regular schedule and can be the result of different causes, such as whether a port call or sailing is skipped involuntarily due to closure or congestion, whether a port call or sailing is eliminated due to lack of demand for the service to that port. APP 1032-33 (Jensen Tr. 145:9-148:3).

RESPONSE: Admitted that Jensen provided his unfounded opinion on “blank sailing.” Jensen lacks qualifications and/or methodological reliability to constitute appropriate “expert” testimony in this action. See BBY’s Finding of Fact Arg.VII. Contrary to the definition of “blank sailing” stated in RPFF 40,

OOCL employee Mike Young testified that “[a blank sailing] would mean that the entire loop was not going to be in service,” while “a port omission basically is that, in order to – generally, in order to catch up on the schedule of the vessel due to some delays that were encountered in prior voyages, they will decide to omit a port.” Young Tr. 191:1-192:18 [APP-2871].

41. A “committed rate” is a rate that is fixed for more than three months. APP 1377 (K. Lam Tr. 156:9-157:2).

RESPONSE: Admitted.

42. “CCP” means “cargo control party.” APP 2784 (Ye Tr. 77:14-19).

RESPONSE: Admitted.

43. “CSAL” is OOCL’s internal process to capture its customers’ commitments and allocate space among same across the vessel container vessel capacity. *See* RPFF 231.

RESPONSE: Denied. The proposed finding’s definition is fundamentally flawed because it omits any reference to OOCL’s contractual obligations. This mischaracterization reveals that CSAL is a unilateral mechanism controlled by OOCL, allowing it to determine space availability in a manner that often disregards its contractual commitments to shippers. See e.g.,

BBBY’s Finding of Fact Arg.I.D.b.

44. “CY” means transportation of the containers concluding at the marine terminal at destination. APP 2397 (Tr. 26:24-27:21).

RESPONSE: Admitted that Ms. Shippee testified to “CY loading.”

RESPONSE: Denied. The proposed finding contains multiple factual propositions and thus contravenes the Presiding Officer’s Scheduling Order. (Dkt. 12 (June 8, 2023)). The proposed finding misstates and mischaracterizes the record. OOCL’s Chief Operating Officer, Kenny Ye, and OOCL (USA)’s VP of Sales, Vincent Delprete, both acknowledged that deselection occurred. [REDACTED]

[REDACTED] Delprete Tr. 141:20-142:10 (“Deselection means when it comes time to issue another contract, we don’t actively engage for renewal.”) [APP-375-376].

- i. OOCL at no time “deselected” BBY; APP 2239 (Schmiemann Tr. 255:2-7; 256:13-21); APP 385 (Vincent Delprete Tr. 180:11-16).

RESPONSE: Denied. The proposed finding misstates and mischaracterizes the record. [REDACTED]

- ii. OOCL never suspended BBY’s bookings. See e.g., APP 2247 (Schmeimann Tr. 286:9-10).

RESPONSE: Admitted that Schmeimann testified that “We did not – we did not stop Bed Bath & Beyond from booking with OOCL.” Schmeimann Dep. Tr. 286:9-10 [APP-2247]. However, during the pandemic, OOCL conditioned shipping BBY’s cargo under the Service Contracts on BBY’s payment of extracontractual PSS charges. *See* Hackett Dep. 144:2-14; [REDACTED]

46. “Double booking” refers to shippers making multiple bookings for the same container on different carriers at the same time. APP 1364 (K. Lam Tr. 104:6-10).

RESPONSE: Admitted that Lam provided her unfounded opinion on “double booking.” Her testimony suggests that a single container is booked with multiple carriers simultaneously, which is logistically infeasible. The proposed finding lacks credibility, specifically as to Lam’s testimony. (*See* BBY’s Finding of Fact Arg.VIII.A.)

- 47. The term “extra loader” means a vessel that is not in regular service but is deployed

to carry additional demand. APP 1730 (Mitchell Tr. 211:25-212:6); APP 2221 (Schmiemann Tr. 182:5-17; 185:8-14); APP 1057 (Jensen Tr. 244:2-17). Before the use of secondary contracts in January 2021, extra-loader space was contracted through a service contract amendment, and during the use of the secondary or so-called premium contracts through an amendment to such contract. APP 2222-28 (Schmiemann Tr. 189:8-14; 213:15-25).

RESPONSE: Admitted, except for the characterization of extra loaders as only carrying additional demand. The term “additional” does not indicate that the requested container was in addition to the service commitment promised by OOCL and OOCL’s shortfall demonstrates that the requested container was not, in fact, in addition to the amounts OOCL had guaranteed that it would carry.

The proposed finding contains multiple factual propositions and thus contravenes the Presiding Officer’s Scheduling Order. (Dkt. 12 (June 8, 2023)).

48. “FAK” means “Freight All Kinds,” that is, any kind of commodity. APP 1398 (K. Lam Tr. 239:13-15).

RESPONSE: Admitted.

a. OOCL’s policy regarding FAK service contract rates was to set them such that they were never the highest in the market. APP 1381 (K. Lam Tr. 172:10-21).

RESPONSE: Denied. Lam contradicts herself in her own deposition by stating that she was “given directions that we can uphold the highest rate in the market. This is the company corporate policy.” Lam Dep. Tr. 172:10-21 [APP-1381].

b. FAK rates are those typically offered through short-term service contracts to NVOCCs. APP 1381 (K. Lam Tr. 171:21-172:5); RPF 59.a, 258.

RESPONSE: Denied. FAK rates are not tied to NVOCCs or short-term contracts. Lam testified that OOCL has annual service contracts with NVOCCs using FAK rates. Lam Dep. Tr. 171:21-172:5 [APP-1381].

49. “Head haul” means the “highest revenue generating shipping lane from shipper to receiver.” [Glossary.indd](#). The “head haul” is generally more profitable on a per-container basis.

For example, the “head haul” between China and the United States would be the eastbound voyage carrying Chinese imports to the United States, i.e., the direction of trade with higher demand, and that direction will govern the amount of capacity needed to successfully serve a round-trip tradelane.

RESPONSE: Denied. The proposed finding fails to include “an exact citation to evidence” and thus contravenes the Presiding Officer’s Scheduling Order. (Dkt. 12 (June 8, 2023)).”

50. “Merchant haulage” means that the ocean carrier is responsible for delivering the cargo only to the destination container yard (“CY”), and the shipper is responsible for picking up and returning the empty container, as reflected in the bill of lading issued by the ocean carrier. Lars Jensen testified: “Basically means that the carrier is responsible for delivering the container to the container yard. Then it’s the responsibility of the shipper to arrange for the full container to [be] picked up at the terminal. And it’s the responsibility of the shipper to redeliver the empty container to a depot assigned or a number of depots assigned by the carrier within a given time frame.” APP 1087 (Jensen Tr. 363:15-364:4).

RESPONSE: Admitted that Jensen provided his unfounded opinion on merchant haulage. Otherwise denied. Jensen lacks qualifications and/or methodological reliability to constitute appropriate “expert” testimony in this action. See BBY’s Finding of Fact Arg.VII.

51. “MQCs” (minimum quantity commitments) are mutual commitments whereby the shipper commits to tender a certain minimum amount of cargo and the ocean common carrier commits to provide space to carry that amount. APP 1957 (Pastor Tr. 110:5-111:15); RX-001694,

[What is a Minimum Quantity Commitment \(MQC\)?](#)

RESPONSE: Denied. The proposed finding addresses the obligations related to MQC, and thus constitutes an inappropriate proposed conclusion of law. it also does not define “tender” and, in any event, a shipper cannot tender cargo for delivery where a carrier refuses to accept bookings, allocate space, or otherwise prevent a shipper from tendering cargo. The proposed finding misstates and mischaracterizes the record. Pastor simply agreed with the general principle that MQC obligations apply to both the shipper and the carrier. Pastor Dep. Tr. 111:10-15 (“Q. I’m just talking about general obligations with respect to MQC. That is, it exposes an obligation on both the ocean carriers to provide space

and an obligation upon the shippers to provide the containers. A. Yes.”) [APP-1957]. Additionally, RX-001694 does not accurately reflect the content of the cited website but instead contains legal arguments and conclusions made by OOCL’s counsel. [RX-001694].

[REDACTED]

[REDACTED]

RESPONSE: Denied. The proposed finding misstates and mischaracterizes the record.

[REDACTED]

53. “NVOCC” is a non-vessel-operating common carrier, which is “a common carrier that holds itself out to the public to provide ocean transportation, issues its own house bill of lading or equivalent document, and does not operate the vessels by which ocean transportation is provided.” RX-001695-99, [Ocean Transportation Intermediaries - Federal Maritime Commission](#).

RESPONSE: Admitted.

a. “NVOCCs”, Non-vessel operating common carriers, by their very nature, do not themselves operate vessels; rather, NVOCCs are re-sellers of service they purchase from ocean carriers. RX-001700, [NVOCC vs. Freight Forwarder: What’s the Difference?; NVOCC \(Non-Vessel Operating Common Carrier\) | Cello Square](#).

RESPONSE: Admitted.

b. NVOCCs acquire space in bulk aboard various ocean carrier lines and generally sell to smaller volume shippers at favorable rates. RX-001701, [NVOCC vs. Freight Forwarder: What’s the Difference?](#)

RESPONSE: Denied. The record does not establish that NVOCCs offered “favorable rates.”

c. NVOCCs acting as carriers can have customers that are other NVOCCs acting as shippers or beneficial cargo owners (“BCOs”). 46 U.S.C. 40102 (7), (17), (23).

RESPONSE: Admitted that in practice NVOCC’s customers include other NVOCCs or BCOs.

d. Unless carried pursuant to an NVOCC's published tariff or via "co-loading" (that is, sharing space in a container, [Definition of Co-Loading | Nationwide Transport Services](#)) pursuant to the requirements of the Shipping Act and the FMC's Rules, agreements by an NVOCC as a carrier and another NVOCC or a BCO as a shipper may only be made via NVOCC Service Arrangements ("NSAs") or NVOCC Rate Arrangements ("NRAs"). 46 C.F.R. Parts 541, 542. RX-002628-2632; RX-001702-1704, [Ocean Transportation Intermediaries - Federal Maritime Commission](#); [NSA Services for NVOCCs Archives - Distribution-Publications, Inc.](#)

RESPONSE: Denied. The proposed finding addresses how NVOCCs can enter into shipping agreements under the FMC regulatory framework and thus constitutes an inappropriate proposed conclusion of law.

e. NVOCCs do not typically offer long-term rate agreements to their customers. RX-001705-08, ['Size doesn't matter', claims DSV as freight volumes collapse - The Loadstar](#) (DSV Group CEO Bjørn Andersen: "We are in the spot market. We are not risk-takers, so we haven't committed to longer term contracts. It's tempting sometimes to secure capacity, but often you are mistaken, so that's why we have a short position.")). NVOCCs similarly do not enter long-term contracts with VOCCs for space.

RESPONSE: Denied. The proposed finding contains multiple factual propositions and thus contravenes the Presiding Officer's Scheduling Order. (Dkt. 12 (June 8, 2023)). The proposed finding misstates and mischaracterizes the record. Andersen's comments were specifically about DSV rather than NVOCCs. [RX-001705-08].

54. "Peak Season" refers to the periods of high demand for ocean transportation service. RX-001709-14, [What is Peak Shipping Season & Why Is It Important? - PLS Logistic Services](#).

RESPONSE: Admitted.

a. In normal years "peak season" in the U.S. Trans-Pacific trade is when U.S.

retailers seek to secure “just in time” inventories in anticipation of the peak sales season of Halloween, Thanksgiving, and Christmas holidays. RX-001715-16; RX-001718-26, [Flexport Help Center Article | Tips for Shipping During Peak Season](#); [Key Learnings and Insights from TPM ‘23](#).

RESPONSE: Denied. The proposed finding misstates and mischaracterizes the record. While the cited article mentions a shift back to Just-in-Time inventory in March 2023, it does not establish a connection between this shift and the peak season. [RX-001718-1719].

- i. There are three national, week-long holidays (“Golden Weeks”) in China during which most factories close and much commerce is suspended. These are: (1) Chinese New Year (Spring Festival) (typically falling in late January/early February); (2) Labor Day (May Day) (on May 1); and (3) National Day Golden Week (beginning around October 1). RX-001727-29; RX-001730-33, [Golden Week \(China\) - Wikipedia](#); [Chinese Golden Week: When Supply Chains Take A Vacation](#).

RESPONSE: Admitted only as to the proposed finding that Chinese New Year, May Day, and National Day are three national holidays in China. Otherwise denied. The proposed finding misstates and mischaracterizes the record. The cited websites do not establish that factories close and much commerce is suspended during these national holidays. In addition, the cited websites state that “May Day itself now becomes a one-day holiday” and that “[t]he Chinese New Year and National Day would remain three-day holidays, though in the case of Chinese New Year, extra holiday days are de facto added by adjusting the weekend days before and after the three-day holiday, resulting in a full week of public holiday.” [RX-001728].

- ii. U.S. importers bringing cargo from China typically plan for surges of shipments prior to these regular holiday closures, leading to a “peak season.” See e.g., RX-001734-43, [Navigating Chinese New Year Shipping Delays](#).

RESPONSE: Admitted.

- iii. In 2020, these week-long holidays fell on January 24-30 (extended to February 2, and in many places in China until February 9 or later); May 1-5; and October 1-7, 2020.

RESPONSE: Denied. The proposed finding fails to include “an exact citation to evidence” and thus contravenes the Presiding Officer’s Scheduling Order. (Dkt. 12 (June 8, 2023).)”

- iv. In 2021, these week-long holidays fell on February 11-17; May 1-5; and October 1-7.

RESPONSE: Denied. The proposed finding fails to include “an exact citation to evidence” and thus contravenes the Presiding Officer’s Scheduling Order. (Dkt. 12 (June 8, 2023).)”

- v. In 2022, these week-long holidays fell on January 31-February 6; May 1-5; and October 1-7.

RESPONSE: Denied. The proposed finding fails to include “an exact citation to evidence” and thus contravenes the Presiding Officer’s Scheduling Order. (Dkt. 12 (June 8, 2023).)”

- b. Peak season surcharge (“PSS”) is an additional charge (“surcharge”) sometimes assessed during the peak seasons via mutual agreement in addition to contracted rates. APP 776 (Fung Tr. 64:8-24).

RESPONSE: Denied. The proposed finding the legal definition of “PSS,” and thus constitutes an inappropriate proposed conclusion of law.



- c. The purpose of PSS is to manage capacity constraints, balance supply and demand, and address increased operational costs associated with the surges in shipping activity. RX-001744-57, [PSS\(Peak Season Surcharge\) | Cello Square](#).

RESPONSE: Denied. OOCL conditioned fulfillment of its existing service commitment on high PSS charges. See e.g., 

[REDACTED] Hackett Dep. Tr. 33:4-34:8 (“There wasn’t much negotiation. Let’s put it that way. It was more one way. And then it was like, if you want to get space on the vessel, you’re going to have to do this, and we said all right.”) [APP 821-22].

d. While ocean carriers normally reduce the number of vessel calls they deploy in their rotations in anticipation of the reduction in demand for space during these regular factory closures, **this did not happen in 2021:**

“According to the current deployment schedules, offered capacity on Asia-North America West Coast will be between 420,000- 460,000 TEU, whereas it has never crossed 380,000 TEU in 2014- 2020. Over the four weeks, 1.74 million TEU are slated to be offered, an unprecedented 30.8% Y/Y increase against a 2014-2020 average of 3.9%. It seems that carriers are either anticipating no Golden Week slowdown in demand, or that they are prepared to keep the increased levels of deployed capacity, in the hopes of clearing backlog from congested ports. It is most likely a combination of the two, as this pattern was also seen during Chinese New Year 2021. Furthermore carriers will only withdraw 3.4% of the deployed capacity across these four weeks in 2021, against an average reduction of 8.5% in 2014-2020.” RX-001758-1760, <https://www.sea-intelligence.com/press-room/93-no-signs-of-golden-week-capacity-reductions>.

RESPONSE: Admitted only as to the quoted language appearing in the article and that it does not specifically address OOCL. Otherwise denied.

55. “Repositioning costs” refers to the costs to ocean common carriers of moving empty containers from one location to another where they can be put into use by filling them with cargo. RX-001761-68, [Empty Container Repositioning: How to Increase Resilience and Flexibility](#) (“Repositioning of empty containers in the shipping industry represents about 5% to 8% of a shipping line’s operating costs. Further, there are additional costs for the storage of empty containers and their maintenance, so the total cost of empty logistics is estimated by Transmetrics to be more than 12% of operating costs.”).

RESPONSE: Admitted only as to the quoted language appearing in the article and that it does not specifically address OOCL. Otherwise denied.

56. “Rolling” occurs when a loaded container has been booked on a particular vessel but cannot be loaded onto that vessel and is re-scheduled for loading onto the next available vessel. RX-001769-76, [What happens when your cargo gets rolled | iContainers](#).

RESPONSE: Denied. The article merely states that “[Rolling] means it has not been loaded onto the vessel it was meant to sail on,” but it provides no indication as to whether the container was already loaded or if a booking had even occurred prior to the roll. [RX-001770].

57. “Service Contract” is “a written contract, other than a bill of lading or receipt, between one or more shippers and an individual ocean common carrier or an agreement between or among ocean common carriers in which the shipper makes a commitment to provide a certain minimum quantity or portion of its cargo or freight revenue over a fixed time period, and the individual ocean common carrier or the agreement commits to a certain rate or rate schedule and a defined service level, such as, assured space, transit time, port rotation, or similar service features. The contract may also specify provisions in the event of nonperformance on the part of any party.” 46 C.F.R. 530.3(q).

RESPONSE: Denied. The proposed finding addresses the definition of “service contract,” and thus constitutes an inappropriate proposed conclusion of law.

a. Service contracts are routinely amended to reflect changes in market conditions. APP 1090 (Jensen Tr. 374:2-375:2). There is no limit to the number of times a contract may be amended by mutual agreement.

RESPONSE: Admitted that Jensen provided his unfounded opinion on service contracts. Jensen lacks qualifications and/or methodological reliability to constitute appropriate “expert” testimony in this action. See BBY’s Finding of Fact Arg.VII.

b. In a declining freight rate market environment (2022-2023) contracts were continuously amended at end of 2023 and carriers were loss-making. APP 1090 (Jensen Tr. 375:16-376:6).

RESPONSE: Admitted that Jensen provided his unfounded opinion on service contracts. However, the implication that market conditions dictated amendments and resulted in carrier losses directly undermines his assertion of mutual agreement in RPFF 57(a). Jensen lacks qualifications and/or methodological reliability to constitute appropriate “expert” testimony in this action. *See* BBY’s Finding of Fact Arg.VII.

c. Same with an increasing market – rates are adjusted upwards. APP 1090

(Jensen Tr. 376:7-15).

RESPONSE: Admitted that Jensen provided his unfounded opinion on service contracts. However, the implication that market conditions dictated amendments undermines his assertion of mutual agreement in RPFF57(a). Jensen lacks qualifications and/or methodological reliability to constitute appropriate “expert” testimony in this action. *See* BBY’s Finding of Fact Arg.VII.

58. “Shipper” means a cargo owner; the person for whose account the ocean transportation of cargo is provided, the consignee, a shipper’s association, or an NVOCC that accepts responsibility for the payment of all charges under the tariff of service contract. 46 C.F.R. §§ 520.2 and 530.3(r). A beneficial cargo owner (“BCO”) is “an importer that takes control of a shipment at the destination using their own logistics assets instead of utilizing a third-party source like a freight forwarder or NVOCC.” RX-001777-1778, [What is a Beneficial Cargo Owner? | Freightos](#). A Shipper can be a BCO or an NVOCC. 46 C.F.R. §§ 520.2 and 530.3(r).

RESPONSE: Admitted that the first statement is what the CFR says, and that a shipper can be a BCO or an NVOCC. The definition provided for “BCO” is also generally correct, though somewhat narrow—in practice “BCOs” often do use third parties like dray carriers to bring imports from port to the BCO’s own facilities. Further the proposed addresses the legal definitions of “shipper”, and thus partly constitutes an inappropriate proposed conclusion of law.

59. “Spot market” refers to the “financial marketplace” where “the purchase of immediate or short-term transportation services take place.” RX-001779-81, [What is spot shipping? | Clarksons](#).

RESPONSE: Admitted, except for the use of the term “efforts,” which lacks a specific definition in a manner material to the RPFF or BBY’s responses thereto.

a. Short-term service contracts between OOCL and its NVOCC customers are

also sometimes referred to as “FAK” rates. APP 1381 (K. Lam Tr. 171:21-172:5).

RESPONSE: Denied. FAK rates are not tied to NVOCCs or short-term contracts. Lam testified that OOCL has annual service contracts with NVOCCs using FAK rates. Lam Dep. Tr. 171:21-172:5 [APP-1381].

b. “Spot market” rates are also called “open rates.” An “open rate” is a rate that is fixed for no more than three months. APP 1377 (K. Lam Tr. 156:9-157:2).

RESPONSE: Admitted.

c. Tariff rates generally do not apply to BCOs. APP 1351 (K. Lam Tr. 50:11-51:5) (discussing that tariffs apply to BCO’s only when they accidentally overstay the agreement and following the FMC compliance rule OOCL has to apply its tariff). Tariff rates are not the same as spot market rates. See [\(19\) Shipping costs: Spot rate vs. tariff | LinkedIn](#).

RESPONSE: Admitted that BCOs generally do not use tariff rates.

d. Companies often work with both carriers and NVOCCs to secure space and negotiate rates, as highlighted in RX-001246-93 (0004/P-0000623709) and RX-001311-14 (0022/P-0000641010.txt). This further suggests that there is competition between these entities as they strive to meet the shipping needs of their clients. The presence of both direct carriers and NVOCCs in logistics strategies, as mentioned in RX-001294-1310 (0008/P-0000627723), also supports the notion of competition between them.

RESPONSE: Denied. The proposed finding contains multiple factual propositions and thus contravenes the Presiding Officer’s Scheduling Order. (Dkt. 12 (June 8, 2023)). The proposed finding addresses issues concerning whether competition exists, but does not support the proposition that an end-supplier competes with its intermediaries where the end-supplier and intermediaries sell the same products to the end-users and the end-supplier regularly resets its pricing with the intermediaries. Rather than suggesting competition between a VOCC and NVOCC, the facts cited demonstrate multiple avenues by which a VOCC sells its services into the market. Additionally, shippers, including BBBY, prefer service contracts for their ocean freight needs. See Ex. 381 (McCown Report) ¶ 42 [APP-3763]; see also, *infra* ¶ 136 (citing OOCL’s expert Lars Jensen’s analysis of benefits of fixed-rate freight contracts to shippers and risks of bankruptcy from increases in ocean freight costs). Steffen admitted

that it is preferable to enforce a fixed-rate agreement rather than paying significantly higher prices elsewhere for the same commodity. *See* Steffen Dep. Tr. 102:3-9 [APP-2545]. He further acknowledged that a consumer of container shipping who had a fixed rate agreement at a particular price could face operational or financial problems if that consumer was required to pay multiples of that fixed rate agreement price through spot market purchases. *See* Steffen Dep. Tr. 64:11-20 [APP-2535]. Furthermore, OOCL fails to provide RX-001246-93 (0004/P-0000623709), RX-001311-14 (0022/P-0000641010.txt), or RX-001294-1310 (0008/P- 0000627723).

e. For a variety of reasons, some BCOs use both NVOCCs and VOCCs. RX-001782-87; RX-001788-1802, [Understanding BCO Meaning in Shipping Along with 3 Other Main Terms in International Shipping | SeaRates Blog; Advantages And Disadvantages Of NVOCC: 10 Key Distinctions Advantages And Disadvantages Of NVOCC: 10 Key Distinctions.](#)

RESPONSE: Admitted although the facts cited for the proposition do not support the proposition stated. The proposed finding misstates and mischaracterizes the record. The cited article states that “large retailers such as Walmart, Costco, The Kroger Co., and Best Buy” “conclude a contract directly with VOCC”, while “small and medium BCOs looking to eliminate the need to maintain an internal logistics team often utilize the indirect channel, which is tailored for smaller to medium-sized companies.” RX-001783.

f. No BCOs intentionally book cargo under OOCL’s tariff rates. APP 1351 (K. Lam Tr. 50:11-51:5).

RESPONSE: Denied. The proposed finding misstates and mischaracterizes the record. It makes a broad assertion about intent, which is not supported by Lam’s testimony. Lam Dep. Tr. 50:22-23 (“So there’s no BCO on the plan to be charged on the tariff”) [APP-1351].

g. In OOCL’s experience, only very few BCOs prefer short term (i.e., 3 month long) service contracts; almost all service contracts (95%) with BCOs are for one year or more. APP 1351 (K. Lam Tr. 51:10-17).

RESPONSE: Admitted that Lam testified, “Some BCO preferred to have three months rate. . . I would consider over 95 percent of the BCO contract last for one year or more” (Lam Tr. 50:23-51:17 [APP-1351].

h. It is OOCL’s practice to commit 95-97% of its capacity in the Transpacific

trade under both short terms and long-term service contracts. APP 1352 (K. Lam Tr. 54:11-16).

RESPONSE: Admitted that Lam testified that 95-97% of the “Trans-Pacific Trade to the United States for 2020 through 2022 was subject to service contracts.” Lam Dep. Tr. 54:11-16 [APP-1352].

i. OOCL holds back (i.e., does not commit) 3-5% of its capacity in the Transpacific trade from short or long-term contractual commitments as buffer, as its capacity may vary due to operational constraints. APP 1352 (K. Lam Tr. 55:16-56:12).

RESPONSE: Denied. The proposed finding misstates and mischaracterizes the record. Lam did not testify that OOCL deliberately holds back a certain percentage of its capacity as a buffer; rather, she explained that the 3-5% of OOCL’s capacity not covered by service contracts could be attributed to factors such as tariff use by some NVOs, in addition to certain planning for operational constraints, draft and deadweight limitations, and cargo weight restrictions. Lam Dep. Tr. 55:16-56:12 [APP-1352].

60. The term “sweeper” vessel means a vessel deployed specifically to reposition empty containers to ports where demand is higher and the containers can be put to use, for example, to move empty containers in North America back to Asia. APP 2229 (Schmiemann Tr. 216:16-23).

RESPONSE: Admitted that Schmiemann testified, “[the extra loaders were there] to carry premium contracts’ space, and then on the return act as a sweeper to help us evacuate empties in North America to get them back to Asia.” Schmiemann Tr. 216:16- 23 [APP-2229].

B. Industry Practices

61. It is industry practice for the freight rates for carriage of commodities in containerized transportation to vary by commodity, and in particular by value of the commodity. Thus, higher value cargo is generally charged more to transport than low value cargo on a per-TEU basis. This allows the movement of lower-value commodities at rates such cargo can afford; otherwise they could not move. RX-001803-23 [Commoditisation of Container Shipping: Implications for Carriers and Cargo owners.](#)

RESPONSE: Denied. The proposed finding misstates and mischaracterizes the record. The cited article directly refutes the proposed finding: “The situation slowly degenerated into one where the freight rate differential started diminishing and was altogether negated over a period of time. Today, freight rates offered are generally not very sensitive to commodity type”. [RX-001807].

62. Ocean carriers may not be able to operate all of their chartered or owned vessels at all times for a variety of operational reasons. Ocean carriers routinely remove vessels from service for maintenance and repair (“lay up”). RX-001824-29, [Optimizing Vessel Performance During Lay-Up Management](#). Vessels may also be taken out of service for varying lengths of time due to weather, accidents, crew problems, etc. See e.g., RX-001830-43, [High waves, high claims: New study on container losses | Gard's Insights](#); APP 1089 (Jensen Tr. 372:371:12-372:10, addressing COVID).

RESPONSE: Admitted. The proposed finding contains multiple factual propositions and thus contravenes the Presiding Officer’s Scheduling Order. (Dkt. 12 (June 8, 2023)). The proposed finding fails to include “an exact citation to evidence” to support the assertion that “[o]cean carriers may not be able to operate all of their chartered or owned vessels at all times for a variety of operational reasons,” and thus contravenes the Presiding Officer’s Scheduling Order. (Dkt. 12 (June 8, 2023)).”

63. When a carrier’s ships are not deployed, there are still costs to the carrier (including charter costs and operational costs to keep the vessel in standby, such as power and necessary crew). APP 1089 (Jensen Tr. 373:9-25).

RESPONSE: Admitted that Jensen provided his unfounded opinion on costs, which does not specifically address OOCL. Jensen lacks qualifications and/or methodological reliability to constitute appropriate “expert” testimony in this action. See BBY’s Finding of Fact Arg.VII.

64. In most years, the majority of the calendar year is outside the “peak season,” meaning there is less cargo to carry; in those cases it makes sense to have “blank sailings”; this is often done when a carrier had 6 or 7 weekly services. APP 1041 (Jensen Tr. 179:16-180:25). This was not the case during COVID. See e.g., RPFF 93, 122-23.

RESPONSE: Denied. The proposed finding contains multiple factual propositions and thus contravenes the Presiding Officer’s Scheduling Order. (Dkt. 12 (June 8, 2023)). It uses the terms “in most years” and “blank sailings” without specific definition in a manner material to the PFF or BBY’s responses thereto. The second sentence is unclear in its reference. In this instance, Jensen provided his unfounded opinions on blank sailings after being asked about his own statement in a September 14, 2020, article: “Over the past two years, shipowners have started voiding sailings increasingly. Now, they have just dialed that up significantly. I see no signs of price fixing or collusion. It’s a completely logical consequence of consolidation, and it’s come to stay.” Jensen Dep. Tr. 179:6-180:25 [APP-1041]. Jensen lacks qualifications and/or methodological reliability to constitute appropriate “expert” testimony in this action. *See* BBY’s Finding of Fact Arg.VII. Admitted only that prior to the period at issue, peak season charges were generally sought for only a small portion of the year.

65. Ocean common carriers on-time service generally means arriving within plus or minus one calendar day of the scheduled arrival. APP 1046 (Jensen Tr. 198:11-14).

RESPONSE: Admitted that Jensen provided his unfounded opinion on when an ocean carrier's service is considered “on time.” Denied that his opinion reflects the industry’s understanding or any commonly accepted methodology. Jensen lacks qualifications and/or methodological reliability to constitute appropriate “expert” testimony in this action. *See* BBY’s Finding of Fact Arg.VII.

66. “Vessel schedule reliability” is the measure of how frequently the vessels of a particular operator arrive or depart from any particular port according to the operator’s published schedule. RX-001844-48, [The impact of service rotations on schedule reliability Duplicate 18 | Kuehne+Nagel](#).

RESPONSE: Admitted that the article states: “schedule reliability can loosely be defined as the probability that vessels arrive and depart on time as compared to the pro forma schedule published by the carrier.” [RX-001844-45].

67. Sea-Intelligence has published the Global Liner Performance (“GLP”) report since 2012. RX-001849-52, [Sea-Intelligence - Analytical Reports](#).

RESPONSE: Admitted.

68. In the two decades preceding 2020, carriers experienced constant price wars as result from continuous over-capacity. APP 1038 (Jensen Tr. 167:6-168:24).

RESPONSE: Admitted that Jensen testified about how carriers focused on expanding capacity despite insufficient demand at least until 2020, which led to perpetual overcapacity

and consistently low returns on investment. Jensen Dep. Tr. 167:6-168:24 [APP-1038]. Jensen lacks qualifications and/or methodological reliability to constitute appropriate “expert” testimony in this action. See BBY’s Finding of Fact Arg.VII.

69. It is industry practice to number weeks during service contract year and refer to them as such. For example, the week of January 1 is referred to as “Week 1” and the week of December 31 as “Week 52”.

RESPONSE: Admitted, although the proposed finding contains multiple factual propositions and thus contravenes the Presiding Officer’s Scheduling Order. (Dkt. 12 (June 8, 2023). The proposed finding fails to include “an exact citation to evidence” and thus contravenes the Presiding Officer’s Scheduling Order. (Dkt. 12 (June 8, 2023).)”

70. It is consistent with industry practice that shippers’ bookings vary from week-to-week. APP 4010-28 (Jensen Report at 5: “What happens in practical terms is that the shipper’s forecasted booking expectations rarely amount to an accurate prediction. This can have many reasons including, but not limited to, shortfall in production at origin, non-delivery from sub-suppliers, unexpected delays, shifts of sourcing of goods to a different origin, shift in destination for the goods based on a change in sales projections. This can lead to a pattern where a shipper indicate a certain booking level ahead of time but might not deliver volumes according to this indication. It also leads to situations where a shipper wants to place bookings in excess of the agreed indications. Furthermore it creates a situation where a shipper wants to book the agreed weekly volume, but now wants to do so in a different port-port corridor than planned – a corridor which might be serviced by entirely different vessels by the carrier, and hence pre-allocated for other purposes.”).

RESPONSE: Admitted that Jensen’s report contains the above quotation and that, it is consistent with industry practice at least for some industries and shippers that the shipper’s exact needs may vary from week to week over the course of a shipping year. Jensen lacks qualifications and/or methodological reliability to constitute appropriate “expert” testimony in this action. (See BBY’s Finding of Fact Arg.VII.B.) BBY provided two-month projection reports to OOCL, but these reports often did not align with OOCL’s CSAL because the CSAL was created before BBY’s projections. Pastor Dep. Tr. 102:13-20 (“We would provide projections -- a two-month projection report. But they did not align with the CSAL

report because it was being created before we would -- it was being created in advance of our projections, and, therefore, they didn't align in many cases of what our needs were and what were on the CSAL.") [APP-1995]. BBBY made every effort to provide accurate forecasts. Hackett Dep. Tr. 287:4-288:1: "A. And, once again, we're a retailer. We're seasonal, right? We give the best estimate of what we think we're going to need for every carrier by week. . . . One of the reasons we think it was of high quality, it was based upon actual purchase orders. It wasn't just like some arbitrary number. We had orders that were written that said, hey, they should ship within this week." [APP-885]. Jensen lacks qualifications and/or methodological reliability to constitute appropriate "expert" testimony in this action. (*See* BBBY's Finding of Fact Arg.VII.B.).

71. It is industry practice to allocate space by vessel sail week. "Vessel sail week" or "corporate vessel sail week" is determined by the date of sailing at the last origin port for the line haul vessel. RX-000788 (P-0000005089).

RESPONSE: Denied. The proposed finding contains multiple factual propositions and thus contravenes the Presiding Officer's Scheduling Order. (Dkt. 12 (June 8, 2023)). The proposed finding uses the term "industry practice," "vessel sail week," and "corporate vessel sail week" without specific definitions in a manner material to the RPF or BBBY's responses thereto. The email from OOCL employee Jim Mitchell simply states: "The vessel is determined by the date of sailing at the last origin port for the line haul vessel." [RX-000788].

IV. OCEAN COMMON CARRIAGE: THE UNPRECEDENTED PANDEMIC ERA

A. Setting the Stage: Industry Conditions in the Pre-Pandemic Years

72. In July 2018, OOCL was the most reliable carrier, with on-time performance of 81.7%; all of the largest ocean carriers' schedules were on-time more than 65% of the time. Sea-Intelligence GLP August 2018 ([PowerPoint Presentation](#)).

RESPONSE: Denied. The proposed finding cites to evidence that is not part of the record and thus contravenes the Presiding Officer's Scheduling Order. (Dkt. 12 (June 8, 2023)).

73. In 2018, even after several mergers and acquisitions and the 2016 bankruptcy of the seventh largest containership operator (Hanjin), the Acting Chairman of the FMC noted that, "[n]otwithstanding the reduction in the number of major shipping lines serving the international trades, the container industry remains very competitive." Before the United States Senate Committee on Commerce, Science, and Transportation, Subcommittee on Merchant Marine,

Infrastructure, Safety and Security, *Statement of Michael A. Khouri, Acting Chairman, Federal Maritime Commission* (April 24, 2018) at 4 (“Khouri Statement 2019”). Available at <https://www.fmc.gov/wp-content/uploads/2018/04/042018SenateWrittenTestimony.pdf>. RX-003101-3114.

RESPONSE: Admitted.

74. The FMC’s Bureau of Trade Analysis is comprised of expert economists and trade analysts who are charged with continuous monitoring of the competitive landscape of ocean common carriage in the U.S.-foreign trades. RX-001853-55. <https://www.fmc.gov/about/bureaus-offices/bureau-of-trade-analysis-bta/>.

RESPONSE: Admitted.

75. The ocean shipping industry is considered unconcentrated under the Herfindahl–Hirschman Index, an often-used measure of market concentration. The United States Department of Justice (Antitrust Division), “Herfindahl–Hirschman Index,” available at <https://www.justice.gov/atr/herfindahl-hirschman-index>. RX-001856-57.

RESPONSE: Denied. The cited article explains how HHI is calculated but does not mention the ocean shipping industry or whether the industry is considered unconcentrated using HHI.

76. As of May, 2019, the FMC did not believe the industry was concentrated. In testimony to Congress on May 21, 2019, the Chairman of the FMC stated,

“By all accounts, the marketplace for containerized ocean transportation services remains open and highly competitive. The Herfindahl-Hirschman Index values for the Trans-Pacific and North-Atlantic trade lanes reveal that the marketplace remains unconcentrated. Smaller companies in specialized trades continue to exist and there are even new market entrants. No one company, even among the top carriers, has a dominant position in trade volumes to or from the United States. At year end, for U.S. combined import and export trades, the market share for all container operators were as follows: Maersk (13.2%), CMA CGM (12.8%), MSC (12.6%), COSCO/OOCL (12.0%), Ocean Network Express (10.8%), Hapag Lloyd (8.5%), Evergreen (7.7%), Yang Ming (3.9%), HMM (3.8%), Zim (2.6%), and all other combined carriers such as Crowley, Seaboard, PIL, SM Lines, Wan Hai, Matson, and ACL (12.1%).” Statement of Michael A. Khour, Chairman,

Federal Maritime Commission Before the Subcommittee on Coast Guard & Maritime Transportation, Committee on Transportation & Infrastructure, United States House of Representatives, *Review of Fiscal Year 2020 Budget for the Coast Guard & Maritime Transportation Programs* at 4. Available at <https://www.fmc.gov/wp-content/uploads/2019/05/2019KhouriStatementCGMT.pdf>. RX-3115-21.

RESPONSE: Denied. The proposed finding addresses issues of “concentration,” and thus constitutes an inappropriate proposed conclusion of law. The proposed finding uses the term “industry” without specific definition in a manner material to the RPFF or BBY’s responses thereto.

77. In 2019, the FMC was concerned about overcapacity, i.e., ocean carriers deploying too many ships: “There continues to be a surplus of carrier vessel capacity compared to global trade volumes.” Khouri Statement 2019 at 3.

RESPONSE: Admitted.

78. The FMC oversees ocean carrier cooperative agreements under the Shipping Act, but authority over mergers and acquisitions are subject to the scrutiny of the U.S. Department of Justice and Federal Trade Commission under the anti-trust laws. 15 U.S.C. § 18a.

RESPONSE: Denied. The proposed finding addresses issues of jurisdiction over agreements and mergers and acquisitions as falling under the FMC or the Department of Justice and/or Federal Trade Commission and thus constitutes an inappropriate proposed conclusion of law.

79. No recent merger or acquisition of an ocean common carrier has been opposed under U.S. anti-trust laws. *See, e.g.*, <https://www.ftc.gov/legal-library/browse/early-termination-notice/20161474> (Federal Trade Commission clears Hapag Lloyd acquisition of United Arab Shipping Company, 2017). RX-001858.

RESPONSE: Admitted that the FTC cleared Hapag-Lloyd’s acquisition of United Arab Shipping Company on July 29, 2016, as cited. While proposed fact states that no “recent” merger has been opposed, it cites to an 8-year-old article.

80. Ocean carriers lost USD \$100 B over 20 years. APP 1053 (Jensen Tr. 227:11-22).

RESPONSE: Denied. The proposed finding is overly broad and speculative.

81. Consolidation has allowed carriers to avoid losses in times of downturn, not to increase prices. APP 1055 (Jensen Tr. 236:6-14).

RESPONSE: Admitted that Jensen testified that “Consolidation has allowed [ocean liners] to avoid loss in period of downtrend.” Jensen Dep. Tr. 236:9-11 [APP-1055]. However, Jensen also stated in a November 10, 2021 article in FreightWaves that the shipping industry has “definitely seen the effects of consolidation. At least on the main trades, there is a de facto oligopoly, which means the carriers are able to somewhat better prevent the price wars we’ve seen in the past. This is the logical end point of 20 years of gradual consolidation.” See Dep. Ex. 420 at 5 [APP-4064]. Jensen lacks qualifications and/or methodological reliability to constitute appropriate “expert” testimony in this action. See BBY’s Finding of Fact Arg.VII.

82. Consolidation brings more weekly services; the more weekly services that are available, the more ocean carriers are able to adjust capacity in smaller increments. APP 1041 (Jensen Tr. 181:2-17).

RESPONSE: Admitted that Jensen testified that consolidation enhances carriers’ ability to provide more weekly services and adjust capacity, but otherwise denied. Jensen Tr. 181:2-182:12 (“Q. But that now consolidation has occurred and there are relatively fewer carriers in – grouped into alliances that control the vast majority of global freight, those carriers can much more effectively manage supply through blank sailings, right? A. That would, in general, be true. The more weekly services you have, the more granular you are able to adjust capacity.”) [APP 1041-42]. Mr. Jensen lacks qualifications and/or methodological reliability to constitute appropriate “expert” testimony in this action. See BBY’s Finding of Fact Arg.VII.

83. A January 2020 GAO Report noted, “...consolidation may enable carriers to be more financially viable and therefore less likely to file for bankruptcy protection.” See, General Accountability Office, *Ocean Carrier Bankruptcies: Federal Agencies Have a Limited Role in Addressing Effects on Cargo*, GAO-20-353R (January 31, 2020) (“GAO Report”). Available at <https://www.gao.gov/products/gao-20-353r>. RX-002129-34.

RESPONSE: Denied. The cited article does not contain the quoted language. [RX-002132].

84. However, there was no link between consolidation in the carrier industry and lack of capacity during the COVID-19 period. APP 1040 (Jensen Tr. 177:4-22).

RESPONSE: Denied. The proposed finding misstates and mischaracterizes the record. Jensen simply testified that he did not necessarily see a link between the blank sailings starting in summer/early fall 2020 and industry consolidation. Jensen Dep. Tr. 177:4-22 [APP-1040]. In addition, as stated in RPFF 82, Jensen testified that consolidation enhances carriers’ ability to provide more weekly services and adjust capacity Jensen Tr. 181:2-182:12 [APP-1041-42]. Jensen lacks qualifications and/or methodological reliability to constitute appropriate “expert” testimony in this action. *See* BBY’s Finding of Fact Arg.VII.

B. The Pandemic Years 2020-2022: U.S. Demand for Imported Containerized Cargo and the Bullwhip Effect

2020: Uncertainty as the Pandemic Begins

85. On January 31, 2020, the United States’ Secretary of Health and Human Services declared a nationwide public health emergency pursuant to Section 319 of the Public Health Service Act, 42 U.S.C. § 247d. Available at <https://aspr.hhs.gov/legal/PHE/Pages/2019-nCoV.aspx>. RX-001859.

RESPONSE: Admitted.

86. In February 2020, BBY advised OOCL of its March projections for its shipments but warned that they were subject to change as it was uncertain as to when its vendors would be “at 100% and shipping.” RX-000823 (P-0000020897).

RESPONSE: Denied. The proposed finding misstates and mischaracterizes the record. The February 21, 2020 email indicates that BBY normally sends out a 2-month rolling forecast to OOCL, but in this instance, BBY sent March projections while noting that they were “guesstimating as to when vendors will be at 100% and shipping.” The email further states, “As more information comes into us I will advise in shifting of cargo.” [RX-000823].

87. Demand for container shipping declined precipitously between January and April, 2020 with a 13.1% slump in volumes. RX-000786 (P-0000004860).

RESPONSE: Denied. RX-000786 does not reference container shipping volume declines or a 13.1% drop in demand between January and April 2020.

88. In 2020, there were 274,973 deadweight tons (DWT) of containerships in the entire world. United Nations Conference on Trade and Development (“UNCTAD”) Review of Maritime

Transport, 2021, at 31 (available at https://unctad.org/system/files/official_document/rmt2021_en_0.pdf). RX-001875.

RESPONSE: Admitted.

89. On March 13, 2020, President Trump issued a Proclamation declaring a National Emergency. Available at <https://trumpwhitehouse.archives.gov/presidential-actions/proclamation-declaring-national-emergency-concerning-novel-coronavirus-disease-covid-19-outbreak/>. RX-002047-40.

RESPONSE: Admitted.

90. On March 31, 2020, eighteen days after the President declared a national emergency concerning the coronavirus disease outbreak, the FMC launched Fact-Finding Proceeding No. 29, *Effects of the COVID-19 Pandemic on the U.S. International Ocean Supply Chain: Stakeholder Engagement and Possible Violations of 46 U.S.C. 41102(c)* (“FF29”) and appointed FMC Commissioner Rebecca F. Dye as Fact Finding Officer. Fact Finding No. 29, *International Ocean Transportation Supply Chain Engagement* (FMC 2020) (available at: https://www2.fmc.gov/readingroom/docs/FFno29/FF29_Order.pdf/). RX-002041-43.

RESPONSE: Admitted.

91. The FMC charged Commissioner Dye to, “engage supply chain stakeholders in public or non-public discussions to identify commercial solutions to certain unresolved supply chain issues that interfere with the smooth operation of the U.S. international supply chain.” FF29, Order at 2.

RESPONSE: Admitted.

92. As part of the original industry team convened by Commissioner Dye, OOCL voluntarily participated in FF29 beginning in April 2020, as the industry sought solutions to the anticipated effects of COVID-19 on supply chains and transportation. FF29, Final Report at 63.

RESPONSE: Denied. The proposed finding fails to include “an exact citation to evidence” and thus contravenes the Presiding Officer’s Scheduling Order. (Dkt. 12 (June 8, 2023)). The Final Report only lists OOCL as the team participants.

93. In the Commission’s Annual Report No. 59 (Fiscal Year 2020) (October 1, 2019-September 30, 2020) (available at: <https://www.fmc.gov/wp-content/uploads/2021/03/59thAnnualReport.pdf>) issued on March 31, 2021, RX-002041-43, the FMC reported:

“At the time of this report’s preparation, COVID-19’s impact to shipping and the oceanlinked supply chain can be broken into two distinct phases. The first phase began in the early spring 2020 and lasted until approximately July [2020]. During that period, when factories were closing in China, cargo volumes collapsed. Ocean carriers cancelled sailings to match vessel capacity to far lower than usual cargo demand. Cargo began stacking up on docks, as distribution centers reached capacity and there was simply nowhere for freight to go. Terminals in the United States became congested with both imports and empty containers. [...] So dramatic was the hit to shipping in the early days of the pandemic, the ability of ocean carriers to survive this pandemic was being questioned.

The second phase began in August [2020], when cargo volumes increased dramatically to meet demand in the United States and the need to restock inventory to the point where, at some ports, records were set for the number of loaded import containers handled. There is no immediate change to this situation in sight and predictions are that carriers will continue to operate ships filled to capacity into the first quarter of 2021, at the very least. Carriers responded to this increased demand by restoring service and deploying as many vessels as they were able to put into service. Similarly, shipping companies and intermodal equipment companies have been aggressively purchasing new containers to meet demand. Despite these efforts, both space on ships and the containers needed to move commodities have been in short supply, leading to rates on the spot market that have been uncharacteristically and historically high.” FMC Annual Report No. 59 at 11.

RESPONSE: Admitted, except that RX-002041-43 is not Commission’s Annual Report No. 59. RX-002041-43 is a document is an order from the Federal Maritime Commission (FMC) related to Fact Finding No. 29, titled "International Ocean Transportation Supply Chain Engagement," served on March 31, 2020.

94. Operational disruptions caused involuntary blank sailings in 2020. APP 1033 (Jensen Tr. 147:19-148:3).

RESPONSE: Admitted that Jensen provided his unfounded opinion on the cause of “involuntary blank sailings,” a term without specific definition in a manner material to the PFF or BBY’s responses thereto a term without. It also misstates and mischaracterizes the record. Jensen testified that blank sailings were the result of voluntary choices made by carriers to pull capacity out of the market from February to approximately April/May 2020. Jensen Tr. 147:10-148:17 (“Q. Am I right that, at the outset of the pandemic – talking about March, April, May of 2020 – blank sailings, to a large degree, were determined by voluntary choices of the carriers to pull capacity out of market, right? A Yeah. I would say February to probably April/May 2020.”) [APP-1033]. Jensen lacks qualifications and/or methodological reliability to constitute appropriate “expert” testimony in this action. *See* BBY’s Finding of Fact Arg.VII.

95. At the time, there was no end in sight to the sharp decline in demand. In light of the 2016 bankruptcy of the seventh largest ocean carrier in the world (Hanjin Shipping) after four years of financial losses, there was a reasonable concern in early 2020 about the continuing viability of ocean common carriers and their ability to weather the sharp decline in demand for their service without significant financial support. *See*, GAO Report, RX-002129-34.

RESPONSE: Denied. The proposed finding contains multiple factual propositions and thus contravenes the Presiding Officer’s Scheduling Order. (Dkt. 12 (June 8, 2023)). The proposed finding fails to provide any evidentiary support from the record to support the proposed fact that “At the time, there was no end in sight to the sharp decline in demand.” Admitted that Hanjin Shipping went bankrupt in 2016.

96. When China shut down in January and February 2020, carriers cancelled most scheduled sailings. APP 1049-50 (Jensen Tr. 213:15-215:3). The knock-on effect of the cessation in eastbound sailings was that the vessels that would have otherwise routinely have brought empty containers back to China in April or May 2020 did not come back to China for another 6 or 7 weeks, i.e., late May and June. APP 1049-50 (Jensen Tr. 213:15-215:3). This delay coincided with a sharp boom in demand when China re-opened and demand for both empty containers and vessels to carry imports to North America skyrocketed in July 2020. APP 1049-50 (Jensen Tr. 213:15-215:3).

RESPONSE: Denied. The proposed finding contains multiple factual propositions and thus contravenes the Presiding Officer’s Scheduling Order. (Dkt. 12 (June 8, 2023)). Admitted to the first and second statements. Regarding the third statement, the testimony confirms a

demand surge but does not specify July 2020 as the key turning point. The proposed finding misstates and mischaracterizes the record. Carriers reacted to the initial drop in demand during the COVID-19 pandemic by coordinating blank sailings and avoiding direct price competition. (*See* BBY's Finding of Fact 32.) Thus, carrier's canceled sailings during the early pandemic period was about profitability, not shut downs in China. The knock-on effect of these canceled voyages was to restrict capacity and ultimately create a shock to the shipping market when consumer demand for imports made a dramatic resurgence in summer of 2020.

97. Disruptions (including COVID-19 measures and closures of ports in China) caused numerous involuntary blank sailings in 2020. APP 1033 (Jensen Tr. 147:19-148:3).

RESPONSE: Denied. As stated in BBY's response to RPFF 40, for the purpose of clarity, BBY denies each instance wherein the proposed finding uses "blank sailings" without specific definition in a manner material to the PFF or BBY's responses thereto. The proposed finding misstates and mischaracterizes the record. Mr. Jensen testified that blank sailings were the result of voluntary choices made by carriers to pull capacity out of the market from February to approximately April/May 2020. Jensen Tr. 147:10-148:3 [APP-1033]. Mr. Jensen lacks qualifications and/or methodological reliability to constitute appropriate "expert" testimony in this action. *See* BBY's Finding of Fact Arg.VII.

98. The carriers took operational initiatives in Q3 2020 to insert extra vessel capacity into the U.S. Trans-Pacific trades to respond to the sharp increase in demand at that time. APP 1049 (Jensen Tr. 211:2-14).

RESPONSE: Denied. The proposed finding contradicts RPFF 125, which asserts that "Until recently, there was a structural oversupply of maritime transport and, especially from the onset of the pandemic, ship owners had been cutting capacity. Since 2021, however, supply has lagged behind demand, leading to higher freight rates." The proposed finding misstates and mischaracterizes the record. Mr. Jensen spoke generally about adding capacity without a precise timeline and noted carriers' "voluntary blank sailings very, very early in the pandemic situation – period, as we talked about Q1, early Q2." Jensen Dep. Tr. 210:19-211:20 [APP-1049]. Mr. Jensen lacks qualifications and/or methodological reliability to constitute appropriate "expert" testimony in this action. *See* BBY's Finding of Fact Arg.VII.

99. Bottlenecks in ports were outside the control of ocean carriers. APP 1049 (Jensen Tr. 212:2-20).

RESPONSE: Denied. In her Final Report in Fact Finding Investigation No. 29, FMC Commissioner Rebecca F. Dye noted that "the supply chain bottlenecks due to unresolved operational problems, including disruption of information concerning 'blank sailings'

(which OOCL voluntarily chose to do),” was one of the “areas of most concern brought to the Fact Finding Officer’s attention”. [RX-002354].

100. U.S. West Coast ports were trying to get more cargo flow through the ports, but there was nothing a carrier could do to increase capacity of ports when congestion was at its height. APP 1049 (Jensen Tr. 212:12-213:14). For example, if the carriers were to send their ships to smaller ports, those smaller ports would have quickly been overwhelmed. APP 1057 (Jensen Tr. 242:15-243:3).

RESPONSE: Denied. The proposed finding contains multiple factual propositions and thus contravenes the Presiding Officer’s Scheduling Order. (Dkt. 12 (June 8, 2023). In her Final Report in Fact Finding Investigation No. 29, FMC Commissioner Rebecca F. Dye noted that “Many carriers suggested the use of container depots which could mitigate some of the bottlenecks currently experienced. A few others discussed a need for increased supply, including increased container supply or increased rail capacity. Some also noted innovative ideas such as collapsible containers which would allow multiple empty containers to be loaded on a vessel.” [RX-002387].

101. Blank sailings [skipping port calls] would not be a good choice to reduce congestion in ports. For example, if a carrier blanks a sailing at Los Angeles/Long Beach, the cargo would have to be brought back to Asia, which is not a good option. APP 1057 (Jensen Tr. 244:18-245:4).

RESPONSE: Denied. As stated in BBY’s response to RPFF 40, for the purpose of clarity, BBY denies each instance wherein the proposed finding uses “blank sailings” without specific definition in a manner material to the PFF or BBY’s responses thereto. The proposed finding contains multiple factual propositions and thus contravenes the Presiding Officer’s Scheduling Order. (Dkt. 12 (June 8, 2023). The proposed finding fails to provide any evidentiary support from the record to support the proposed fact that “Blank sailings [skipping port calls] would not be a good choice to reduce congestion in ports,” as Mr. Jensen’s testimony was hypothetical and did not explain why a carrier would skip Los Angeles/Long Beach and redirect cargo back to its origin, nor did it clarify how such a decision would relate to reducing congestion in ports.

102. The sharp decline in demand reversed in July 2020 and the Third Quarter of 2020 marked a startling, and wholly unexpected, turnaround in demand, with global containerized trade up 2.7% between July-September 2020. RX-000786 (P-0000004860).

RESPONSE: Denied. The proposed finding contains multiple factual propositions and thus contravenes the Presiding Officer’s Scheduling Order. (Dkt. 12 (June 8, 2023). RX-00786 does not support the proposed finding of fact. It does not contain any specific data or references to July 2020, Q3 of 2020, or the 2.7% increase between July and September 2020. The slide indirectly supports the statement by indicating that demand had rebounded significantly by late 2020, but it does not explicitly confirm the turnaround in July-September 2020 or the specific 2.7% growth figure.

103. OOCL was asked by other shippers, such as TJ Maxx (TJX) to amend service contracts to add space in the India-US trade in July 2020. RX-001114-18 (OOCL_0000177203). Because OOCL had made commitments to allocate space on its vessels to BBY, it could not accommodate these other shippers. *Id.*

RESPONSE: Denied. The proposed finding contains multiple factual propositions and thus contravenes the Presiding Officer’s Scheduling Order. (Dkt. 12 (June 8, 2023). The proposed finding misstates and mischaracterizes the record. [REDACTED]

104. By September/October 2020, there was a vessel capacity shortage. APP 1045 (Jensen Tr. 196:7-14).

RESPONSE: Denied. The proposed finding contradicts RPFF 125, which asserts that “Until recently, there was a structural oversupply of maritime transport and, especially from the onset of the pandemic, ship owners had been cutting capacity. Since 2021, however, supply has lagged behind demand, leading to higher freight rates.” The proposed finding misstates and mischaracterizes the record. In the cited testimony, Mr. Jensen stated that “There was a capacity shortage, basically, towards the latter part of 2020, yes.” Earlier in his deposition, Mr. Jensen testified that carriers first “were withdrawing capacity from the market” when “China closed down and when Europe then subsequently closed down” Jensen Dep. Tr. 145:13-22 [APP-1032]. He further testified that by “September/October-ish,” “it became apparent that capacity was constrained and unable to meet demand on the Trans-Pacific trade.” Jensen Dep. Tr. 195:9-196:14 [APP-1045]. Mr. Jensen lacks qualifications and/or methodological reliability to constitute appropriate “expert” testimony in this action. *See BBY’s Finding of Fact Arg.VII.*

105. In November 2020, COVID cases in the U.S. began to surge again. RX-000786 (P-0000004860).

RESPONSE: Denied. RX-00786 does not support the proposed finding of fact. RX-00786 appears to be an industry outlook for 2021 from OOCL, presented by Adrian Pinna on November 17, 2020. It provides insights into expected market conditions, industry trends, and challenges for the shipping and logistics sector in the aftermath of the COVID-19 pandemic. It does not contain any specific data or references to the surging COVID cases in November 2020.

106. Later in 2020, carriers added additional vessel capacity to service this stronger demand. APP 1033 (Jensen Tr. 148:4-149:6).

RESPONSE: Denied. The proposed finding contradicts RPFF 125, which asserts that “Until recently, there was a structural oversupply of maritime transport and, especially from the onset of the pandemic, ship owners had been cutting capacity. Since 2021, however, supply has lagged behind demand, leading to higher freight rates.” The proposed finding contains multiple factual propositions and thus contravenes the Presiding Officer’s Scheduling Order. (Dkt. 12 (June 8, 2023)). The proposed finding misstates and mischaracterizes the record. Mr. Jensen testified that carriers initially “were withdrawing capacity from the market” when “China closed down and when Europe then subsequently closed down” Jensen Dep. Tr. 145:13-22 [APP-1032]. He also testified, without specifying if this occurred later in 2020, that container lines increased capacity to accommodate a surge in consumer demand in the U.S. Jensen Dep. Tr. 148:4-149:6 [APP-1033]. Mr. Jensen lacks qualifications and/or methodological reliability to constitute appropriate “expert” testimony in this action. *See* BBY’s Finding of Fact Arg.VII.

107. Also in November 2020, global schedule reliability had dropped to 50.1%, for the fourth consecutive month, the lowest across all months since the benchmark was introduced in 2011. OOCL, however, showed a month-on-month improvement. Sea-Intelligence Press Release December 17, 2020. RX-002135-37, <https://www.sea-intelligence.com/press-room/38-glp-202012>. By January 2021, reliability was down to 34.9%. RX-002138-41, <https://www.sea-intelligence.com/press-room/53-january-2021-schedule-reliability-of-34-9-extends-lowest-record>.

RESPONSE: Admitted only that, according to Sea Intelligence, global schedule reliability dropped to a record-low 50.1% in November 2020 and further declined to 34.9% by January 2021. [RX-002135, 2139]. Denied as to all other aspects. The proposed finding contains multiple factual propositions and thus contravenes the Presiding Officer’s Scheduling Order. (Dkt. 12 (June 8, 2023)). The proposed finding misstates and mischaracterizes the record. Admitted that, according to Sea Intelligence, global schedule reliability dropped to a record-low 50.1% in November 2020 and further declined to 34.9% by January 2021. [RX-002135, 2139]. Denied further that OOCL outperformed other carriers, as Sea Intelligence reported that “none of the carriers recorded a Y/Y improvement in schedule reliability” when comparing November 2020 to November 2019, and that when

comparing January 2021 to January 2020, “none of the carriers recorded a M/M or a Y/Y improvement in schedule reliability.” [RX-002140].

108. Sea-Intelligence reported on December 17, 2020 that the “slump in schedule reliability coincided with the carriers’ introduction of capacity on the major trade lanes above and beyond what we have seen before. With news of widespread port congestion, and with carriers not letting off capacity-wise (especially in the major trades) until at least Chinese New Year [February 11-17, 2021], shippers might not see improving schedule reliability until the Q2 in 2021. RX-002142-44, <https://www.sea-intelligence.com/press-room/38-glp-202012>. _

RESPONSE: Admitted that the cited article in Sea-Intelligence contains the above quotation.

109. Consumer demand in late 2020 remained high. APP 1056 (Jensen Tr. 238:17-24).

RESPONSE: Denied. The proposed finding misstates and mischaracterizes the record. Mr. Jensen testified that, to a larger degree, consumer demand has remained higher than it was in late 2020 and that consumer behavior has shifted, with a slightly greater focus on purchasing physical goods rather than services. Jensen Tr. 238:17-24 [APP-1056]. Mr. Jensen lacks qualifications and/or methodological reliability to constitute appropriate “expert” testimony in this action. See BBY’s Finding of Fact Arg.VII.

110. Late 2020 and into 2021 was the first time in over 20 years that demand for container carriage exceeded supply over an extended period. APP 1061 (Jensen Tr. 259:12-22).

RESPONSE: Denied. The proposed finding misstates and mischaracterizes the record. Mr. Jensen testified that “the pandemic was the first time, quite literally, had more demand than you actually had supply for an extended period” without specifying the timeline. Jensen Tr. 259:12-22 [APP-1061]. Mr. Jensen lacks qualifications and/or methodological reliability to constitute appropriate “expert” testimony in this action. See BBY’s Finding of Fact Arg.VII.

111. Ocean carriers did not voluntarily remove capacity out the market, save for the first three months of the COVID pandemic when demand plummeted. APP 1032-33 (Jensen Tr. 145:9-148:2).

RESPONSE: Denied. The proposed finding contains multiple factual propositions and thus contravenes the Presiding Officer’s Scheduling Order. (Dkt. 12 (June 8, 2023)). The proposed finding uses the terms “market” and “the first three months of the COVID pandemic” without specific definition in a manner material to the RPF or BBY’s responses thereto.

Mr. Jensen lacks qualifications and/or methodological reliability to constitute appropriate “expert” testimony in this action. See BBY’s Finding of Fact Arg.VII.

112. Lars Jensen testified as to OOCL: “After the first three months [of the pandemic] when the market began to go up, then it was not a matter of voluntary blank sailing. Those were forced by operational constraints.” APP 1089 (Jensen Tr. 371:12-21).

RESPONSE: Admitted that Mr. Jensen testified as quoted, but otherwise denied. As stated in BBY’s response to OOCL’s RPFF 40, for the purpose of clarity, BBY denies each instance wherein OOCL uses “blank sailings” without specific definition in a manner material to the PFF or BBY’s responses thereto. Mr. Jensen lacks qualifications and/or methodological reliability to constitute appropriate “expert” testimony in this action. See BBY’s Finding of Fact Arg.VII.

113. Container vessel capacity during the pandemic was adversely affected by wait times at U.S. discharge ports so that they could not complete the return journey back to Asia in time for the next scheduled port call. APP 1047 (Jensen Tr. 202:7-19).

RESPONSE: Denied. Mr. Jensen’s testimony was hypothetical. Mr. Jensen lacks qualifications and/or methodological reliability to constitute appropriate “expert” testimony in this action. See BBY’s Finding of Fact Arg.VII.

114. Lars Jensen testified: “There was nothing to suggest any link between the carriers’ voluntary action to blank sailings and development in the spot rates.” APP 1042 (Jensen Tr. 183:21-25).

RESPONSE: Admitted that Mr. Jensen testified as stated, but otherwise denied. As stated in BBY’s response to OOCL’s RPFF 40, for the purpose of clarity, BBY denies each instance wherein OOCL uses “blank sailings” without specific definition in a manner material to the PFF or BBY’s responses thereto. The proposed finding misstates and mischaracterizes the record. Mr. Jensen was testifying about the period before the COVID-19 pandemic. Jensen Dep. Tr. 183:21-25 (“This is also an element I looked through also before the pandemic. There was nothing to suggest any link whatsoever between the carriers’ voluntary actions to blank sailings and any development in the spot rates.”) [APP-1042]. Mr. Jensen lacks qualifications and/or methodological reliability to constitute appropriate “expert” testimony in this action. See BBY’s Finding of Fact Arg.VII.

115. Carriers were busy trying to put more vessels into the Trans-Pacific, not reducing the number of vessels operating there. APP 1044 (Jensen Tr. 190:10-14).

RESPONSE: Admitted that Mr. Jensen testified that in September 2020, “carriers were busy trying to put more vessels into the Trans-Pacific, not to reduce the number of vessels operating there.” Jensen Dep. Tr. 190:10-14 [APP-1044], but otherwise denied. Mr. Jensen lacks qualifications and/or methodological reliability to constitute appropriate “expert” testimony in this action. *See* BBY’s Finding of Fact Arg.VII.

2021: Increasing Demand and Increasing Congestion

116. In 2021, some ports in China were closed due to COVID outbreaks. APP 1089 (Jensen Tr. 371:23-372:10).

RESPONSE: Denied. The proposed finding is overbroad. Mr. Jensen lacks qualifications and/or methodological reliability to constitute appropriate “expert” testimony in this action. *See* BBY’s Finding of Fact Arg.VII.

117. In 2021, Ningbo and Yantian closed for several weeks, which made it impossible to deliver empty equipment there, which in turn resulted in shortages of equipment for Chinese factories to load at origin. APP 1051 (Jensen Tr. 219:9-220:14).

RESPONSE: Denied. The proposed finding contains multiple factual propositions and thus contravenes the Presiding Officer’s Scheduling Order. (Dkt. 12 (June 8, 2023) Mr. Jensen’s testimony does not support the proposed finding, as he merely confirmed that the deposition “mentioned the shutdowns of Yantian and Ningbo ports, as well as the more broad-based closings of Chinese factories in the pandemic.” APP 1051 (Jensen Tr. 219:9-220:14). Mr. Jensen lacks qualifications and/or methodological reliability to constitute appropriate “expert” testimony in this action. *See* BBY’s Finding of Fact Arg.VII.

118. In 2021, UNCTAD reported, “At the beginning of 2021, order levels for container ships were similar to those in 2018.... Since early 2021, however, there has been a surge of new orders. As world trade gradually recovered during the second half of 2020 and the first half of 2021, demand for ships increased – responding to severe fleet capacity constraints and the uptick in freight rates. In the first half of 2021, newbuild investment was at its highest since the first half of 2014 (Bak, 2021), with record-breaking orders for container ships – almost eight times those in the first half of 2020. New building orders were spearheaded by those for Panamax container ships (ShipInsights, 2021).” Review of Maritime Transport 2021 at 40. RX-001925.

RESPONSE: Admitted that the UN Trade and Development (UNCTAD) states as quoted, but otherwise denied. For OOCL, “no new building vessels were delivered” during 2020-2022. [APP-4441, 4642, 4846].

119. In 2021, the global fleet of containerships grew only 2.82% from 2020, from 274,973 to 281,784 DWT. United Nations Conference on Trade and Development (“UNCTAD”) Review of Maritime Transport 2021 at 31. RX-001875.

RESPONSE: Denied. RX-001875 does not support the proposed findings. For OOCL, “no new building vessels were delivered” during 2020-2022. [APP-4441, 4642, 4846]. The proposed finding misstates and mischaracterizes the record. Further, while the numerical values for DWT are correct based on the cited evidence, but the percentage growth figure (2.82%) is incorrect. The actual percentage growth is 2.48%, as shown in the table below.

Table 1 World fleet by principal vessel type, 2020–2021 (thousand dead-weight tons and percentage)					
Principal types	2020		2021		Percentage change 2021 over 2020
Bulk carriers	879 725	42.47%	913 032	42.77%	3.79%
Oil tankers	601 342	29.03%	619 148	29.00%	2.96%
Container ships	274 973	13.27%	281 784	13.20%	2.48%
Other types of ships:	238 705	11.52%	243 922	11.43%	2.19%
Offshore supply	84 049	4.06%	84 094	3.94%	0.05%
Gas carriers	73 685	3.56%	77 455	3.63%	5.12%
Chemical tankers	47 480	2.29%	48 858	2.29%	2.90%
Other/not available	25 500	1.23%	25 407	1.19%	-0.36%
Ferries and passenger ships	7 992	0.39%	8 109	0.38%	1.46%
General cargo ships	76 893	3.71%	76 754	3.60%	-0.18%
World total	2 071 638		2 134 640		3.04%

Source: UNCTAD calculations, based on data from Clarksons Research.

Note: Propelled seagoing merchant vessels of 100 tons and above; beginning-of-year figures.

120. A conventional neo-Panamax containership of 15,000 TEU can cost between \$150M and \$160M. RX-002145-53, <https://www.containerlift.co.uk/how-much-does-it-cost-to-run-a-container-ship/>

RESPONSE: Denied. The proposed finding misstates and mischaracterizes the record. The cited article, dated April 18, 2024, falls outside the relevant time period for this case and states that “New container ship prices are nearing an all-time high” as of April 18, 2024. [RX-002147].

121. A containership may take over three years from order to delivery. See, AXS Data, [Build Time for New Vessels Continues Rising](#), November 8, 2024 (available at

<https://public.axsmarine.com/blog/build-time-for-new-vessels-continues-rising>). RX-002154-59.

RESPONSE: Denied. The proposed finding misstates and mischaracterizes the record. The cited article, dated November 8, 2024, titled “Build Time for New Vessels Continues Rising,” falls outside the relevant time period for this case and states that “After 2022, . . . average delivery times are now approaching three years for Tanker vessels and 3.2 years for Container Ships.” [RX-002154].

122. In its Annual Report No. 60 (Fiscal Year 2021) (October 1, 2020-September 30, 2021)(available at: <https://www.fmc.gov/wp-content/uploads/2022/04/60thAnnualReport.pdf>)

issued on March 31, 2022, RX-002160-2238, the FMC characterized the period as follows:

“The challenges resulting largely from COVID-related supply and demand swings continued to dominate the agenda of the Federal Maritime Commission in 2021.

In Fiscal Year 2021, nearly 28 million Twenty-Foot Equivalent Units (TEUs) were imported through U.S. ports, an increase of 21% from Fiscal Year 2020 totals. If including volumes entering the United States through Canadian ports, that total grows to more than 29 million TEUs of cargo, also a 21% increase from the preceding year.

While conditions at Los Angeles and Long Beach have drawn the attention of the public, media, and government officials, container ports around the United States handled significant and often record-breaking volumes of international trade. Ports in the states of Washington, New York, New Jersey, South Carolina, Georgia, Texas, and Florida all reported historic years in terms of cargo moving over their gateways. The frequency of vessel calls and magnitude of containers arriving in the United States has far outpaced the capabilities of inland networks. Personnel, equipment, domestic surface transportation, warehouse space and infrastructure constraints have all contributed to degraded efficiency and reliability of the system which are reflected in vessels waiting to berth.

Pandemic-related impacts to the supply chain are global in scope—neither limited to the United States nor to ocean shipping— and create interrelated consequences that exacerbate the obstacles that transportation companies and workers face in moving each container from origin to destination. For example, a factory or marine terminal closure in Asia will impact U.S. surface transportation networks and retail operations. Similarly, a weather event or lack of warehousing space in the United States causes backups at U.S. ports, on the seas, and even ports in Asia. Problems in Asia and the United States have impacts in Europe, and in turn, European problems cause complications in Asia. Shippers around the world are working through the same challenges as those in the United States. The interconnected networks that move international commerce are usually beneficial, but for the past year, those linkages have meant that any problem in one area has a ripple effect on the whole system.”

RESPONSE: Admitted that the FMC Annual Report contains the quoted language.

123. “It should be noted, however, that America’s ocean transportation system, though strained by unprecedented demand, did in fact continue to function and processed and delivered record amounts of cargo even while dealing with COVID-related constraints. Despite wide-spread predictions of empty shelves and shortages of essential goods during the holiday shopping season, most Americans experienced no major disruptions thanks in large measure to shippers that altered their supply chain expectations, transportation and logistics companies that came up with innovative solutions, and tens of thousands of workers who refused to let the system fail.” FMC Annual Report No. 60 at 11.

RESPONSE: Admitted that the FMC Annual Report contains the quoted language.

124. The Federal Maritime Commission concluded that no collusive activity or illegal actions led to increases in price in 2020-2021. FF29, Final Report at 40-44.

RESPONSE: Denied. The proposed finding fails to include “an exact citation to evidence” and thus contravenes the Presiding Officer’s Scheduling Order. (Dkt. 12 (June 8, 2023)). Admitted that the Fact Finding Officer has concluded that, “although certain ocean transportation prices, especially spot prices, are disturbingly high by historical measures, those prices are exacerbated by the pandemic, an unexpected and unprecedented surge in consumer spending, particularly in the United States, and supply chain congestion, and are the product of the market forces of supply and demand.” [RX-002355]

125. “Until recently, there was a structural oversupply of maritime transport and, especially from the onset of the pandemic, ship owners had been cutting capacity. Since 2021, however, supply has lagged behind demand, leading to higher freight rates (UNCTAD, 2021a).” Review of Maritime Transport 2021 at 40. RX-001925.

RESPONSE: Denied. RX-001925 does not contain the quoted language.

126. During the pandemic, market capacity was at its limit, which meant that increasing demand caused prices to go up. APP 1060 (Jensen Tr. 256:2-16).

RESPONSE: Denied. The proposed finding contains multiple factual propositions and thus contravenes the Presiding Officer’s Scheduling Order. (Dkt. 12 (June 8, 2023)). Mr. Jensen contradicted himself in RPFF 106, which asserts that he believed “later in 2020, carriers added additional vessel capacity to service this stronger demand.” Additionally, the proposed finding seems to suggest that demand was the sole reason for the increase in prices, but as indicated in RPFF 125, “ship owners had been cutting capacity” during the pandemic, which could have caused market capacity to reach its limit and contributed to the rise in prices. Further, an increase in demand should not cause the increase of prices in guaranteed service commitments at specific quantities and at specific prices.

127. A Sea-Intelligence press release dated January 19, 2021 was titled “The ‘myth’ of nefarious blank sailings.” RX-002239-41, <https://www.sea-intelligence.com/press-room/42-blank-sailings-myth>. The press release stated,

“We can also see that briefly, the blank sailings went to zero in late summer, but since then the number of blank sailings has increased again. There was a new spike in blank sailings in late 2020, and early 2021 as well. So there has been increased in the number of blank sailings, despite the current bottleneck problems, but this does not mean that the carriers have also reduced capacity, compared to a year earlier.

As can also be seen in figure 1, the Asia-North America West Coast trade has seen a positive Y/Y capacity injection every month since July 2020. In other words, since July, the amount of capacity brought in through larger vessels and extra loaders has more than exceeded the amount of capacity removed through blank sailings. There have been periods where the growth in capacity injection was pushing 30% Y/Y, despite some sailings being blanked.

We see a similar pattern on Asia-North America East Coast, with a net positive capacity injection since July 2020, while Asia-North Europe has seen a net positive injection of capacity since August, and Asia-Mediterranean since October. The data is thus clear: The carriers have not reduced deployed capacity, despite having blanked some sailings.”

RESPONSE: Admitted only that the cited article contains the quoted provisions, but otherwise denied. As stated in BBY’s response to RPFF 40, for the purpose of clarity, BBY denies each instance wherein OOCL uses “blank sailings” without specific definition in a manner material to the PFF or BBY’s responses thereto. Additionally, the article also notes that “the number of blank sailings were extremely high during the Chinese production impact phase of the pandemic in February-March, as well as during the global spread of the pandemic in spring and early summer 2020... There have been periods where the growth in capacity injection was pushing 30% Y/Y , despite some sailings being blanked.” According to Sea Intelligence, the baseline (2020) was artificially low due to both pandemic disruptions and the extremely high number of blank sailings. RX-002239-41.

128. In March 2021, a containership blocked the Suez Canal for 6 days causing massive delays, diversions and re-deployments especially to serve the Asia-Europe trades and ensure continuity of weekly services and adequate capacity in those trade lanes. The Suez Canal blockage in March 2021 reduced effective capacity and led to additional delays. APP 1051 (Jensen Tr. 219:2-7). See also RX-002242-45; RX-002246-52, [The Importance of the Suez Canal to Global Trade - 18 April 2021 | New Zealand Ministry of Foreign Affairs and Trade](#); [In Suez Canal, Stuck Ship Is a Warning About Excessive Globalization - The New York Times](#) (“This situation has held for four months, while showing few signs of easing. Retailers in North America have been frantically restocking depleted inventories, putting a strain on shipping companies in what is normally the slack season on trans-Pacific routes. The blockage of the Suez Canal effectively sidelines more containers. The question is how long this lasts.”).

RESPONSE: Denied. The proposed finding fails to include “an exact citation to evidence” to support the assertion that “In March 2021, a containership blocked the Suez Canal for 6 days causing massive delays, diversions and re-deployments especially to serve the Asia-Europe trades and ensure continuity of weekly services and adequate capacity in those trade lanes.” The proposed finding contains multiple factual propositions and thus contravenes the Presiding Officer’s Scheduling Order. (Dkt. 12 (June 8, 2023)). The proposed finding uses the term “effective capacity” without specific definition in a manner material to the RPFF or BBY’s responses thereto.

129. It was only after the Suez Canal was blocked in March 2021, that freight rates in all international trades (including the U.S. Trans-Pacific) started to increase. APP 1048 (Jensen Tr. 207:10-15); APP 1059 (Jensen Tr. 252:14-253:11).

RESPONSE: Denied. The proposed finding contradicts OOCL’s own record, which states that “[r]evenue for 2020 was US\$1,312.6 million better than that of 2019, representing an increase of 19%. This increase in revenue is attributed to an increase in both higher freight rates and liftings for the core Container Transport and Logistics business.” [APP-4454]. Mr. Jensen lacks qualifications and/or methodological reliability to constitute appropriate “expert” testimony in this action. See BBY’s Finding of Fact Arg.VII.

130. In May, 2021, Sea-Intelligence reported, “As is well known in the market, there is currently a shortage of vessel capacity driven by a variety of factors, such as port congestion, vessel

crew with Covid, vessels struck with engine malfunctions, etc., all of which implies that at least a part of the blank sailings presently are the result of operational necessity – there is simply no other choice when a vessel is unavailable, and no replacement can be had.” RX-002253-55, <https://www.sea-intelligence.com/press-room/65-919-blank-sailings-on-transpacific-and-asia-europe>.

RESPONSE: Admitted that the article contains the quoted language, but the article also observes that “the carriers have made (and announced) 919 blank sailings on Transpacific and Asia-Europe throughout this period. In early 2020, there was a spike in blank sailings announcements. . . This was followed by an additional two spikes in May and August”. [RX-002253].

131. On June 8, 2021, Sea-Intelligence reported, “approximately 25% of the capacity deployed on Transpacific in January-April 2021 has been soaked up by vessel delays.” RX-002256-58, <https://www.sea-intelligence.com/press-room/72-vessel-delays-equal-the-removal-of-all-ulcvs-from-the-market>.

RESPONSE: Admitted that the article contains the quoted language.

132. In July 2021, in response to an Executive Order on Promoting Competition in the American Economy (E.O. 14036), the FMC and the Department of Justice signed a Memorandum of Understanding establishing a partnership between the FMC and the Antitrust Division, creating a formal mechanism to facilitate information exchange between the attorneys, economists, and technical experts at each agency. This exchange included increased FMC involvement in reviewing Hart-Scott-Rodino pre-merger notification filings. *Memorandum of Understanding between the Federal Maritime Commission and the Antitrust Division Department of Justice Relative To Cooperation with Respect to Promoting Competitive Conditions in the U.S. International Ocean Liner Shipping Industry* (July 12, 2021) (Press Release announcing the MOU

available at <https://www.justice.gov/opa/pr/justice-department-and-federal-maritime-commission-sign-memorandum-understanding-support>). RX-002259-62.

RESPONSE: Denied. The proposed finding contains multiple factual propositions and thus contravenes the Presiding Officer’s Scheduling Order. (Dkt. 12 (June 8, 2023).

133. Schedule reliability recorded another all-time low in August 2021. RX-002263-65, <https://www.sea-intelligence.com/press-room/97-schedule-reliability-drops-to-all-time-low-33-6-in-august-2021>.

RESPONSE: Admitted that the cited article states that schedule reliability dropped to an all-time low in August 2021.

134. Congestion was created by the sudden large surge in shipper demand for transportation services (reflecting the increased demand for the products being transported) that occurred in middle of the pandemic. APP 1089 (Jensen Tr. 370:8-371:11).

RESPONSE: Denied. The proposed finding misstates and mischaracterizes the record. Mr. Jensen was responding to a question about whether demand or congestion comes first. Mr. Jensen lacks qualifications and/or methodological reliability to constitute appropriate “expert” testimony in this action. See BBBY’s Finding of Fact Arg.VII.

135. The White House appointed John Porcari as national “Port Envoy” on August 27, 2021; Mr. Pocari was charged with addressing congestion at U.S. ports. RX-002266-68, [White House, U.S. Department of Transportation Appoint Port Envoy to Address Supply Chain Disruptions | US Department of Transportation](#). The root cause was the excessive volume of containers at U.S. terminals. APP 435-36 (Devine Tr. 93:8-94:25).

RESPONSE: Admitted that the White House appointed John Porcari as national “Port Envoy” to address supply chain disruptions, but otherwise denied. The proposed finding contains multiple factual propositions and thus contravenes the Presiding Officer’s Scheduling Order. (Dkt. 12 (June 8, 2023). The proposed finding contradicts RPFF 134, which states that demand is the cause of congestion. Admitted that the White House appointed John Porcari as national “Port Envoy” to address supply chain disruptions.

136. Freight rates in the U.S. Trans-Pacific trade (i.e., Asia to the U.S. West Coast) increased from late August 2021 until October 2021; in October, 2021 rates stopped increasing (i.e., “flat-lined.”). APP 1048 (Jensen Tr. 206:20-207:9).

RESPONSE: Denied. Mr. Jensen’s testimony contradicts OOCL’s own record, which states that “As we move into the second half of 2021 and 2022, supply chain challenges will continue to intensify due to the unprecedented demand growth for goods. This high sustained consumer demand coupled with extraordinary global circumstances (COVID-19, weather, ocean vessel accidents, labor shortages) has pushed infrastructure to its limits and driven transportation rates for both ocean containers and air freight rates to historical highs.” [APP-4148]. Mr. Jensen lacks qualifications and/or methodological reliability to constitute appropriate “expert” testimony in this action. *See* BBY’s Finding of Fact Arg.VII.

2022: Continued Instability in Supply and Demand

137. In February 2022, the FMC and Department of Justice announced a deeper level of cooperation. RX-002266-68, <https://www.justice.gov/opa/pr/justice-department-and-federal-maritime-commission-reaffirm-and-strengthen-partnership>.

RESPONSE: Admitted.

138. In its Annual Report No. 61 (Fiscal Year 2022)(October 2021-September 2022) (available at: <https://www.fmc.gov/wp-content/uploads/2023/04/61stAnnualReport.pdf>), issued on March 31, 2022, RX-002273-2349, the FMC found:

“The two most significant developments in Fiscal Year (FY) 2022 affecting the Federal Maritime Commission and the users of container shipping services were the enactment of the Ocean Shipping Reform Act of 2022 (OSRA 2022) and the continuous fluctuation of conditions causing global supply chain congestion.

In the second half of calendar year 2022 [July 2022-December 2022], U.S. consumer demand shifted from goods to services, leading to a drop in import volumes. This return to cargo volumes more consistent with pre-pandemic trade patterns provided the supply chain the opportunity needed to begin its recovery. The U.S. domestic transportation and warehousing networks and infrastructure that serve international trade, while still largely at capacity, are no longer overwhelmed at critical levels of containerized freight. It became easier to find chassis, secure rail and trucking

transportation, and identify warehouse space to accept shipments. As capacity and velocity throughout the system improved, the cost to ship a container quickly plummeted from historic highs to levels typical of the pre-pandemic norm.

[...]

The root causes of pandemic related supply chain congestion and disruption were many, complex, interconnected, and global in nature. Historic demand for imported items that had to be moved via a system that was disrupted at every step and stop around the world led to higher transportation prices, reduced reliability, and diminished performance.”

FMC Annual Report No. 61 at 9.

RESPONSE: Admitted that FMC Annual Report contains the quoted language, but otherwise denied. The proposed finding misleadingly selects partial quotes from the record by omitting that “Investigations have continued into allegations made against carriers. Formal cases brought during the height of the pandemic continue to be adjudicated by the Office of the Administrative Law Judges. The FMC enforcement bureau remains vigilant in addressing questionable fees and surcharges. Identifying ways to assist exporters to reach overseas markets remains a priority, as does the work to reinvigorate the Commission’s enforcement and compliance programs.” [RX-002285]

139. In her Final Report in Fact Finding Investigation No. 29, FMC Commissioner Rebecca F. Dye, the Fact-Finding Officer in that proceeding, made the following findings:

[T]he Fact Finding Officer has concluded that, using established antitrust analytical tools also used by our sister competition agencies (the Department of Justice and the Federal Trade Commission) - and notwithstanding certain misconceptions - the current market for ocean liner services in the Trans-Pacific trade is not concentrated. Competition among ocean common carriers, among the three major alliances and among members in each of these alliances, is vigorous. The market for ocean services remains highly contestable, particularly in the Trans-Pacific trade. Finally, the Fact Finding Officer concludes that although certain ocean transportation prices, especially spot prices, are disturbingly high by historical measures, those prices are exacerbated by the pandemic, an unexpected and unprecedented surge in consumer spending, particularly in the United States, and supply chain congestion, and are the product of the market forces of supply and demand.

RX-002350-2414, FactFinding29FinalReport.pdf, p. 6.

RESPONSE: Admitted that the Final Report contains the cited language, but otherwise denied. The proposed finding addresses issues of “concentration” and thus constitutes an inappropriate proposed conclusion of law.

140. Attesting to this competitive environment, new ocean common carriers entered the U.S.-transpacific trades in 2020-2022. RX-002415-609, [Review of Maritime Transport 2022](#), pp.

140-41.

RESPONSE: Denied. The proposed finding does not attest to a competitive environment and provides substantial evidence of an anticompetitive environment. The statement is generally supported by the provided text, confirming that new entrants did emerge during the period due to high freight rates and demand, causing shifts in market share: *“If freight rates and profits on a liner (container) shipping route are exorbitant, other carriers will be tempted to redeploy ships to that market. Thus, the surge in demand in the US attracted new carriers to the Far East-North America direct trade lane... Other new entries come from high-volume shippers, such as IKEA, Wal-Mart or Amazon.”* Contrary to the proposed report, the UNCTAD report specifically notes the anticompetitive effects of increased consolidation in the shipping industry:

If providers are integrated both horizontally and vertically, this will limit the choices for shippers. After Maersk purchased Hamburg Süd, for example, services that previously went to Buenos Aires in Argentina and Callao in Peru to terminals operated by independent operators such as Dubai Ports, were switched to terminals operated by APM Terminals, which belongs to the same group as Maersk. The acquisition of Hamburg Süd by Maersk not only reduced the choice of shipping lines, it also limited the choice of terminals. Smaller economies, and especially island economies without extensive hinterlands, may not have sufficient volume to justify more than one terminal or attract more than one operator. To avoid monopolistic pricing the government may need to strengthen regulation.

UNCTAD, *Review of Maritime Transport 2022*, https://unctad.org/system/files/official-document/rmt2022_en.pdf, at 140.

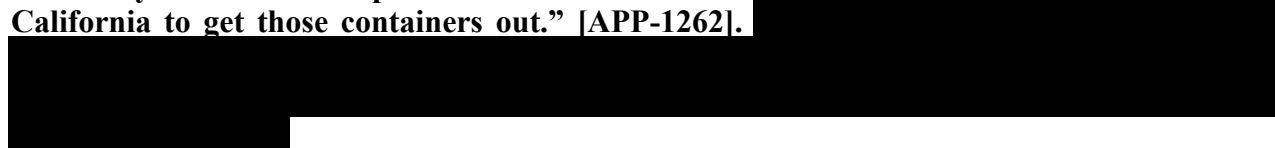
Admitted that the cited evidence states that “the surge in demand in the US attracted new carrier to the Far East-North America direct line”, without identifying any such new carriers, and also reports that the combined market share for CMA CGM and COSCO fell by a mere three points between 2020 and 2022 (a finding that presumably pertained to the Far East-North America trade lanes) and stated that CMA CGM and COSCO’s combined market share actually *increased* by two points on the Far East-North Europe & Mediterranean route between 2021 and 2022 *Id.* at 140-141. As to new carriers, the cited UNCTAD report also noted, “Nevertheless, establishing a new service is not easy; it means providing several ships calling at a range of ports and is thus capital-intensive”. *Id.* at 140

141. Beneficial cargo owners (“BCOs”) importing cargo into the U.S. also chartered entire vessels to carry cargo from Asia to the United States in 2020-2022, choosing not to rely on ocean common carriers. RX-002415-609, [Review of Maritime Transport 2022](#), p. 141.

RESPONSE: Admitted that the proposed finding cites to an UNCTAD report stating that “IKEA, Wal-Mart or Amazon” began chartering smaller container ships during periods of high congestion. But denied that these BCOs “chose” not to rely on ocean common carriers. What happened, certainly in the case of BBY, was that BCOs could not rely upon carriers to fulfill the carriers’ service commitments. Indeed, BBY, analogous to the BCOs mentioned in the cited report, also was forced to secure space on a charter when it was unable to obtain its contracted-for space on OOCL’s ships. (See BBY’s Finding of Fact 261.)

142. The ocean carriers were receiving pressure from the White House Envoy to clear the ports of long dwell containers; BBY had large amounts of cargo that it did not timely remove from the marine terminals. APP 1854 (Murdoch Tr. 212:23-213:22).

RESPONSE: Denied. BBY went to extreme effort and expense to move long-dwelling freight, including transshipping containers to inland facilities for processing because there was not adequate service in the vicinity of OOCL’s terminals to move the containers any other way. Klosowsky Dep Tr. 105:7-19 (“But eventually, we did secure a train, we got those containers moved off the port, put on a train and then moved on a train, on a container service to Dallas where ultimately we worked all of the freight off of those containers, but that was -- we were -- that was a response to trying to move the containers that were essentially locked at the port because there wasn’t adequate service locally in southern California to get those containers out.” [APP-1262]).



143. During the pandemic, carrier schedule reliability dropped to the lowest levels ever, and schedule reliability in the U.S.- Trans-Pacific trade was probably the worst, especially through the U.S. West Coast. APP 1045-46 (Jensen Tr. 197:8-198:9). On time is within one calendar day of promised arrival. APP 1046 (Jensen Tr. 198:10-14).

RESPONSE: Denied. The proposed finding contains multiple factual propositions and thus contravenes the Presiding Officer’s Scheduling Order. (Dkt. 12 (June 8, 2023)). The proposed finding misstates and mischaracterizes the record. Mr. Jensen testified that the reliability ratings of container lines in the Trans-Pacific Trade during the COVID pandemic dropped to the lowest levels ever but did not specifically mention schedule reliability or the U.S. West

Coast. Additionally, denied that Mr. Jensen’s characterization of “on time” as being “within plus/minus one calendar day of what was promised” reflects the industry understanding or any commonly used methodology. Mr. Jensen lacks qualifications and/or methodological reliability to constitute appropriate “expert” testimony in this action. *See* BBY’s Finding of Fact Arg.VII.

144. In terms of schedule reliability during the pandemic, OOCL did not stand out as good or bad. APP 1046 (Jensen Tr. 198:24-199:5).

RESPONSE: Denied. The proposed finding misstates and mischaracterizes the record. Mr. Jensen “cannot recollect OOCL specifically”. APP 1046 (Jensen Tr. 198:24-199:5). Mr. Jensen lacks qualifications and/or methodological reliability to constitute appropriate “expert” testimony in this action. *See* BBY’s Finding of Fact Arg.VII.

145. The causes for schedule unreliability was ports on the U.S. West Coast, especially the Ports of Los Angeles and Long Beach, inability to handle the massive increase in container flows; the limiting factor was U.S. importers failing to pick up their containers. APP 1046 (Jensen Tr. 199:6-200:25).

RESPONSE: Admitted that port and rail congestion impacted all BCOs, including BBY, from 2020 through 2022 in picking up containers from destination ports, but otherwise denied. The proposed finding misstates and mischaracterizes the record. Mr. Jensen continued: “[The decisions of the ocean carriers to add more vessels and extra loaders to those lanes] would have added more demand flow into the port, of course, and be a contributing factor to the congestion.” Jensen Dep. Tr. 200:2-9 [APP-1046]. Mr. Jensen lacks qualifications and/or methodological reliability to constitute appropriate “expert” testimony in this action. *See* BBY’s Finding of Fact Arg.VII.

146. While the Ports of LA/LB experienced port congestion driven by high consumer demand and the flood of containers ordered by shippers, including BBY, that led to delays for various carriers to unload their cargo and for shippers to pick up same from those marine terminals, OOCL, which had priority berthing rights at the Long Beach Container Terminal (LBCT), was able to offload its containers with little or no delays. APP 436 (Devine Tr. 94:7-7-25; who testified: “And OOCL is a major player in Southern California. And, in fact, you can look into the records, but not a single OOCL ship destined for LBCT sat at anchor. And LBCT, Long Beach

Container Terminal, outperformed the industry in a big way in the pandemic, in collaboration with BNSF Railway.”); APP 1724; 1749; 1761 (Mitchell Tr. 189:12-17; 289:12-21; 336:2-22 (OOCL’s ships were not delayed in reaching berth at LBCT; they were going right to the berth)); APP 1818 (Murdoch Tr. 66:10-11).

RESPONSE: Admitted that port congestion led to delays for shippers to pick up containers from marine terminals, but otherwise denied. The proposed finding contains multiple factual propositions and thus contravenes the Presiding Officer’s Scheduling Order. (Dkt. 12 (June 8, 2023)). During the relevant time period, BBY was never made aware of the asserted priority berthing rights at LBCT. Klosowsky Dep. Tr. 152:5-11 (“Q. Were you aware that OOCL was an anchor tenant at LBCT in Long Beach such that its vessels went straight to the berth and did not have to wait offshore? A. I don’t—I did not know that.”) [APP-1274]; (APP 2135, Porter Tr. 68:7-13: “Q. Were you aware that OOCL had berthing rights such that its vessels were not delayed getting into Southern California and they would go directly to the berth? A. No, I’m not aware of anything like that.”); (Soban APP 2443, Tr. 51:23-52:4: “Q. And are you aware of the fact that OOCL vessels were not delayed at anchor in Southern California because they went directly to berth at LBCT? A. No.”). Further, if OOCL’s ships were not delayed at anchor, this contradicts OOCL’s other proposed facts that delays in berthing led to vessel delays and the need to blank sailings and to the limitation on OOCL vessel availability.

147. Despite BBY’s allegation that OOCL had a OOCL “had a ‘no empty in’ / ‘dual appointment’ / ‘dual transaction’ restriction for containers at the port of Los Angeles/Long Beach,” OOCL imposed no such restrictions. OOCL did not own or operate the marine terminal at which it brought in ships in Southern California (LBCT) during the years at issue. [OOCL To Sell 100% Of Long Beach Container Terminal For US\\$ 1.78 Billion.](#)

RESPONSE: Admitted that the cited article states that OOIL’s wholly-owned subsidiaries, OOCL LLC and Long Beach Container Terminal, Inc., divested its 100% ownership stake in LBCT LLC (the operator of the Long Beach Container Terminal in the Port of Long Beach) to a consortium, pursuant to a “National Security Agreement” with U.S. authorities, and that this sale was announced in April of 2019. While OOCL’s parent company thus lost ownership of the terminal, the cited article confirms that OOCL retained a significant interest in the terminal through a 20-year Container Stevedoring and Terminal Services Agreement.

[REDACTED]

RESPONSE: Admitted that [REDACTED]

[REDACTED] but denied otherwise. The proposed finding fails to include “an exact citation to evidence” to support the assertion that [REDACTED]

[REDACTED] and thus contravenes the Presiding Officer’s Scheduling Order. (Dkt. 12 (June 8, 2023).)”.

149. Because the ports were already above their capacity to handle cargo, it would not have helped for carriers to add vessel capacity in the U.S. Trans-Pacific trade, as that would have added more demand flow into the ports and only have further added to congestion. APP 1046 (Jensen Tr. 201:2-9).

RESPONSE: Denied. The proposed finding contradicts RPFF 106, which asserts that carriers added additional vessel capacity.

150. The reasons for blank sailings and high schedule unreliability were the delays in handling the vessels at U.S. ports, which vessels could not then return timely to Asia. APP 1048-47 (Jensen Tr. 201:10-202:19); see RPFF 64.

RESPONSE: Denied. The proposed finding contains multiple factual propositions and thus contravenes the Presiding Officer’s Scheduling Order. (Dkt. 12 (June 8, 2023)). As stated in BBY’s response to OOCL’s RPFF 40, for the purpose of clarity, BBY denies each instance wherein OOCL uses “blank sailings” without specific definition in a manner material to the PFF or BBY’s responses thereto. The proposed finding of fact also contradicts RPFF 145 which states that OOCL did not face delays in berthing. Further, contrary to the proposed finding’s overbroad assertion that delays in handling vessels at U.S ports *were* the reason for blank sailings, OOCL’s own employees testified that blank sailings occurred for a number of reasons, including:

- **OOCL intentionally planning a blank sailing. (See BBY’s Finding of Fact 188.3.)**
- **Mechanical issues on ships. (See BBY’s Finding of Facts 188.3-188.4.)**
- **OOCL’s ordering a blank sailing in order to operate more profitably—i.e., if a ship could not secure an amount of cargo to justify the costs of the voyage from OOCL’s perspective. (See BBY’s Finding of Facts 188.7.)**

151. Late summer, early fall, operational constraints caused carriers to blank sailings.

APP 1033, 1089 (Jensen Tr. 147:19-148:3; 371:12-21).

RESPONSE: Denied. As stated in BBY's response to OOCL's RPF 40, for the purpose of clarity, BBY denies each instance wherein OOCL uses "blank sailings" without specific definition in a manner material to the PFF or BBY's responses thereto. Mr. Jensen lacks qualifications and/or methodological reliability to constitute appropriate "expert" testimony in this action. *See BBY's Finding of Fact Arg.VII.*

152. There is no data in the record demonstrating how many containers that BBY delivered to OOCL were rolled by OOCL. APP 1047 (Jensen Tr. 203:5-16).

RESPONSE: Denied. The proposed finding uses "rolled" without specific definition in a manner material to the PFF or BBY's responses thereto. The proposed finding misstates and mischaracterizes the record. Mr. Jensen simply testified that he had no knowledge of whether a booking was moved to the planned vessel or a subsequent vessel. Mr. Jensen lacks qualifications and/or methodological reliability to constitute appropriate "expert" testimony in this action. *See BBY's Finding of Fact Arg.VII.*

153. Carriers quite simply needed more containers than they usually would need because ships were sitting at sea for longer. APP 1051 (Jensen Tr. 219:21-25).

RESPONSE: Denied. Because OOCL's ships were all sailing full, there were enough containers to fill its ships at all times. (*See BBY's Finding of Fact 362.*) Further, the proposed finding did not specify the time period for the proposed findings of fact in a manner material to the PFF or BBY's responses thereto. As to the cited evidence, Mr. Jensen lacks qualifications and/or methodological reliability to constitute appropriate "expert" testimony in this action. *See BBY's Finding of Fact Arg.VII.*

154. The root causes for persist constraints on vessel capacity included port congestion, and the attendant delays. 14% of the global container fleet was thereby rendered unavailable. APP 1056 (Jensen Tr. 239:2-13).

RESPONSE: Denied. The proposed finding contains multiple factual propositions and thus contravenes the Presiding Officer's Scheduling Order. (Dkt. 12 (June 8, 2023). The question presented was "What are the root causes, in your view, for the persistence of the constraints on capacity that have given the carriers this ability to adjust prices so much higher so much faster?" To which Mr. Jensen responded: "The root causes, as we have touched upon already, is massive port congestion leading to massive delays taking capacity out. During the absolute peak of the pandemic disruptions, almost 14 percent of the global fleet was rendered unavailable due to lying in wait." Mr. Jensen lacks qualifications and/or methodological reliability to constitute appropriate "expert" testimony in this action. *See BBY's Finding of Fact Arg.VII.*

155. By comparison, the effective capacity of the global fleet is currently down by 7% due to congestion. APP 1056 (Jensen Tr. 240:2-241:10).

RESPONSE: Denied. OOCL uses “effective capacity” without specific definition in a manner material to the PFF or BBY’s responses thereto. Mr. Jensen simply testified: “Right now, the latest measurements are 7 percent of the global fleet is unavailable due to congestion.” Mr. Jensen lacks qualifications and/or methodological reliability to constitute appropriate “expert” testimony in this action. See BBY’s Finding of Fact Arg.VII.

156. The effects of supply and demand on freight rates are also clear in the post-pandemic era. In 2023, when danger in the Red Sea and related threats caused carriers to disregard the Suez Canal and take the longer route, going around the continent of Africa, thus causing a similar reduction in the effective capacity of the global fleet as had been caused with the port congestion and disruptions in the pandemic era. In 2024, demand increased 30% compared to 2023, but because of the additional capacity that was required due to the Red Sea crisis, reductions in freight rates were mitigated because of the severe overcapacity that had existed at the end of 2023. APP 1056 (Jensen Tr. 240:2-241:10).

RESPONSE: The proposed finding contains multiple factual propositions and thus contravenes the Presiding Officer’s Scheduling Order. (Dkt. 12 (June 8, 2023)). The proposed finding fails to include “an exact citation to evidence” and thus contravenes the Presiding Officer’s Scheduling Order. (Dkt. 12 (June 8, 2023).)” The proposed finding misstates and mischaracterizes the evidence cited. Instead of “reductions in freight rates were mitigated”, Mr. Jensen agreed that carriers were able “to raise rates as *high and as fast* . . . during the Red Sea crisis.” Jensen Dep. Tr. 240:2-241:10 (emphasis added) [APP-1056]. Mr. Jensen lacks qualifications and/or methodological reliability to constitute appropriate “expert” testimony in this action. See BBY’s Finding of Fact Arg.VII.

157. The effect of a longer supply chain is to temporarily increase demand; this will only occur until inventory levels are up. APP 1060 (Jensen Tr. 254:4-255:12).

RESPONSE: Denied. Mr. Jensen’s testimony was hypothetical, and he stated that even if inventory levels were up, if reliability continued to deteriorate or if freight continued to be rolled and not shipped, he expected a continued increase in demand. Jensen Dep. Tr. 254:21-255:12. Mr. Jensen lacks qualifications and/or methodological reliability to constitute appropriate “expert” testimony in this action. See BBY’s Finding of Fact Arg.VII.

158. In 2023, carrier capacity management did not work to prevent rates from declining to 2019 levels. APP 1062 (Jensen Tr. 262:3-17).

RESPONSE: Denied. Mr. Jensen confirmed that voluntarily limiting capacity prevented a sharp decline in rates in 2020 but did not prevent a decline in rates in 2023. APP 1062 (Jensen Tr. 262:3-17). Mr. Jensen lacks qualifications and/or methodological reliability to constitute appropriate “expert” testimony in this action. See BBY’s Finding of Fact Arg.VII.

159. Higher ocean freight rates incentivize carriers to reallocate ships from other trades. APP 1062 (Jensen Tr. 264:5-12).

RESPONSE: Admitted, except that Mr. Jensen also confirmed that the incentive for carriers to reallocate capacity to expensive but highly congested routes is only effective in changing their behavior if they are actually able to obtain market rates or close to market rates for the freight on those routes. Jensen Dep. Tr. 264:5-12 [APP-1062]. Mr. Jensen lacks qualifications and/or methodological reliability to constitute appropriate “expert” testimony in this action. See BBY’s Finding of Fact Arg.VII.

160. It is industry practice of both shippers and carriers to amend the MQC at the end of the contract term down to the amount actually carried. APP 1017-18 (Jensen Tr. 85:10-86:7).

RESPONSE: Admitted that prior to the pandemic it was common to enter into “drawdown” amendments but otherwise denied. The proposed finding misstates and mischaracterizes Mr. Jensen’s testimony. Mr. Jensen’s belief regarding service contracts is that they are not enforceable (Jensen Dep. Tr. 374:15-17 [APP-1090]) or are subject to frequent renegotiation, with carriers and shippers routinely adjusting terms, including MQCs, based on market conditions rather than strict contractual obligations. Jensen Dep. Tr. 87:11-88:20 (“wouldn’t say to match what’s actually shipped” but “There is a running and constant conversation between the carrier and the shipper during the year to align. And this is also why most contracts tend to have multiple amendments over the 12 months because the market is almost never stable enough. And the more volatile the market is, the larger amendments were typically see. And this is typically a well-understood process from both sides.”) [APP-1018]. Mr. Jensen lacks qualifications and/or methodological reliability to constitute appropriate “expert” testimony in this action. See BBY’s Finding of Fact Arg.VII.

161. The benefit to BBY resulting from the mutually agreed amendment to the BBY-OOCL contract MQC at the end of the contract term was that it protected BBY against any claim for “deadfreight” (i.e., liquidated damages for not tendering the cargo it promised to tender under the contract). [REDACTED]

[REDACTED] This put BBY in a better position than it may otherwise have been.

RESPONSE: Denied. The proposed finding addresses issues concerning whether the amendments to the BBY-OOCL service contracts were mutually agreed upon and the applicability of liquidated damages, and thus constitutes an inappropriate proposed conclusion of law.

162. The effect of an annual service contract is typically that rate increases are less severe as they are on the spot market in part because the shipper already has a relationship with the carrier. APP 1070 (Jensen Tr. 297:4-25).

RESPONSE: Denied. Mr. Jensen contradicts himself in his own deposition by stating that annual service contracts are unenforceable and frequently amended based on substantial market changes: “That is the nature of how the unenforceable contracts work. This is what I’ve been trying to outline here today. When you have an annual contract, you always end up with amendments, and those amendments would typically be rates adjusted either up or down if the market changes substantially.” Jensen Dep. Tr. 296:2-9 [APP-1070]. Mr. Jensen lacks qualifications and/or methodological reliability to constitute appropriate “expert” testimony in this action. *See* BBY’s Finding of Fact Arg.VII. Contrary to the proposed fact, the effect of an annual service contract is that the carrier’s service commitment guarantees a certain quantity of cargo at a fixed price.

163. Shippers who already have a contract with a carrier are better off because that is the basis upon which future negotiations begin. Such shippers already have a space allocation with that carrier, which puts them in a better place than those who do not. APP 1070 (Jensen Tr. 297:4-25).

RESPONSE: Denied. The proposed finding misstates and mischaracterizes Mr. Jensen’s testimony. Mr. Jensen testified that there is “a huge benefit” to having a contract with a carrier in place because it “put[s] you in a much better position than if you do not have a relationship with that carrier and have to go to the spot market”. Jensen Dep. Tr. 297:17-25 [APP-1070]. However, he contradicts himself in the same deposition by stating that annual service contracts are unenforceable and frequently amended based on substantial market changes: “That is the nature of how the unenforceable contracts work. This is what I’ve been trying to outline here today. When you have an annual contract, you always end up with amendments, and those amendments would typically be rates adjusted either up or down if the market changes substantially.” Jensen Dep. Tr. 296:2-9 [APP-1070]. Mr. Jensen lacks qualifications and/or methodological reliability to constitute appropriate “expert” testimony in this action. *See* BBY’s Finding of Fact Arg.VII. Contrary to the proposed fact, the effect of an annual service contract is that the carrier’s service commitment guarantees a certain quantity of cargo at a fixed price.

164. During the pandemic (2020-2022), spot market rates reached heights of \$20,000 per FEU. APP 1071 (Jensen Tr. 299:22-300:2).

RESPONSE: Denied. The proposed finding misstates and mischaracterizes the record. Mr. Jensen was testifying about an article titled “Extreme container rates can push shippers into bankruptcy” by ShippingWatch, dated October 19, 2021, which states: “According to Sea-Intelligence, ocean freight is currently upwards of USD 20,000 more expensive when using the spot market rate rather than having fixed freight deals with a container carrier.” Ex. 425 [APP-4088]. Mr. Jensen lacks qualifications and/or methodological reliability to constitute appropriate “expert” testimony in this action. *See* BBY’s Finding of Fact Arg.VII.

165. But even at the top, BBY paid much less than \$20,000 per FEU. APP 1071 (Jensen Tr. 300:4-301:7).

RESPONSE: Denied. The proposed finding misstates and mischaracterizes the record. Mr. Jensen admits that “That would be mathematically correct” in response to the statement that “the amendments and the PSS and the premium charges all resulted in Bed Bath paying much closer to spot prices than it would have had it been able to rely on OOCL to fulfill the original contract price.” Jensen Dep. Tr. 300: 13-301:7 [APP-1071]. He also confirmed that at the time he made the comments published in the article in October 2021, he had not yet reviewed the actual facts concerning OOCL’s services to BBY. Jensen Dep. Tr. 301:12-18 [APP-1071]. Mr. Jensen lacks qualifications and/or methodological reliability to constitute appropriate “expert” testimony in this action. *See* BBY’s Finding of Fact Arg.VII.

166. Rate increases agreed to by BBY and reflected in amendments to service contracts were substantially less than concurrent increases in the spot market rates offered by NVOCCs. APP 1056 (Jensen Tr. 240:2-241:10); see also APP 1398 (K. Lam Tr. 238:14-239:8) (“My understanding of the premium rate that we offered to the customers were much lower than the rate offered by NVO to other customers. Talking about four digits higher.”).

RESPONSE: Admitted that Ms. Lam testified as quoted, otherwise denied. The proposed finding misstates and mischaracterizes the record. Mr. Jensen was testifying about how carriers were able to raise rates high and fast during the Red Sea crisis in 2024. Jensen Dep. Tr. 240:2-241:10 [APP-1056]. Mr. Jensen lacks qualifications and/or methodological reliability to constitute appropriate “expert” testimony in this action. *See* BBY’s Finding of Fact Arg.VII. The proposed finding confirms that OOCL offered premium rates in negotiations to amend the service contracts.

167. To accommodate the spiking demand, in January 2021, OOCL purchased an additional 500 TEUs on a voyage of an alliance partner's vessel (COSCO Japan, also known as "SC2 CJP") ("extra loader") and made 400 TEUs of that space available through its Traffic Control Region ("TCR"). APP 3024-25 (Ex. 31, Thomas Schmiemann email dated January 21, 2021 at 8:09 AM).

RESPONSE: Denied. The proposed finding misstates and mischaracterizes the record.

By January 2021, there were significant backlogs on BBY's orders due to "space constraints from the carriers", including OOCL. See Jacobus Dep. Ex. 265 at P-0000224001 [APP-3332]; Jacobus Dep. Tr. 58:8-59:4 [APP-943].

168. OOCL offered space to BBY that BBY declined to take. APP 1073-74 (Jensen Tr. 309:07-310:9).

RESPONSE: Denied. The proposed fact relies on self-serving analyses that lack credibility, specifically as to Lam's booking analyses. See BBY's Finding of Fact Arg.VIII.B. Mr. Jensen lacks qualifications and/or methodological reliability to constitute appropriate "expert" testimony in this action. See BBY's Finding of Fact Arg.VII. BBY contracted with numerous ocean common carriers other than OOCL in 2021 and 2022, including MSC, ZIM, LEAP, Hyundai, Yang Ming and COSCO. Pastor Tr. 47:13-48:12 [APP-1941].

169. BBY contracted with numerous ocean common carriers other than OOCL in 2021 and 2022, including MSC, ZIM, LEAP, Hyundai, Yang Ming and COSCO. APP 1941 (Pastor Tr. 47:13-48:12)

RESPONSE: Admitted.

170. BBY negotiated the rates and terms for those contracts. APP 819-20; 821; 825 (Hackett Tr. 23:4-26:24; 31:19-32:21; 48:8-15).

RESPONSE: Admitted.

171. The ocean common carriers with whom BBY contracted were COSCO, MSC, Evergreen, Yang Ming, Hyundai. RX-001119-23 (BRG0007901).

RESPONSE: Admitted that BBY had service contracts with the entities listed.

172. OOCL did not systematically make a major change between BCOs and NVOs in 2020-2022. APP 1084 (Jensen Tr. 352:22-353:15).

RESPONSE: Denied. OOCL's Director of Trade testified that OOCL redirected space away from North American to Aisa-based BCOs. Fung Dep. Tr. 87:25-88:4 ("Q. Okay. Did the pandemic conditions change OOCL's policies with regard to how space is allocated between NVOs and BCOs? A. Yes. During pandemic, we have allocated more spaces to BCO in order to support Chinese exporters.") [APP-782]. Admitted that Mr. Jensen testified that: "My opinion there is that [OOCL] did not systematically make a major changes between BCOs and NVOs during those years." Jensen Dep. Tr. 353:3-5 [APP-1084]. Mr. Jensen lacks qualifications and/or methodological reliability to constitute appropriate "expert" testimony in this action. See BBY's Finding of Fact Arg.VII.

173. "OOCL's behavior towards BBY is squarely within the average behavior that BBY received from other carriers." APP 1085 (Jensen Tr. 355:17-356:10); APP 3325 (Ex. 235).

RESPONSE: Denied. The proposed finding misstates and mischaracterizes the record. Mr. Jesen, relying on self-serving analyses that lack credibility, specifically as to Lam's booking analyses (See BBY's Finding of Fact Arg.VIII.B), testified that "OOCL's behavior towards BBY is squarely within the average behavior that BBY received from the other carriers. . . . I am speaking to the bookings, whether they were accepted or rejected." Jensen Dep. Tr. 355:17-356:10 [APP-1085]. Mr. Jensen lacks qualifications and/or methodological reliability to constitute appropriate "expert" testimony in this action. See BBY's Finding of Fact Arg.VII.

174. Had OOCL pursued a claim, BBY would have been liable to OOCL for liquidated damages for BBY failing to meet its container tender obligations under the 2020-21 and 2021-22 service contracts. [REDACTED]

RESPONSE: Denied. The proposed finding addresses the applicability of liquidated damages, and thus constitutes an inappropriate proposed conclusion of law, and thus constitutes an inappropriate proposed conclusion of law. Further, BBY did not fail to meet any obligations to OOCL and OOCL instead failed to satisfy its service commitments to BBY.

175. A. OOCL took steps to reasonably allocate to BBY the service it committed to provide as per the MQC in the annual contract by taking BBY's requests and forecasts into consideration and making allocations to CSAL. APP 620 (Forminio Tr. 62:3-17). OOCL (USA) Regional Business Analyst Donna Forminio testified:

Our space plan was done monthly. So I would use that long-range forecast to initially populate the space plan for Bed Bath & Beyond within CSAL. Then there would be, obviously, a fine-tuning of that long-range forecast.

And that's when I would take what they needed, what changed from the initial forecast to see if I could work in what they needed when they -- when the vessel -- when the bookings became closer to the actual vessel they needed. And I tried to change the space plan to accommodate those forecasts. It wasn't always possible, but it did work.

APP 620 (Forminio Tr. 62:3-62:17).

RESPONSE: Denied. The proposed finding contains multiple factual propositions and thus contravenes the Presiding Officer's Scheduling Order. (Dkt. 12 (June 8, 2023). The proposed finding addresses the issue of the reasonableness of OOCL's behavior in allocating space to BBY, and thus constitutes an inappropriate proposed conclusion of law, and thus constitutes an inappropriate proposed conclusion of law. Admitted that Ms. Forminio testified as quoted. She confirmed that "Bed Bath & Beyond worked on a two-month rolling forecast, so they would provide us within a long-range forecast." Forminio Dep Tr. 61:19-62:17 [APP-619-620].

175. B. Lars Jensen wrote in his report that shippers' forecasts rarely match reality:

"In practical terms the carrier and shipper will communicate and coordinate booking patterns at a port-port level at relatively frequent intervals based on a combination of the shippers' expected bookings and the carrier's capacity availability. This is then used by the carrier forward allocate vessel space.

"What happens in practical terms is that the shipper's forecasted booking expectations rarely amount to an accurate prediction. This can have many reasons including, but not limited to, shortfall in production at origin, non- delivery from sub-suppliers, unexpected delays, shifts of sourcing of goods to a different origin, shift in destination for the goods based on a change in sales projections. This can lead to a pattern where a shipper indicate a certain booking level ahead of time but might not deliver volumes according to this indication. It also leads to situations where a shipper wants to place bookings in excess of the agreed indications. Furthermore it creates a situation where a shipper wants to book the agreed weekly

volume, but now wants to do so in a different port-port corridor than planned – a corridor which might be serviced by entirely different vessels by the carrier, and hence pre-allocated for other purposes.”

APP 4010-28 (Ex. 413, Jensen Report at 5).

RESPONSE: Admitted that Mr. Jensen’s report contains the quoted language but otherwise denied. The proposed finding misstates and mischaracterizes the record. The proposed finding places blame on shippers for inaccurate forecasts, whereas Mr. Jensen acknowledges in his report that forecasting can be impacted by multiple external factors. Mr. Jensen lacks qualifications and/or methodological reliability to constitute appropriate “expert” testimony in this action. *See* BBY’s Finding of Fact Arg.VII.

176. Paul Pastor testified that “MQC divided by 52 doesn’t normally address peak seasons.” APP 1953 (Pastor Tr. 97:13-17).

RESPONSE: Admitted. [REDACTED]

177. BBY failed to meet its commitment to honor bookings (with cancellations, no-shows, etc.) to which its response was to sign drawdown amendments reducing the MQC to the volume of cargo actually shipped, as is often the case in the industry. [REDACTED]

[REDACTED] APP 1018 (Jensen Tr. 86:8-24).

RESPONSE: Denied. The proposed finding contains multiple factual propositions and thus contravenes the Presiding Officer’s Scheduling Order. (Dkt. 12 (June 8, 2023)). The proposed finding addresses issues regarding whether BBY failed to meet its commitments under the service contracts and thus constitutes an inappropriate proposed conclusion of law. [REDACTED]

Additionally, the proposed finding misstates and mischaracterizes the record. When asked, “In your experience, are those drawdown amendments typically used to conform the MQC to what was actually shipped, roughly?” Mr. Jensen responded, “That is not necessarily the case, but it often ends up roughly around there because it’s usually the consequence of a relatively long conversation that had stretched all the way through the contract period.” Jensen Dep. Tr. 86:15-24 [APP-1018]. Mr. Jensen’s testimony (Jensen Dep. Tr. 86:15-24 [APP-1018]) aligns with his belief that annual service contracts are unenforceable and frequently amended based on substantial market changes (Jensen Dep. Tr. 296:2-9 [APP-1070]). Furthermore, Mr. Jensen lacks qualifications and/or methodological reliability to constitute appropriate “expert” testimony in this action. *See* BBY’s Finding of Fact Arg.VII.

178. If the drawdown amendment was not agreed to, BBY would have been liable to OOCL for liquidated damages per the annual service contract in effect. [REDACTED]

RESPONSE: Denied. The proposed finding addresses issues concerning whether the amendments to the BBY-OOCL service contracts were mutually agreed upon and the applicability of liquidated damages, and thus constitutes an inappropriate proposed conclusion of law.

OOCL's DEPLOYED AND AVAILABLE VESSEL CAPACITY 2020-2022

179. While OOCL may have chartered out tonnage during the first few months of the COVID pandemic in 2020 when demand was dropping, APP 1086-1087 (Lars Jensen Tr. 361:19-362:15), it would not have made sense for OOCL to terminate or charter out its vessels in the second half of 2021 when “most carriers were in a mad scramble to . . . take hold of more vessels.” APP 1087 (Jensen Tr. 362:16-363:2).

RESPONSE: Denied. Mr. Jensen lacks qualifications and/or methodological reliability to constitute appropriate “expert” testimony in this action. *See* BBY’s Finding of Fact Arg.VII. OOCL chartered out space during 2020-2022 rather than dedicated such space to customers with service contracts. Annual Report, Orient Overseas (International) Ltd. (2020) at 18 (6 vessels chartered out); [APP-4439]; Annual Report, Orient Overseas (International) Ltd. (2021) at 16 (6 vessels chartered out) [APP-4640]; Annual Report, Orient Overseas (International) Ltd. (2022) at 17 (8 vessels chartered out) [APP-4844]; *See* Ex. 381 (McCown Report) ¶¶ 84, 92 (Table 3) (“Far from taking steps to ensure it was meeting its service commitments, OOCL’s annual reports show that, at times, OOCL actually chartered out some of its ships, rather than using them to meet its service commitments.”; “The fact that OOCL chose to charter out space during a period of awful service commitment fulfillment (but record profits) demonstrates tha[t] OOCL was clearly focusing on profitability rather than ensuring it had enough space to meet its service commitments.”) (emphasis in original) [APP-3771; 3773].

180. OOCL exceeded the performance of the other carriers used by BBY. APP 1087-88 (Jensen Tr. 364:21-366:4); APP 3325 (Ex. 235).

RESPONSE: Denied. The proposed finding contradicts FOF 173, which asserts that “OOCL’s behavior towards BBY is squarely within the average behavior that BBY received from other carriers.” APP 1085 (Jensen Tr. 355:17-356:10); APP 3325 (Ex. 235). Mr. Jensen lacks qualifications and/or methodological reliability to constitute appropriate “expert” testimony in this action. *See* BBY’s Finding of Fact Arg.VII.

181. There were times when OOCL made capacity available to BBY, but BBY did not attempt to book, and also times when BBY booked more space than had been allocated to it by OOCL, as explained by Karen Lam. APP 1088 (Jensen Tr. 366:6-367:12).

RESPONSE: Denied. The proposed finding contains multiple factual propositions and thus contravenes the Presiding Officer's Scheduling Order. (Dkt. 12 (June 8, 2023)). The proposed fact relies on self-serving analyses that lack credibility, specifically as to Lam's booking analyses. See BBY's Finding of Fact Arg.VIII.B. Mr. Jensen lacks qualifications and/or methodological reliability to constitute appropriate "expert" testimony in this action. See BBY's Finding of Fact Arg.VII. Admitted that there were times when space may have been offered to BBY on lanes or weeks where such space was not needed and that BBY, in an attempt to reach MQC with OOCL despite OOCL's ongoing shortfalls, requested more space than hand been allocated.

182. Karen Lam's testimony about the allocations OOCL provided BBY complements Glenn Metzger's testimony about BBY's booking behavior. APP 1088 (Jensen Tr. 367:13-368:2).

RESPONSE: Denied. The proposed fact relies on self-serving analyses that lack credibility, specifically as to Lam's booking analyses. See BBY's Finding of Fact Arg.VIII.B. The proposed fact relies on witness testimony that lacks credibility, specifically as to Metzger's testimony. See BBY's Finding of Fact Arg.VIII.B. Mr. Jensen lacks qualifications and/or methodological reliability to constitute appropriate "expert" testimony in this action. See BBY's Finding of Fact Arg.VII.

183. Any sailing OOCL cancelled or port OOCL skipped (both referred to as "blanked") in 2020-2022 was forced on OOCL due to operational constraints. APP 1089 (Jensen Tr. 371:12-21).

RESPONSE: Denied. OOCL misstates and mischaracterizes the record. Mr. Jensen contradicts himself in his own deposition by stating that blank sailings were the result of voluntary choices made by carriers to pull capacity out of the market from February to approximately April/May 2020. Jensen Dep. Tr. 147:10-148:3 [APP-1033]. Mr. Jensen lacks qualifications and/or methodological reliability to constitute appropriate "expert" testimony in this action. See BBY's Finding of Fact Arg.VII.

184. OOCL's rates were competitive with the market and OOCL gained slight market share during this period. APP 1088 (Jensen Tr. 369:15-23).

RESPONSE: Denied. Mr. Jensen lacks qualifications and/or methodological reliability to constitute appropriate “expert” testimony in this action. See BBBY’s Finding of Fact Arg.VII. Admitted that Mr. Jensen testified: “I was say [OOCL was] competitive. Off the top of my head, as far as I recall, OOCL had gained slight market share during this period.” Jensen Dep Tr. 369:15-23 [APP-1088].

185. OOCL did not voluntarily remove capacity after the first 3 months of COVID. APP 1089 (Jensen Tr. 371:12-21).

RESPONSE: Denied. Mr. Jensen lacks qualifications and/or methodological reliability to constitute appropriate “expert” testimony in this action. See BBBY’s Finding of Fact Arg.VII. Admitted that Mr. Jensen testified: “After the first three months, when the market began to go up, then it was not a matter of voluntary blank sailing. Those were forced by operational circumstances.” Jensen Dep. Tr. 371:12-21 [APP-1089].

186. A few vessel sailings were unavoidably cancelled because crew members died of COVID. See e.g., RX-002610-24; RX-002625-27, [This cargo ship’s captain died aboard. Then the crew was stuck at sea for weeks | CNN](#); [Gard calls for action as body of master stuck on Greek cargoship for two months | TradeWinds](#).

RESPONSE: Admitted.

187. There are 8-10 global container carriers and 200-300 regional container lines in the world. APP 1089 (Jensen Tr. 372:11-20).

RESPONSE: Denied. Mr. Jensen lacks qualifications and/or methodological reliability to constitute appropriate “expert” testimony in this action. See BBBY’s Finding of Fact Arg.VII. Admitted that Mr. Jensen testified: “Right now, there are, depending on definition, eight to ten global container lines. And apart from that, there are two to 300 regional container lines across the world.” Jensen Dep. Tr. 372: 16-20 [APP-1089].

188. An OOCL “extra loader” is not related to OOCL’s normal service offerings. APP 1382 (K. Lam Tr. 174:7-13).

RESPONSE: Admitted that Ms. Lam testified that “[Extra loader is] not related to the normal service that [OOCL offer]” because “the sailing can be show up in any time of the year and with any loading port”. Lam Dep. Tr. 174:7-13 [APP-1382]. Denied that OOCL could not have used that extra capacity to make up mounting shortfalls to its customers or to increase the allocations to those customers that would not satisfy OOCL’s service commitments.

189. During the COVID period, some OOCL extra loaders were chartered from the market, and some were borrowed from other OOCL's trades. APP 1382 (K. Lam Tr. 174:18-175:20).

RESPONSE: Admitted. Denied that OOCL could not have used that extra capacity to make up mounting shortfalls to its customers or to increase the allocations to those customers that would not satisfy OOCL's service commitments.

190. OOCL obtained additional space as a member of the COSCO Group. APP 775 (Fung Tr. 60:13-23).

RESPONSE: Admitted.

191. OOCL obtained additional space by additionally chartering ships. APP 775 (Fung Tr. 60:13-61:11).

RESPONSE: Admitted that Mr. Fung testified that "OOCL is able to share the additionally chartering ships as well as the space from our broader company COSCO within which we would get one or additional two ship route to operate" and confirmed that these chartered ships can be referred to as extra loaders. Fung Dep. Tr. 60:13-61:11 [APP-755].

192. It was OOCL's practice, when it deployed extra loaders, to enter into a separate service contract with shippers that wanted space on an extra loader. APP 785 (Fung Tr. 98:4-13).

RESPONSE: Admitted that Fung testified that "A new contract would be needed to be issued" for "a customer [to] get space on an extra loader ship." Fung Dep. Tr. 98:4-24 [APP-785]. OOCL required BBY to book space under the premium rate contracts instead of fulfilling its service commitments under the service contracts.

Denied that OOCL could not have used that extra capacity to make up mounting shortfalls to its customers or to increase the allocations to those customers that would not satisfy OOCL's service commitments.

RESPONSE: Denied. The proposed finding misstates and mischaracterizes the record. [REDACTED]

[REDACTED]

[REDACTED] [REDACTED]

[REDACTED]

RESPONSE: Admitted that [REDACTED]

[REDACTED]

[REDACTED] [REDACTED]

[REDACTED]

RESPONSE: Admitted that [REDACTED]

[REDACTED]

[REDACTED] [REDACTED]

RESPONSE: Admitted that [REDACTED]

[REDACTED]

[REDACTED] [REDACTED]

[REDACTED]

RESPONSE: Admitted that [REDACTED]

[REDACTED]

198. [REDACTED]

[REDACTED]

RESPONSE: Admitted that [REDACTED]

[REDACTED]

199. OOCL's practice was to assess its shipping capacity twice yearly. APP 772 (Fung Tr. 46:20-47:18).

RESPONSE: Admitted that Mr. Fung testified that “[OOCL] run twice the assessment of the shipping ability annually. The first period happened – the first time assessment happened on planning the budget initially to have full knowledge of how many ships and how much the capacity of the shipping we would planning out. The second assessment happened during the negotiation with signing the contracts period.” Fung Dep. Tr. 46:23-47:18 [APP-772].

200. OOCL’s practice was to assess its shipping capacity for the first time as it planned the budget. APP 772 (Fung Tr. 46:20-47:3).

RESPONSE: Admitted that Mr. Fung testified that “[OOCL] run twice the assessment of the shipping ability annually. The first period happened – the first time assessment happened on planning the budget initially to have full knowledge of how many ships and how much the capacity of the shipping we would planning out. The second assessment happened during the negotiation with signing the contracts period.” Fung Dep. Tr. 46:23-47:18 [APP-772].

201. OOCL’s practice was to assess its shipping capacity for a second time during the negotiation of service contracts. APP 772 (Fung Tr. 47:4-18).

RESPONSE: Admitted that Mr. Fung testified that “[OOCL] run twice the assessment of the shipping ability annually. The first period happened – the first time assessment happened on planning the budget initially to have full knowledge of how many ships and how much the capacity of the shipping we would planning out. The second assessment happened during the negotiation with signing the contracts period.” Fung Dep. Tr. 46:23-47:18 [APP-772].

202. Allocations in CSAL were based on OOCL’s high level “model ship” setup after a service contract was signed by the customer. APP 1369 (K. Lam Tr. 125:13-126:10)

RESPONSE: Admitted. The “Model Ship” is the space allocation for a particular region for a contract year, i.e., each region has its own assigned Model Ship. *See* Mitchell Dep. Tr. 56:22-57:2 [APP-1691]; Wong Dep. Tr. 69:2-3 [APP-2719]. “So, Model Ship is, basically, Trade’s perfect-day scenario, where they are detailing what is the space that’s afforded to the region[.]” *See* Metzger Dep. Tr. 37:2-5 [APP-1598]. “[W]hen [OOCL] designed the model ship, they [did] not... consider the blank sailing factors.” *See* Wong Dep. Tr. 85:20-86:2 [APP-2723-2724].

203. Before OOCL’s sales teams began service contract negotiations, the regional sales team proposed amounts of space, and they received a “preliminary number” reflecting the total allocation by service loop. APP 1375-76 (K. Lam Tr. 149:14-151:4).

RESPONSE: Admitted that OOCL’s Trade Department, [REDACTED]

[REDACTED], issues the “preliminary number” before OOCL’s Sales Department starts the contract negotiations. Lam Dep. Tr. 149:14-152:2 [APP-1375-76].

204. BBY understood that it was important for its booking agent, Yusen, to use the applicable service contract number when making booking requests to OOCL so that it would be properly rated (later audited by Berman & Blake for payment) and so that those bookings would be counted towards the appropriate contract’s MQC. APP 873 (Hackett Tr. 239:20-240:11).

RESPONSE: Denied. The proposed finding contains multiple factual propositions and thus contravenes the Presiding Officer’s Scheduling Order. (Dkt. 12 (June 8, 2023)). [REDACTED]

205. OOCL periodically updated its capacity planning based on (1) allocation of ship routes, especially how many ports OOCL served; and (2) whether any of these ports had emergencies or congestion. APP 772 (Fung Tr. 47:4-18).

RESPONSE: Denied. The proposed finding asserts that OOCL conducted periodic updates, but Mr. Fung testified that the assessment happened “during the negotiation with signing the contracts period.” Fung Dep. Tr. 47:4-18 [APP-772].

[REDACTED]

[REDACTED]

[REDACTED]

V. BBY’S FAILURE TO TENDER CARGO, OOCL’S SPACE ALLOCATIONS, AND OOCL’S LIFTINGS UNDER THE FILED SERVICE CONTRACTS – July 1, 2020-April 30, 2022

207. BBY used a request for proposal (“RFP”) process to solicit bids from a number of ocean common carriers. APP 1939 (Pastor Tr. 38:5-14); APP 819-20 (Hackett Tr. 23:11-26:24).

RESPONSE: Admitted.

208. For all relevant times during the period of the claims, the terms of BBY’s service contracts with OOCL were for the carriage of imports into the United States. [REDACTED]

RESPONSE: Admitted.

209. OOCL and BBY entered into the following service contracts filed with the FMC during the 2020-21 and 2021-22 shipping years:

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

1. SERVICE CONTRACTS: ANNUAL MQCS AND WEEKLY ALLOCATIONS

210. Despite what was said in his February 9, 2022, letter, BBBY's Director of International Supply Chain Patrick Hackett testified:

Q. You agree with me that there's nothing in the service contracts that requires a set amount of MQC space allocation being provided by OOCL on the one hand or container volume being provided by the shipper on the other, correct?

A. What we talked about was the MQC was the MQC, that that was the number of containers that we agreed to tender and you to move for us. But, to your point, there was never a breakdown by week or by month.

APP 859 (Hackett Tr. 183:15-184:4).

RESPONSE: Admitted that Mr. Hackett testified as quoted, but otherwise denied. RPFF 222 asserts that carriers construct initial weekly allocations of MQC by dividing by 52. When allocating space, OOCL divided MQC by 52 weeks. Fung Dep. Tr. 91:9-92:5 [APP-783]. It is industry practice for shippers to expect a space allocation based on MQC divided by 52. Hackett Dep. Tr. 125:9-13 ("A. The other thing that we called out to all the carriers, and

that's the reason why we did the rolling forecast, is that a lot of these carriers would do this MQC divided by 52, and say, oh, here's your allocation.") [APP-844].

211. INTENTIONALLY LEFT BLANK.

RESPONSE: N/A

212. OOCL provided its weekly allocations to BBY on a monthly basis. APP 1742 (Mitchell Tr. 258:11-25).

RESPONSE: Denied. Mr. Mitchell simply confirmed that during the 2021-22 shipping year, OOCL continued issuing monthly CSAL allocations as it had in the prior year, and he did not recall any changes to the process.

213. For some customers, a year is 50 weeks to account for two weeks of holiday closures, while for other customers, a year is 52 weeks. APP 783 (Fung Tr. 91:9-92:5).

RESPONSE: Admitted.

214. The amount of cargo booked by BBY (via its booking agent, Yusen) under the service contract varied weekly. APP 3122-44 (Ex. 66, 67).

RESPONSE: Denied to the extent that the proposed fact relies on self-serving analyses that lack credibility, specifically as to Lam's booking analyses. See BBY's Finding of Fact Arg.VIII.B. Admitted that BBY did not seek to book the exact same quantity of space each week.

215. The amount of BBY cargo OOCL carried under the applicable service contracts varied weekly. APP 312244 (Ex. 66, 67).

RESPONSE: Denied to the extent that the proposed fact relies on self-serving analyses that lack credibility, specifically as to Lam's booking analyses. See BBY's Finding of Fact Arg.VIII.B. Admitted that OOCL carried different quantities of space for BBY on a weekly basis resulting in mounting shortfalls.

216. There was no requirement under service contracts that BBY ship a specific amount of cargo each week. APP 880 (Hackett Tr. 269:1-8).

RESPONSE: Admitted that Mr. Hackett confirmed that "other than premium contracts between Bed Bath and OOCL, [there was nothing] explicit in those service contracts that required Bed Bath to ship a certain amount of TEU on a specific lane on a specific week." Hackett Dep. Tr. 269:1-8 [APP-880]. However, when allocating space, OOCL divided MQC

by 52 weeks. Fung Dep. Tr. 91:9-92:5 [APP-783]. It is industry practice for shippers to expect a space allocation based on MQC divided by 52. Hackett Dep. Tr. 125:9-13 (“A. The other thing that we called out to all the carriers, and that’s the reason why we did the rolling forecast, is that a lot of these carriers would do this MQC divided by 52, and say, oh, here’s your allocation.”) [APP-844].

217. It was not unusual to see seasonal variations in demand from OOCL’s customers.

APP 1369 (K. Lam Tr. 122:11-20).

RESPONSE: Denied to the extent that the proposed finding misstates and mischaracterizes the record. Ms. Lam testified that it was “not very unusual during, you know, previous years” for OOCL to see seasonal variations in demand from its customers. Lam Dep. Tr. 122:11-20 [APP-1369]. Otherwise admitted that seasonal variations in demand are not unusual in the industry.

218. It is not uncommon for shippers to fulfill less than 50% of mathematically (not contractually) pro-rated MQC in the first months of the annual service contract (which is typically May and June). APP 1369 (K. Lam Tr. 122:8-20); RX-1204-05 (K. Lam Ex. 59, OOCL_0000111944-45).

RESPONSE: Denied. The proposed finding misstates and mischaracterizes the record. Ms. Lam testified that it was “not very unusual during, you know, previous years” for OOCL to see seasonal variations in demand from its customers. Lam Dep. Tr. 122:11-20 [APP-1369]. Additionally, the cited email explicitly showed that MQC fulfillment for “47 out of 151 NAG BCO [was] under 50%,” and the listed accounts, including BBY, felt it necessary to sign premium contracts to obtain space. Ex. 59, OOCL_0000111944-45 [RX-1214-1215].

219. It is common for demand to be high in the weeks before Chinese New Year. APP 1371 (K. Lam Tr. 132:17-133:8).

RESPONSE: Admitted.

220. OOCL expects demand to be weak in the weeks after Chinese New Year. APP 1371 (K. Lam Tr. 132:17-133:8).

RESPONSE: Denied. The proposed finding misstates and mischaracterizes the record. Ms. Lam testified based on her personal experience that, for the 2021 shipping year, “in general, we’ll prepare the post-Chinese New Year weeks to be soft in demand. . . but the duration of the post-Chinese New Year now actually shorten[ed] in 2021.”



222. BBY understood that carriers construct initial weekly allocations of MQC by dividing by 52, BBY and other retailers do not “ship that way.” (i.e., evenly throughout the year). APP 844 (Hackett Tr. 125:9-126:7).

RESPONSE: Admitted that, especially for a retailer, there are slack seasons and peak seasons, which is why BBY regularly provided updated container forecasts to ocean carriers, including OOCL. Hackett Dep. Tr. 125:9-126:7 [APP-844]; Klosowsky Dep. Tr. 208:4-15 [APP-1288]. OOCL personnel acknowledged that customer needs are not constant over a service contract year, but fluctuate. *See* Schmiemann Dep. Tr. 96:23-97:11 (“And in your 30 years-plus of experience, is it common for customers needs to change over the course of a year from what is put down originally in an ISC plan? A. Yes. Q. And is it common also for customers’ needs to change, even on the month-to-month basis, as you’re putting together a CSAL plan; that is, things -- as that CSAL plan goes into effect for the next year? A. Yes.”) [APP-2199]. It is industry practice for shippers to expect a space allocation based on MQC divided by 52. Hackett Dep. Tr. 125:9-13 (“A. The other thing that we called out to all the carriers, and that’s the reason why we did the rolling forecast, is that a lot of these carriers would do this MQC divided by 52, and say, oh, here’s your allocation.”) [APP-844].

223. During the pandemic, as a percentage of its space, OOCL allocated more of its available space to BCOs than it did to NVOs. APP 782 (Fung Tr. 88:5-89:5).

RESPONSE: Admitted that Mr. Fung testified that “the allocations proportion for the year 2020 to 2021 was BCO 55 versus NVO 45. The year 2021 to 2022 was BCO 60 versus NVO 40.” Fung Dep. Tr. 88:5-89:5 [APP-782]. OOCL redirected space away from North American to Asia-based BCOs. *See* Young Dep. Tr. 165:6-13 (“Q. I see. And so would -- tying to the earlier concern about an emphasis on APG over NAG, there’s a concern here that quantities rejected and placed under TCR control would disproportionately go to APG? A. We did see a higher percentage of AP BCOs lifting as opposed to NA BCOs on some of the loops, yes.”) [APP-2864].

224. In the years 2019-2020, OOCL allocated 55% of its space to BCOs and 45% to NVOs. APP 782; 786 (Fung Tr. 88:21-89:5; 103:21-25).

RESPONSE: Admitted that Mr. Fung testified that, “The proportion was BCO 55 versus NVO 45 from the year 2019 to 2020.” Fung Dep. Tr. 89:3–5 [APP-782]. OOCL redirected space away from North American to Asia-based BCOs. *See* Young Dep. Tr. 165:6-13 (“Q. I

see. And so would -- tying to the earlier concern about an emphasis on APG over NAG, there's a concern here that quantities rejected and placed under TCR control would disproportionately go to APG? A. We did see a higher percentage of AP BCOs lifting as opposed to NA BCOs on some of the loops, yes.") [APP-2864].

225. In the years 2020-2021, OOCL allocated 55% of its space to BCOs and 45% to NVOs. APP 782; 786 (Fung Tr. 88:5-19; 103:21-25).

RESPONSE: Admitted that Mr. Fung testified that "the allocations proportion for the year 2020 to 2021 was BCO 55 versus NVO 45. The year 2021 to 2022 was BCO 60 versus NVO 40." Fung Dep. Tr. 88:5-89:5 [APP-782]. OOCL redirected space away from North American to Asia-based BCOs. *See* Young Dep. Tr. 165:6-13 ("Q. I see. And so would -- tying to the earlier concern about an emphasis on APG over NAG, there's a concern here that quantities rejected and placed under TCR control would disproportionately go to APG? A. We did see a higher percentage of AP BCOs lifting as opposed to NA BCOs on some of the loops, yes.") [APP-2864].

226. In 2021-2022, OOCL allocated 60% of its space to BCOs and 40% to NVOs. APP 782; 786 (Fung Tr. 88:5-19; 103:21-25).

RESPONSE: Admitted that Mr. Fung testified that "the allocations proportion for the year 2020 to 2021 was BCO 55 versus NVO 45. The year 2021 to 2022 was BCO 60 versus NVO 40." Fung Dep. Tr. 88:5-89:5 [APP-782]. OOCL redirected space away from North American to Asia-based BCOs. *See* Young Dep. Tr. 165:6-13 ("Q. I see. And so would -- tying to the earlier concern about an emphasis on APG over NAG, there's a concern here that quantities rejected and placed under TCR control would disproportionately go to APG? A. We did see a higher percentage of AP BCOs lifting as opposed to NA BCOs on some of the loops, yes.") [APP-2864].

2. CSAL: OOCL's CUSTOMER ALLOCATION COMMITMENT MANAGEMENT TOOL

227. OOCL has a sophisticated bespoke system for managing its customers commitments which is called "Customer Standard Allocation List" or "CSAL". APP 782 (Fung Tr. 89:7-11); APP 1369 (K. Lam Tr. 125:13-15); APP 1598 (Metzger Tr. 34:5-13).

RESPONSE: Denied. The proposed finding misstates and mischaracterizes the record. CSAL was widely derided by OOCL employees as inefficient and unfair, with challenging requirements that made booking difficult. *See* [REDACTED] Hackett Dep. Tr. 177:8-17 [APP-857]; Ex. 381 (McCown Report) ¶ 65 [APP-3766-3767].

228. CSAL is OOCL's tool to capture its customers' commitments. APP 1598 (Metzger

Tr. 34:5-36:22).

RESPONSE: Denied. “CSAL” is the “Customer Standard Allocation List.” The proposed fact relies on witness testimony that lacks credibility, specifically as to Metzger’s testimony. See BBY’s Finding of Fact Arg.VIII.B.

229. CSAL is OOCL’s bespoke system for managing complex allocations of space across multiple trade lanes and regions and is not, as Mr. McCown testified, “a black box.” Rather, systems such as CSAL are conceptually the same among ocean carriers. APP 1015 (Jensen Tr. 76:7-14); see also APP 1592 (Metzger Tr. 12:2-8) (“It’s called Customer Space Allocation List, or what -- that’s what CSAL stands for. It allows us visibility and transparency through our organization to understand where our customer commitments are, and then what is your capability to meet those commitments.”).

RESPONSE: Denied. The proposed finding misstates and mischaracterizes the record. CSAL was widely derided by OOCL employees as inefficient and unfair, with challenging requirements that made booking difficult. See [REDACTED] Hackett Dep. Tr. 177:8-17 [APP-857]; Ex. 381 (McCown Report) ¶ 65 [APP-3766-3767]; see also BBY’s Finding of Fact ¶¶ 113, 114, 117, 118, 137.2-5,153.1.

230. Glenn Metzger explained how CSAL works:

So the overall CSAL tool is a part of a bigger process. So I like to --when I look at CSAL in explaining CSAL to our customers or to anyone that asks, I like to look at it from a holistic point of view; so where it starts, how it's created, and where -- and what role it plays in the overall organization. So CSAL is basically a tool that we have to capture our customers' commitments. So once we capture all those customer commitments, it also gives us the ability to show our customers, but also internally makes it clear to everyone what our capability is or what the allocations are that can be filled with those customer commitments. So when we look at the overall process, it does start first with a dialogue between the Sales rep and their customer. And, basically, the customer is providing a forecast for -- it could be a week or a month. They are basically letting us know what is the volume they're expecting to ship and that they want to ship with OOCL. During that conversation, the Sales rep will then let them know whether it's attainable or not or if we're capable of doing it based on the allocations we've already set. So once there's a conversation between that Sales rep, that Sales rep then goes into CSAL to input the allocation or the commitment that the customer is making that fits within that allocation. Then that Sales rep, basically, hands that off to their regional business analyst who does a review for

that particular region. They go over it to make sure that there's no gaps, that they're using all the space that's been available to them, or the allocations that have been available to them. Once they do that, they hand it off to my team, which does a review of all NAG. Once we do that, that preliminary review is done to make sure that we are meeting all of our commitments based on what was allocated to the entire region. We then submit that to a traffic controller. So, basically, that traffic controller makes sure that there is a capability to meet all that. So if there's any changes -- let's say the vessel has to be smaller because of -- our vessel partner is changing the vessel or they looped in -- whatever -- whatever changes happen, that traffic controller is then letting us know whether it's okay or not. Once the approval happens from what we call TCC, that approved CSAL is then given to our Overseas Booking Team, which then convert it into a system called BAL. That BAL or BAL or booking allocation list uses the CSAL data to help them identify what is the allocations that are afforded to this customer, and so that when a booking is received by the customer they have that reference to make sure that, yes, the customer has an allocation. They can then board a vessel. APP 1597-98 (Metzger Tr. 33:14-36:22).

RESPONSE: Admitted that Mr. Jensen testified as quoted. The proposed fact relies on witness testimony that lacks credibility, specifically as to Metzger's testimony. See BBBY's Finding of Fact Arg.VIII.B.]; see also BBBY's Finding of Fact ¶¶ 115, 116, 116.1-2, 165, 169, 183, 184.

231. Glenn Metzger also explained how CSAL works within OOCL's Model Ship Plan:

Q Are you familiar with the term "Model Ship Plan"?

A Yes. So Model Ship is, basically, Trade's perfect-day scenario, where they are detailing what is the space that's afforded to the region? So CSAL is actually based off of -- or uses the Model Ship to determine what is the space for the overall region. So, basically, what happens during the contract negotiations -- by the time the contract season is over, we have a general idea of how much space we're going to need. Trade then uses that, agreements, all these assigned agreements, to help determine how much Model Ship does this region need to make its contractual commitments? They then look at -- they divide that Model Ship into regions. So, in this case, it was TPT. It would be -- APG has their own, or Asia Pacific Group. And then you have NAG, which is North America Group. That -- allocations are then separated. That allocation is then used to fulfill or fill out the CSAL in terms of giving us an overall number to fulfill. And then within our NAG, we have regions. So you have NAE, NAC, NAN, NAW. that's like North America East, North America Central, North America West, North America North. They are all assigned a CSAL number based off of that.

APP 1598-99 (Metzger Tr. 36:23-38:8).

RESPONSE: Admitted that Mr. Jensen testified as quoted, but otherwise denied. The proposed fact relies on witness testimony that lacks credibility, specifically as to Metzger's testimony. *See* BBY's Finding of Fact Arg.VIII.B.

232. Lars Jensen opined that "It is my assessment that OOCL has attempted to accommodate the booking volatility exhibited by BBY by confirming in excess of CSAL when feasible." APP 4010-28 (Ex. 413, Jensen Report at 18).

RESPONSE: Denied. Mr. Jensen lacks qualifications and/or methodological reliability to constitute appropriate "expert" testimony in this action. *See* BBY's Finding of Fact Arg.VII. Furthermore, his opinion contradicts OOCL's internal records, specifically OOCL's September 2021 Presentation, in which OOCL employees, including Mike Young, presented to OOCL's head office in Hong Kong on the issue of entire bookings being rejected when a shipper tried to book more TEUs than provided in the corresponding allocation under CSAL. *See* Young Dep. Tr. 110:12-111:17 [APP-2851].

233. CSAL was well-known to BBY. APP 1954 (Paul Pastor Tr. at 100:6-12); APP 839-40 (Hackett Tr. 105:17-106:1).

RESPONSE: Denied. The proposed finding misstates and mischaracterizes the record. BBY employees were familiar with the term "CSAL." Hackett Dep. Tr. 106:10-13 ("A. Like I said, I believe it was their capacity tool. I don't know a lot of details about it, but I am familiar with the term.") [APP-840]. During the relevant time period, CSAL allocation often did not align with BBY's actual needs, and OOCL would not adjust its internal CSAL allocations to meet those needs. *See* Pastor Dep. Tr. 102:13-20 ("We would provide projections -- a two-month projection report. But they did not align with the CSAL report because it was being created before we would -- it was being created in advance of our projections, and, therefore, they didn't align in many cases of what our needs were and what were on the CSAL.") [APP-1955]; Hackett Dep. Tr. 271:6-16 [APP-881].

234. CSAL allocations are issued monthly by sail week and lanes/service loops. APP 1710 (Mitchell Tr. 132:6-133:18).

RESPONSE: Admitted.

235. CSAL is set by OOCL operations teams and has no relation to pricing, which is overseen by OOCL's trade teams. APP 1592 (Metzger Tr. 12:9-11).

RESPONSE: Denied. The proposed finding misstates and mischaracterizes the record. Mr. Metzger simply answered "No" to the question, "And does CSAL involve rates of any kind?" Metzger Dep. Tr. 12:9-11 [APP-1592]. "CSAL" refers to the "Customer Standard Allocation List" and was manipulated by OOCL to favor customers willing to pay PSS or

premium rates. Dep. Ex. 28 at OOCL_0000107314 (Email from Schmiemann states, “Our discussion with BBB surrounded a premium of \$600. Trade[']s view is that we need to be much higher based on the current mkt conditions. In terms of space, *we have altered our CSAL taking space away from customers who are not paying a PSS, or have poor booking behavior, to accommodate Nantucket and T Y Linen volumes.*”) (emphasis added) [APP-3007]. The proposed fact relies on witness testimony that lacks credibility, specifically as to Metzger’s testimony. *See* BBY’s Finding of Fact Arg.VIII.B.

236. OOCL confers with the customer, who provides a weekly or monthly forecast, and OOCL’s sales representative will let the customer know whether OOCL is capable of achieving it based upon allocations OOCL has already set. APP 1598 (Metzger Tr. 34:14-35:9).

RESPONSE: Denied. The proposed fact relies on witness testimony that lacks credibility, specifically as to Metzger’s testimony. *See* BBY’s Finding of Fact Arg.VIII.B. During the relevant time period, CSAL allocation often did not align with BBY’s actual needs, and OOCL would not adjust its internal CSAL allocations to meet those needs. *See* Pastor Dep. Tr. 102:13-20 (“We would provide projections -- a two-month projection report. But they did not align with the CSAL report because it was being created before we would -- it was being created in advance of our projections, and, therefore, they didn’t align in many cases of what our needs were and what were on the CSAL.”) [APP-1955]; Hackett Dep. Tr. 271:6-16 [APP-881].

237. BBY’s rolling forecasts did not always align with OOCL’s space allocations. APP 1955 (Pastor Tr. 102:3-20).

RESPONSE: Denied. The proposed finding misstates and mischaracterizes the record. During the relevant time period, CSAL allocation often did not align with BBY’s actual needs, and OOCL would not adjust its internal CSAL allocations to meet those needs. *See* Pastor Dep. Tr. 102:13-20 (“We would provide projections -- a two-month projection report. But they did not align with the CSAL report because it was being created before we would -- it was being created in advance of our projections, and, therefore, they didn’t align in many cases of what our needs were and what were on the CSAL.”) [APP-1955]; Hackett Dep. Tr. 271:6-16 [APP-881].

238. However, Yusen was contractually obligated to book BBY’s containers per the ocean carriers’ allocations that BBY provided to Yusen on a monthly basis, not BBY’s rolling forecasts. RX-000079-153 (Ex. 274, Yusen Logistics-BBY Contract, pp. 26-27); APP 954; 958 APP 2396-98 (Shippee Tr. 25:1-28:20; 30:1-9).

RESPONSE: Denied. The proposed finding addresses issues of “contractual obligation” and thus constitutes an inappropriate proposed conclusion of law.

239. OOCL also refers to CSAL as its “planned protection” for service contract allocations. APP 1364 (K. Lam Tr. 104:6-18).

RESPONSE: Denied. The proposed finding misstates and mischaracterizes the record. OOCL’s internal labeling of the CSAL program—whether as “Customer Standard Allocation List” or its so-called “planned protection” for service contract allocations—does not change the fundamental issue that CSAL is a flawed system. As reflected in the exact quoted testimony in the proposed finding of fact, “Declined booking normally happen when booking exceed our planned protection, we call it CSAL.” Lam Dep. Tr. 104:6-18 [APP-1364].

240. Among the reasons why OOCL may decline a specific request for a booking may be that the booking agent provided invalid information, incorrect routing, or incorrect vessel voyage. APP 1364 (K. Lam Tr. 104:11-18).

RESPONSE: Denied. The proposed finding misstates and mischaracterizes the record. As reflected in the exact quoted testimony in the proposed finding of fact, “Declined booking normally happen when booking exceed our planned protection, we call it CSAL.” Lam Dep. Tr. 104:6-18 [APP-1364].

241. Booking activity during the COVID years was extremely high and much higher than normal. APP 1364 (K. Lam Tr. 104:19-24).

RESPONSE: Admitted that Ms. Lam testified that “booking during the COVID years was extremely high and much higher than normal.” Lam Dep. Tr. 104:19-24 [APP-1364]. An internal OOCL presentation shows that as of September 2021, OOCL was declining bookings at a rate of over 37.9%. *See* Dep. Ex. 20, p.7 [APP-2958]; Ex. 381 (McCown Report) ¶ 68 [APP-3768-3769].

242. Each OOCL customer is assigned its own CSAL space booking and in this way, CSAL is able to accommodate the customer’s minimal booking. If the customer required more than a minimal booking, OOCL would check if there was any additional available space. APP 783 (Fung Tr. 92:12-24).

RESPONSE: Denied. Mr. Fung’s testimony contradicts OOCL’s internal record, which indicate that by August 2021, several months into the 2021 2022 shipping year, MQC fulfillment for OOCL’s BCO customers on standard (i.e., non-premium) service contracts stood at just 15%. *See* Ex. 381 (McCown Report) ¶ 75 [APP-3770]; Dep. Ex. 42 at OOCL 0000126229 [APP-3770].

243. CSAL is set based on service contract commitments, assigning space by service loop. APP 1369 (K. Lam Tr. 125:13-126:10). Based on each month's available sailings, CSAL builds allocations each week for each customer for each service loop. APP 1370 (K. Lam Tr. 125:16-126:10).

RESPONSE: Denied. The proposed finding addresses issues of “service contract commitments” and thus constitutes an inappropriate proposed conclusion of law. The proposed finding contains multiple factual propositions and thus contravenes the Presiding Officer’s Scheduling Order. (Dkt. 12 (June 8, 2023). Allocations made under CSAL are made entirely at OOCL’s internal discretion regardless of whether the allocations lined up with BBY’s needs, projections, or requests, or OOCL’s service commitments to BBY. *See* Ex. 381 (McCown Report) ¶ 54 [APP-3766]; Mitchell Dep. Tr. 91:15-20 [APP-1700]; Dep. Ex. 182 [APP-3315-3316]. Once OOCL has issued its CSAL allocation, there is no flexibility. *See* Mitchell Dep. Tr. 90:21-24 (“if they don’t deliver on space that’s allocated in a given week, then that allocation is lost if they don’t deliver against it”) [APP-1700]; Dep. Ex. 182 (“We honor our commitment based on the actual CSAL allocation we offered to BBB, and hope BBB can fulfill MQC based on the allocation we offered. If BBB cannot fill up the allocation, it is BBB’s problem and responsibility instead of OOCL.”) [APP-3765]; Ex. 381 (McCown Report) ¶ 57 [APP-3765]. CSAL also failed to assign space “based on service contract commitments” as proposed. Mr. Fung’s testimony indicates that by August 2021, several months into the 2021 2022 shipping year, MQC fulfillment for OOCL’s BCO customers on standard (i.e., non-premium) service contracts stood at just 15%. *See* Ex. 381 (McCown Report) ¶ 75 [APP-3770]; [REDACTED]

244. BBY was aware of CSAL. APP 839-40 (Hackett Tr. 105:17-106:13).

RESPONSE: Admitted that BBY employees were familiar with the term “CSAL.” Hackett Dep. Tr. 106:10-13 (“A. Like I said, I believe it was their capacity tool. I don’t know a lot of details about it, but I am familiar with the term.”) [APP-840]. During the relevant time period, CSAL allocation often did not align with BBY’s actual needs, and OOCL would not adjust its internal CSAL allocations to meet those needs. *See* Pastor Dep. Tr. 102:13-20 (“We would provide projections -- a two-month projection report. But they did not align with the CSAL report because it was being created before we would -- it was being created in advance of our projections, and, therefore, they didn’t align in many cases of what our needs were and what were on the CSAL.”) [APP-1955]; Hackett Dep. Tr. 271:6-16 [APP-881].

245. BBY understood that OOCL’s monthly sharing of CSAL allocations included the expectation that BBY would book its allocations. APP 840-41 (Hackett Tr. 109:7-110:3). OOCL asked BBY for its forecasts so it could build its CSAL allocations, including for BBY. APP 841 (Hackett Tr. 112:1-113:6); RX-001230-1233 (Ex. 195).

RESPONSE: Denied. The proposed finding contains multiple factual propositions and thus contravenes the Presiding Officer’s Scheduling Order. (Dkt. 12 (June 8, 2023)). The proposed finding misstates and mischaracterizes the record. Mr. Hackett’s testimony pertains to a specific email in which OOCL employee Jim Mitchell provided BBY with OOCL’s finalized space allocation for September on August 12, 2020, explicitly stating that “the allocations are short of the MQC/52.” [APP-3000]. Mr. Hackett testified that his understanding of this email was that OOCL was saying, “Bed Bath Yusen, this is the space I can provide you by the week, by origin port, by string. So make sure, Yusen, you book to that. That’s how I would interpret this.” Dep. Tr. 109:20-110:3 [APP-839-840]. Additionally, BBY provided its two-month rolling forecast, and as reflected in the cited emails, the CSAL allocation did not align with BBY’s needs (Pat Hackett wrote to Jim Mitchell on August 13, 2020, stating: “Jim.....given that we send you our rolling 2 month forecast around the 15th of each month how are we ever going to align w/ your forecasting process (i.e. we sent you our August & September forecasts on 7/13 but you already made your August allocations in May based on our June & July forecast!? Why are you making your allocations decisions so far in advance as this timing will never work for us?)” [RX-001230].

246. OOCL issued monthly CSAL allocations to BBY and/or Yusen both during the 2020 and the 2021 shipping years. APP 1742 (Mitchell Tr. 258:11-25).

RESPONSE: Denied. The proposed finding misstates and mischaracterizes the record. Mr. Mitchell simply confirmed that during the 2021-22 shipping year, OOCL continued issuing monthly CSAL allocations as it had in the prior year, and he did not recall any changes to the process.

247. For the 2020 shipping year, OOCL’s space traffic control center (“STCC”) gathered, consolidated, and input all the relevant CSAL information. APP 1370 (K. Lam Tr. 127:2-23).

RESPONSE: Admitted that during the time period of 2020 through 2022, CSAL was also primarily a manual input system, and OOCL’s Space Traffic Control Center (“STCC”) consolidated the TCRs’ respective space allocation projections into a single Excel spreadsheet, or “CSAL” file. *See* Lam Dep. Tr. 127:2-23 (“Q. Who on OOCL’s trade team has involvement with the CSAL for the United States during this time period 2020 through 2022? A. During that period of time CSAL input is still a manual input.”) [APP-1370].

248. OOCL’s various traffic control regions (“TCR”) were responsible for managing bookings under CSAL. APP 1370 (K. Lam Tr. 127:2-23).

RESPONSE: Admitted that Ms. Lam testified that “TCR is the traffic control region who is responsible to manage the booking.” Lam Dep. Tr. 127:2-23 [APP-1370].

249. Customer forecasts also serve as an indicator of service contract performance in CSAL. APP 1371 (K. Lam Tr. 130:6-19).

RESPONSE: Denied. The proposed finding misstates and mischaracterizes the record. Ms. Lam was not testifying about anything related to customer forecasts. When asked about the meaning of OOCL’s internal record stating, “Overall, November CSAL variance is –3661 TEU/week for TPT dry cargo,” Lam. Dep. Tr. 130:2-5. Ms. Lam responded, “Overall, November CSAL variance is –3661 TEU/week for TPT dry cargo,” Ms. Lam answered that “one month I mean actually you cannot really tell the story.” Lam Dep. Tr. 130:6-19 [APP-1371].

250. “The more accurate...the forecast, the more accurate we can prepare to input into CSAL.” APP 1373 (K. Lam Tr. 140:11-142:12).

RESPONSE: Admitted that Ms. Lam testified that “The more accurate of the forecast, the more accurate we can prepare to input into CSAL.” Lam Dep. Tr. 141: 6-16 [APP-1373]. However, during the relevant time period, CSAL allocation often did not align with BBY’s actual needs, and OOCL would not adjust its internal CSAL allocations to meet those needs. See Pastor Dep. Tr. 102:13-20 (“We would provide projections -- a two-month projection report. But they did not align with the CSAL report because it was being created before we would -- it was being created in advance of our projections, and, therefore, they didn’t align in many cases of what our needs were and what were on the CSAL.”) [APP-1955].

251. “And its well-known in [OOCL] to communicate with the customer before the TCR will a hundred percent protect your CSAL, we make sure that use make use of your CSAL correctly by communication between OOCL and the customer.” APP 1374 (K. Lam Tr. 142:13-143:19).

RESPONSE: Admitted that Ms. Lam testified as quoted. However, during the relevant time period, CSAL allocation often did not align with BBY’s actual needs, and OOCL would not adjust its internal CSAL allocations to meet those needs. See Pastor Dep. Tr. 102:13-20 (“We would provide projections -- a two-month projection report. But they did not align with the CSAL report because it was being created before we would -- it was being created in advance of our projections, and, therefore, they didn’t align in many cases of what our needs were and what were on the CSAL.”) [APP-1955].

3. IRIS-4: OOCL’s CUSTOMER BOOKING MANAGEMENT TOOL

252. Originally implemented in 1999, OOCL’s has a bespoke system for tracking bookings and operations-related items which is called “Integrated Regional Information System” (“IRIS-4”). APP 1593 (Metzger Tr. 14:18-16:8).

RESPONSE: Admitted that Mr. Metzger testified that “[IRIS-4 is] our enterprise system that we use for bookings, to capture bookings, to track bookings, to track operations-related items,” (Metzger Dep. Tr. 14:18-16:8 [APP-1593]), but otherwise denied, particularly the proposed finding’s characterization of IRIS-4 as “a bespoke system.” IRIS-4, which OOCL’s customers did not have access to, required manual input by an OOCL customer service representative. Murdoch Dep. Tr. 164:23-180:15 [APP-1842-1846]. Without such internal manual entry by OOCL, or specific back-and-forth between the customer and an OOCL customer service representative regarding a booking request, a customer’s booking request simply “would never get input into IRIS-4 . . .” Murdoch Dep. Tr. 164:23-180:15 [APP-1842-1846]. The proposed fact relies on witness testimony that lacks credibility, specifically as to Metzger’s testimony. *See* BBY’s Finding of Fact Arg.VIII.B.

253. IRIS-4 is available to all OOCL offices. APP 1593 (Metzger Tr. 15:5-9).

RESPONSE: Admitted. OOCL’s customers did not have access to IRIS-4, which required manual input by an OOCL customer service representative. Murdoch Dep. Tr. 164:23-180:15 [APP-1842-1846]. Without such internal manual entry by OOCL, or specific back-and-forth between the customer and an OOCL customer service representative regarding a booking request, a customer’s booking request simply “would never get input into IRIS-4 . . .” Murdoch Dep. Tr. 164:23-180:15 [APP-1842-1846]. The proposed fact relies on witness testimony that lacks credibility, specifically as to Metzger’s testimony. *See* BBY’s Finding of Fact Arg.VIII.B.

254. IRIS-4 displays where bookings are, what bookings are being completed, confirmed, deleted, or “pending” (i.e., flagged for further review). APP 1593 (Metzger Tr. 15:5-9).

RESPONSE: Denied. OOCL’s customers did not have access to IRIS-4, which required manual input by an OOCL customer service representative. Murdoch Dep. Tr. 164:23-180:15 [APP-1842-1846]. Without such internal manual entry by OOCL, or specific back-and-forth between the customer and an OOCL customer service representative regarding a booking request, a customer’s booking request simply “would never get input into IRIS-4 . . .” Murdoch Dep. Tr. 164:23-180:15 [APP-1842-1846]. The proposed fact relies on witness testimony that lacks credibility, specifically as to Metzger’s testimony. *See* BBY’s Finding of Fact Arg.VIII.B.

255. During COVID years, some of OOCL’s customers “placed” (booked) ten times the amount of space allocated under their service contracts, which explains why the rates of declined bookings by shippers were so high during this period. APP 1364 (K. Lam Tr. 105:6-14).

RESPONSE: Denied. The proposed finding misstates and mischaracterizes the record. Ms. Lam testified that “some customer would have the experience they placed ten times of the space we honor to protect,” not “booked.” Lam Dep. Tr. 105:6-14 [APP-1364]. Customers were desperate in placing bookings due to OOCL’s flawed booking system and their urgent need to secure space. OOCL would reject entire bookings if a booking was for more space than allocated on that particular week/sailing, even if the allocation itself was short of MQC/52. See Hackett Dep. Tr. 266:9-267:9 [APP-880]. OOCL also declined bookings even if those bookings had been made within OOCL’s internal CSAL allocations for that customer.

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

263. On September 8, 2021, OOCL North American Group (“NAG”) personnel met with OOCL Trade representatives and discussed concerns that NAG was having with MQC fulfillment issues relating to NAG customers. APP 1234 (Ex. 19). [REDACTED]

[REDACTED]

[REDACTED]

RESPONSE: Admitted that on September 7, 2021, Mike Yang circulated internal materials for review, which Paul Devine then forwarded to OOCL’s Hong Kong employee Lammy Lee, stating, “MQC fulfillment is the issue. We are working here to close the gap.” Ex. 19 [APP-1234]. [REDACTED]

[REDACTED]

Chen Dep. Tr. 307:6-308:13 [APP-228].

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

265. OOCL made the decision to cut MQC across the board during the 2022 service contract negotiations with all shippers because of concern about market conditions based upon data received during the last year under the COVID situation and the uncertainty of capacity supply. APP 1391 (K. Lam Tr. 211:5-212:21); APP 222 (Chen Tr. 282:25-283:18).

RESPONSE: Denied. The proposed finding misstates and mischaracterizes the record.

[REDACTED]

OOCL made a reduction of MQC a precondition to renewing BBY's service contract for the 2022-23 shipping year.

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

267. OOCL would confirm the container booking and once validated the booking data would be pulled into the IRIS-4 system. APP 1602, 1623 (Metzger Tr. 52:9-53:9; 137:5-22). Bookings were made for specific containers on specific voyages. RX-000612 (Ex. 387).

RESPONSE: Denied. The proposed finding contains multiple factual propositions and thus contravenes the Presiding Officer’s Scheduling Order. (Dkt. 12 (June 8, 2023)). The proposed finding misleadingly selects partial quotes from the record. Mr. Metzger testified that OOCL maintained a separate external booking request system, “My OOCL Center,” into which customers “send [OOCL] booking information” (Metzger Dep. Tr. 52:12-21 [APP-1602]), and then OOCL would “pull that [booking information] into IRIS-4” (Metzger Dep. Tr. 52:22-53:6 [APP-1602]). During the period from 2020 through 2022, OOCL’s customers did not have access to IRIS-4, and only after an OOCL employee manually entered a booking into IRIS-4 would a customer receive a booking acknowledgment generated by OOCL’s internal IRIS-4 system. Murdoch Dep. Tr. 164:23-180:15 [APP-1842-1846]. The proposed fact relies on witness testimony that lacks credibility, specifically as to Metzger’s testimony. *See* BBY’s Finding of Fact Arg.VIII.B. It also relies on self-serving analyses that lack credibility, specifically regarding Ex. 387. *See* BBY’s Finding of Fact Arg.VIII.B.

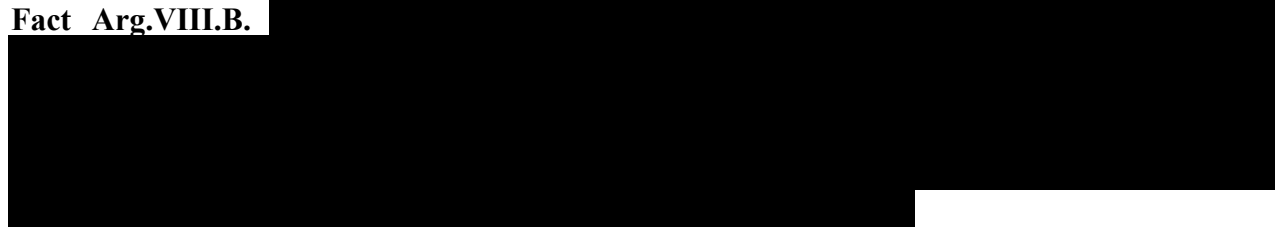
268. Mr. Metzger explained in considerable detail his methodology for evaluating the booking activity between OOCL and BBY during the period May 1 through September 30, 2021. APP 1596; 1599-1618 (Metzger Tr. 28:2-15; 38:12-116:9); RX-000612 (Ex. 387).

RESPONSE: Denied. The proposed fact relies on witness testimony that lacks credibility, specifically as to Metzger’s testimony. *See* BBY’s Finding of Fact Arg.VIII.B. It also relies on self-serving analyses that lack credibility, specifically regarding Ex. 387. *See* BBY’s Finding of Fact Arg.VIII.B.

269. Based upon his analysis, he did not see any reason to believe that OOCL shifted

space from one service contract to another. APP 1618 (Metzger Tr. 115:22-116:9).

RESPONSE: The proposed fact relies on witness testimony that lacks credibility, specifically as to Metzger's testimony. See BBY's Finding of Fact Arg.VIII.B. It also relies on self-serving analyses that lack credibility, specifically regarding Ex. 387. See BBY's Finding of Fact Arg.VIII.B.



270. A During a discussion of Exhibit 12, Glenn Metzger testified concerning what he learned about CSAL during his analysis of the booking activity between OOCL and BBY:

Q. And this is the North America Group Sales Team raising issues about CSAL and booking process?

A. No. This is Tom Schmiemann, Donna Forminio, and Jonathan having a conversation with everyone in copy.

Q. And what is that conversation about?

A. It's about their concern with the current performance.

Q. Performance of what?

A. Of what they deem to be CSAL.

Q. Do you have reason to believe they're not speaking about CSAL right now?

A. No. I have a reason to believe that it was -- a lot of the issues were misunderstood, which is why I stated earlier that I needed to go to Shanghai and find out. And also, it was stated in 2021, when we raised the issues as -- from performance, we need to understand how things were being handled. That's where a lot of misconceptions are stated here. You know, it's not just any particular thing. But, basically, you know, after taking this time now to look at BBB in depth -- again, I don't know if this was particular to BBB, this case, but -- or what was raised here, but what I now know from what I learned in Shanghai, and then also what I'm now seeing with BBB, this -- e-mails are painting everybody in the same brush, which is not the case.

Q. It reflects confusion on the part of these participants as to how CSAL operated; is that fair?

A. No. So it was -- it's not participants in how CSAL is operating. It was basically how the bookings were being accepted and managed overseas. CSAL was not the issue. That was the problem. CSAL was the easy thing to reference for everyone to blame because it's an easy target. It's what everyone is working with. But the issues were not CSAL. So everyone that -- in our entire company that states "CSAL" sometimes will get it wrong because the problem is not CSAL.

Q. So the people here don't know what they're talking about.

A. If you want to state malpractice, that's your opinion. My opinion is that there were still facts that needed to be found, that weren't shown at that time when these e-mails were written.

Q. Where -- for whatever reason, there was a lot of confusion around CSAL at the time on behalf of these participants, correct?

A. I think they were using the wrong terms and pointing fingers at the wrong process.

APP 1641 (Glenn Metzger 206:10-209:4).

RESPONSE: Admitted that Mr. Metzger testified as quoted, but otherwise denied. Mr. Metzger confirmed that OOCL employees had “concern with [CSAL’s] current performance.” Metzger Dep. Tr. 206:16-18 [APP-1641]. In fact, OOCL’s Hong Kong headquarters’ inability to understand or otherwise release bookings under CSAL for OOCL’s North American customers was so great the Mr. Metzger was forced in 2023 to personally go to Shanghai to discuss CSAL with the Hong Kong office. *See* Dep. Ex. 397 [APP-3995]; Metzger Dep. Tr. 187:6-188:21 [APP-1636].

271. Mr. Metzger authenticated the data that he relied upon save for Exhibit 390 (APP 1618-22 (Metzger Tr. 117:15-130:15), which Peter Nash authenticated. RX 000663-664 (Peter Nash Declaration, referencing two spreadsheets, the second of which was provided to OOCL’s container liability expert Lars Jensen for review).

RESPONSE: The proposed finding addresses issues of “authentication” and thus constitutes an inappropriate proposed conclusion of law. The proposed fact relies on witness testimony that lacks credibility, specifically as to Metzger’s testimony. (*See* BBY’s Finding of Fact Arg.VIII.B.) It also relies on self-serving analyses that lack credibility, specifically regarding Ex. 390. RX-000615 (OOCL_0000254170).

272. Each booking request has the service contract agreement number included in it, which is advised by the customer, APP 1608 (Metzger Tr. 77:9-22), in this case BBY or its booking agent Yusen. APP 1601 (Metzger Tr. 49:16-24); APP 1843 (Murdoch Tr. 166:11-20).

RESPONSE: Denied. The proposed finding misstates and mischaracterizes the record. Mr. Metzger's cited testimony (Metzger Dep. Tr. 77:9-22 [APP-1608]) merely explains the different meanings of abbreviations in an Excel file and does not provide any evidentiary support for the proposed fact that "Each booking request has the service contract agreement number included in it, which is advised by the customer." Additionally, Mr. Murdoch's testimony clarifies that OOCL's booking process is not automated and requires "manual entry to actually put the booking into [OOCL's] system." Murdoch Dep. Tr. 165:3-13 [APP-1842]. Even when customers provide the required information, such as the service contract number, point pairs, equipment type, and quantity, there can still be instances where "if there's no rate on file, then the system would not allow the booking to be processed." Murdoch Dep. Tr. 166:11-20 [APP-1843].

4. SECONDARY (SO-CALLED PREMIUM) CONTRACTS

273. Secondary or so-called "premium" service contracts were developed by OOCL in response to market demand for additional space and were meant to offer BCOs who wanted more space than existing contracts could provide, access to additional vessel capacity at rates lower than rates being offered by NVOs. APP 1380 (K. Lam Tr. 165:10-167:20).

RESPONSE: Denied the proposed finding's characterization of the premium service contracts as "secondary service contracts" as the term is nowhere appeared in Ms. Lam's testimony. 

274. OOCL's secondary service contract rates were lower than rates NVOs were offering BCOs. APP 1398 (K. Lam Tr. 239:4-8); APP 1071 (Jensen Tr. 300:4-301:7).

RESPONSE: Denied the proposed finding's characterization of the premium service contracts as "secondary service contracts" as the term is nowhere appeared in Ms. Lam's testimony. The proposed finding misstates and mischaracterizes the record. Mr. Jensen agreed that "That would be mathematically correct" in response to the statement that "the

amendments and the PSS and the premium charges all resulted in Bed Bath paying much closer to spot prices than it would have had it been able to rely on OOCL to fulfill the original contract price.” Jensen Dep. Tr. 300: 13-301:7 [APP-1071]. Admitted that Ms. Lam testified that “My understanding of the premium rate that we offered to the customers were much lower than the rate offered by NVO to other customers.” Lam Dep. Tr. 239:4-8 [APP-1398].

275. BBY was well aware that the secondary or premium contract was a separate space commitment from the traditional annual service contract. APP 822 (Hackett Tr. 37:4-18).

In an email dated January 21, 2021, BBY’s Paul Pastor wrote the following to Pacy Chow at Yusen:

Pacy, follow up to OOCL premium rate contract we signed this week. OOCL has put aside a separate allocation for BBB under this contract for weeks note below. It is important we take advantage of this space. [OOCL’s Jim Mitchell] reached out to me today and noticed we have not used all the space for week 5 on the EXC services into the USEC. Please any orders that are not yet conformed for these lanes and that cargo is available, please try to use this space.

RX-001235-37 (Ex. 292, P-0000179277).

Mr. Pastor testified that BBY moved cargo on extra loaders during the peak seasons of both service contract years because it shipped more than its total MQC:

Q. Okay. And those extra loaders were brought on during the pandemic to carry extra cargo beyond that contracted for in the original service contracts; correct?

MR. RUSHING: Objection. Form. Objection. Vague.

A. We sourced or moved some cargo on extra loaders, yes.

Q. And the purpose was that -- so that you could bring in additional cargo beyond that which was originally contracted for in the spring of each of those years, correct?

A. Well, the objective was to move it on the ocean carriers’ contract based on the MQC. But MQC divided by 52 doesn’t normally address peak seasons.

Q. So did you bring in more containers during those service -- those two years -- 2020/’21 and 2021/2022 -- than you had contracted for in the spring of each of those years with the various ocean carriers?

MR. RUSHING: Objection. Form.

A. Yes. Senior management contracted out to work with -- you know, to bring in cargo on extra loaders or charter vessels.

Q. Beyond that which had been contracted for in the service contracts in the spring of each of those years; correct?

MR. RUSHING: Objection. Form. A. Based -- our goal is to contract out what we're projecting in that upcoming year, and then contract that out within the MQCs that we did with our ocean carriers.

Q. I understand what the objective is. **But isn't it true that you ended up shipping so much more volume that you needed to have extra capacity during the pandemic years? Correct?**

MR. RUSHING: Objection to form. Mr. Pastor, you can answer, if you understand.

A. Okay. Did we add some extra volume? I'm sure we did have some extra volume. But what percentage is against the MQC, I couldn't tell you right now.

APP-1953-54 (Pastor Tr. 96:23-99:6).

Responses: Denied. The proposed finding misstates and mischaracterizes the record and contravenes the Presiding Officer's Scheduling Order (Dkt. 12, June 8, 2023) by presenting multiple factual propositions. While Mr. Pastor acknowledged that the premium rate contract was separate, stating, "I would agree that [the premium rate contract] was a different contract. It had a different contract number" (See Pastor Dep. Tr. 37:9-18 [APP-822]), the proposed finding selectively quotes the record. Mr. Pastor and Mr. Hackett both testified that BBBY needed to agree to premium contracts with OOCL because OOCL refused to book space under the regular Service Contracts. Hackett testified: "I wouldn't necessarily agree that it was for incremental space above and beyond. To me, and the way that, quite candidly, I think it got presented, it was like, if you want to get any space, you're going to need to sign these premium contracts and move these goods under these premium rates; otherwise, you're not going to get space on the vessel." See Hackett Dep. Tr. 37:19-38:8 [APP-822-821].

During the relevant time period, CSAL allocation often did not align with BBBY's actual needs, and OOCL would not adjust its internal CSAL allocations to meet those needs. Pastor explained: "We would provide projections—a two-month projection report. But they did not align with the CSAL report because it was being created before we would—it was being created in advance of our projections, and, therefore, they didn't align in many cases of what our needs were and what were on the CSAL." Pastor Dep. Tr. 102:13-20 [APP-1955]; Hackett Dep. Tr. 271:6-16 [APP-881].

Additionally, while Mr. Pastor acknowledged that extra loaders were used, he did not testify that they were solely used due to exceeding the total MQC. Instead, he explained that MQC/52 might not fully account for seasonality, and Mike Young raised concerns about

extra loaders in a presentation to OOCL's Hong Kong management team: "A. Well, we were told that there were premium contracts that were used for -- specifically for extra loaders, but it did not pull any MQC from the original or the basic contract. And so we were concerned, well, how do you then align the situation with their standard contract if they fall short on MQC, but they've achieved sufficient volume on the premium contract that would have taken them above MQC had they been applied, and so we raised that concern." *See* Young Dep. Tr. 263:15-264:7 [APP-2889].

5. BBY'S SUPPLY CHAIN MANAGEMENT FAILURES

276. BBY had only two employees in Southern California responsible for handling transportation of containers in and out of Southern California, namely Giselle Stupnik and Melinda Porter. APP 2638 (Stupnik Tr. 15:7-21).

RESPONSE: Admitted. BBY employees worked with EDRAI, which was brought on to assist BBY "due to the volume of containers, to help us manage visibility to all of the containers that were coming into Port of L.A. and Long Beach." Porter Dep. Tr. 61:8-18 [APP-2134].

277. BBY outsourced drayage and coordination to EDRAI and drayage providers. APP 2639 (Stupnik Tr. 20:22-21:17).

RESPONSE: Denied. Ms. Stupnik testified that EDRAI and drayage carriers made the actual transportation of the containers from the marine terminals to the warehouse. Stupnik Dep. Tr. 20:22-21:17 [APP-2639]. BBY employees worked with EDRAI, which was brought on to assist BBY "due to the volume of containers, to help us manage visibility to all of the containers that were coming into Port of L.A. and Long Beach." Porter Dep. Tr. 61:8-18 [APP-2134].

278. BBY had space at four warehouses in Southern California, each of which also provided space to other shippers. APP 2640 (Stupnik Tr. 24:1-25:22).

RESPONSE: Denied. Ms. Stupnik testified that BBY shared space with other shippers at warehouses but did not provide details. Stupnik Dep. Tr. 24:1-25:22 [APP-2650]. Additionally, Ms. Porter explained that BBY had exclusive use of the City of Industry facility, while the Santa Fe Springs and Walnut locations housed other customers as well. Porter Dep. Tr. 25:17-26:2 [APP-2181-82].

279. Because their warehouses were full, BBY stored hundreds of loaded containers on chassis at the warehouse container yards in Southern California and other remote locations. APP 2644; 2678-79 (Stupnik Tr. 38:3-40:4; 175:25-177:1); 180:1-13; APP 2124-25; 2152 (Porter

Tr. 19:14-18; 22:19-23:4; 130:11-15 (“Containers in the yard, yes, we were full.”); APP 2411-12 (Shippee Tr. 84:14-86:1).

RESPONSE: Denied. The proposed finding misstates and mischaracterizes the record. Ms. Stupnik’s testimony did not specify the time period. There were periods during 2020-2021 when BBY’s container yards and some of its warehouses were not full. Porter Dep. Tr. 129:11-130:22 [APP-2151-52]. Ms. Porter testified that “in the initial parts of the pandemic, we were not full. They became full as containers were arriving, and you know, due to the pandemic, things were shut down. We were unloading containers into the building and storing the freight.” Porter Dep. Tr. 22:24-23:4 [APP-2115]. Even in the fall of 2021, when warehouses were generally full, not all buildings were at capacity. Porter Dep. Tr. 18:4-9 [APP-21214].

280. When BBY’s warehouse was full, it could not move a full container from a marine terminal to its warehouse. APP 2647 (Stupnik Tr. at 50:15-51:5).

RESPONSE: Denied. Ms. Stupnik testified in a hypothetical scenario.

281. BBY had a practice of “hold back” or storage of products at the warehouse based on sales. APP 2648-49 (Stupnik Tr. 56-58).

RESPONSE: Denied. The proposed finding oversimplifies Ms. Stupnik’s testimony and disregards multiple operational factors that could influence the decision to hold back inventory at a particular time. Stupnik Dep. Tr. 56:15-57:9 [APP-2648].

282. It was BBY’s practice to hold merchandise in warehouses. APP 833 (Hackett Tr. 79).

RESPONSE: Denied. Mr. Hackett was familiar with the term “holdback” but stated that he “had nothing to do with that whole pool network and the shipments from the import DCs out through the pool points and then out to the stores. That just wasn’t my area of responsibility.” Hackett Dep. Tr. 78:16-80:13 [APP-833].

283. BBY held back approximately 20 percent more cargo in warehouses during the pandemic than it did pre-pandemic. APP 2649 (Stupnik Tr. 59-61).

RESPONSE: Denied. The proposed finding misstates and mischaracterizes the record, as Ms. Stupnik testified that it was “not to [her] knowledge” whether it was “higher during the pandemic than it was pre-pandemic.” Stupnik Dep. Tr. 58:11-19 [APP-2649]. Her testimony regarding how much more BBY held back its cargo was purely speculative.

284. BBY would prioritize the pickup of some cargo by designating it as “hot” and leave other cargo at the marine terminal. APP 2656; 2673; 2675 (Stupnik Tr. 86-87; 155-156; 164-165). BBY’s Melinda Porter testified:

All right. Let’s go to the exhibit previously marked as Exhibit 128. So this is an E-mail from you to Forrest Group E-mail, Gisella Stupnik, as well as Graham Berg, at Bed Bath, dated October 29, 2021. And the subject is “BBB Knight Container Tracking and Yard Report.” Do you see that?

A. Yes, I see that.

Q. If we go to your first paragraph, you write, “I have flagged BBB mission critical POs. These are the priorities for pickup. We will leave the other stuff behind in order to get these hot containers off the dock. We need this freight in our stores in November.” Did I read that correctly?

A. You did.

Q. And so, essentially, what you were doing is you were identifying certain containers that had priority for pickup, and everything else would be left at the terminal facility; correct?

MS. SHI: Objection; form.

THE WITNESS: That’s what the E-mail says.

BY MR. LETOURNEAU:

Q. That’s what you wrote; correct?

A. That’s what the E-mail says, yes.

Q. And you wrote the E-mail; right?

A. Yes.

APP 2147 (Porter Tr. 111:6-112:6).

RESPONSE: Denied. The proposed finding contains multiple factual propositions and thus contravenes the Presiding Officer’s Scheduling Order. (Dkt. 12 (June 8, 2023)). The proposed finding mischaracterizes BBY’s actions by stating that it would “leave other cargo at the marine terminal.” Ms. Stupnik and Ms. Porter testified that BBY prioritized certain containers as “mission critical” or “hot” for priority pickup, ensuring these containers were moved first. Retailers, including BBY, have seasonal items that require prioritization. For example, Ms. Porter testified that she would flag Christmas holiday containers as hot so they

could “jump to the front of the line as far as pick-ups as [BBBY] need to get this stuff to the stores for the holidays.” Stupnik Dep. Tr. 155:3-13 [APP-2673].

285. On October 8, 2021, BBBY asked Forest Logistics to hold BBBY’s containers because BBBY’s landlord at a BBBY warehouse was preventing it from bringing in any more containers. APP 2671 (Stupnik Tr. 147:20-149:17).

RESPONSE: Admitted.

286. On November 24, 2021, BBBY’s Melinda Porter told BBBY’s drayage provider that it must do one-for-one exchanges of loaded to empty containers; the provider had brought in 13 and took out 4, which was not acceptable to BBBY. APP 2148-49 (Port Tr. 117:19-120:7); RX-001034-41 (Ex. 130, P-0000402518); APP 2677 (Stupnik Tr. at 170:15-172:7).

RESPONSE: Denied. The proposed finding misstates and mischaracterizes the record. Ms. Porter communicated to the drayage provider that City of Industry and Santa Fe Springs were one-to-one at that specific time. BBBY was actively working with the drayage providers to ensure the return of empty containers as part of its due diligence. Porter Dep. Tr. 118:24-119:22 (“Due to this time of year, we kept stressing that, you know, we have to do due diligence to make sure that, if there are empties, that they take them out so we don’t clog our yard up with containers that don’t have freight on them anymore. That’s what was happening during this time period.”) [APP-2149].

287. John McCown’s Report ¶ 170 cites Gisella Stupnik’s deposition at 187:14-188:3 for the proposition that BBBY was willing to take on extra drayage costs, but Ms. Stupnik testified to no such thing. APP 2681 (Stupnik Tr. 187:14-188:3). When asked what were those other storage facilities to which BBBY sought to move containers, she testified that she knew there were conversations, but did not know the names or locations of the storage facilities, and she did not see any containers leave the warehouses destined for these other storage facilities. APP 2681 (Stupnik Tr. 189:6-17).

RESPONSE: Denied. The proposed finding contains multiple factual propositions and thus contravenes the Presiding Officer’s Scheduling Order. (Dkt. 12 (June 8, 2023). BBBY utilized additional distribution centers in order to process freight more quickly. See Soban Dep. Tr. 232:11-233:8 (“Q. Okay. So, before, you stated that backlog, equipment shortages inside the port and outside, you had become creative. Could you clarify what you meant by

this? And could you give us more examples about this? A. . . . At one point, we utilized additional [distribution centers]s to process and handle the freight.”) [APP-2488]. This process was out of the ordinary and involved approving additional costs. *See* Soban Dep. Tr. 163:24-164:24 (“And I am asking them for a favor to pre-pull all those containers and then store them. Because this is not our carrier — this is OOCL's carrier — I worked with the Chicago import manager and asked if there was a way for us to do something. He said if we need to, we can bring it to one of our warehouses or DCs and then do a cross-dock, offload those containers so that we can free them up. This way, the carrier doesn't have to hold them because the carrier said they couldn't do the pre-pull, or whatever. So we wanted to do that as a means of alleviating the demurrage. We were working out of the box. This is not a normal time. But “pre-pull,” generally speaking, means the carrier has to pick up the container early from the port or railhead because they will not make the delivery at the time that was the window given to them by the DC. Then we need to approve that cost because it's an additional cost.”) [APP-2471]. *See* BBY's Finding of Fact Arg.I.D.5.

288. During the pandemic, it was common for containers to remain at BBY not to unload goods from many containers because taking those goods out of the container would overwhelm the capacity of the already-full warehouse. Instead, the cargo remained in the containers, where it would take up less space and could be more easily moved. APP 2678-79 (Stupnik Tr. 175:22-177:5; 178:20-180:13).

RESPONSE: Denied. The proposed finding contains multiple factual propositions and thus contravenes the Presiding Officer's Scheduling Order. (Dkt. 12 (June 8, 2023)). The proposed finding misstates and mischaracterizes the record. Ms. Stupnik simply testified that during the pandemic, it was common for loaded containers to remain at BBY's facilities because the warehouses were full.

289. During the pandemic, lockdowns of various ports and cities in China, India, and Vietnam occurred sporadically. APP 865 (Hackett Tr. 207:3-16). When these ports/cities locked down, BBY's cargo already loaded in containers could not be moved for export to the United States. APP 865 (Hackett Tr. 207:17-208:1).

RESPONSE: Denied. The proposed finding contains multiple factual propositions and thus contravenes the Presiding Officer's Scheduling Order. (Dkt. 12 (June 8, 2023)). The proposed finding misstates and mischaracterizes the record. The proposed finding also misstates and mischaracterizes the record. Mr. Hackett made no mention of BBY's already loaded cargos and testified specifically about the 2021-2022 shipping year. Hackett Dep. Tr. 207:3-16 [APP-865]. He further explained: “What we had always looked at was we agreed on a certain volume to be moved during a certain period of time, and if there were shortfalls in one part of the year, at least historically, we were able to make them up in other parts of the

year. So, you know, it doesn't change, I guess, what the commitment was. It, obviously, makes it a lot more challenging." Hackett Dep. Tr. 207:17-208:13 [APP-865].

290. Historically, if BBY had a shortfall of its MQC to a carrier in one part of the year, BBY was able to make it up in other parts of the year. APP 865 (Hackett Tr. 207:17-208:8). COVID did not change the commitment, but it made it a lot more challenging to achieve. APP 865 (Hackett Tr. 208:9-13).

RESPONSE: Admitted. BBY consistently entered into service contracts covering 100% of its anticipated shipping needs for the year, and OOCL was fully aware that BBY intended to fulfill its MQC obligations under the Service Contracts. *See* BBY's Finding of Fact 335-336. BBY had substantial cargo ready for shipment throughout the contract period and historically made up any shortfalls later in the year. *See* BBY's Finding of Fact 290. The only barrier to fulfilling its MQC was OOCL's failure to provide the agreed-upon space. *See* BBY's Finding of Fact 128. Despite BBY's high shipping demand, OOCL repeatedly failed to allocate sufficient space, forcing BBY to take extraordinary measures—such as chartering vessels at inflated rates and utilizing alternative carriers—to move the cargo that should have been transported under its contracts with OOCL. *See* BBY's Finding of Fact 260, 340-345. OOCL's failure to meet its contractual obligations was not due to a lack of available capacity but rather its preferential treatment of premium-rate customers. *See* BBY's Finding of Fact 259. Had OOCL honored its commitments, BBY could have easily met its MQC without resorting to costly alternatives.

291. BBY did not always require the space on board OOCL's vessels that it had contracted for. APP 884 (Hackett Tr. 283:18-284:7) ("...if we didn't take it, we didn't need it. It's not like we had volume all the time on every land every week. Sometimes it would work. Sometimes it wouldn't. And I think you saw cases of that where you offer, what was it 500 F, and I think Yusen came back saying, you've only got enough cargo for half of that.").

RESPONSE: Denied. The proposed finding is vague and misstates and mischaracterizes the record. Mr. Hackett testified that BBY's need for space on OOCL's vessels fluctuated, and there were times when it did not use its full allocation because it did not have sufficient cargo. However, as Mr. Hackett explained, BBY made every effort to provide accurate forecasts. Hackett Dep. Tr. 287:4-288:1: "A. And, once again, we're a retailer. We're seasonal, right? We give the best estimate of what we think we're going to need for every carrier by week. . . . One of the reasons we think it was of high quality, it was based upon actual purchase orders. It wasn't just like some arbitrary number. We had orders that were written that said, hey, they should ship within this week." [APP-885].

292. BBY's Senior Director of International Supply Chain testified that to his

knowledge an analysis to determine whether or not OOCL provided all of the space it said it was going to provide was never done. APP 887 (Patrick Hackett Tr. at 294:5-10). Mr. Hackett is the same man who nevertheless signed a letter to OOCL claiming that OOCL had not met its container space commitments. APP 3307-08 (Ex. 177, February 9, 2022 letter signed by Patrick Hackett).

RESPONSE: Denied. The proposed finding contains multiple factual propositions and thus contravenes the Presiding Officer’s Scheduling Order. (Dkt. 12 (June 8, 2023). The proposed finding misstates and mischaracterizes the record. Mr. Hackett stated that he himself did not conduct such an analysis (Hackett Dep. Tr. 294:5-10 [APP-887]), but he was fully aware of the situation at the time when OOCL had not met its container space commitment (Hackett Dep. Tr. 182:20-184:22 [APP-859]).

293. Mr. Hackett admitted that there was never an agreed MQC breakdown “by week or by month.” APP 859 (Hackett Tr. 183:15-184:4).

RESPONSE: Denied. The proposed finding misstates and mischaracterizes the record. Mr. Hackett specifically testified about the language in the service contracts BBY entered into with OOCL. When allocating space, OOCL divided MQC by 52 weeks. Fung Dep. Tr. 91:9-92:5 [APP-783]. It is industry practice for shippers to expect a space allocation based on MQC divided by 52, with flexibility. Hackett Dep. Tr. 125:9-13 (“A. The other thing that we called out to all the carriers, and that’s the reason why we did the rolling forecast, is that a lot of these carriers would do this MQC divided by 52, and say, oh, here’s your allocation.”) [APP-844].

294. Mr. Hackett admitted that he added the graph at the bottom of the February 9, 2022 letter, which reflected the volume actually moved under the two service contracts in place in 2021. APP 860 (Hackett Tr. 186:7-22).

RESPONSE: Admitted.

295. Mr. Hackett admitted that he only knew what was carried rather than the amount of space that OOCL provided. APP 860 (Hackett Tr. 189:13-20).

RESPONSE: Admitted.

296. Mr. Hackett assumed the information regarding the amount carried came from Yusen, but he did not remember. APP 860-61 (Hackett Tr. 189:22-190:6).

RESPONSE: Admitted.

297. Mr. Hackett did not know whether BBY or Yusen ever tracked all of the container space that OOCL allocated but which BBY did not use during the pandemic years. APP 861 (Hackett Tr. 190:7-20).

RESPONSE: Denied. The proposed finding misstates and mischaracterizes the record. Mr. Hackett testified that “[Yusen] did track and report on, especially during this critical time, how often they made a booking request and how often that was accepted.” Hackett Dep. Tr. 190:7-20 [APP-861].

298. Mr. Hackett did not know whether BBY verified that in each case where a booking was declined, that it was the correct service loop. APP 861 (Hackett Tr. 190:21-191:2).

RESPONSE: Denied. The proposed finding misstates and mischaracterizes the record. Mr. Hackett testified that he did not know whether Yusen verified the service loop for each booking that was declined by OOCL. Hackett Dep. Tr. 190:21-192:2 [APP-861].

299. Mr. Hackett did not know whether BBY or Yusen verified that for every booking declination that the booking was timely made in accordance with guidance that OOCL provided. APP 861 (Hackett Tr. 192:12-20).

RESPONSE: Denied. Mr. Hackett said he could not answer the question “Did every booking declination that occurred, did Bed Bath or Yusen verify that the booking was timely made in accordance with the guidance that OOCL had provided?”, but did not say that he lacked knowledge. Hackett Dep. Tr. 192:12-20 [APP-861].

300. Mr. Hackett did not know for every booking request that was declined whether BBY or Yusen verified that the booking was made in accordance with the cargo allocation provided by OOCL. APP 862 (Hackett Tr. 194:9-18).

RESPONSE: Denied. Hackett said he could not answer the question, but did not say he lacked knowledge. Hackett Dep. Tr. 194:9-18 [APP-862].

301. On two occasions, BBY chartered vessels to move priority cargo. APP 848 (Hackett Tr. 138:6-17); RX-000979-996 (Ex. 201). “It wasn’t efficient from an internal cost standpoint, but at least it did get merchandise into the network and out to the stores.” APP 855

(Hackett Tr. 166:1-4). Whatever space it reserved, BBY would have to pay for it, whether used or not. APP 855 (Hackett Tr. 169:4-15). BBY chartered space from Sparx so it could move a “big bulk...at one time.” APP 878 (Hackett Tr. 260:22-261:4).

RESPONSE: Admitted.

A. Service Contract PE203297 and 17 Amendments (effective July 1, 2020 – April 30, 2021)

1. Bed Bath and Beyond’s Request for Proposals (“RFP”) Process and Negotiations with OOCL

2019-2023: BBY sharply increases its imported volumes but does not adequately plan

302. In 2019, BBY shipped approximately 5,000 containers through Southern California. APP 2645 (Stupnik Tr. 43:7-21).

RESPONSE: Admitted that Stupnik testified that based on personal knowledge, BBY shipped approximately 5,000 containers through Southern California in 2019. However, one person’s testimony based on one’s recollection cannot be construed that BBY indeed shipped approximately 5,000 containers through Southern California in that year.

303. In 2020, BBY shipped approximately 10,000 containers through Southern California. APP 2645 (Stupnik Tr. 44:1-11).

RESPONSE: Admitted that Stupnik testified that based on personal knowledge, BBY shipped approximately 10,000 containers through Southern California in 2020. However, one person’s testimony based on one’s recollection cannot be construed that BBY indeed shipped approximately 10,000 containers through Southern California in that year.

304. In 2021, BBY shipped approximately 15,000 containers through Southern California. APP 2645 (Stupnik Tr. 44:13-16).

RESPONSE: Admitted that Stupnik testified that based on personal knowledge, BBY shipped approximately 15,000 containers through Southern California in 2021. However, one person’s testimony based on one’s recollection cannot be construed that BBY indeed shipped approximately 15,000 containers through Southern California in that year.

305. In 2022, BBY shipped approximately 17,000 containers through Southern California. APP 2645 (Stupnik Tr. 44:18-21).

RESPONSE: Admitted that Stupnik testified that based on personal knowledge, BBY shipped approximately 17,000 containers through Southern California in 2022. However, one person's testimony based on one's recollection cannot be construed that BBY indeed shipped approximately 17,000 containers through Southern California in that year.

306. BBY doubled the amount of ocean imports into the U.S. from 2019 to 2021, from approximately 10,000 FEUs to 20,000 FEUs total. APP 822; 832 (Patrick Hackett Tr. at 36; 74-76).

RESPONSE: Admitted that Hackett testified that “[W]e typically did probably about 10 or 11,000, I think, FEU, or 40-foot equivalent FEU contracts” and that “I think towards the last year, maybe the contract in like ‘21, it probably – it closed to probably doubled the estimated number of containers up to around 20,000, in totality, in totality. But it would still get allocated to among four, five, maybe some years we had six carriers, as well, that we used.” Hackett Dep. Tr. 34:9-46:9 [APP-822]. However, the increase in FEUs concerns the amount of ocean imports into the U.S. from Asia, not all ocean imports into the U.S. Hackett Dep. Tr. at 35:17-22 (“Okay. But when you say it was a change in strategy, it was a change in strategy that resulted in an increase volume of containers that came into the U.S. from Asia during that period?”)

307. BBY's total MQC in all service contracts, in all trades, across all carriers in 2020-2021 was 24,100 TEUs. APP 1153 (Kastin Tr. 48:11-16).

RESPONSE: Admitted that the total MQC BBY had with other ocean common carriers in the relevant trades during the term of the service contracts that are the subject of this proceeding was 24,100 TEUs in the 2020-2021 shipping term. [APP-3351-52],

308. BBY's total MQC in all service contracts, in all trades, across all carriers in 2021-2022 across all carriers was 32,580 TEUs. APP 1153 (Kastin Tr. 48:11-16).

RESPONSE: Admitted that the total MQC BBY had with other ocean common carriers in the relevant trades during the term of the service contracts that are the subject of this proceeding was 32,580 TEUs in the 2021-2022 shipping term. [APP-3351-52].

309. On April 20, 2020, BBY issued its 2020 Ocean Request for Proposals (“RFP”) inclusive of Bed Bath & Beyond, Nantucket Distributing, buybuyBaby, Harmon Face Value, and Linen Holdings LLC. RX-000812 (P-0000017975).

RESPONSE: Admitted.

310. OOCL used BBY's customized 2019 service contract "boilerplate" (i.e., standard terms and conditions) to craft its bid. RX-001126-29 (OOCL_0000048503); RX-000803 (See also the draft at P-0000008933).

RESPONSE: Admitted.

311. On May 22, 2020, OOCL learned that BBY had invited it to bid for Round 2 of their request. RX-001130-49 (OOCL_0000048656).

RESPONSE: Admitted.

312. OOCL's bid in 2020 proposed an MQC of 4,200 TEU, which was the same MQC as had been agreed between by BBY in the prior contract year (i.e., July 1, 2019-June 30, 2020). RX-001130-49 (OOCL_0000048656).

RESPONSE: Denied. The proposed finding misstates and mischaracterizes the record. Mitchell's April 27, 2020, email stated that the proposed MQC of 4,200 TEUs was "same as current MQC" [RX-001145], but it is unclear whether this referred to BBY's original 2019-2020 bid MQC or any subsequent amendments.

313. As part of its bid, OOCL explained that it uses CSAL. RX-000820 (P-0000020293). Donna Forminio testified about how OOCL used BBY's forecasts to develop OOCL's space plan within CSAL:

A. If I remember correctly, Bed Bath & Beyond worked on a two-month rolling forecast, so they would provide us with a long-range forecast.

Q. Uh-huh.

A. Our space plan was done monthly. So I would use that long-range forecast to initially populate the space plan for Bed Bath & Beyond within CSAL. Then there would be, obviously, a fine-tuning of that long-range forecast. And that's when I would take what they needed, what changed from the initial forecast to see if I could work in what they needed when they -- when the vessel -- when the bookings became closer to the actual vessel they needed. And I tried to change the space plan to accommodate those forecasts. It wasn't always possible, but it did work.

APP 619-20 (Forminio R. 61:22-62:17).

RESPONSE: Denied. The proposed finding contains multiple factual propositions and thus contravenes the Presiding Officer’s Scheduling Order. (Dkt. 12 (June 8, 2023.)) The proposed finding misstates and mischaracterizes the record, The cited letter, dated May 29, 2020, does not mention CSAL. [RX-000820]. During the relevant time period, CSAL allocation often did not align with BBY’s actual needs, and OOCL would not adjust its internal CSAL allocations to meet those needs. See Pastor Dep. Tr. 102:13-20 (“We would provide projections -- a two-month projection report. But they did not align with the CSAL report because it was being created before we would -- it was being created in advance of our projections, and, therefore, they didn’t align in many cases of what our needs were and what were on the CSAL.”) [APP-1955]; Hackett Dep. Tr. 271:6-16 [APP-881]. Admitted only to the extent that Donna Forminio testified about CSAL as quoted Otherwise denied.

314. In letters to BBY dated May 4 and 29, 2020, OOCL explained CSAL and how BBY’s allocation under the service contract will be built. Specifically, OOCL noted “Space Allocation – OOCL provides weekly space under our ‘Customer Space Allocation’ program or what we call ‘CSAL.’” In the first week of every month we review and allocate weekly space for the coming month. We consider the award allocations from the RP as well as any customer forecasts. As a rule, it is the contract MQC divided by 52, but we have flexibility. CSAL is our weekly minimum space guarantee, so even under full ship scenarios, the Bed Bath & Beyond group would have their own allocations.” RX-000821 (P-0000020621); RX-000820 (P-0000020293).

RESPONSE: Denied. The proposed finding misstates and mischaracterizes the record. The two letters from OOCL summarizing OOCL’s 2020–2021 RFP did not mention CSAL, how BBY’s allocation would be structured, or any of the quoted language. [RX-000820-0821]. Rather, the letters stated: “[OOCL’s] summation is based on the requirements as outlined in the RFP introduction.” [RX-000820-0821]. BBY’s service contracts with OOCL did not contain any provisions tying BBY’s MQCs or OOCL’s corresponding service commitments with OOCL’s internal CSAL system, much less requiring that BBY ship or OOCL carry any specific quantities per week or month between any specific ports in accordance with CSAL. See Devine Dep. Tr. 165:6-13, 166:16-167:13 [APP-453-454]; Ex. 381 (McCown Report) ¶ 53 [APP-3765]. Allocations made under CSAL are made entirely at OOCL’s internal discretion regardless of whether the allocations lined up with BBY’s needs, projections, or requests, or OOCL’s service commitments to BBY. See Ex. 381 (McCown Report) ¶ 54 [APP-3766]; Mitchell Dep. Tr. 91:15-20 [APP-1700]; Dep. Ex. 182 [APP-3315-3316]. BBY’s logistics leaders did not know how, if at all, the rolling forecasts that they provided to OOCL were used in OOCL’s internal CSAL process, such as whether they were

entered into CSAL or used to make a comparison. *See* Hackett Dep. Tr. 268:10-14; 268:20-25 [APP-880]. BBY's logistics leaders did not know what CSAL was pegged to, such as, for example, MQC divided by 52. *See* Hackett Dep. Tr. 268:10-14; 268:20-25 [APP-880].

315. BBY did not provide timely forecasts of its weekly space needs to OOCL. For example, on May 26, 2020, BBY informed OOCL that it has not provided a forecast of its needs to OOCL past June 15, 2020 because they are in contract negotiations. RX 000824 (P-0000029684).

RESPONSE: Denied. The proposed finding misstates and mischaracterizes the record. The cited evidence does not establish that BBY failed to provide timely forecasts of its weekly space needs to OOCL. Instead, it reflects a specific instance where Pastor informed OOCL on May 26, 2020, that BBY had provided projections through mid-June but had not allocated beyond June 15 due to ongoing contract negotiations, stating, "If and when we finalize and come to terms I will provide additional months." [RX-000824]. In response, OOCL acknowledged receipt of the forecast and expressed appreciation, stating, "Good afternoon. Welcome back !!! Thank you for providing the forecast through mid-June, it is appreciated. Hoping that we will be seeing more forecast going forward." [RX-000824]. BBY made every effort to provide accurate forecasts. Hackett Dep. Tr. 287:4-288:1: "A. And, once again, we're a retailer. We're seasonal, right? We give the best estimate of what we think we're going to need for every carrier by week. . . . One of the reasons we think it was of high quality, it was based upon actual purchase orders. It wasn't just like some arbitrary number. We had orders that were written that said, hey, they should ship within this week." [APP-885].

316. OOCL requested a rolling non-binding forecast of expected shipments by origin and destination port pairs for the upcoming two months, around the 15th of every month during the contract period. RX-001391-1419 (0023/P-0000642198). As well, OOCL requested shippers to provide a projection of expected shipments ten days prior to the end of each calendar month for the upcoming month. RX-001420-44 (0023/P-0000642244). There exists no data in the record that BBY provided timely container shipping forecasts to OOCL.

RESPONSE: Denied. The proposed finding misstates and mischaracterizes the record. The first two sentences reference BBY's service contract with Yang Ming and HMM and do not support any part of the proposed finding. [RX-001391-1422.] The third sentence lacks a citation to supporting evidence, BBY would provide two-month projection reports to OOCL, but these reports often did not align with OOCL's CSAL because the CSAL was created before BBY's projections. Pastor Dep. Tr. 102:13-20 ("We would provide projections -- a two-month projection report. But they did not align with the CSAL report

because it was being created before we would -- it was being created in advance of our projections, and, therefore, they didn't align in many cases of what our needs were and what were on the CSAL.") [APP-1995]. BBY made every effort to provide accurate forecasts. Hackett Dep. Tr. 287:4-288:1: "A. And, once again, we're a retailer. We're seasonal, right? We give the best estimate of what we think we're going to need for every carrier by week. . . . One of the reasons we think it was of high quality, it was based upon actual purchase orders. It wasn't just like some arbitrary number. We had orders that were written that said, hey, they should ship within this week." [APP-885]. The proposed finding contains multiple factual propositions and thus contravenes the Presiding Officer's Scheduling Order. (Dkt. 12 (June 8, 2023)).

317. BBY and OOCL negotiated drafts of the 2020 service contract. RX-000816 (P-0000019659).

RESPONSE: Admitted.

318. PE203297 was for U.S. import cargo only and covered only the carriage of cargo from foreign ports to ports in the United States. RX-001074-1111 (Ex. 332, Service Contract PE203297).

RESPONSE: Admitted.

319. The annual service contract negotiation period usually occurred between January and the end of April. By way of a request for proposal ("RFP"), BBY would invite eight to ten ocean carriers to bid. By the time negotiations were completed, BBY would usually contract with five carriers. APP 819-20; 851 (Hackett Tr. 23:11-26:24; 152:12-23).

RESPONSE: Admitted. The proposed finding contains multiple factual propositions and thus contravenes the Presiding Officer's Scheduling Order. (Dkt. 12 (June 8, 2023)). BBY preferred service contracts with VOCCs for its ocean freight needs. Hackett Dep. Tr. 152:12-23 (BBY's goal was to "negotiate the best rates we possible could. And I would say, prior to this time frame, once again, we didn't need to go outside the contracts. We didn't need to use NVOs.") [APP-851].

320. The negotiations between BBY and OOCL culminated in PE203297, the duration of which was originally to be 52 weeks, namely from July 1, 2020 to June 30, 2021. RX APP-3360-97 (OOCL_0000146111).

RESPONSE: Admitted.

2. PE203297 (July 1, 2020 to April 30, 2021)

321. Appendix A of PE203297 indicated the MQC was 4,200 TEUs for the Far East to USA trade. APP-3360-97 (OOCL_0000146115).

RESPONSE: Denied. The proposed finding misstates and mischaracterizes the record. The origin countries/areas identified in Appendix A include Bangladesh, Cambodia, China, Hong Kong (China), India, Indonesia, Malaysia, Pakistan, Philippines, Singapore, South Korea, Sri Lanka, Taiwan, Thailand, and Vietnam. [APP-3378].

322. BBY's failure to tender the amount of cargo required by the MQC would have amounted to a breach of contract. [REDACTED]

[REDACTED]

[REDACTED]

RESPONSE: Denied. The proposed finding addresses BBY's contractual obligations and thus constitutes an inappropriate proposed conclusion of law. Additionally, the proposed finding does not define "tender" and, in any event, a shipper cannot tender cargo for delivery where a carrier refuses to accept bookings, allocate space, or otherwise prevent a shipper from tendering cargo. During the 2020 Service Contract year, despite committing to provide 2,100 FEUs of space to BBY. OOCL provided only approximately 1,475.85 FEUs of space, or 70.3% of its service commitment. *See* 1AC ¶ 35 [APP-85]; [REDACTED] *see also* Ex. 326 at 9, 10 [APP-3345-3346].

323. Despite BBY's failures to provide forecasts to OOCL as promised and in spite of BBY's cancelled bookings, OOCL carried 104% of the MQC in PE203297. APP 1392-1395 (K. Lam Tr. 214:25-226:11).

RESPONSE: Denied. The proposed finding lacks credibility, specifically as to Lam's testimony. *See* BBY's Finding of Fact Arg.VIII.A. The proposed finding also relies on self-serving analyses that lack credibility, specifically as to Exhibit 39. *See* BBY's Finding of Fact Arg.VIII.A. BBY would provide two-month projection reports to OOCL, but these reports often did not align with OOCL's CSAL because the CSAL was created before BBY's projections. Pastor Dep. Tr. 102:13-20 ("We would provide projections -- a two-month projection report. But they did not align with the CSAL report because it was being created before we would -- it was being created in advance of our projections, and, therefore,

they didn't align in many cases of what our needs were and what were on the CSAL.") [APP-1995]. OOCL itself admitted, "The allocations are short of the MQC/52". *See* OOCL_0000022318 (-22323) [APP-4125]. Moreover, OOCL canceled BBY's bookings without consistently providing explanations, often placing them in limbo by "pending" instead of accepting or rejecting them due to missing or outdated CSAL files. *See* Metzger Dep. Tr. 223:9-15 (In many cases, OOCL "pended" bookings—i.e., neither accepting nor rejecting the booking, but instead effectively placing it in limbo—because there was no CSAL file and OOCL had to wait for it to be updated.) [APP-1645]. OOCL in fact fell well short of its service commitments. During the 2020 Service Contract year, during which OOCL fell short of its service commitments to BBY by 624.15 FEUs, BBY had to undertake using NVOs or ocean freight forwarders on lanes that were supposed to be covered by OOCL's 2020 Service Contract. *See* P-0000801023 [APP-4418]; [REDACTED]

[REDACTED] During the 2021 Service Contract year, during which OOCL fell short of its service commitments to BBY by 1,363.26 FEUs, BBY had to undertake using NVOs or ocean freight forwarders on lanes that were supposed to be covered by OOCL's 2021 Service Contract. *See* P-0000801023 [APP-4418]; [REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

RESPONSE: Denied. The proposed finding addresses the obligations related to MQC and thus constitutes an inappropriate proposed conclusion of law. The proposed finding also relies on self-serving analyses that lack credibility, specifically as to Exhibit 39. *See* BBY's Finding of Fact Arg.VIII.A. Additionally, the proposed finding does not define "tender" and, in any event, a shipper cannot tender cargo for delivery where a carrier refuses to accept bookings, allocate space, or otherwise prevent a shipper from tendering cargo. The proposed finding baselessly conflates the concept of "tendering" cargo, which is nowhere defined in the Service Contracts, with the amounts of cargo that OOCL actually accepted and carried during the terms of the Service Contracts. In fact, despite committing to provide 2,100 FEUs of space to BBY during the 2020 Service Contract year, OOCL provided only approximately 1,475.85 FEUs of space, or 70.3% of its service commitment. *See* 1AC ¶ 35 [APP-85]; [REDACTED]

RESPONSE: Denied. The proposed finding addresses issues concerning whether the amendments to the BBY-OOCL service contracts were mutually agreed upon and the applicability of liquidated damages, and thus constitutes an inappropriate proposed conclusion of law.

[REDACTED]

[REDACTED]

[REDACTED]

RESPONSE: Admitted only as to Note SV's language stating: "Notwithstanding any provision in this Contract, this clause supersedes all terms to the contrary. Rates in Appendix A of this Contract are not subject to any new surcharge published in Carrier's governing tariff that becomes effective after the commencement of this Contract. Provided, however, if at any time this Contract is amended to reduce any rate(s) set forth in Appendix A, the preceding sentence shall be void and all of the rates in this Contract shall be subject to all surcharges published in Carrier's governing tariff that becomes effective on or after the effective date of such downward rate adjustment." Otherwise denied.

[REDACTED]

[REDACTED]

[REDACTED]

RESPONSE: Admitted only as to Paragraph 9's language stating: "No modifications or adjustments to such rate and charges shall be valid unless contained in a written and duly executed amendment to this contract, which has been filed with the FMC." Otherwise denied. Paragraph 6 pertains to tariff changes and does not support the proposed finding. OOCL [REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

RESPONSE: Admitted.

[REDACTED]

RESPONSE: Admitted.

[REDACTED]

RESPONSE: Admitted. BBY would provide two-month projection reports to OOCL, but these reports often did not align with OOCL's CSAL because the CSAL was created before BBY's projections. Pastor Dep. Tr. 102:13-20 ("We would provide projections -- a two-

month projection report. But they did not align with the CSAL report because it was being created before we would -- it was being created in advance of our projections, and, therefore, they didn't align in many cases of what our needs were and what were on the CSAL.") [APP-1995]. BBY made every effort to provide accurate forecasts. Hackett Dep. Tr. 287:4-288:1: "A. And, once again, we're a retailer. We're seasonal, right? We give the best estimate of what we think we're going to need for every carrier by week. . . . One of the reasons we think it was of high quality, it was based upon actual purchase orders. It wasn't just like some arbitrary number. We had orders that were written that said, hey, they should ship within this week." [APP-885].

RESPONSE: Admitted.

urdoch Dep. Tr. 164:12-15 [APP-1842].

As of Week 11 of 2022, OOCL's North America Group had declined approximately 24% of total booking activity for that year. *See* Dep. Ex. 105; Donohue Dep. Tr. 149:21-24 [APP-571] that Paragraph 10 of Service Contract PE203297 states that booking acceptance was subject to equipment availability. The proposed finding also omits the pertinent context that during this period:

-

- OOCL also gave more space and bookings to Asia-based BCOs, redirecting space from North American BCOs. (*See* BBY's Findings of Fact ¶ 313.)

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

RESPONSE: Admitted only as to the proposed finding that Paragraph 13 of PE203297 states the above. Otherwise denied.

[REDACTED]

[REDACTED]

[REDACTED]

RESPONSE: Admitted that Paragraph 20 of PE203297 states the above. Otherwise denied.

[REDACTED]

[REDACTED]

RESPONSE: Admitted only as to David Kastin’s testimony that “I’d say the contract speaks for itself.” Otherwise denied.

[REDACTED]

[REDACTED]

RESPONSE: Denied. The proposed finding addresses issues concerning whether the amendments to the BBY-OOCL service contracts were mutually agreed upon, and thus constitutes an inappropriate proposed conclusion of law. The proposed finding fails to include “an exact citation to evidence” and thus contravenes the Presiding Officer’s Scheduling Order. (Dkt. 12 (June 8, 2023).) [REDACTED]

[REDACTED]

JULY 2020

336. PE203297 became effective on July 1, 2020. On July 7, 2020 OOCL provided BBY, through its booking agent Yusen, with space allocations for weeks 31-34 (i.e., July 19-August 15, 2020). RX-003129 (OOCL_0000072153). Understanding that BBY would be likely to have peak needs in August (i.e., above the standard weekly allocation), but not knowing what those would be, OOCL requests BBY send it a forecast so it can try to provide space above allocations. RX-000811 (P-0000017935).

RESPONSE: Admitted that PE203297 became effective on July 1, 2020, and that on July 7, 2020, OOCL provided BBY, through its booking agent Yusen, with space allocations for weeks 31-34. The proposed finding misstates and mischaracterizes the record. It also contains multiple factual propositions and thus contravenes the Presiding Officer’s Scheduling Order. (Dkt. 12 (June 8, 2023).) The proposed finding falsely asserts that OOCL requested BBY to provide a forecast for potential peak needs in August beyond the standard weekly allocation, when the cited email makes no mention of peak seasons or exceeding standard allocations. Instead, the record shows that Paul Pastor was raising concerns about OOCL’s flawed and unilateral CSAL allocation scheme, which would leave BBY with insufficient space. Seeking clarity, Pastor reached out to Mitchell regarding OOCL’s bottom-line allocation to BBY in FEUs. After Mitchell provided the August space allocation, Pastor challenged the basis of OOCL’s allocation, responding: “Jim... how did you create the attached allocation? Did you guys do this on your own or did Nantucket provide you w/ these projections? Pls clarify. Thanks.” [RX-000811].

337. On July 10, 2020, OOCL’s Jim Mitchell told BBY’s Patrick Hackett that the Nantucket allocations were based on contract awards given to OOCL upon contract signing. The ECC2 service is Boston direct call from SHA/NIN/QIN. The balance of the allocations were based on the current BBY group booking history and the most recent BBY forecast. RX-000817 (P-0000019869).

RESPONSE: Admitted.

338. On July 10, 2020, BBY (and Yusen) asked OOCL for additional allocation of 4- 5 FEUs over allocation. OOCL explained that BBY had no booking history from the requested port and that BBY had not forecasted any needs for such, thus was not allocated space on that port call. RX-000818 (P-0000019960).

RESPONSE: Denied. The proposed finding misstates and mischaracterizes the record. It also contains multiple factual propositions and thus contravenes the Presiding Officer’s Scheduling Order. (Dkt. 12 (June 8, 2023.)) The cited email does not mention BBY (or Yusen)’s request for additional allocation ex Semarang, nor does it contain any of the explanations asserted in the proposed finding. Instead, the email explicitly states that, despite prior attempted (but declined) bookings indicating BBY’s needs, OOCL would only allocate 2 TEUs per week for weeks 31-34. [RX-000818].

339. Anticipating additional (“peak”) demand in August, 2020, OOCL on July 20, 2020, advised BBY that OOCL may have an extra loader in August from Shanghai and Yantian to Los Angeles/Long Beach and asked BBY for feedback as to which week it would prefer to see an extra loader, and how much additional volume (i.e., above BBY’s MQC standard allocation, and forecast which OOCL still did not have) BBY may wish. RX-003130-34 (OOCL_0000021868-72). BBY responded that it wanted to increase its space requirement at Yantian. RX-000839 (P-0000047481).

RESPONSE: Denied. The proposed finding misstates and mischaracterizes the record. It also contains multiple factual propositions and thus contravenes the Presiding Officer’s Scheduling Order. (Dkt. 12 (June 8, 2023.)). OOCL did not ask BBY how much above BBY’s MQC standard allocation it could provide. Rather, on July 20, 2020, Mitchell

inquired about “how much additional volume, above [BBBY’s] forecasted volumes, may BBBY be able to provide for the extra loaders from each origin.” [RX-003134]. On July 28, 2020, Yusen, on behalf of BBBY, emailed Mitchell stating, “We would like to increase our space requirement ex-Yantian.” [RX-000839]. In response, Mitchell removed Yusen from the email chain and informed BBBY that, after consulting with OOCL’s Trade department, “for BBBY to position themselves to have cargo on the extra loader we would need to file rates for this single voyage ex-Yantian and Shanghai to LALGLB (YY) at \$1,950 per 40’ GP/HQ, with OSPF.” [RX-00839]. [REDACTED]

340. INTENTIONALLY LEFT BLANK

RESPONSE: N/A

AUGUST 2020

341. On August 3, 2020, Tropical Storm Isaias hit the U.S. East Coast, causing port closures there and resulting disruptions. RX-000841 (P-0000052389).

RESPONSE: Admitted.

342. On August 4, 2020, OOCL advises BBBY that BBBY’s bookings are not lining up with forecasted weeks. APP 844 (Hackett Tr. 122:10-123:2); RX-1238-39 (Ex. 197).

RESPONSE: Denied. The proposed finding misstates and mischaracterizes the record. The email chain began when Paul Pastor wrote to Jim Mitchell on August 4, 2020: “Jim, why are we not getting space out of our largest volume port that was spelled out in our RFP and in projections I sent out Shanghai for last week, this week and into next week nothing. Yantian the same. India no space and part of that is OOCL cannot supply equipment. We need help as OOCL will be looking for help during slack season and that BBB always supports. . . We missed out on the extra loader but not getting space on the regular vessels.” [RX-1238] In response, Mitchell wrote: “Although [BBBY has] been providing a rolling forecasts, there are times when the bookings do not line up with the forecasted weeks.” [RX-1238]. BBBY was struggling to secure space within its regular weekly allocation and was forced to seek space through higher-priced extra loaders or premium contract allocations.

[REDACTED]

[REDACTED]

[REDACTED]

RESPONSE: Admitted

344. BBY inadequately anticipated its needs and failed to convey its additional space needs to OOCL in a timely fashion. On August 11, 2020, OOCL’s Jim Mitchell told BBY’s Paul Pastor that OOCL’s North American Group (NAG) was required to submit its customers’ desired space allocations for August no later than June 30th. But as of June 30, the most recent forecast Mitchell had received from BBY was dated May 26. And OOCL did not receive another forecast from BBY until July 13. RX-000791 (P-0000005892).

RESPONSE: Denied. The proposed finding misstates and mischaracterizes the record. The cited evidence does not establish that BBY “inadequately anticipated its needs and failed to convey its additional space needs to OOCL in a timely fashion.” On May 26, 2020, BBY’s Paul Pastor informed OOCL that BBY had provided projections through mid-June but had not allocated beyond June 15 due to ongoing contract negotiations, stating, “If and when we finalize and come to terms I will provide additional months.” [RX-000824]. The cited email from Jim Mitchell noted that the September allocations “are short of the MQC/52. . . we had to submit our space allocations for August on June 30th. At time the most up to date forecast we had from BBB was dated May 26th. When we receive your July 13th forecast, we did what we could to provide coverage through the space allocation swaps.” Otherwise denied. It should also be noted that [RX-000791]. BBY made every effort to provide accurate forecasts. Hackett Dep. Tr. 287:4-288:1: “A. And, once again, we’re a retailer. We’re seasonal, right? We give the best estimate of what we think we’re going to need for every carrier by week. . . . One of the reasons we think it was of high quality, it was based upon actual purchase orders. It wasn’t just like some arbitrary number. We had orders that were written that said, hey, they should ship within this week.” [APP-885].

345. Responding to Mr. Mitchell’s request of August 11, on August 13, 2020, Mr. Pastor complained that it had sent OOCL August and September forecasts on July 13, but that allocations

OOCL had set in May for those months were based not on the July 13 forecasts, but on forecasts BBY had made in June and July. Incredulous that space planning had to be done on such an advanced basis, Mr. Pastor asked why OOCL made allocation decisions so far in advance. RX-000792 (P-0000005902). Mr. Mitchell advised that it takes 8-10 business days for OOCL to make adjustments to its planned space allocations. But Mr. Mitchell offered a solution to BBY so that it can bring its two month rolling forecasts in alignment with OOCL's allocation planning needs: once he has been apprised of the deadline for submission from OOCL's space planners, he would call Mr. Pastor to review the forecast and discuss potential volume surges and how OOCL could meet them. RX-000829 (P-0000035761); APP 1230-33 (Ex. 195).

RESPONSE: Denied. The proposed finding misstates and mischaracterizes the record. It also contains multiple factual propositions and thus contravenes the Presiding Officer's Scheduling Order. (Dkt. 12 (June 8, 2023.)). The characterization of Hackett's response as "incredulous" is in interpretive leap rather than a factual assertion. Frustrated with OOCL's space planning, Pastor wrote: "Jim.....given that we send you our rolling 2 month forecast around the 15th of each month how are we ever going to align w/ your forecasting process (i.e. we sent you our August & September forecasts on 7/13 but you already made your August allocations in Mat based on our June & July forecasts!)? Why are you making your allocation decisions so far in advance as this timing will never work for us?" [RX-00792.] Though Mitchell proposed involving Paul Pastor to better align BBY's forecasts with OOCL's allocations under its CSAL mechanism, the cited email does not establish that this solution would have made a difference. [RX-000829.] In fact, during the relevant time period, CSAL allocation often did not align with BBY's actual needs, and OOCL would not adjust its internal CSAL allocations to meet those needs. See Pastor Dep. Tr. 102:13-20 ("We would provide projections -- a two-month projection report. But they did not align with the CSAL report because it was being created before we would -- it was being created in advance of our projections, and, therefore, they didn't align in many cases of what our needs were and what were on the CSAL.") [APP-1955]; Hackett Dep. Tr. 271:6-16 [APP-881].

346. On August 12, 2020, OOCL provided its container space allocations for weeks 31 to 34. APP 3000-01 (Ex. 25); APP 838 (Hackett Tr. 101:19-102:4).

RESPONSE: Admitted.

347. In Week 34 (August 2020) OOCL confirmed ("released") an additional 12 TEUs. APP 844 (Hackett Tr. 122;10-123:2). BBY may have had trouble with its vendors delivering

cargo to port at origin timely in order to achieve BBY's forecasted space needs. APP 844-45 (Hackett Tr. 123:3-124:3; 127:9-128:12).

RESPONSE: Denied. The proposed finding misstates and mischaracterizes the record. It also contains multiple factual propositions and thus contravenes the Presiding Officer's Scheduling Order. (Dkt. 12 (June 8, 2023).) The term "additional" does not indicate that the requested container was in addition to the service commitment promised by OOCL and OOCL's shortfall demonstrates that the requested container was not, in fact, in addition to the amounts OOCL had guaranteed that it would carry. Mitchell's email concerns 12 TEUs using OOCL's space allocation swaps ([RX-001238]), which were only permitted two weeks in advance (Forminio Dep. Tr. 272:13-275:5 [APP-672-673]). While Hackett testified to the potential issues with vendors delivering cargo to port, he also explained that "There's a million different things that could happen" (Hackett Dep. Tr. 127:16-128:12) [APP-845] and that "stuff could happen, that things wouldn't necessarily line up perfectly every time." (Hackett Dep. Tr. 123:10-20) [APP-844]. BBY and Yusen made every effort to remain communicative. Hackett Dep. Tr. 128:5-12 ("At least on the Bed Bath Yusen side, you know, we were always trying to be communicative and call things out, trying to let them know always what the latest and best information we had to try and work with them to make sure that what we did have could, in fact, be handled by them.") [APP-845].

348. By August 19, 2020, OOCL reports to BBY that it had thus far carried a pro-rata 104% of the contracted MQC. RX-000793 (P-0000005979).

RESPONSE: Denied. The proposed finding misstates and mischaracterizes the record. The cited email does not mention whether OOCL had carried 104% of the MQC. Instead, the email reflects Mitchell's acknowledgment of "BBY's frustration, given the large volumes which BBY are looking to move," his admission that OOCL was "short against expectations," and further evidence of the unworkable CSAL allocation [RX-000793].

349. On August 19, 2020, OOCL's Jim Mitchell told BBY's Paul Pastor that OOCL's CSAL allocations for September have been provided to both BBY and Nantucket. RX-000815 (P-0000019059).

RESPONSE: Admitted.

350. OOCL reminded BBY about why it needed accurate booking information. APP 845-847 (Hackett Tr. 130:25-135:10); RX-00112-11 (Ex. 198).

RESPONSE: Admitted to the extent that Mitchell emailed: "Book to the allocation. Do not book above the allocation. If the allocation is 6 TEUs, do not book 8 TEUs. We will not release the 6 TEUs against a booking made for 8 TEUs." [RX-000977-978]. [REDACTED]

351. On August 24, 2020, BBY provided OOCL a revised rolling forecast for October but advised that BBY may have more changes because its buying group may add more orders when BBY sends the next forecast for October on September 15. RX-000827 (P-0000035584).

RESPONSE: Admitted.

352. On August 26, 2020, Yusen contacted OOCL to request an additional 1x40'HQ "to cover urgent shipment." RX-000790 (P-000005798). BBY's Patrick Hackett tells OOCL "you guys know what a difficult situation we're currently in re space so pls do whatever you can to satisfy out below need for just 1 more container." *Id.*

RESPONSE: Denied. The proposed finding contains multiple factual propositions and thus contravenes the Presiding Officer's Scheduling Order. (Dkt. 12 (June 8, 2023).) The proposed finding misstates and mischaracterizes the record. Yusen clarified to OOCL that BBY needed 2x40'HQ to fulfill the released #2645046950, and that 1x40'HQ would not work [RX-000790]. BBY's need was based on actual purchase orders. Hackett Dep. Tr. 287:4-288:1 [APP-885]. Yusen's August 26, 2020 email illustrates how CSAL often failed to align with BBY's actual needs. Further, the term "additional" does not indicate that the requested container was in addition to the service commitment promised by OOCL and OOCL's shortfall demonstrates that the requested container was not, in fact, in addition to the amounts OOCL had guaranteed that it would carry. Admitted only as to Mr. Hackett's email: "Jim/Tom.....you guys know what a difficult situation we're currently in re space so pls do whatever you can to satisfy our below need for just 1 more container. Thanks." [RX-000790].

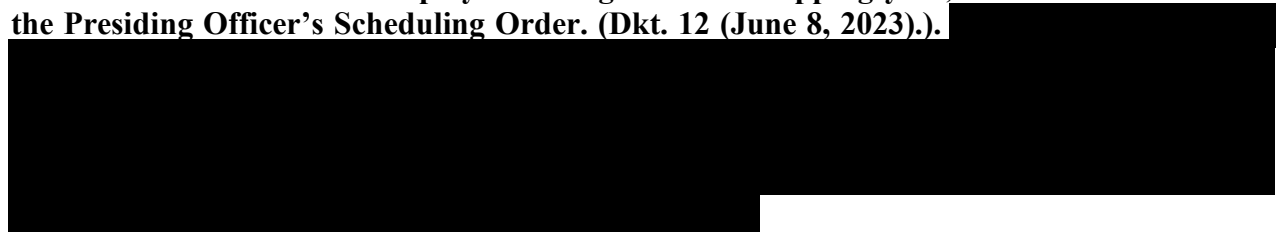
353. On August 27, Amendment No. 2 was mutually agreed by the Parties. RX-000828 (P-0000035614).

RESPONSE: Denied. The email does not support the proposed finding that Amendment No. 2 was mutually agreed upon on August 27. Instead, it shows that BBY was still requesting more space, and OOCL proposed an alternative solution but was awaiting confirmation.

354. John Hartmann, Chief Operating Officer of BBY agreed with OOCL to amend PE203297 to add special rates from Shanghai and Yantian to Los Angeles but this would be

applicable only to vessel voyage SC2 RFA 002E. APP 3402-07 (Ex. 334, OOCL_000022299; OOCL_0000022300). This was the first extra loader employed during the 2020 shipping year.

RESPONSE: Denied. The proposed finding uses the term “special rates” without specific definition in a manner material to the RPFF or BBY’s responses thereto. The proposed finding fails to include “an exact citation to evidence” to support the assertion that “This was the first extra loader employed during the 2020 shipping year,” and thus contravenes the Presiding Officer’s Scheduling Order. (Dkt. 12 (June 8, 2023)).



355. On August 28, 2020, OOCL advised that BBY had already used all of its space allocations for Week 38 (September 9) but offered BBY more space in Week 39. RX-001445-1662 (P-0000623886).

RESPONSE: Denied. The proposed finding lacks evidence and fails to include “an exact citation to evidence”—the cited appendix pages are missing from OOCL’s appendix—and thus contravenes the Presiding Officer’s Scheduling Order. (Dkt. 12 (June 8, 2023).) The document with bates stamp P-0000623886 appears to be a spreadsheet and not a communication from OOCL to BBY. Throughout the period in question, OOCL provided BBY with space allocations that were less than MQC, and as a result, BBY could never achieve the MQC for the 2020 and 2021 Shipping Years. (See BBY’s Finding of Facts 93-111, 113-118.)

SEPTEMBER 2020

356. OOCL provided its space allocations to BBY on a monthly basis. See e.g. APP RX-000974-976 (Ex. 196).

RESPONSE: Admitted.

357. On September 2, 2020 (Week 37), BBY did not tender any cargo for the space that OOCL had been allocated to it, a total of 16 TEUs (12 + 4 TEUs). APP 142 (Hackett Tr. 114:23-116:7); RX-000974-76 (Ex. 196, OOCL_0000092455). Nevertheless, on September 4, 2020, OOCL tried to accommodate BBY and encourage BBY to meet its MQC, saying it can

swap space allocations if it does not make bookings against particular allocations. APP 843 (Hackett Tr. 120:14-17).

RESPONSE: Denied. The proposed finding misstates and mischaracterizes the record. On September 2, 2020, Paul Pastor reached out to Jim Mitchell because “as of today we are showing very little confirmed in wk 36 for OOCL.” [RX-000975]. The chart in the email indicated that for week 37, OOCL only confirmed limited bookings from Yantian, with no other confirmed bookings from other origins [RX-000976]. Mitchell responded: “As reference, we had provided BBB space ex CBPs to LAS/LGB in WK # 37, a total of 12 TEUs, with another 4 TEUs ex HCM, but no bookings were made.” However, during the relevant time period, OOCL failed to accurately track booking attempts. Unless there was specific follow-up between the customer and an OOCL customer service representative, the customer’s booking request “would never get input into IRIS-4” Murdoch Dep. Tr. 164:23-180:15 [APP-1842-1846]. When asked about Mitchell’s email during his deposition, Pastor testified that “it is what it is, how it’s written. I can’t talk to why bookings weren’t made at that point.” Hackett Dep. Tr. 115:18-116:4 [APP-824]. Regarding week 37, the September 4, 2020 email simply states that OOCL might be able to swap space allocations. does not establish that the swaps were to “encourage BBY to meet its MQC.” [RX-000974].

358. For the extra loader in week 39, BBY booked 8 TEUs ex Yantian but was declined as OOCL only provided an allocation ex Shanghai. APP 842 (Hackett Tr. 116:12-117:9); RX-000974-76 (Ex. 196). OOCL provided 20 TEU allocation on extra loader ex Shanghai, but BBY did not book any containers. APP 842 (Hackett Tr. 118:10-24).

RESPONSE: The proposed finding misstates and mischaracterizes the record. For allocations ex Shanghai on the extra loaders, the booking window was not closed at the time Jim Mitchell sent the email [RX-000975]. Admitted only as to Jim Mitchell’s email dated September 2, 2020: “Meantime, for the WK # 39 extra loader, SC2-RFA-002 E, we see that BBB booked 8 TEYs ex Yantian, but was declined. The booking was declined as we only provided an allocation ex Shanghai. For Shanghai on the extra loader, we have provided an allocation of 20 TEUs, but nothing is booked to date.” ([RX-000975]). Otherwise denied.

359. In reviewing Exhibit 196, which addressed OOCL’s space allocations for September 2020, Patrick Hackett recalled during this time that:

A. Yeah. Yeah. It's interesting. Like looking at this, you know, obviously, it's kind of, you know, bringing back -- kind of back on it. This was always very typical. I think you see back-and-forth space. I need this. Ask that. Allocated that. You know, oh, I thought it was this versus that. So this email is kind of reflective, I think, of that particular point in time. Just a lot of back-and-forth.

APP 841-42 (Hackett Tr. 113:18-114:22).

RESPONSE: Admitted only as to Patrick Hackett’s testimony quoted. Otherwise denied.

360. On September 10, 2020, the Parties mutually agreed to amend PE203297 (Amendment No. 3) to add fuel cost recovery surcharge. APP 3408-09 (OOCL_000051831).

RESPONSE: Admitted.

361. On September 16, 2020, the Parties mutually agreed to amend PE203297 (Amendment No. 4) to add rates from Shanghai, Xiamen, and Yantian to Los Angeles applicable to vessel voyage SC2-CBJ-082E only. APP 3410-15 (OOCL_0000022531).

RESPONSE: Admitted. SC2-CBJ-082E, as asserted in RPFF 364, refers to extra loaders.

362. INTENTIONALLY LEFT BLANK

RESPONSE: N/A

OCTOBER 2020

363. On October 26, 2020, BBY reminds OOCL that it needs to amend the contract to remove BBY affiliates Harbor Linen and TY Group, which BBY sold. RX-001663-68 (P-0000625338). Despite affiliates being removed from the Service Contract, the MQC afforded to BBY was not changed. [REDACTED]

RESPONSE: Admitted. [REDACTED]

NOVEMBER 2020

364. On November 4, 2020, Juan Guerrero, SVP Supply Chain for BBY, signed Amendment No. 5 to PE203297, which removed BBY affiliates Harbor Linen and TY Group LLC, added certain rates (e.g., Shanghai to Los Angeles at \$1029/40), and removed rates for SC2 CBJ 082E (extra loader for Shanghai, Xiamen, and Yantian to Los Angeles) (Amendment No. 5). APP 3416-21 (Ex. 337, OOCL_0000048974-79).

RESPONSE: Denied. The proposed finding misstates and mischaracterizes the record.

365. The Annual Contract was amended on November 20, 2020, to add rates for refrigerated (“reefer”) cargo from Vietnam (Amendment No. 8). APP 3428-33 (Ex. 340, OOCL_0000023734-39).

RESPONSE: Denied. The proposed finding misstates and mischaracterizes the record.

366. BBY agreed to apply PSS to specific origins (not all origins) and for YY (meaning, “CY”) movements only (not store door deliveries). RX-003125-28 (OOCL_0000234877).

RESPONSE: Admitted that there was an “agreement”—in name only. Hackett testified that while the “process of agreeing to it and countersigning and filing [PSS]” was the same during the pandemic as before but that unlike before, BBY *had to* agree to PSS. Hackett Dep. Tr. 33:11-34:8 (“A. Yeah. I would say what was different, I think, about it, when things really started to get hectic and space was getting very much constrained, during the normal contract process, to your point, as I mentioned earlier, there was back and forth. Hey, can you do this? Can you do that? I can do that. You know, like a typical negotiation. My recollection of kind of when these things started to be put in place, it’s like, *hey, this is the peak season surcharge and it’s going to be effective on this date, and this is what the rates are on these lanes.* Okay? There wasn’t much negotiation. Let’s put it that way. It was more one way. And then it was like, *if you want to get space on the vessel, you’re going to have to do this*, and we said all right. But the actual process of agreeing to it and countersigning and filing, yes, that was the same.”) (emphasis added) [APP-821-822].

367. On November 3, 2020, OOCL told BBY that it will have 2 extra loader vessels in weeks 47 and 48 (November 16-29) BBY requested space on them (64 TEU/40 TEU on OOCL Malaysia and 50 TEU on Cornelia I) at special rates “bullet rate.” RX-000789 (P-0000005196).

RESPONSE: Denied. The proposed finding misstates and mischaracterizes the record. The cited chain does not support the proposed finding, except that, in a specific instance, BBY

provided a forecast for OOCL's extra loaders in weeks 47 and 48, and Jim Mitchell confirmed that OOCL would provide 50 TEUs from Shanghai. [RX-000789].

368. On November 9, 2020, BBY agreed to Amendment No. 6 which amended rates in PE203297 for vessel voyages SC2-OMS-990E and SC2-RFA-004E, which were voyages from Shanghai and Yantian to Los Angeles/Long Beach (Amendment No. 6). APP 3422-25 (Ex. 338, OOCL_0000019893).

RESPONSE: Admitted only as to the proposed finding that [REDACTED]

Otherwise denied

369. On November 11, 2020, BBY agreed to Amendment No. 7, which removed BBY affiliate Nantucket Distributing Co., which eliminated planned Boston routes, but left the MQC unchanged. APP 3426-27 (Ex. 339, OOCL_0000090529).

RESPONSE: Admitted only as to the proposed finding that [REDACTED]

370. On November 15, 2020, BBY provided OOCL revised projections for December and a first projection for January 2021. RX-000787 (P-0000005046).

RESPONSE: Denied. The proposed finding misstates and mischaracterizes the record. On November 17, 2020, Jim Mitchell provided Yusen with OOCL's CSAL allocation for shipments from Ho Chi Minh and Tuticorin covering weeks 49-53 and stated that OOCL would "review Paul's revised rolling forecast to see how much we match up." The cited email chain does not include the date BBY sent the revised projections, the months covered by BBY's revised projections, or any mention of an initial projection for January 2021. Additionally, in its November 16, 2020, email to Jim Mitchell, Yusen stated: "For HCM, pls try to increase our space allocation through space swap if possible as 4 TEU per week can't cover our space needs," and noted that OOCL's CSAL allocation for shipments from Tuticorin did not meet BBY's needs [RX-000787]. During the relevant time period, CSAL allocation often did not align with BBY's actual needs, and OOCL would not adjust its internal CSAL allocations to meet those needs. *See* Pastor Dep. Tr. 102:13-20 ("We would provide projections -- a two-month projection report. But they did not align with the CSAL report because it was being created before we would -- it was being created in advance of our projections, and, therefore, they didn't align in many cases of what our needs were and what were on the CSAL.") [APP-1955]; Hackett Dep. Tr. 271:6-16 [APP-881].

371. On November 16, 2020, Jim Mitchell advises BBY that OOCL has a couple of extra loaders for the weeks 52-53: (one departing Shanghai, Yantian Dec 26 and 31; and the other departing Shanghai and Yantian Dec 30 and Jan 3). RX-0001150-54 (OOCL_0000049046).

RESPONSE: Admitted. However, it should be noted that OOCL demanded high prices for space on extra loaders. In his November 16, 2020, email offering these extra loaders, Jim Mitchell informed BBY that “We are being selective on the customers we are approaching on these extra loaders. . . . The requested PSS would be \$2,500 per 40’ GP / HQ over Bed Bath & Beyond’s current contract rates, with other sizes per formula.” (RX-00154).

372. On November 17, 2020, OOCL tells Yusen that it has provided an allocation of 4 TEUs per week for weeks 49-53 (November 29- year end) from Ho Chi Minh to the U.S. East Coast and warns Yusen not to exceed bookings or they will be declined. RX-000788 (P-0000005089).

RESPONSE: Denied. The proposed finding misstates and mischaracterizes the record.

373. On November 20, 2020, BBY agreed to Amendment No. 8, which added rates for refrigerated cargo from India and added a peak season surcharge (“PSS”) applicable from October 27, 2020, to December 31, 2020. APP 3428-33 (Ex. 340, OOCL_0000023737).

RESPONSE: Admitted only as to the proposed finding that

finding misstates and mischaracterizes the record.

Otherwise denied. The proposed

DECEMBER 2020

374. On December 10, 2020, BBY agreed to Amendment No. 10 for vessel voyage SC2-XDY-073E only from Shanghai to LALB. APP 3439-43 (Ex. 342, OOCL_0000024070-74).

RESPONSE: Admitted only as to the proposed finding that [REDACTED]

Otherwise denied.

375. On December 12, 2020, BBY agreed to Amendment No. 9, which revised rates per forty-foot container for SC2-OMS-991E and SC2-RFA-005E from Shanghai and Yantian to Los Angeles/Long Beach. APP 3434-38 (Ex. 341, OOCL_00000019963-67).

RESPONSE: Admitted only as to the proposed finding that [REDACTED]

Otherwise denied.

376. On December 22, 2020, BBY provided a rolling forecast and OOCL's Jim Mitchell noted that it is timely and that it will be submitting requests for allocations for January and February 2021. RX-000826 (P-0000032860).

RESPONSE: Denied. The proposed finding misstates and mischaracterizes the record. Jim Mitchell did not confirm that he would submit the January allocation for review. In his December 22, 2020, email, he stated: "Thank you for providing the revised rolling forecast, it is appreciated and it is also timely. We will be submitting our FEB allocations for Regional/Trade Management review on Wednesday. We will be guided accordingly." [RX-000826].

377. On December 23, 2020, BBY provides forecast for shipments from Turkey under the latest amendment. RX-000785 (P-0000004400).

RESPONSE: Denied. The proposed finding misstates and mischaracterizes the record. The record indicates that BBY shared its total volume for Turkey "now and into January" and requested OOCL's review and support once the amendment was filed, rather than confirming that the forecast was provided under the "latest amendment," a term that lacks a specific definition in a manner material to the RPF or BBY's responses thereto.

378. On December 29, 2020, the Parties mutually agreed to Amendment No. 11, increasing rates (Far East to USA) from October 27, 2020, through February 28, 2021. APP 3444-45 (OOCL_0000021206).

RESPONSE: Denied. The proposed finding misstates and mischaracterizes the record. Rather than increasing rates for shipments from the Far East to the USA, Amendment No. 11 to PE203297 extended the application of PSS until February 28, 2021. See, e.g.,

Amendment No. 9 to PE203297 [APP-3436]. Pat Hackett testified that while the “process of agreeing to it and countersigning and filing [PSS]” was the same during the pandemic as before but that unlike before, BBY *had to* agree to PSS. Hackett Dep. Tr. 33:11-34:8 (“A. Yeah. I would say what was different, I think, about it, when things really started to get hectic and space was getting very much constrained, during the normal contract process, to your point, as I mentioned earlier, there was back and forth. Hey, can you do this? Can you do that? I can do that. You know, like a typical negotiation. My recollection of kind of when these things started to be put in place, it's like, *hey, this is the peak season surcharge and it's going to be effective on this date, and this is what the rates are on these lanes.* Okay? There wasn't much negotiation. Let's put it that way. It was more one way. And then it was like, *if you want to get space on the vessel, you're going to have to do this*, and we said all right. But the actual process of agreeing to it and countersigning and filing, yes, that was the same.”) (emphasis added) [APP-821-822].

379. On December 30, 2020, the Parties mutually agreed to Amendment No. 12, which added service for the Turkey-U.S. trades to the contract. APP 3446-51 (OOCL_000047550).

RESPONSE: Admitted.

380. In December 2021, BBY's factories in China shut down for 14 days due to COVID. APP 864-65 (Hackett Tr. 202:21-208:13); RX_001206 (Ex. 205).

RESPONSE: Denied. The proposed finding misstates and mischaracterizes the record. The proposed finding fails to include “an exact citation to evidence” and thus contravenes the Presiding Officer's Scheduling Order. (Dkt. 12 (June 8, 2023).) The record indicates that local authorities imposed a 14-day lockdown for Ningbo, which led to delays in orders, but it does not state that BBY's factories in China shut down for 14 days due to COVID. [RX-001210]. In response, Pat Hackett immediately explored alternative shipping options to mitigate the impact, emailing Yusen: “Is there any chance to ship currently written ex-Ningbo PO's from Shanghai instead, at least until this lockdown is lifted? We have several HOT PO's that need to ship ASAP. . . If we can't do this, then let us know what you think we should tell . . . other Buyers asking us when their ex-Ningbo orders might be able to depart.” [RX-001209].

January 2021

381. In January 2021, OOCL reassigns Karen Lam from Latin America to Transpacific Trade Director. APP 1347, 1349 (K. Lam Tr. 34:16-19, 45:2-13).

RESPONSE: Admitted.

382. On January 8, 2021, OOCL advises Yusen that although BBY has no fixed allocation from Turkey, it can accommodate it. RX-000784 (P-0000003390).

RESPONSE: Denied. The proposed finding misstates and mischaracterizes the record. Nowhere in the email does OOCL state that BBBY lacks a fixed allocation for shipments from Turkey. Instead, Mitchell advised Yusen about the next available sailing on January 8, 2021, stating: “After checking with our local team, below vessel: YM EXPRESS 055W will be the first available sailing from Aliaga to NYC. Pls kindly review.” [RX-000784].

383. On January 8, 2021, the Parties mutually agree to Amendment No. 13, revising rates from Haiphong, Vietnam. APP 3452-54 (OOCL_0000018168).

RESPONSE: Denied. The proposed finding misstates and mischaracterizes the record.

[REDACTED]

384. On January 20, 2021, the Parties mutually agreed to Amendment No. 14 which amended rates from Vietnam for a single vessel voyage, namely SC2RFA-006E. RX-000805 (P-0000009970); APP 3464-68 (OOCL 0000018722).

RESPONSE: Denied. The proposed finding misstates and mischaracterizes the record. Admitted only as to the proposed finding that

[REDACTED]

385. On January 16, 2021, the Parties mutually agreed to Amendment No. 15 which amended reefer rates from Vietnam. APP 3460-63 (OOCL_0000018997).

RESPONSE: Admitted.

January 14, 2021 – May 31, 2021 – PE212602 and Its 3 Amendments

[REDACTED]

[REDACTED]

[REDACTED]

RESPONSE: Admitted.

[REDACTED]

[REDACTED]

[REDACTED]

RESPONSE: Admitted that [REDACTED]

388. BBY understood that PE212602 was a separate contract from PE203297. RX 000808 (P-0000015599); APP 1235-37 (Ex. 292, P-0000179277).

RESPONSE: Admitted. Around January 2021, OOCL began pushing its premium contract program, pressuring BBY into signing a premium rate contract despite having already failed to meet its service commitments to BBY under its existing Service Contract. See [REDACTED]

Mitchell Dep. Tr. 183:22-184:7 (“Q. Did you also enter -- based on the customers who you service, did you also see them entering into premium contracts? A. We had -- at that time, we were just offering extra loaders, and then we introduced, I think, later in -- well, beginning of 2020, the end of 2020, into 2021, we introduced premium contracts, but it was for 1 TEU as the MQC.”) [APP-1723].

FEBRUARY 2021

389. On February 22, 2021, BBY advises OOCL that after Chinese New Year in January/February, it has a large number of containers that it will be rolling into March. RX-000810 (P-0000016910).

RESPONSE: Admitted.

390. On February 22, 2021, OOCL resent to BBY the March 2021 space allocations for all BBY contracts. RX-000810 (P-0000016910).

RESPONSE: Admitted that the cited email states it is “resending the March space allocations”. P-0000016910 [RX-000810].

391. No bookings made by BBY under PE212612 [see RPFF 485.D for listing of service contract amendments] coincided (by loading week, port of loading, or port of delivery) with any bookings made by BBY under PE203297. APP 1395 (Lam Tr. 227:2-11).

RESPONSE: Denied. The proposed finding lacks credibility, specifically as to Lam’s testimony. See BBY’s Finding of Fact Arg.VIII.A. The proposition relies on self-serving

analyses that lack credibility, specifically as to Exhibit 39. See BBY's Finding of Fact Arg.VIII.A.

MARCH 2021

392. On March 4, 2021, BBY agreed to Amendment No. 16 to service contract PE203297, which amended rates for reefer containers from Vietnam and made PSS effective from March 3, 2021, to April 30, 2021. APP 3464-68 (OOCL_0000016245); RX-000825 (P-0000030280).

RESPONSE: Denied. The proposed finding misstates and mischaracterizes Amendment No. 16 to PE203297, dated March 4, 2021, extended reefer rates and PSSs. Prior to the COVID-19 pandemic, OOCL imposed PSS only to offset increased expenses borne by the carrier and only in the summer months. *See* Donohue Dep. Tr. 35:5-37:19 [APP-543]; Devine Dep. Tr. 137:4-6 [APP-446]; *see also* Murdoch Dep. Tr. 60:13-24, 71:15-22, 323:12-324:10 [APP-1816; APP-1819; APP-1882]. During the pandemic, however, OOCL imposed PSS effectively as a year-round price adjustment to the rates previously agreed to under its service contracts with its BCO customers, including the Service Contracts with BBY. *See* Ex. 381 (McCown Report) ¶¶ 105-119, 126 [APP-3777-3779; APP-3780].

393. Effective on March 4, 2021, Amendment 1 to secondary service contract PE212602 named specific rates on two vessels and specified allocations for BBY, these were the CSCL Bohan Sea (22 TEU) and COSCO Taicang (60 TEU). RX-000002-06 (Ex. 172, OOCL_0000016249-53); APP 824 (Hackett Tr. 43:17-44:15).

RESPONSE: Admitted. Around January 2021, OOCL began pushing its premium contract program, pressuring BBY into signing a premium rate contract despite having already failed to meet its service commitments to BBY under its existing Service Contract. *See*

[REDACTED] Mitchell Dep. Tr. 183:22-184:7 (“Q. Did you also enter -- based on the customers who you service, did you also see them entering into premium contracts? A. We had -- at that time, we were just offering extra loaders, and then we introduced, I think, later in -- well, beginning of 2020, the end of 2020, into 2021, we introduced premium contracts, but it was for 1 TEU as the MQC.”) [APP-1723].

394. On March 22, 2021, BBY sent OOCL its forecast for April and May 2021. RX-003135 (OOCL_0000016490).

RESPONSE: Admitted.

APRIL 2021

395. On April 28, 2021, BBY amended PE203297 to terminate early on April 30, 2021 (the original expiration date had been June 30, 2021). APP 3469-70 (Ex. 349, Amendment No. 17 to 2020 service contract).

RESPONSE: Denied. The proposed finding misstates and mischaracterizes the record. The proposed finding uses the term “terminate” without specific definition in a manner material to the RPF or BBY’s responses thereto. [REDACTED]

[REDACTED] BBY and OOCL entered into an Ocean Carrier Agreement, with service contract number PE213179 and effective as of May 1, 2021 and covering the time period from May 1, 2021 through April 30, 2022 (the “2021 Service Contract”), which was amended on sixteen occasions (the “2021 Amendments”). See 1AC ¶ 32.b [APP-47]; 1AC Answer ¶ 32 [APP-100]; Dep. Ex. 163 at P-0000008669 [APP-3274].

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

RESPONSE: Denied. The proposition relies on self-serving analyses that lack credibility, specifically as to Exhibit 39. See [REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

RESPONSE: Denied. The proposition relies on self-serving analyses that lack credibility, specifically as to Exhibit 39. See [REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

RESPONSE: Denied. The proposition relies on self-serving analyses that lack credibility, specifically as to Exhibit 39. See [REDACTED]

[REDACTED]

400. [REDACTED]

[REDACTED]

RESPONSE: Denied. The proposition relies on self-serving analyses that lack credibility, specifically as to Exhibit 39. See [REDACTED]

[REDACTED]

401. Nevertheless, [REDACTED]

[REDACTED]

RESPONSE: Admitted that [REDACTED]

402. After executing drawdown amendment No. 17, OOCL never collected the

liquidated damages for the amount of cargo BBY failed to tender following execution of the drawdown amendment (2171-2033.5 = 137.5 TEUs).

RESPONSE: Denied. The proposed finding fails to include “an exact citation to evidence” and thus contravenes the Presiding Officer’s Scheduling Order. (Dkt. 12 (June 8, 2023).)

403. On April 7, 2021, BBY instructed Yusen to book its cargo on the two vessels offered by OOCL. RX-000809 (P-0000015617).

RESPONSE: Denied. The proposed finding misstates and mischaracterizes the record. The provided emails do not support Paragraph 403 because they do not contain an explicit instruction from BBY to Yusen to book cargo on the two OOCL vessels. The claim in Paragraph 403 asserts that BBY “instructed Yusen to book its cargo on the two vessels,” yet these emails do not contain: (i) the names of the vessels, (ii) a direct booking order, and (iii) confirmation that the instruction was carried out.

404. The Parties mutually agreed, effective on April 11, 2021 (Amendment No. 2 to PE212602) for rates and specified allocations for BBY on four vessels: the Bohai Sea (22 TEUs); COSCO Taicang (50 TEUs); Xin Da Yang-Zhou (64 TEUs); COSCO Shipping Kilimanjaro (30 TEUs). APP 825 (Hackett Tr. 48:16-22).

RESPONSE: Admitted that the testimony supports the fact that BBY had TEU allocations on these four vessels. However, it does not establish that these allocations were formalized in Amendment No. 2 to PE212602, nor does it confirm April 11, 2021, as the effective date. As to the premium amendments generally, BBY’s employees testified that such amendments were required in order to get space as OOCL was not willing to meet its service commitments under the regular service contract. (See BBY’s Finding of Fact 298 (quoting BBY’s senior logistics employee Hackett’s testimony that “I think it got presented, it was like, if you want to get any space, you’re going to need to sign these premium contracts and move these goods under these premium rates; otherwise, you’re not going to get space on the vessel”); see also Klosowsky Dep. Tr. 174:3-8 (“Again, my recollection is that this was required of Bed Bath & Beyond because the original MQC was not able to be met on the existing equipment that OOCL had, so they offered this as a higher cost alternative.”) [APP-1280].

405. [REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

RESPONSE: Denied. [REDACTED]

[REDACTED] As to the premium amendments generally, BBY's employees testified that such amendments were required in order to get space as OOCL was not willing to meet its service commitments under the regular service contract. (See BBY's Finding of Fact 298 (quoting BBY's senior logistics employee Hackett's testimony that "I think it got presented, it was like, if you want to get any space, you're going to need to sign these premium contracts and move these goods under these premium rates; otherwise, you're not going to get space on the vessel"); see also Klosowsky Dep. Tr. 174:3-8 ("Again, my recollection is that this was required of Bed Bath & Beyond because the original MQC was not able to be met on the existing equipment that OOCL had, so they offered this as a higher cost alternative.") [APP-1280].

B. Service Contract PE213279 and Its 16 Amendments (May 1, 2021-April 30, 2022)

FEBRUARY 2021

Bed Bath & Beyond Request for Proposals Process

406. BBY's total MQC in all service contracts in 2021-2022 across all carriers was for a total of 32,580 TEUs. APP 1153 (Kastin Tr. 481:11-16).

RESPONSE: Admitted. While in the cited deposition transcript, Kastin was not verifying the accuracy of this number and only acknowledged that is what the document said, the proposed finding is confirmed by Complainant's Supplemental Objections and Responses to Respondent's First Set of Interrogatories. Dep. Ex. 326 at 16 [APP-3351].

407. On February 19, 2021, BBY issued a Request for Proposal ("RFP") "Kickoff Deck" seeking to finalize annual service contracts with ocean carriers by April 16, 2021 for May 1, 2021 effective start dates. RX-003144 (OOCL_0000090716).

RESPONSE: Admitted.

408. BBY negotiated energetically with OOCL. [REDACTED]

RESPONSE: Denied. The proposed finding misstates and mischaracterizes the record. The evidence does not support Paragraph 408. The phrase [REDACTED]

409. BBY revised the boilerplate of the service contract. RX-000804 (P-0000008971).

RESPONSE: Admitted.

TERMS PE213279

RESPONSE: Admitted.

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

RESPONSE: Admitted.

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

RESPONSE: Admitted.

[REDACTED]

[REDACTED]

[REDACTED]

RESPONSE: Admitted.

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

RESPONSE: Denied. This proposed finding addresses issues of relevancy, contractual interpretation, and legal effect, and thus constitutes an inappropriate proposed conclusion of law. Whether [REDACTED]

[REDACTED] is a matter of contract interpretation that should be evaluated within the broader legal framework governing service contracts. Moreover, [REDACTED]

[REDACTED] or the Shipping Act. Accordingly, this proposed finding is improper and should be disregarded. Further, the proposed finding attempts to re-craft the claims in this proceeding, which is not about BBY's

termination rights under the Service Contracts but rather about violations of the Shipping Act.

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

RESPONSE: Admitted.

416. The original MQC of PE213179 was for a total of 7,592 TEU, including a sub-MQC for carriage from the Far East to the USA of 7,072 TEU, and from the Mediterranean to USA of 520 TEU. [REDACTED]

RESPONSE: Admitted.

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

RESPONSE: Admitted.

[REDACTED]

[REDACTED]

RESPONSE: Admitted.

1. **Performance and Amendments to 2021-2022 Annual Service Contract PE213279**

[REDACTED] PE213279 became effective on May 1, 2021, and expired on April 30, 2022. [REDACTED]

[REDACTED]

RESPONSE: Admitted, though the proposed finding fails to include “an exact citation to evidence” and thus contravenes the Presiding Officer’s Scheduling Order. (Dkt. 12 (June 8, 2023).)

420. On April 19, 2021, BBY sent OOCL its forecast for space needs in May and June.

RX-000801 (P-0000008800).

RESPONSE: Admitted.

421. During the 2021 shipping year, OOCL provided 5,095 TEUs to BBY. APP 1392 (K. Lam Tr. 216:14-25). OOCL accepted and confirmed 1,658 TEU of bookings for BBY in addition to that which had been allocated to BBY in CSAL. APP 1392 (K. Lam Tr. 217:2-19). OOCL rejected 104 booking requests. APP 1393 (K. Lam Tr. 218:5-14). Total space provided by

OOCL was 6,649 TEUs [5,095 + 1,658 – 104 = 6,649]. APP 1393 (K. Lam Tr. 218:15-219:4).

This was 94% of the original MQC (7,072 TEUs). APP 1393 (K. Lam Tr. 219:13-22.)

RESPONSE: Denied. The proposed finding contains multiple factual propositions and thus contravenes the Presiding Officer’s Scheduling Order. (Dkt. 12 (June 8, 2023).) The proposed finding lacks credibility, specifically as to Lam’s testimony. See BBY’s Finding of Fact Arg.VIII.A. OOCL in fact fell well short of its service commitments. [REDACTED]

422. BBY had cancelled, terminated, or did not show up (“no show”) for 1,308 TEUs, or 60% of what BBY had committed to tender to OOCL. APP 1392-94 (K. Lam Tr 220:17-223:4); APP 3145-66 (Ex. 67).

RESPONSE: Denied. The proposed finding lacks credibility, specifically as to Lam’s testimony. See BBY’s Finding of Fact Arg.VIII.A. The evidence cited fails to show any credible evidence that BBY cancelled, terminated, or did not show up for the space claimed. To the contrary, BBY and Yusen made every effort to remain communicative with OOCL. Hackett Dep. Tr. 128:5-12 (“At least on the Bed Bath Yusen side, you know, we were always trying to be communicative and call things out, trying to let them know always what the latest and best information we had to try and work with them to make sure that what we did have could, in fact, be handled by them.”) [APP-845]. Before attempting to book with an NVOCC, BBY via Yusen would first attempt to push other carriers to help or book with a secondary carrier. (See BBY’s Finding of Fact 27.)

423. On September 24, 2021, Mr. Mitchell told BBY’s Mr. Hackett, “We would not decline primary cargo bookings only to accept against the premium contract. We provided specific allocations and origins for those extra space vessel opportunities.” RX-000806 (P-0000011986).

RESPONSE: Admitted that Mr. Mitchell made the cited statement but otherwise denied. The proposed finding misstates and mischaracterizes the record. Its reliance on specific emails from a long chain is misleading, as it selectively cites one message while ignoring the full context. [REDACTED]

[REDACTED]

424. On September 22, 2021, BBY told OOCL it knows it has already set up allocations but asks for additional space anyway. RX (P-0000006367).

RESPONSE: Denied. The proposed finding misstates and mischaracterizes the record. There is no communication from BBY dated September 22, 2021. The emails in the record (RX-000795) are from September 26 and 27, with no indication that BBY made a request on the earlier date. There is no statement from BBY asking for more space despite knowing allocations were already set. The term “additional” does not indicate that the requested container was in addition to the service commitment promised by OOCL and OOCL’s shortfall demonstrates that the requested container was not, in fact, in addition to the amounts OOCL had guaranteed that it would carry.

425. On September 30, 2021, Mr. Hackett sends Mr. Mitchell the signed Amendment No. 7 to PE213179. APP 1183 (Kastin Tr. 168:3-15).

RESPONSE: Admitted that Hackett wrote to Mitchell: “Jim, I approve, so please file. Paul will send you a signed copy ASAP. Thanks.”

426. OOCL provided monthly space allocations directly to Yusen, about which BBY was aware. APP 836 (Hacket Tr. 96:6-13); [REDACTED]

RESPONSE: Admitted that [REDACTED]

427. Drawdown amendments were standard BBY practice. APP 875 (Hackett Tr. 248:21-249:1).

RESPONSE: Admitted that drawdown amendments were common in the industry prior to the COVID-19 pandemic . The proposed finding uses the term “drawdown amendments” without specific definition in a manner material to the PFF or BBY’s responses thereto. Admitted that Hackett testified that: “If there was a shortfall, we would have done a drawdown. That was our standard practice.” Otherwise denied.

428. On October 13, 2021 Jim Mitchell sent an email to Patrick Hackett noting BBB has not paid PSS in 2021. OOCL asks BBY to pay PSS through January 31, 2022. RX-000837 (P-0000046230).

RESPONSE: Admitted that OOCL coerced BBY into agreeing to a PSS across all lanes through January 31, 2022. The cited email does not reference any past-due amounts or non-payment. Mitchell wrote to Hackett: “The proposed PSS would be across all lanes as space is tight all around. It would also apply to the rates that we agreed to and filed on 5/21/201 [sic]. There are no guarantees on the space or equipment availability. . . . This is also about positioning for the 2022 contract.” [RX-000837.]

429. On October 14, 2021 Jim Mitchell tells Patrick Hackett, “[t]he proposed PSS would be across all lanes as space is tight all around. It would also apply to the rates that we agreed to and filed on 5/21/201[sic]. There are no guarantees on the space of equipment availability. However, as we have recently shown, we are providing extra space opportunities to BBB and will continue to do so. This is also about positioning for the 2022 contract.” RX-000837 (P-0000046230).

RESPONSE: Admitted. OOCL congratulated itself internally on the success of its PSS scheme. See [REDACTED]

430. On October 15, 2021, OOCL advised BBY of additional space available to BBY from Yantian on November 4. OOCL allocated 40 TEUs on PE213179. RX-000796 (P-0000046296).

RESPONSE: Denied. The term “additional” does not indicate that the requested container was in addition to the service commitment promised by OOCL and OOCL’s shortfall demonstrates that the requested container was not, in fact, in addition to the amounts OOCL had guaranteed that it would carry. What OOCL provided was space that should have been offered under the Service Contract, offered at premium rates. [RX-000838].

November 2021

431. On November 1, 2021, Paul Pastor sent an email to Jim Mitchell regarding Amendment No. 8 to service contract PE213179. APP 3541-77 (Ex. 357); APP 1183-84 (Kastin Tr. 169:2-170:18).

RESPONSE: Admitted.

January 2022

RESPONSE: Denied. The proposed finding misstates and mischaracterizes the record.

Admitted that the MQC remained unchanged.

February 2022

433. On February 11, 2022, BBY sent OOCL March and April Projections and asked for capacity above the projections. RX-000797 (P-0000007087).

RESPONSE: Admitted. While Pastor was asking for capacity above the projections, this was necessitated by OOCL's poor performance in providing capacity during the contract thus far. (See BBY's Finding of Facts 95-107.)

434. On February 15, 2022, OOCL told BBY it would be able to cover BBY rolling forecast for last February through April via CSAL. OOCL also told BBY it was finalizing the March CSAL and had yet to establish April. OOCL shows BBY its CSAL allocations for March and would share April soon thereafter; OOCL told BBY it cannot cover its entire forecasted volumes with CSAL as there are trade lanes in the BBY forecast that have not previously been covered. RX-000797 (P-0000007087).

RESPONSE: The proposed finding misstates and mischaracterizes the record. Mitchell wrote: "We will be able to cover those shipments for which we have provided space allocations under our monthly CSAL". [RX-000797.] As such, Mitchell limited OOCL's commitment to shipments for which space had already been allocated under CSAL. Admitted that Mitchell wrote: "We are now finalizing the March CSAL and will shares those allocations with you

before the end of this week. We have yet to establish the CSAL allocations for the month of April. . . . We will not be able to cover the entire forecasted volumes with our CSAL allocation. . . . Finally, there are trade lanes in the forecast that we have not previously covered, so allocations would not be in place for the months of February or March.” [RX-000797.]

435. On February 21, 2022, Patrick Hackett emailed Jim Mitchell regarding Amendment No. 15 to service contract PE213179. APP 3607-42 (Ex. 364); APP 1184 (Kastin Tr. 171:3-21).

RESPONSE: Admitted.

March 2022

436. On March 9, 2022, OOCL offered 1100 TEUs of additional space under Annual Service Contract No. PE213179, to be available to BBY from the end of March through mid-April. APP 869-70 (Hackett Tr. 225:9-226:11); RX-001669-73 (Ex. 209). Yusen’s Ken Hsu tells BBY it will only be able to use half the space that was offered by OOCL. RX-001669-73 (Ex. 209).

RESPONSE: Admitted that the email states as cited. For context, 1100 TEUs is an enormous amount of cargo to offer for a short window of time, on short notice, just under two months before the end of the contract period despite OOCL’s failures until that time. (See BBY’s Finding of Fact 30). The term “additional” does not indicate that the requested container was in addition to the service commitment promised by OOCL and OOCL’s shortfall demonstrates that the requested container was not, in fact, in addition to the amounts OOCL had guaranteed that it would carry. Obviously, this offer was not based on BBY’s projections that it provided to OOCL. Despite this, BBY’s employee took advantage of this offer to the maximum possible extent, pushing Yusen’s Ken Hsu for a full explanation of his statement and explained that they wanted to use as much of the offered space as possible, including by shifting export cargo between different origin ports in China. See Ex. 209 at P-0000171106 (-177107) [RX-001670-71]. Further, the proposed finding contains multiple factual propositions and thus contravenes the Presiding Officer’s Scheduling Order. (Dkt. 12 (June 8, 2023).)

437. BBY takes 870 TEUs but still has a shortfall. APP 1384 (K. Lam Tr. 182:2-18); RX-000850 (Ex. 18, OOCL_0000178129).

RESPONSE: Admitted that there was still a shortfall by OOCL even after BBY booked space for the 870 TEUs to lessen such OOCL shortfall, as mentioned in the proposed finding.

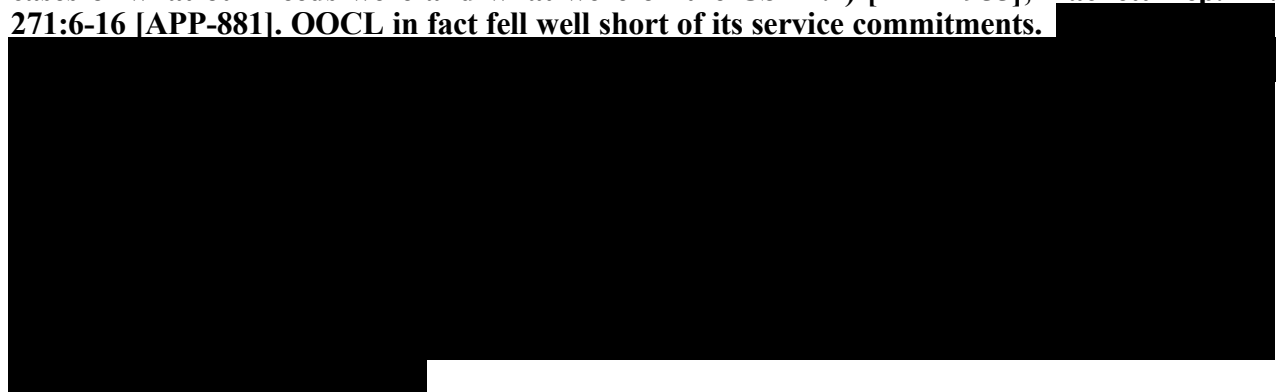
438. On March 29, 2022, Juan Guerrero signed drawdown Amendment No. 16 to service contract PE213179, which amended the MQC from the original TEUs to 3,061 TEUs. APP 1185-86 (Kastin Tr. 177:3-178:11).

RESPONSE: Admitted.

April 2022

439. OOCL over-accommodated BBY (i.e., provided more space than allocated under CSAL) in 2021. APP 1396 (K. Lam Tr. 229:23-231:3).

RESPONSE: Denied. The proposition relies on self-serving analyses that lack credibility, specifically as to Karen Lam’s booking analyses. See BBY’s Finding of Fact Arg.VIII.A. During the relevant time period, CSAL allocation often did not align with BBY’s actual needs, and OOCL would not adjust its internal CSAL allocations to meet those needs. See Pastor Dep. Tr. 102:13-20 (“We would provide projections -- a two-month projection report. But they did not align with the CSAL report because it was being created before we would -- it was being created in advance of our projections, and, therefore, they didn’t align in many cases of what our needs were and what were on the CSAL.”) [APP-1955]; Hackett Dep. Tr. 271:6-16 [APP-881]. OOCL in fact fell well short of its service commitments.



440. On August 11, 2022, BBY tells OOCL that an NVO is offering lower prices than OOCL because “demand has slowed down and capacity is at its highest.” RX-003138 (OOCL_0000087919). On August 23, 2022, OOCL agrees to reduce its rates until October 31, 2022. APP 4109 (OOCL_000009698).

A. Of the reduced rates offered to BBY by other carriers at that time, there was a mixture in duration of “no expiration and others [running] to the end of October.” RX-003136 (OOCL_0000087917).

B. BBY was seeking rate reductions from other carriers, including MSC, at the same time. RX-003137 (OOCL_0000087918).

RESPONSE: Admitted.

C. Service Contract PE212612 and Amendments (May 30, 2021 – April 30, 2022)

441. On January 6, 2021, Jim Mitchell sent an email to BBY inquiring whether it has an interest in OOCL's "pilot program" given strong demand for space above standard monthly allocation. APP 1195 (Kastin Tr. 214:2-215:24).

RESPONSE: Admitted only that in an email dated January 6, 2021,

OOCL expressly instructed OOCL that it would have to agree to premium rates in order to receive certain space allocations. During the relevant time period, CSAL allocation often did not align with BBY's actual needs, and OOCL would not adjust its internal CSAL allocations to meet those needs. See Pastor Dep. Tr. 102:13-20 ("We would provide projections -- a two-month projection report. But they did not align with the CSAL report because it was being created before we would -- it was being created in advance of our projections, and, therefore, they didn't align in many cases of what our needs were and what were on the CSAL.") [APP-1955]; Hackett Dep. Tr. 271:6-16 [APP-881]. Denied that OOCL's allocation to BBY was sufficient to satisfy OOCL's service commitments to BBY.

442. BBY understood that this was a contract for *additional* space and was separate and unrelated to the annual service contract MQC. APP 1727 (Mitchell Tr. 201:6-15); RX-000807 (P-0000015581).

RESPONSE: Denied. The proposed finding misstates and mischaracterizes the record. The cited email does not reflect BBY's understanding that the space is "additional." [RX-000807.] Likewise, the Mitchell deposition testimony cited is unrelated to and does not support the claim made in the proposed finding. Mitchell Dep. Tr. 201:6-15 ("A. Through 1998? Q. That's correct. And that is -- also has been shared on your Zoom screen as well. So feel free to take a look through this document, and let me know when you're finished. Mr. Letourneau: Can you scroll up. No. I'm sorry. Down." [APP-1727.] The term "additional" does not indicate that the requested container was in addition to the service commitment

promised by OOCL and OOCL’s shortfall demonstrates that the requested container was not, in fact, in addition to the amounts OOCL had guaranteed that it would carry.

443. On January 28, 2021, OOCL offered BBY additional space over the March monthly CSAL allocation. APP 1196-97 (Kastin Tr. 220:7-222:12).

RESPONSE: Denied. The proposed finding misstates and mischaracterizes the record. The email discussed during Kastin’s deposition stated:

[REDACTED]

OOCL’s shortfall demonstrates that the requested container was not, in fact, in addition to the amounts OOCL had guaranteed that it would carry, and further OOCL’s “allocation” under CSAL was not sufficient to satisfy OOCL’s service commitments to BBY.

444. BBY (Hackett) understood this and referred to bookings on these extra loaders as a “secondary contract.” RX-000807 (P-0000015581).

RESPONSE: Denied. The proposed finding uses the term “this” without specific definition in a manner material to the RPFF or BBY’s responses thereto. Nowhere on the email and appendix page cited does anyone use the term “secondary contract”, nor is Hackett the author of the email cited. In any event, just because BBY (Hackett) used the term “secondary contract” for extra loader bookings does not prove any independent agreement or understanding.

445. [REDACTED]

[REDACTED]

RESPONSE: Admitted.

[REDACTED]

[REDACTED]

RESPONSE: Admitted.

447. Under PE212612, OOCL confirmed BBY bookings amounting to 984 TEUs, but only actually carried 930 TEUs under the contract, as 54 TEUs booked were cancelled by BBY. RX-000618 (Ex. 393); APP 1625 (Metzger Tr. 144:2-13).

RESPONSE: Denied. The proposed finding lacks credibility, specifically as to Metzger’s analyses and testimony. (*See* BBY’s Finding of Fact Arg.VIII.B.) The cited exhibit also does not refer to PE212612, but it is believed that the reference to “PE212602 DRY” in the exhibit was intended to read “PE212612 DRY”. [REDACTED]

[REDACTED] Admitted that OOCL carried substantial BBY cargo under premium contracts at the same time it was underperforming its Service Contracts.

448. On June 29, 2021, OOCL told BBY there would be an extra loader in Week 29.

APP 1197-98 (Kastin Tr. 225:19-226:7); RX 002811 (OOCL_0000144117).

RESPONSE: Denied. The cited native exhibit does not contain any email dated June 29, 2021.

449. [REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

RESPONSE: Admitted that [REDACTED]

[REDACTED] Otherwise denied. The proposed finding contains multiple factual propositions and thus contravenes the Presiding Officer’s Scheduling Order. (Dkt. 12 (June 8, 2023).)

[REDACTED]

[REDACTED]

RESPONSE: Admitted.

451. On August 13, 2021, OOCL offered BBY additional space on extra loaders in Week 35 under PE212612, naming the vessels and voyage numbers. RX-000798 (P-0000007534).

RESPONSE: Denied. The term “additional” does not indicate that the requested container was in addition to the service commitment promised by OOCL and OOCL’s shortfall demonstrates that the requested container was not, in fact, in addition to the amounts OOCL had guaranteed that it would carry. Further, the cited evidence contains does not refer to Week 35 (except in the email subject) or the contract number PE212612.

452. BBY requested an allocation of 20 TEUs on the Week 35 extra loaders. RX 002637-39 (OOCL_0000004138).

RESPONSE: Admitted that Hackett wrote, “Re wk 35, yes pls request 20 TEU’s (10 FEU’s) for us”. [RX-002638]. Denied as to the description of the space as “extra”.

453. On August 17, 2021, Jim Mitchell tells BBY’s Patrick Hackett about extra loaders in Weeks 36, 37, and 38, which are all direct call pairings. RX-000799 (P-0000007540).

RESPONSE: Denied in part. The proposed finding mischaracterizes the evidence in that the email chain cited states, “our focus is on the direct call pairings” and denied that the space was “extra” in light of OOCL’s shortfalls. Admitted that the cited evidence contains reference to “XL opportunities covering WKs 36 – 38”.

454. Between August 10-September 6, 2021, BBY booked and OOCL carried 590 TEUs under contract PE212612. RX-000612 (OOCL_0000254177).

RESPONSE: Denied. The proposed finding relies on self-serving analyses that lack credibility, specifically as to Ex. 387. See BBY’s Finding of Fact Arg.VIII.B. Containers carried by OOCL (and others) are identified at P-0000801023 [APP-4418].

455. Amendment No. 6 to PE212612 is signed on August 31, 2021 by Juan Guerrero for BBY. APP 1169 (Kastin Tr. 110:15-111:11); APP 3731-36 (Ex. 376).

RESPONSE: Denied. [REDACTED]

456. Amendment No. 7 to PE212612 is signed on August 31, 2021 by Juan Guerrero for BBY. APP 1177 (Kastin Tr. 142:19-25); APP 3737-43 (Ex. 377).

RESPONSE: Admitted.

457. Amendment No. 8 to PE212612 is signed on September 15, 2021, by Juan Guerrero for BBY. APP 1177 (Kastin Tr. 143:13-19); APP 3744-49 (Ex. 378). On September 30, 2021,

OOCL's Jim Mitchell tells BBY's Patrick Hackett about an offer of additional space ("buffer space") to BBY on a particular voyage (PCC3-OEP 039E) sailing in late October. Mr. Hackett replied that an expectation for an answer within the hour is problematic and requests current space allocation on the string in question. Mr. Mitchell replied that BBY had an allocation of 20 FEUs total for string. RX-002640-41(OOCL_0000025072).

RESPONSE: Admitted.

458. In August 2021, BBY booked 590 containers for shipment on a single extra loader booked under service contract PE212612. APP 1610-12 (Metzger Tr. 85:15-90:16); RX-000612 (Ex. 387, Tab PCC3-OEP-038 E, Shanghai and Yantian bookings); APP 385 (Delprete Tr. 179:20-180:10) (BBY was one of the shippers who "were ordering a lot of inventory, and so hence the demand driving up, so a lot of customers just couldn't absorb the additional cargo that they were importing, hence the warehouse and distribution centers couldn't digest it.").

RESPONSE: Denied. The proposed finding lacks credibility, specifically as to Metzger's testimony and analyses. See BBY's Finding of Fact Arg.VIII.B. Admitted only that Delprete testified as quoted. [REDACTED]

459. In September 2021, BBY also booked 200 FEUs (the equivalent of 400 TEUs) aboard vessels that it chartered separately at the same time that its warehouses were full. APP 853 (Hackett Tr. 160:8-161); RX-000979-96 (Ex. 201).

RESPONSE: Denied. The proposed finding contains multiple factual propositions and thus contravenes the Presiding Officer's Scheduling Order. (Dkt. 12 (June 8, 2023).) Regarding the chartered container space referenced in the proposed finding, during the relevant time period in this case, BBY chartered two vessels at "two to three times the normal rate" simply to get the shipping space it should have received under the Service Contracts. See Klosowsky Dep. Tr. 177:12-178:5 [APP-1280-1281]; Hackett Depo. Tr. 138: 6-13 [APP-872]; [REDACTED] There were periods during 2020-2021 when BBY's container yards and some of its warehouses were not full. Porter Dep. Tr. 129:11-130:22 [APP-2151-52]. Ms. Porter testified that "in the initial parts of the pandemic, we were not full. They became full as containers were arriving, and you know, due to the pandemic, things were shut down. We were unloading containers into the building and storing the freight." Porter Dep. Tr. 22:24-23:4 [APP-2115]. Even in the fall of 2021, when

warehouses were generally full, not all buildings were at capacity. Porter Dep. Tr. 18:4-9 [APP-21214].

460. At the same time as the above containers were booked, BBY's warehouses in Southern California were full. APP 2678 (Stupnik Tr. 175:22-177:1).

RESPONSE: Denied. The proposed finding misstates and mischaracterizes the record. The deposition confirms warehouse congestion generally during the pandemic, but it does not explicitly state that BBY's warehouses in Southern California were full. There were periods during 2020-2021 when BBY's container yards and some of its warehouses were not full. Porter Dep. Tr. 129:11-130:22 [APP-2151-52]. Porter testified that "in the initial parts of the pandemic, we were not full. They became full as containers were arriving, and you know, due to the pandemic, things were shut down. We were unloading containers into the building and storing the freight." Porter Dep. Tr. 22:24-23:4 [APP-2115]. Even in the fall of 2021, when warehouses were generally full, not all buildings were at capacity. Porter Dep. Tr. 18:4-9 [APP-21214]. To the extent BBY's warehouses or distribution centers were unable to process cargo during the pandemic, such inability arose in part due to OOCL's failure to reasonably coordinate the shipment of such cargo. (*See* BBY's Finding of Fact 383.) In addition, BBY took on extra drayage costs to move containers to locations with available space and clear backlogs by hiring additional storage providers at the distribution centers and warehouses and pooling points. (*See* BBY's Finding of Fact 413.2, 413.4.)

461. On September 13, 2021, OOCL discontinued secondary contracts for extra loaders. APP 1368 (K. Lam Tr. 114:3-9); RX-000851-52 (Ex. 57).

RESPONSE: Admitted that BBY suspended its "Premium Offering program" according to the cited email evidence. Lam's email, dated September 10, 2021, states that OOCL "decided to suspend Premium Offering program in the US market until further notice, for both BCO & NVO segment, TCR shall stop accepting fresh booking on all existing premium contracts, except those under pre-agreed Premium CSAL before, with immediate effect." See RX-000851 (OOCL_0000177982).

462. Amendment No. 9 to PE212612 is signed on October 11, 2021, by Juan Guerrero for BBY. APP 1177 (Kastin Tr. 144:9-15); APP 3750-53 (Ex. 379).

RESPONSE: Admitted.

D. 2022-2023 - Annual Service Contract No. MT226042 and its Amendments

1. Bed Bath & Beyond RFP and 2022-2023 Annual Service Contract Negotiations

463. On January 28, 2022, OOCL received the BBY RFP, which had a requested response deadline of February 1, 2022. RX-001164 (OOCL_0000098855).

RESPONSE: Admitted that the response was due on February 11, 2022.

464. PSS was not a “strike issue” for BBY. Mitchell email Feb 1, 2022. RX-001173, 1175 (OOCL_0000253461, 63).

RESPONSE: Denied. The proposed finding misstates and mischaracterizes the record. OOCL stated: “The key strike issue for BBB continues to be carrier absorption of the CY chassis costs, which we continually have rejected.” [RX-001173.] There is no mention of PSS in the discussion of strike issues.

465. In the RFP, BBY estimates its required volume is **40823** TEU (Asia to NAM; Europe to NAM; ME to NAM). RX-001176 (OOCL_0000253464).

RESPONSE: Admitted.

466. BBY requested MQC of 7,632 TEUs for combined trades, duration to be May 1, 2022-April 30, 2023. RX_001173-74 (OOCL_0000253461-62). [REDACTED]

[REDACTED] On March 4, 2022, BBY accepted OOCL’s offer (OOCL award 7,092 MQC; Contract MQC = 83% of award = 5,886 TEUs and deadfreight 80% of MQC (i.e. 4,709 TEUs)). RX_001169 (OOCL_0000253457).

RESPONSE: Admitted that OOCL reduced the MQC for BBY. [REDACTED]

466. A. [REDACTED]

[REDACTED]

[REDACTED]

RESPONSE: Denied. [REDACTED]

467. OOCL did not quote higher rates to BBY in 2022 to discourage it from shipping with OOCL. APP 1391 (K. Lam Tr. 210:16-211:4).

RESPONSE: Denied. The proposed finding lacks credibility, specifically as to Lam's testimony. See [REDACTED]

468. OOCL and BBY negotiations in 2022 were normal shipper-carrier dynamic, with OOCL starting at a higher rate and BBY attempting to negotiate for lower rates. APP 1397 (K. Lam Tr. 234:18-235:22).

RESPONSE: Denied. The proposed finding lacks credibility, specifically as to Lam's testimony. See [REDACTED]

469. While the RFP was pending, OOCL received a letter from BBY dated February 9, 2022, accusing OOCL of having failed to meet a contracted MQC of 317 FEUs per month. APP 859 (Hackett Tr. 183184); [REDACTED] However, during his deposition, Patrick Hackett admitted there was never an MQC breakdown by week or by month. APP 859 (Hackett Tr. 183:15-184:4).

RESPONSE: Denied. The proposed finding misstates and mischaracterizes the record. BBY was not accusing OOCL for weekly or monthly MQC obligation shortfalls in the letter. [REDACTED]

[REDACTED] Hackett testified that there was not an MQC breakdown by week or month in the Service Contracts. However, when allocating space, OOCL divided MQC by 52 weeks. *See Mitchell Dep. Tr. 341:15-25* (“...you understand that the CSAL allocation is not the MQC that is agreed to under the contract, correct? A. Well, the CSAL allocation is the contract MQC divided by 52. Q. Yes. But there’s -- and there’s nothing -- is there anything in the Service Contract that allows OOCL to unilaterally determine how the MQC divided by 52 will be delivered to a customer? A. No.”) [APP-1762]; [REDACTED]

470. On March 22, 2022, Jim Mitchell told Paul Pastor: “Subsequent to our telecon on Monday, we have updated the ISC plan for the 2022 contract. We have added another 208 TEUs to cover the IEX service ex Port Qasim to the East Cost and made the discussed adjustments on the ECX1 service loop.” RX-001187-A (OOCL_0000000094).

470. A. ISC plan is another term for the Model Ship, which is OOCL’s plan for how to meet the contract MQC over the contract period based on service loops and origins to destination. APP 1690-91 (Mitchell Tr. 53:21-54:25).

470. B. BBY was aware of how the ISC plan worked, having been involved in the process the previous year. RX-003139-40 (OOCL_0000031201-02).

RESPONSE: Admitted only as to 470 but denied as to 470 (A) and (B). The proposed finding contains multiple factual propositions and thus contravenes the Presiding Officer’s Scheduling Order. (Dkt. 12 (June 8, 2023).) 470(A) is denied as OOCL’s policy and procedure did not have a “plan for how to meet contract MQC over the contract period” and instead entered into service commitments that it could not satisfy, even for the 2021-2022 shipping year with the knowledge of ongoing congestion and demand. It also misstates and mischaracterizes the record. Regarding 470(B), the only mention of the ISC plan in the entire email chain is Mitchell’s statement: “After our call, we reviewed our comprehensive ISC plan for the region and we’re able to squeeze out another 1,000 TEUs.” See RX-003140 (OOCL_0000031202). BBY’s only response—“.....thank you for the extra space, if you find any more we’ll take it!”—simply acknowledges the additional space, not any understanding or prior involvement in the ISC plan. As OOCL personnel acknowledged, customer needs are not constant over a service contract year, but fluctuate. See Schmiemann Dep. Tr. 96:23-97:11 (“And in your 30 years-plus of experience, is it common for customers needs to change over the course of a year from what is put down originally in an ISC plan? A. Yes. Q. And is it common also for customers’ needs to change, even on the month-to-month basis, as you’re putting together a CSAL plan; that is, things -- as that CSAL plan goes into effect for the next year? A. Yes.”) [APP-2199]; Murdoch Dep. 60:13-24 (“You can’t use a -- let’s say MQC simply divide by 12 because that’s not realistic. Customers -- particularly, large retailers -- their shipments that they import usually correspond with the -- their sales -- peak sales, you know, so we have sales that are, let’s say, for back-to-school goods, so that -- they’re going to come in, in July or August, and then you have, you know, Thanksgiving, you know, seasonal holiday shipping. That may come in, you know, August/September.”) [APP-1816]; Ex. 381 (McCown Report) ¶ 64 [APP-3766].

471. On March 4, 2022, an OOCL internal email shows that BBY has accepted OOCL’s proposed contract pricing and MQC of 5,886 TEUs. RX-001169 (OOCL_0000253457).

RESPONSE: Admitted that Mitchell wrote: “Hello Team Trade, we received a call from Pat Hackett of BBB to advise that they have accepted our proposed contract pricing and the revision to the BP language.” [RX-001169.]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

473. On March 22, 2022, OOCL told BBY it had updated the ISC plan for the 2022 contract to add 208 TEUs, and other changes. RX-000832 (P-0000037022).

RESPONSE: Admitted.

474. On April 11, 2022, OOCL's Financial Control Team warned that BBY's failure (bankruptcy) score and delinquency score are high risk; at the time, BBY owed OOCL \$1,846,582. RX-001188-1203 (OOCL_0000098840).

RESPONSE: Admitted that the cited email states "Bed Bath and Beyond is 1,846,582 past due with OOCL", stated that Bed Bath's "failure (bankruptcy) score and delinquency score are high risk", and stated "FinCon does not recommend putting payment terms in the contract".

475. Dated April 30 and signed May 5, 2022, Amendment No. 1 to MT226042 revised the MQC to 6,042 TEU with sub MQC Mediterranean to USA of 208 TEU and specific weekly space allocations per service loop. RX-000830 (P-0000036760). BBY remarked that it had never seen this level of language in a contract. RX-000831 (P-0000036821).

RESPONSE: Admitted. However, Pastor was seeking confirmation on whether the rates applied to all BBY cargo.

476. On May 19, 2022, Shanghai was locked down due to COVID. RX-000836 (P-0000043666).

RESPONSE: Admitted.

477. On June 7, 2022, the parties mutually executed Amendment No. 2 to MT226042. RX-000834 (P-0000043379).

RESPONSE: Admitted.

478. On June 9, 2022, the parties mutually executed Amendment No. 4 to MT226042. RX-000835 (P-0000043507).

RESPONSE: Admitted.

479. On June 23, 2022, OOCL asked BBY for forecasts for July, August, and September. RX-000833 (P-0000042662).

RESPONSE: Admitted.

480. On June 24, 2022, BBY engaged BRG to assist BBY with its goal during the “next period” to integrate traffic management system (“TMS”) and international shipping events into one company network. RX-0001207-14 (BRG0009359).

RESPONSE: Denied. The proposed finding misstates and mischaracterizes the record. The cited emails are from December 8, 2021 to December 10, 2021 discussing how a COVID-related lockdown in Ningbo is affecting the shipment of critical merchandise, especially seasonal and advertised products. This email thread is a discussion between BBY’s supply chain team and their logistics provider, trying to determine alternative routes (like Shanghai) and get an updated timeline to communicate to buyers and stores.

481. In August 2022, the OOCL Sales Team received information from North America Financial Control Team that there was potential financial risk with BBY, and that transactions should be in cash, no credit. APP 2253 (Schmiemann Tr. 311:4-19); APP 1397 (K. Lam Tr. 236:13-25).

RESPONSE: Admitted that Schmiemann and Lam testified to information they received from FinCon regarding Bed Bath & Beyond’s financial condition

482. OOCL’s concerns about BBY’s solvency were well founded. BBY’s Restructuring Officer Holly Etlin wrote about BBY’s financial plight during this period in her sworn declaration in BBY’s bankruptcy proceeding:

The Holiday Season Default.

During the holiday season, unlike in years past, the Company did not have the financial flexibility to sufficiently restock inventory levels due to persistently deteriorating liquidity and tightening vendor credit. By December 2022, the Company’s stores were nearly 35% percent out of stock. Following a holiday season in which sales fell nearly 50% from the same period a year before, Bed Bath & Beyond triggered multiple events of defaults under its financing facilities. In December 2022, after the Company’s Lenders took note of decreased inventory levels, JPMorgan, in its capacity as administrative agent under the Prepetition Credit Agreement, delivered two notices to the Company adding additional reserve amounts and lowering the advance rate (the “Reserve Notices”), resulting in the Company having to provide weekly certifications of its borrowing base. In January 2023, due to the “roll-forward” of the Company’s inventory base following the holiday sales season, the Debtors had borrowed in excess of

the permitted borrowing base under the Prepetition Credit Agreement. As the Company worked through this issue, in mid-January, the Company failed to timely deliver the weekly borrowing base certificates and other related deliverables required under the Prepetition Credit Agreement and failed to comply with a fixed charge coverage ratio for the four fiscal quarter period ended November 26, 2022 (the “Events of Default”). Because of the liquidity situation and the continued decline in inventory level, the Company found itself in the position of a nearly \$200 million over advance under its Prepetition ABL Facility.

RX-000690-91 (Ex. 385, Etlin Declaration pp. 20, 21, ¶ 51).

RESPONSE: Admitted that BBBY’s Restructuring Officer Holly Etlin stated the following in her sworn declaration in BBBY’s bankruptcy proceeding. Otherwise denied.

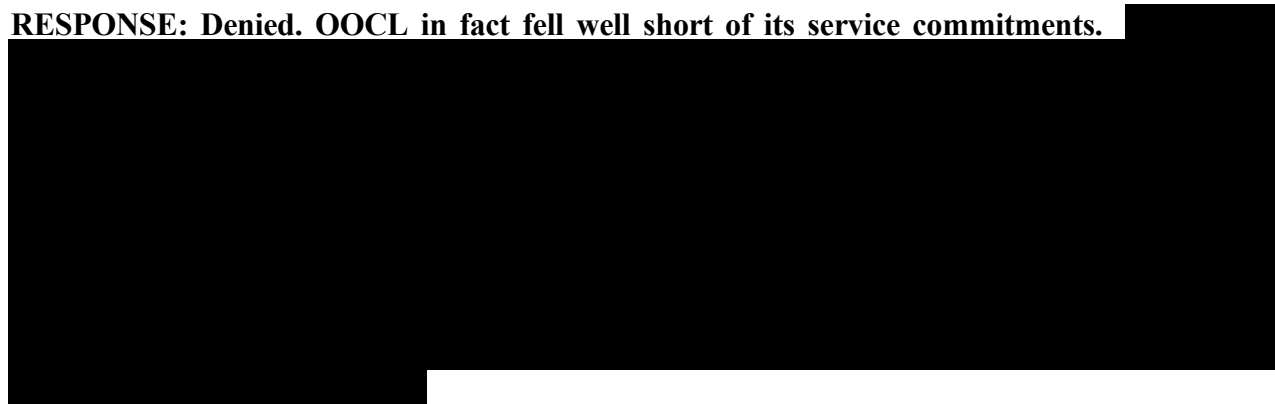
VI. COUNT I – ALLEGED VIOLATION OF 46 U.S.C. § 41102(c) - ALLEGED SYSTEMATIC FAILURE TO MEET SERVICE COMMITMENTS AND COERCING BBBY TO PAY PSS AND ENTER PREMIUM RATE CONTRACTS

483. **OOCL’s Demurrage and Detention Charges were proper.** See Respondents’ Proposed Findings of Fact under Section IV, Count II below, which are incorporated herein by reference.

RESPONSE: Denied. The proposed finding addresses issues of the reasonableness of detention and demurrage charges under the Shipping Act and thus constitutes an inappropriate proposed conclusion of law.

484. **OOCL Provided the Container Space it was Obligated to Provide under the 2020 and 2021 Service Contracts** See Respondents’ Proposed Findings of Fact under Section V, Count III below, which are incorporated herein by reference.

RESPONSE: Denied. OOCL in fact fell well short of its service commitments.



485. No One Coerced BBY into Signing 47 Contracts with OOCL during Shipping Years 2020 and 2021 See Respondents' Proposed Findings of Fact under Section V, Count III below, which are incorporated herein by reference.

RESPONSE: Denied.

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

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[REDACTED]

[REDACTED]

[REDACTED]

RESPONSE: Denied. The proposed finding contains multiple factual propositions and thus contravenes the Presiding Officer’s Scheduling Order. (Dkt. 12 (June 8, 2023).) The proposition relies on OOCL’s own analyses, which lack independent verification and credibility, particularly regarding Exhibit 39. *See* BBBY’s Finding of Fact Arg.VIII.B. OOCL in fact fell well short of its service commitments.

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

RESPONSE: Denied. The proposed finding contains multiple factual propositions and thus contravenes the Presiding Officer’s Scheduling Order. (Dkt. 12 (June 8, 2023).) The proposed finding lacks credibility, specifically as to Metzger’s testimony and analyses. (*See* BBBY’s Finding of Fact Arg.VIII.B.) [REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

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[REDACTED]

RESPONSE: Denied. The proposed finding contains multiple factual propositions and thus contravenes the Presiding Officer’s Scheduling Order. (Dkt. 12 (June 8, 2023).) The proposed finding lacks credibility, specifically as to Lam and Metzger’s testimony and analyses. (*See* BBY’s Finding of Fact Arg.VIII.) It also fails to include “an exact citation to evidence” and thus contravenes the Presiding Officer’s Scheduling Order. (Dkt. 12 (June 8, 2023).) OOCL in fact fell well short of its service commitments.

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

A series of horizontal bars, mostly black with yellow segments at the ends, representing a data visualization. The bars are arranged in a list-like structure, with varying lengths and positions. The yellow segments are located at the left or right ends of the bars, while the main body of each bar is black. The bars are set against a white background.

RESPONSE: Denied. The proposed finding contains multiple factual propositions and thus contravenes the Presiding Officer’s Scheduling Order. (Dkt. 12 (June 8, 2023).) The proposed finding lacks credibility, specifically as to Metzger’s testimony and analyses. (*See* BBY’s Finding of Fact Arg.VIII.) It also fails to include “an exact citation to evidence” and thus contravenes the Presiding Officer’s Scheduling Order. (Dkt. 12 (June 8, 2023).)

VII. COUNT II - ALLEGED VIOLATIONS OF 46 U.S.C. § 41102(c) & 46 C.F.R § 545.5 - DEMURRAGE AND DETENTION CHARGES

OOCL Established Reasonable Demurrage and Detention Guidelines for Handling Disputes and Followed those Guidelines

486. OOCL promulgated demurrage and detention management guidelines. RX-000853-89 (Ex. 97, OOCL DD Management Guideline (1 Nov 2020), OOCL_00000128664-700); APP 2346 (Sha Tr.195:24-197:2).

RESPONSE: Admitted that there were OOCL guidelines for managing detention & demurrage, but the evidence cited is insufficient to support the proposition that such guidelines were “promulgated”.

487. OOCL followed its DD Management Guidelines, which cover whether a customer is responsible or not for a charge. APP 2313-14; 2320 (Sha Tr. 63:21-64:20; 65:2-66-22; 92:8-93:12).

RESPONSE: Denied. The proposed finding that OOCL generally followed its DD Management Guidelines is overbroad and goes beyond the deposition transcript evidence cited. Neither the evidenced cited nor the guidelines themselves support the proposition that the “DD Management Guidelines” cover the situation of whether a customer is responsible or not for a charge. Instead, the Guidelines apparently only contemplate the possibility of customer non-liability because of “[s]olely due to OOCL reasons with no possibility to avoid / minimize the charges” which does not cover all of the situations in which a customer may not be responsible and have no possible way of avoiding or minimizing such charges (e.g., no chassis available). Ex. 97 at 9 [RX-000861].

488. OOCL has a headquarters and regional detention and demurrage dispute handling guideline. APP 2314 (Sha Tr. 67:13-68:11; 68:23-11).

RESPONSE: Admitted that there was a headquarters guideline document, but the deposition evidence cited is insufficient to support the existence of a regional guidelines, given that discovery in this case has not turned up any a “regional” detention and demurrage guideline.

489. The analysis as to whether the DD charge is within OOCL’s control or the customer’s control takes place before the charge is issued. APP 2314-15 (Sha Tr. 69:13-70:13).

RESPONSE: Denied. The deposition evidence does not support this proposition because, in context, it is clear that the witness is talking about whether a charge was OOCL’s fault, not a broader inquiry of whether charges were outside of the customer’s control. Sha Dep. Tr. 69:20-70:13 (“Q. So what kind of review is undertaken before the charge is issued? A. Yes. For example, on the export side, if a container is already returned and intended to load it onto a port vessel, but then that vessel schedule has a delay which resulted to the container has to sit in the container -- sit at the terminal a few more days, then in that situation we will extend the free time or we will mitigate the charge amount our system is calculated because we know the container is returned, and the schedule delay or change happened that it is outside the customer’s control”) [APP-2314-2315]. In fact, Sha goes on to state the customer is responsible for finding truckers. *See* Sha Dep. Tr. 70:24-71:1 (“For example, if customer need find truck power, then that’s their responsibility for a merchant move, right?”) [APP-2315]. Sha further confirmed her understanding that charges resulting from a chassis shortage could only be reviewed for “commercial mitigation.” Sha Dep. Tr. 73:3-16 (“That delay is not directly caused by OOCL, so we’re not waiving demurrage or we won’t concluded that as demurrage

charge is invalid. But if you say if customer talk with us, if they dispute, yes, it could be they talk with us and ask – may not hundred percent being a D&D team, they could also talk with sales So customer can also talk that chassis shortage in the merchant move with our sales, and that we could also – or sales could also escalate to our commercial team to review the commercial mitigation or discount.”) [APP-3215]. In light of this policy, OOCL plainly did not provide an assessment of factors outside of the customer’s control such as a chassis shortage before issuing a charge, because OOCL plainly did not consider such factors relevant to assessing the reasonableness of a charge.

490. Each case involves a fact-based inquiry. APP 2315; 2348 (Sha Tr. 70:14-71:23; 204:3-205:17). Regarding demurrage and detention charges, Marvic Chen testified: “We cannot generalize here. It has to be a – you know, per specific case to look at that.” APP 193 (Chen Tr. 166:10-12); APP 5126 (Ex. 9, OOCL_0000055984) (Mike Young wrote on February 16, 2022, that, “They seem to imply – **but have not provided evidence to qualify**, that they were not responsible for delays in Pick up - or MT return to our facility...If this is the case **and can be validated** —the DD should not be billed — per the FMC Final Rule”) (Emphasis added).

RESPONSE: Denied that OOCL applied a fact based inquiry. The proposed finding contains multiple factual propositions and thus contravenes the Presiding Officer’s Scheduling Order. (Dkt. 12 (June 8, 2023).) The statement that “Each case involves a fact-based inquiry” is denied to the extent it asserts a factual claim about OOCL’s practices during the relevant period. Sha’s testimony does not support the proposition that there was a “fact-based inquiry” but merely asserts that certain factors *within OOCL’s complete control* might be considered. (*Supra* Response to FOF 489.) Further, the cited quotations from Marvic Chen and Mike Young are normative statements made in anticipation of (or during) litigation, are not descriptions of OOCL’s DD policies as they actually existed or were carried out, and thus lend no support to the statement.

491. If grounds exist, OOCL’s DD Dispute Team can make an operational adjustment. Operational adjustments, in turn, are determined based “primarily using the FMC’s final rule and guiding principles.” APP 550 (Donohue Tr. 62:1-4). In cases where grounds do not exist, a commercial adjustment may also be possible. APP 2315-16; 2325; 2347; 2348 (Sha Tr. 72:13-74:2; 112:15-113:5; 198:9-199:3; 204:3-205:17).

RESPONSE: Denied. As to operational adjustments, even according to OOCL’s version of events, when a customer disputes D&D charges, OOCL requires the customer to either demonstrate that they are totally not liable for the charge due to either OOCL’s internal mistake or provide validated information that a demurrage or detention claim should be excused under the FMC rules. See Lam Dep. Tr. 204:11-205:2. OOCL claimed that many customers fail to meet the criteria for operational adjustment, which leads to customers submitting a commercial adjustment request through their sales contact in which OOCL’s

Trade Department considers only waivers of D&D Charges for commercial adjustments without evaluating the “validity” or appropriateness of the charges. See Sha Dep. Tr. 127:2-10. During the relevant time period, “commercial mitigation was very tight.” See Chen Dep. Tr. 121:24-122:25. Further denied that OOCL properly determined whether proper grounds existed to not charge BBY for detention and demurrage.

492. OOCL will review and take into consideration any information that the client provides with respect to a demurrage or detention dispute. APP 2344 (Sha Tr. 188:6-189:21).

RESPONSE: Admitted that Ms. Sha testified to this issue. However, as to operational adjustments, when a customer disputes D&D charges, OOCL requires the customer to either demonstrate that they are totally not liable for the charge due to either OOCL’s internal mistake or provide validated information that a demurrage or detention claim should be excused. See Lam Dep. Tr. 204:11-205:2. OOCL claimed that many customers fail to meet the criteria for operational adjustment, which leads to customers submitting a commercial adjustment request through their sales contact in which OOCL’s Trade Department considers only waivers of D&D Charges for commercial adjustments without evaluating the “validity” or appropriateness of the charges. See Sha Dep. Tr. 127:2-10. During the relevant time period, “commercial mitigation was very tight.” See Chen Dep. Tr. 121:24-122:25. Further denied that OOCL properly determined whether proper grounds existed to not charge BBY for detention and demurrage.

493. When the customer requests demurrage or detention relief, Tracy Sha and her team evaluate whether an operational adjustment is appropriate and make a decision whether to grant it.

APP 2323-24 (Sha Tr. 105:13-106:2).

RESPONSE: Denied that OOCL properly determined whether proper grounds existed to not charge BBY for detention and demurrage. Otherwise admitted except that the testimony is incomplete, as Sha stated that the adjustment would be made only if the customer was not responsible or “not liable”, which only covered situations in which *OOCL was totally at fault*. Sha Dep. Tr. 105:19-106:2 [APP-2323-2324].

494. If grounds exist, OOCL’s DD Dispute Team can make an operational adjustment; in cases where grounds do not exist, a commercial adjustment may also be possible. APP 2315-16; 2325; 2347; 2348 (Sha Tr. 72:13-74:2; 112:15-113:5; 198:9-199:3; 204:3-205:17).

RESPONSE: Denied. As to operational adjustments, when a customer disputes D&D charges, OOCL requires the customer to either demonstrate that they are totally not liable for the charge due to either OOCL’s internal mistake or provide validated information that a demurrage or detention claim should be excused under the FMC rules. See Lam Dep. Tr. 204:11-205:2. OOCL claimed that many customers fail to meet the criteria for operational adjustment, which leads to customers submitting a commercial adjustment request through their sales contact in which OOCL’s Trade Department considers only waivers of D&D Charges for commercial adjustments without evaluating the “validity” or appropriateness of

the charges. *See* Sha Dep. Tr. 127:2-10. During the relevant time period, “commercial mitigation was very tight.” *See* Chen Dep. Tr. 121:24-122:25. Further denied that OOCL properly determined whether proper grounds existed to not charge BBY for detention and demurrage.

495. OOCL has a demurrage and detention dispute process for submitting disputes available on OOCL’s website, which was in place throughout the shipping years at issue. APP 2355 (Sha Tr. 230:6-230:18).

RESPONSE: Admitted. However, instead of implementing a uniform procedure based on the FMC interpretative rules on demurrage and detention, OOCL has established an internal process that is not accessible to its customers. *See* Sha Dep. Tr. 112:15-21 (“Q. So is the definition of operational adjustment laid out in the D&D guideline? A. It is laid out on the D&D management guideline, and under our regional dispute handling principle -- a regional dispute handling guideline, we also talk about the scenarios.”) [APP-2325].

A. BBY Presented No Probative Evidence to OOCL Pertaining to the Containers at Issue Justifying a Reduction in DD Charges

496. No one at BBY or on its behalf evaluated each container for which demurrage or detention was charged to ascertain whether delays in picking up loaded containers or returning empty containers were caused in each case by matters beyond the control of BBY and/or its agents, including lack of access, lack of appointments, dual-interchange requirements, a shortage of chassis, trucks, or truck drivers, or the unavailability of rail cars or service. *See, e.g.,* APP 830-31 (Hackett Tr. 67:3-70:13); APP 2448-49 (Soban Tr. 72:15-74:20); APP 2046-48 (Pinchuk Tr. 16:15-23:21); APP 2128-29 (Porter Tr. 35:3-38:22); APP 2647 (Stupnik Tr. 51:7-52:5); APP 1259-60 (Klosowsky Tr. 92:6-95:17); APP 1949-50 (Pastor Tr. 80:11-84:14).

RESPONSE: Admitted that a concerted evaluation or dispute was not made for each and every container, but otherwise denied.

497. BBY’s Reid Klosowsky acknowledged that OOCL has “a customer service team that reviews each individual shipment” and the burden of proving BBY’s DD claim was on BBY. He testified:

we were asked to provide all of the documentation to substantiate our claim, and so the burden of proof I think was on us, and so we wanted to try to map out, well, what is going to be the most efficient process for substantiating and to -- for OOCL to acknowledge the claim and for us to gather the data because we're working with third parties who were using terminal websites to try to get appointment times to come in, and then when they didn't get an appointment time, you know, sometimes it was a moment in time. In the morning, they weren't allowing any important times. If they went back in the afternoon, at which point they couldn't get a carrier, then it was open. So there were these moments in time during the course of the day where a terminal would allow access versus not allowing access. There were a lot of moving pieces, as I recall, and so we were trying to work in a, you know, a complementary way with the OOCL team because we did have a long-standing relationship and I thought a good relationship, a positive relationship, and so we were trying to say -- figure out -- and my conversation, I believe, as I recall, with Dan and Pat Hackett and Tom and Jim was that they were willing to process claims and make refunds for, you know, overcharges, but it wasn't going to be, you know, easy and that they wanted facts and proof that they couldn't produce themselves on the availability of containers or even the availability of access to a terminal that they were using, so that's I think the gist of what or the general background on that subparagraph.

APP 1265-66 (Klosowsky Tr. 117:11-119:4) (Emphasis added).

RESPONSE: Denied. The proposed finding addresses issues of burden of proof and thus constitutes an inappropriate proposed conclusion of law. The proposed finding also misstates and mischaracterizes the record. The evidence cited shows that BBY's Reid Klosowsky, in light of BBY's "long-standing relationship" with OOCL, made diligent efforts to provide OOCL with what they needed to assess these claims. Klosowsky's statement about the "burden of proof I think was on us" speaks to Klosowsky's awareness that it was OOCL policy to require burdensome documentation to support a claim, and as a result he tried to assist gathering facts, documentation, and evidence.

498. BBY did not do everything that it could to minimize demurrage and detention charges. BBY could have submitted explanations or evidence to OOCL as to why BBY was not responsible for such charges. BBY never did.

RESPONSE: Denied. BBY did everything it could to minimize demurrage and get containers out of port in a timely manner. See Soban Dep. Tr. 17:12-18:14 [APP-2434-2435; APP-2447-2448]; Porter Dep. Tr. 136:1-13]. BBY submitted what explanations and evidence it could in light of the fast-changing and complex situation at ports, and the limited availability of evidence and documentation, for example, for abrupt changes to appointments or terminal hours. The October 21 Letter explicitly mentioned challenging OOCL's detention and demurrage charges because OOCL did not satisfy the guidelines issued by the FMC. [REDACTED]

[REDACTED] he proposed finding fails to include “an exact citation to evidence” and thus contravenes the Presiding Officer’s Scheduling Order. (Dkt. 12 (June 8, 2023).)

499. John McCown admitted that he had no information relating to all of the containers in Appendix C of his report (for which DD charges were assessed) as to whether BBY ever provided any evidence or explanation why the charges should be reversed, whether BBY ever submitted a claim or dispute through OOCL’s Demurrage and Detention Dispute Team email boxes, whether BBY ever submitted any evidence or explanation to OOCL that BBY was not responsible for the charges due to a lack of chassis, lack of trucks, lack of truck drivers, lack of an appointment, because of dual-exchange requirement, because the container was buried in a container stack at a marine terminal, due to a lack of rail cars, or a lack of rail service. APP 1491-92 (McCown Tr. 220:25-224:13). Further, he testified that he had no information as to whether BBY identified if appointments were required or confirm with its drayage providers that appointments were required. APP 1492 (McCown Tr. 224:14-22).

RESPONSE: Admitted that McCown testified as to his lack of knowledge regarding these facts as to each container. The proposed finding contains multiple factual propositions and thus contravenes the Presiding Officer’s Scheduling Order. (Dkt. 12 (June 8, 2023).)

500. In October 2021, when BBY first asserted that OOCL had overcharged it for demurrage and detention, OOCL requested additional information, which BBY never provided. APP 2237 (Schmiemann Tr. 248:16-249:2).

RESPONSE: Denied. The proposed finding misstates and mischaracterizes the record. Schmiemann testified that he did not *think* BBY provided the documentation in question, meaning he did not know whether they did or did not.

501. OOCL's Demurrage and Detention Department Supervisor Tracy Sha testified that BBY submitted two claim disputes during the pandemic, both of which her team vetted and resolved. APP 2351 (Sha Tr. 216:13-217:14).

RESPONSE: Denied. Statement mischaracterizes the evidence cited, which only states one complaint was "closed" or resolved. Sha Dep. Tr. 216:13-217:14 [APP-2351].

502. BBY relies upon generalized, anecdotal claims of marine terminal congestion and lack of chassis without demonstrating in any case what actually caused delays to the containers at issue leading to demurrage or detention charges. See e.g., APP 1259; 1259-60 (Klosowsky Tr. 92:6-22; 92:24-95:17); APP 1950 (Pastor Tr. 84:22-85:19); APP 830-31 (Hackett Tr. 69:1-70:13).

RESPONSE: Denied. The evidence cited is incomplete and the proposed fact contains legal argument mischaracterizing evidence. As testified by Reid Klosowsky, BBY did have conversations with OOCL with specific examples and recalled extensive e-mail and telephone communications on this issue. Klosowsky Dep. Tr. 90:15-91:9 [APP-1259]. Further, BBY does not rely on anecdotal claims but rather has established that there were widespread and well-known port congestion issues impacting terminal operations, preventing BBY from returning and picking up containers, and hampering BBY's ability to mitigate detention and demurrage charges. (See BBY's Findings of Fact Intro.III; see also BBY's Finding of Fact 414 (describing BBY's Reid Klosowsky visit to the port of Long Beach terminals and the OOCL terminal and Klosowsky's personally witnessing how the flow of containers had grinded to a halt due to a glut of containers).)

1. OOCL Verified its DD Charges were Proper

503. OOCL's Tracy Sha's team vetted and verified the charges relating to each and every container and prepared a spreadsheet addressing more than 1,000 containers. APP 2353 (Sha Tr. 224:25-225:24). Ms. Sha testified at Tr. as follows:

Q. Okay. And so what did you do with respect to the conclusions that you reached after vetting every one of these containers? What did you conclude?

A. Yeah. So what we concluded definitely is we now have the OOCL, our side of the data of the charge amount. Also we have the justification, so we do have a finding that among the list, there are ten containers in a particular day for their container type the terminal is not able to accept empty return. So for those ten days or ten containers, we marked that there's one day invalid, and we issue the credit note for that amount. So that is

marked in the sheet under Column V and Column W, yeah. And for the rest of the days is the majority because there's more than one thousand containers –

A. For the rest of the record in overall, there's more than 1,000 container records. What we presented here is the justification for why we view the charge is valid, so we giving [sic] the justification for the charge billed dates.

Id. See also RX-000001 (Ex. 98, Tracy Sha's Excel Spreadsheet, OOCL0000253914).

RESPONSE: Denied. Statement is overbroad and mischaracterizes evidence cited. As confirmed by the evidence cited, including the spreadsheet in Ex. 98, Tracy Sha's team only analyzed whether there were restrictions on the return of empty containers and thus did not "vet" or "verify" the charges relating to each and every container or any factors preventing the return or movement of such containers.

504. OOCL had a process to vet the charges and considered whatever evidence or explanation a shipper would provide in evaluating whether an operational adjustment was warranted. APP 2344, 2353 (Sha Tr. 188:6-189:21; 224:25-225:24); RX-000001 (Ex. 98, Tracy Sha's Excel Spreadsheet, OOCL0000253914).

RESPONSE: Denied. OOCL's internal guidelines relating to "operational adjustments" make clear that there only scenarios in which OOCL was 100% at fault would trigger an operational adjustment. The testimony provides some evidence that OOCL had an internal charge review process including the verification of the container number and bill of lading number, but there is no explicit mention of shippers being able to submit evidence for review or that such evidence was meaningfully considered. See Sha Dep. Tr. 222:2-15. Instead, the witness describes a process where OOCL reviewed its own internal records: "So we find back that record, and that recording is giving us each date, which terminal is open, and if it is open, is there a restriction or there's no restriction." Sha Dep. Tr. 224:13-16. The process described is largely unilateral, based on OOCL's own internal records and terminal data.

505. OOCL sent daily announcements to truckers during the pandemic about terminals openings and empty container return requirements. APP 1707 (Mitchell Tr. 119:6-18); APP 2353; 2356 (Sha. Tr. 224:8-24; 237:1-12).

RESPONSE: Admitted that Mitchell and Sha testified to this fact, but their testimonies are uncorroborated.

BBBY Supply Chain Problems Contributed to Container Delays

506. BBBY and Yusen Logistics witnesses have admitted that full warehouses impeded BBBY's ability to retrieve containers from the marine terminals. APP 2647; 2678 (Stupnik Tr. 50:15-51:5; 175:25-177:1; Ms. Stupnik testified: "Q. And so that's my question to you is if – if the warehouse is full, then how do you move the containers from the marine terminal to a full warehouse? A. We don't. Q. Okay. And so you would agree with me then that the full warehouse impeded your ability to retrieve the containers from the marine terminals, correct? JAMES FRIBLEY: Objection to form. THE WITNESS: That's correct."). APP 2647 (Stupnik Tr. 50:15-51:5); APP 318; 319; 329-30 (D'Alfonso Tr. 13:17; 14:5-6; 57:18-58:5).

RESPONSE: Admitted except that the testimony is incomplete and over objections.

507. BBBY's full warehouses exacerbated the accrual of long-dwell containers at the marine terminals. APP 2238-39 (Schmiemann Tr. 252:24-254:2).

RESPONSE: Denied. Evidence cited is speculation from an OOCL employee. There were periods during 2020-2021 when BBBY's container yards and some of its warehouses were not full. Porter Dep. Tr. 129:11-130:22 [APP-2151-52]. Porter testified that "in the initial parts of the pandemic, we were not full. They became full as containers were arriving, and you know, due to the pandemic, things were shut down. We were unloading containers into the building and storing the freight." Porter Dep. Tr. 22:24-23:4 [APP-2115]. Even in the fall of 2021, when warehouses were generally full, not all buildings were at capacity. Porter Dep. Tr. 18:4-9 [APP-2124].

508. BBBY's distribution centers were also full. APP 2411-12 (Shippee Tr. 84:14-86:1); APP 1560; 1561 (McQuade Tr. 69:3-24; 72:9-73:11 (BBBY's import distribution centers are full)); RX-001022-27 (Ex. 300, P-0000362783, Yusen-BBBY Meeting Minutes, 11 Nov 2021, "Import DC's: "DC's are full and cannot receive more product.").

RESPONSE: Denied. The proposed finding does not have a date range. BBBY secured additional warehousing space to avoid this issue and used train cars to move containers to different regions where there was more warehousing space was available. See Soban Dep. Tr. 232:11-233:8 ("Q. Okay. So, before, you stated that backlog, equipment shortages inside the port and outside, you had become creative. Could you clarify what you meant by this? And could you give us more examples about this? A. . . . At one point, we utilized additional

[distribution centers]s to process and handle the freight.”) [APP-2488]. BBY also made efforts to clear backlog by hiring and utilizing an additional storage provider at the distribution centers and warehouses and pooling points. See Soban Dep. Tr. 97:256-98:206 (“Q. Where did you hire that additional space? A. Beginning of 2022. Q. Where? A. There was a lot of other stuff that was going on before I came on board, but when I came on board, we did hire, like, ITS to help. So the containers were prioritized by free time. Q. So let’s talk about ITS for just a second. So ITS was a drayage carrier? A. Drayage, storage, transportation logistics provider. Q. And they provided additional storage beyond that which was available to you at the distribution centers and warehouses and pooling points? A. Yes.”) [APP-2454-2455]. Admitted that there were times when certain distribution centers were full, except that the testimony is incomplete because it omits this context.

509. Because their warehouses were full, BBY stored hundreds of loaded containers on chassis at the warehouse container yards in Southern California and other remote locations. APP 2644; 2678; 2679 (Stupnik Tr. 38:3-40:4; 175:25-177:1; 180:1-13); APP 2124-25; 2152 (Porter Tr. 19:14-18; 22:19-23:4; 130:11-15 (“Containers in the yard, yes, we were full.”); APP 2411-12 (Shippee Tr. 84:14-86:1).

RESPONSE: Denied. BBY worked to add additional warehouse space throughout the pandemic and to move containers to different regions where there was more warehousing space was available, but otherwise admitted that the former BBY employees testified in the cited excerpts.

510. BBY increased the volume of its container shipments during the pandemic, which exacerbated the problem of inadequate warehouse space, with one of its warehouse managers testifying that import volume in Southern California went from 5,000 containers in 2019, to 10,000 in 2020, to 15,000 in 2021, to 17,000 in 2022. APP 2645 (Stupnik Tr. 43:7-45:7).

RESPONSE: Denied as to the implication that BBY mismanaged its warehouse capacity. The evidence cited does not support the proposition that BBY’s warehouse space was insufficient for the increased importing. Admitted that BBY changed its buying strategy around the time of the pandemic leading to an increase in imports, but there is no evidence cited for that proposition.

511. BBY prioritized some cargoes over others during the pandemic leading to more

warehouse space being filled up. BBY had a practice of “holdbacks,” that is, leaving containers at its warehouses containing goods that were not needed at BBY stores, or were part of a particular season, or an exclusive line. APP 2648-49 (Stupnik Tr. 55:16-58:10).

RESPONSE: Admitted that BBY prioritized getting certain goods such as seasonal goods most needed in its stores from its warehouse and into the stores.

512. BBY had more holdbacks during the two shipping years at issue than prior to the pandemic. APP 2648 (Stupnik Tr. 59:3-61:6). BBY’s Gisella Stupnik testified:

Q. And so all of the holdback cargo, essentially all of that – that product filled up the warehouses to a greater degree during the pandemic than it did during pre-pandemic, correct?

A. Correct.

APP 2649 (Stupnik Tr. 61:1-6)

RESPONSE: Admitted.

513. Notably, Seweryn Soban, BBY’s former Customs Compliance manager, testified that “merchandise that was not needed at the time it arrived” caused the lack of space in BBY’s distribution centers. APP 2488 (Soban Tr. 231:8-14). Demonstrably, BBY’s inability to forecast and anticipate customer purchasing patterns, created “self-inflicted disruption” that cannot possibly be attributable to OOCL. APP RX-000671-763 (Etlin Declaration, ¶¶ 25, 26).

RESPONSE: Denied that BBY had an inability to forecast and anticipate customer purchasing patterns or that it created a self-inflicted disruption or that BBY’s container issues or the imposition of high and unreasonable PSS and D&D cannot be attributable to OOCL. Inventory was not needed at the time it arrived, in many cases, because it had already arrived too late due to the shipping and supply chain situation. Admitted that in certain instances, merchandise arrived after it was needed due to delays by OOCL and other carriers.

514. In August and September 2021, just prior to Patrick Hackett’s letter of October 18, 2021, complaining about OOCL’s DD charges, BBY booked for transport and shipped 590 containers from Asia to the United States when its warehouses were full. APP 1610-12 (Metzger Tr. 85:15-90:15); RX-000612 (Ex. 387, Tab PCC3-OEP-038 E, Shanghai and Yantian bookings);

APP 385 (Delprete Tr. 179:20-180:10) (BBBY was one of the shippers who “were ordering a lot of inventory, and so hence the demand driving up, so a lot of customers just couldn’t absorb the additional cargo that they were importing, hence the warehouse and distribution centers couldn’t digest it.”). In September 2021, BBBY also booked 200 FEUs (the equivalent of 400 TEUs) aboard vessels that it chartered separately at the same time that its warehouses were full. APP 853 (Hackett Tr. 160:8-161); RX-000979-996 (Ex. 201).

RESPONSE: The proposed finding contains multiple factual propositions and thus contravenes the Presiding Officer’s Scheduling Order. (Dkt. 12 (June 8, 2023)). The proposed finding lacks credibility, specifically as to Metzger’s analyses (Exhibit 387) and testimony. *See* BBBY’s Finding of Fact Arg.VIII.B. Denied that BBBY was “ordering a lot of inventory” but “just couldn’t absorb the additional inventory” as Bed Bath secured additional warehousing space to avoid this issue and used train cars to move containers to different regions where there was more warehousing space was available. *See* Soban Dep. Tr. 232:11-233:8 (“Q. Okay. So, before, you stated that backlog, equipment shortages inside the port and outside, you had become creative. Could you clarify what you meant by this? And could you give us more examples about this? A. . . . At one point, we utilized additional [distribution centers]s to process and handle the freight.”) [APP-2488]. BBBY also made efforts to clear backlog by hiring and utilizing an additional storage provider at the distribution centers and warehouses and pooling points. *See* Soban Dep. Tr. 97:25-98:20 (“Q. Where did you hire that additional space? A. Beginning of 2022. Q. Where? A. There was a lot of other stuff that was going on before I came on board, but when I came on board, we did hire, like, ITS to help. So the containers were prioritized by free time. Q. So let’s talk about ITS for just a second. So ITS was a drayage carrier? A. Drayage, storage, transportation logistics provider. Q. And they provided additional storage beyond that which was available to you at the distribution centers and warehouses and pooling points? A. Yes.”) [APP-2454-2455]. Regarding the chartered container space referenced in the proposed finding, during the relevant time period in this case, BBBY chartered two vessels at “two to three times the normal rate” simply to get the shipping space it should have received under the Service Contracts. *See* Klosowsky Dep. Tr. 177:12-178:5 [APP-1280-1281]; Hackett Depo. Tr. 138: 6-13 [APP-872]; Ex. 381 (McCown Report) ¶ 124 [APP-3780].

515. In April 2022, Yusen “directly correlated 64” purchase orders “which have been affected by shutdowns and restrictions due to Covid 19. That is 21% of the po’s written from Shanghai and Nanjing for this period (RSD 3/1-4/30).” RX-000898-905 (Ex. 174, P-000197333).

RESPONSE: Denied. The proposed finding uses the terms “directly correlated” and “affected by shutdowns” without specific definition in a manner material to the PFF or BBBY’s responses thereto.

516. The containers at issue were CY shipments, that is, from loadport container yard to destination port container yard. APP 1706-07 (Mitchell Tr. 117:19-118:5); APP 2449 (Soban Tr. 74:24-75:14); APP 820 (Hackett Tr. 28:1-17).

RESPONSE: Admitted.

517. The shipper is responsible for all drayage under a CY movement. APP 2355 (Sha Tr. 23.:25-233:1).

RESPONSE: Admitted that BBBY arranged for drayage using staff or EDRAI.

518. “Merchant haulage” means that the ocean carrier is responsible for delivering the cargo to a container yard, and the shipper is responsible for picking up and returning the empty container. Lars Jensen testified: “Basically means that the carrier is responsible for delivering the container to the container yard. Then it’s the responsibility of the shipper to arrange for the full container to be picked up at the terminal. And it’s the responsibility of the shipper to redeliver the empty container to a depot assigned of a number of depots assigned by the carrier within a given time frame.” APP 1087 (Jensen Tr. 363:15-364:4).

RESPONSE: Admitted that Jensen provided his unfounded opinion on this issue, otherwise deny. The proposed finding contains multiple factual propositions and thus contravenes the Presiding Officer’s Scheduling Order. (Dkt. 12 (June 8, 2023)). Mr. Jensen lacks qualifications and/or methodological reliability to constitute appropriate “expert” testimony in this action. See BBBY’s Finding of Fact Arg.VII.

519. Lars Jensen testified: “[A]ll the bookings to my understanding, here, are done on merchant haulage terms, which means, from the perspective of OOCL, the moment the full container is being picked up, until the empty container is returned, OOCL has neither any control over what happens nor any insight into what actually transpires during that period.” APP 1026 (Jensen Tr. 118:18-119:2); [REDACTED]

RESPONSE: Denied to the extent this proposed finding makes the assertion that OOCL claims it had no insight into Bed Bath and Beyond’s difficulty in returning empty containers or picking up full containers. *See* BBBY’s Finding of Fact 46-53. The proposed finding does not state a fact but merely quotes a source. Mr. Jensen lacks qualifications and/or methodological reliability to constitute appropriate “expert” testimony in this action. *See* BBBY’s Finding of Fact Arg.VII.

520. Lars Jensen testified:

Q. So as between OOCL and Bed Bath, who would have been responsible for making all of the arrangements for the drayage transportation services to transport containers from the marine terminals to Bed Bath’s facilities and then back to the marine terminals?

A. My understanding is that all of these bookings were done on merchant haulage terms, which means it would be Bed Bath & Beyond’s responsibility.

APP 1087 (Jensen Tr. 364:5-15).

RESPONSE: Denied. Mr. Jensen lacks qualifications and/or methodological reliability to constitute appropriate “expert” testimony in this action. *See* BBBY’s Finding of Fact Arg.VII. The proposed finding does not state a fact but merely quotes a source. Denied that BBBY’s contractual role in making its own drayage arrangements is dispositive of the reasonableness of detention and demurrage charges that bore no relationship to OOCL’s direct or opportunity costs and could not incentivize the return and pickup of container’s when factors outside of Bed Bath & Beyond’s control frequently made doing so impossible, but admitted that OOCL was not contractually responsible for arranging drayage.

RESPONSE: Admitted except that

522. OOCL did not offer chassis for merchant haulage movements. APP 2315 (Sha Tr.

72:3-73:2).

RESPONSE: Admitted that Sha testified as cited.

523. BBY relied on its drayage providers to provide whatever equipment and chassis were necessary to transport containers at the marine terminals to its various warehouses, and not upon OOCL. APP 1272 (Klosowsky Tr. 145:9-23).

RESPONSE: Admitted.

524. The chassis belonged to or were leased by the drayage carriers. APP 2489 (Soban Tr. 234:10-14).

RESPONSE: Admitted.

B. Rates/Quantum

525. On February 2022, OOCL's practice was to follow market rates for setting its own rates for demurrage and detention. APP 790 (Fung Tr. 119:4-8).

RESPONSE: Denied. BBY lacks knowledge about all the reasons for OOCL's pricing policies, but admits that the testimony cited refers to the market. OOCL's high pricing was likely at least in part based on what OOCL believed the market could bear, given that it had no basis in OOCL's opportunity costs or actual carrying costs, as outlined in the McCown Report. Ex. 381 (McCown Expert Report, Section IV.I) [APP-3781-3791].

526. OOCL's tariff established its rates and free time for demurrage and detention, but customer contract takes precedence. APP 2319 (Sha Tr. 87:13-88-13).

RESPONSE: Denied. The proposed finding addresses issues concerning whether a contract takes precedence over rate schedules, which is a legal conclusion and thus constitutes an inappropriate proposed conclusion of law. Further, the weight of the evidence demonstrates that OOCL preferred higher priced frate than lower service contract rates.

C. BBY Left Its Loaded Containers at Marine Terminals; Long-Dwelling Cargo Clogged Up Marine Terminals

527. BBY was one of the worst importers leaving loaded containers on the marine terminals. APP 370 (Delprete Tr. 118:20-24); APP 2238-59 (Schmiemann Tr. 252:22-254:2).

RESPONSE: Admitted that Schmiemann testified as cited but otherwise denied.

528. Because long-dwell containers were causing problems at LA/LB, the White House and its envoy pressed for the imposition of dwell excess charges to prompt the removal of containers in the fall of 2021; those charges were never assessed. APP 558 (Donahue Tr. 96:13-22).

RESPONSE: Admitted.

529. The press to move long dwell containers led to efforts on OOCL's behalf to help remove BBY's long dwell containers from LBCT. APP 1854-55 (Murdoch Tr. 212:16-215:4, addressing OOCL's efforts in October 2021 to help move more than 300 of BBY's long-dwell containers out of Southern California by rail).

RESPONSE: Admitted that OOCL did help with a rail move.

530. The rail movement of long dwell containers happened because OOCL worked with its inland transportation logistics company ESI and BNSF Railroad to arrange for the transportation of 330 long-dwell containers from LALB to Dallas, TX and Savannah, GA. APP 857 (Hackett Tr. 174-76); APP 1854-55 (Murdoch Tr. 212:16-215:4; 217:10-22) (OOCL did not charge for rail transportation, and waived detention charges while the containers were in transit by rail).

RESPONSE: Denied. The proposed finding is missing citations to evidence to support the claim regarding BNSF Railroad. Admitted that OOCL assisted with arrangements to move containers by rail. BBY used the company ESI, which is in the family of OOCL companies. Murdoch Dep. Tr. 218:23-219:6 [APP-1856]. The proposed finding's parenthetical statement that OOCL did not "charge" for rail transportation is thus true, but misleading: BBY paid ESI for the rail carriage from Long Beach to Texas, benefiting the OOCL family of companies. Murdoch Dep. Tr. 217:10-17 ("Q To your recollection, did Bed Bath & Beyond pay for the rail carriage from Long Beach to the destination here, I guess, which was Texas? A Oh, of course. Q Do you recall whom they paid for that carriage? A They paid ESI.") [APP-1855]. BBY's initiative in pushing for this rail move shows that during the height of the port congestion issues, BBY was focused on solutions and improving the congestion issues.

531. Until BBY's Reid Klosowsky visited LBCT in October 2021, BBY did not recognize the scope of the long-dwell container issue and had not considered evacuating them by rail. APP 1261-63 (Klosowsky Tr. 101:8-106:15).

RESPONSE: Denied. Statement is overbroad and mischaracterizes the evidence cited. OOCL concludes from the fact that Reid Klosowsky personally visited the Port of LA/Long Beach that BBY failed to recognize the scope of the long-dwell container issue—when this visit is instead clear evidence of how well BBY understood the scope and seriousness of port congestion at LA/Long Beach and how seriously BBY took the problem. The statement appears to derive its conclusion that BBY “did not recognize the scope of the long-dwell container issue” from the statement by Klosowsky that he was “shocked to see during that peak period how little was coming off the ports”. Admitted that the cited evidence does demonstrate that Reid Klosowsky’s personal visit to the port of LA/Long Beach was useful in giving him first-hand insights into the situation at the port and prompted the creative idea of using rail that was being underutilized by other shippers to evacuate containers.

532. Much of the congestion in the terminals in the Ports of Los Angeles and Long Beach were due to long dwelling containers, i.e., loaded containers full of cargo for import that remained past the allotted “free time.” OOCL pushed shippers, including BBY, to pick up cargo. APP 1388 (K. Lam Tr. 198:18-200:6); APP 3293-3306 (Ex. 166); APP 560 (Donahue Tr. 104:14-105:3).

RESPONSE: Denied in part. The proposed finding contains multiple factual propositions and thus contravenes the Presiding Officer’s Scheduling Order. (Dkt. 12 (June 8, 2023)). Admitted that OOCL asked BBY to move long-dwelling containers (which the cited evidence shows they were focused on). See Klosowsky Ex. 166 at P-0000637219 (-637227) [APP-3293-3301].

533. It was not until Spring, 2022, when BBY was faced with extreme demurrage costs that had accrued for its large volume of long-dwell containers did BBY make a concerted effort to evacuate them. RX-000906-973 (Ex. 178, Reid Klosowsky email dated April 19, 2022: “Reade/Paul - Do you have a schedule of the Demurrage fees and their escalation rates by Terminal? This demurrage schedule from GCT in Bayonne below blew my “ever-loving” mind just now when Hayden shared their schedule. Dejuan/Hayden - We need a game plan from you to get every container older than 9 days off port today. Now I understand why the demurrage is

running \$2M a week. The scale from these terminals goes berserk after 10 days! God help us all!”).

This is a clear demonstration of the incentive principle in practice.

RESPONSE: Denied. The proposed finding’s discussion of the incentive principle constitutes an inappropriate proposed conclusion of law. Further, the proposed finding mischaracterizes evidence cited. The cited evidence of a senior logistics employee asking his direct reports for a “game plan” is not evidence that BBBY failed to “make a concerted effort” to evacuate long-dwell containers prior to Spring of 2022. OOCL characterizes Reid Klosowsky’s 2021 visit as a turning point to when BBBY began to take long-dwelling containers seriously, (Response to FOF 531), but now contends that Spring 2022 was actually when Reid Klosowsky first began to pay attention to long-dwelling containers. In reality, BBBY consistently understood the importance of clearing its long-dwelling containers and had no incentive to incur heavy demurrage fees but was limited by factors outside of control. (See BBBY’s Finding of Fact 312 [sic] (noting BBBY never deliberately failed to pick up containers and that demurrage charges were more expensive than warehousing goods).)

534. As a participant in the FMC’s FF29’s Innovation Team and White House Port Envoy’s task force, OOCL was constantly considering ways to help alleviate congestion at U.S. ports, in order to both speed the flow of inbound containers as well as the return of empty containers so they could be moved back to Asia to be filled with the avalanche of cargo that was waiting to be shipped. APP 2843-44 (Young Tr. 78:24-82:1); see also APP 436 (Devine Tr. 94:7-25). In this effort, OOCL considered ways to induce its customers to move their long-dwelling cargo including cutting their allocations (CSAL); OOCL considered but never cut CSAL based on long-dwelling containers. APP 1388 (K. Lam Tr. 200:7-24).

RESPONSE: Denied. The proposed finding contains multiple factual propositions and thus contravenes the Presiding Officer’s Scheduling Order. (Dkt. 12 (June 8, 2023)). In addition, the cited testimony evidence does not prove that OOCL was a participant in the FMC’s FF29’s Innovation Team. The proposed finding lacks credibility, specifically as to Lam’s testimony. (See BBBY’s Finding of Fact Arg.VIII.A.) Admitted that OOCL participated in White House Port Envoy stakeholder meetings. OOCL’s participation on the White House Port Envoy’s task force underscores that OOCL was well aware of the issues outside of BBBY’s control that were preventing the return of empty containers. (BBBY’s Finding of Facts 50.)

535. Although it had no responsibility to do so, OOCL took active measures to assist BBBY evacuate its long-dwelling containers from the Port of Long Beach. OOCL helped arrange

rail transport of 330 long-dwell containers from LBCT to Savannah and Dallas. APP 857 (Hackett Tr. 174:7-176:16); APP 1854-55 (Murdoch Tr. 212:16-215:4).

RESPONSE: Denied in part. OOCL had responsibility generally over managing its services, assets, and terminal space. (*See, e.g.,* BBY's Finding of Fact 727 (noting it is incumbent on the carrier to have the assets in place to perform the service they have committed to with its customers).) OOCL also did not help arrange rail transport out of pure altruism and ESI, in the OOCL family of companies, was paid for such rail transport. Murdoch Dep. Tr. 218:23-219:6; 217:10-17 ("Q To your recollection, did Bed Bath & Beyond pay for the rail carriage from Long Beach to the destination here, I guess, which was Texas? A Oh, of course. Q Do you recall whom they paid for that carriage? A They paid ESI.") [APP-1856, -1855]. The proposed finding contains multiple factual propositions and thus contravenes the Presiding Officer's Scheduling Order. (Dkt. 12 (June 8, 2023)). Admitted that OOCL did assist BBY with rail transport.

536. BBY used OOCL containers for storage of its cargo. APP 2679 (Stupnik Tr. 180:3-13).

RESPONSE: Admitted that BBY temporarily placed loaded OOCL containers in yards at storage sites during the process of emptying and returning such containers in order to continue the flow of such containers from port and back, though the deposition testimony cited does not shed light on whether the instances that the deposition witness had in mind occurred within or past free time, or both.

537. BBY only submitted two email communications to OOCL about specific demurrage and detention issues during the pandemic, both of which OOCL resolved. APP 2351 (Sha Tr. 216:13-217:14).

RESPONSE: Denied. The evidence cited shows that OOCL's employee Sha was familiar with two emails but cannot support the proposition that these necessarily were the only emails submitted about specific detention and demurrage issues during the pandemic. As Sha admitted later in her deposition, "But I was not directly involved in talking to Bed Bath & Beyond". Sha Dep. Tr. 218:23:24 [APP-2352].

538. In March 2023, BBY submitted a spreadsheet of DD charges to OOCL, which included no justification for a reduction in any of the DD charges. APP 2352 (Sha Tr. 220:3-17).

RESPONSE: Denied that the spreadsheet did not contain any specific details that could have provided a justification for refunding charges to BBY. And with respect to BBY's inability to secure drayage or equipment, OOCL's internal guidelines made clear that no operational adjustment would be possible. (*Supra* Response to FOF 487.) And with respect to a

commercial adjustment, the Incentive Principle does not factor into its decision to waive detention or demurrage charges under commercial adjustment. (See BBY FOF 403.)

539. OOCL vetted BBY's DD charges spreadsheet, credited BBY for 10 days when containers could not be returned; otherwise, found the charges issued by OOCL were proper. APP 2352-54 (Sha Tr. 220:18-226:22).

RESPONSE: Admitted that the evidence cited states that OOCL provided some credits based on BBY's spreadsheet, but only with respect to charges that OOCL found were related to restrictions on accepting empty containers that were in place. Otherwise denied.

540. OOCL has had a website for the submission of DD inquiries since May 2020. APP 2355 (Sha Tr. 230:13-18).

RESPONSE: Admitted.

541. When BBY disputed detention charges, OOCL investigated and found BBY had caused the delay. APP 791-92 (Fung Tr. 125:21-126:24); RX-000844-49 (Ex. 9, email from Thomas Schmiemann dated February 17, 2022).

RESPONSE: Denied. The proposed finding misrepresents the evidence. As the cited deposition testimony makes clear, an OOCL email from Thomas Schmiemann claimed OOCL's dispute team reviewed "a few invoices" and "we found no fault on our end". In the deposition, when asked "And what is your understanding, then, based upon the email?" Fung states "it was the customer caused the delay". However, the email from Tom Schmiemann to Mike Young says is, "we found no fault on our end", which does not mean that the customer "caused" the delay. Fung Dep. Tr. 126:1-14. [APP-792].

542. OOCL established alternative empty return locations. OOCL provides empty container return locations to the industry one day in advance and offers multiple empty return points. RX 002797 (OOCL_0000128778); RX 002642-69 (OOCL_0000026761-88). OOCL operations provided immediate options for returning containers empty when needed. RX 002828 (OOCL_0000138540).

RESPONSE: Denied. The proposed finding contains multiple factual propositions and thus contravenes the Presiding Officer's Scheduling Order. (Dkt. 12 (June 8, 2023)). The cited evidence consists of an undated page consisting of self-serving, advertisement-like bullet points such as "OOCL follows the FMC's 2020 interpretive rules (or suggested best practices)",

“Inquiries are acknowledged within 24-hours and resolved within 5-business days”, “Multiple empty return points are offered. This can be to our detriment as this spreads equipment around the harbor and makes empty vessel repositioning a challenge.” OOCL_0000128778 [RX-002797]. Given the lack of a date and the promotional nature of the contents, this cited document does not support the truth of the matters asserted therein during the period in question in this proceeding. The cited email evidence in RX-002642-69 supports the existence of inter-modal but not the other statements in the proposed finding. The cited appendix page for OOCL_0000138540 is not located in OOCL’s appendix.

543. Carriers do not control terminal operations generally, and OOCL did not control the operations of marine terminals in the United States during the Relevant Period. BBY’s purported liability expert John McCown testified that “in a port-to-port move, once the container is in the terminal, the shipper picks it up.” APP 1440 (McCown Tr. 106:2-4). McCown testified:

Q. So you would agree with me that if it's CY cargo, that all of the drayage services are the responsibility of the shipper to pick up loaded containers from the terminal, take it to the shipper's warehouse, correct?

A. Yes, I do agree with that.

Q. And if it's CY cargo, again, that the responsibility for returning the empty containers is that of the shipper to transport them from their warehouses back to the marine terminals, correct?

A. Yes, that is correct.

Q. And you would agree with me, for CY cargo, that OOCL would not be in the process of providing drayage from the marine terminals to the warehouses or back again, correct?

A. Yeah. It's a port-to-port load. It's not a door-to-door load. So that's correct. The carrier is not involved in any port-to-port loads in terms of inland.

APP 1484-85 (McCown Tr. 193:17-194:14)

RESPONSE: Denied. The proposed finding contains multiple factual propositions and thus contravenes the Presiding Officer’s Scheduling Order. (Dkt. 12 (June 8, 2023)). Admitted that the cited disposition testimony is correct. The proposed finding’s statement that OOCL did not control marine terminal operations generally in the United States is also correct but omits the context that OOCL has significant control over its designated space at terminals. (*Infra* Response to OOCL FOF 544.) Further, OOCL had significant influence over terminal operators.

544. While carriers may have designated space for staging containers, the marine terminals manage and organize container handling. RX 002700 (OOCL_0000084830) (referring to a “carrier’s designated CY”).

RESPONSE: Admitted, but the proposed finding correctly notes that carriers have as significant role in managing and organizing container handling in their designated areas; OOCL in particular has 20-year Container Stevedoring and Terminal Services Agreement, that OOCL’s press release called a “significant long-term commitment” to the Long Beach Container Terminal. See OOCL Press Release, Orient Overseas (International) Limited announces the sale of Long Beach Container Terminal to a consortium led by Macquarie Infrastructure Partners (April 30, 2019), <https://www.oocl.com/eng/pressandmedia/pressreleases/2019/Pages/30Apr2019.aspx>.

545. OOCL did not own or operate any marine terminals in the United States during the pandemic years. See [OOCL - Orient Overseas \(International\) Limited announces the sale of Long Beach Container Terminal to a consortium led by Macquarie Infrastructure Partners](#) (announcing sale of formerly OOIL-owned LBCT terminal). The marine terminals controlled appointment scheduled, not OOCL. APP 2308-10, 2317 (Sha Tr. 45:14-46:8; 49:23-50:7; 51:9-52:14; 80:3-81:16).

RESPONSE: Admitted, though OOCL undoubtedly had influence over terminal operators. (Supra Response to FOF 543.)

546. The marine terminals in the United States chose whether to offer additional gate operations, require dual exchanges, etc. RX 003064 (OOCL_0000223338) (Thomas Schmiemann advises: “Customers offices and factories may have holiday begin from JAN 25 and last until FEB 14. How to pick up empties and gate in will depend on the restriction from the terminal.”); RX 003072 (OOCL_0000229784) (representative from the Port of Los Angeles conveys agreement to defer long dwell fee implementation subject to port-mandated conditions).

RESPONSE: Admitted, though OOCL undoubtedly had influence over terminal operators, and these issues do not bear on whether they were within BBBY or other shippers’ control. (Supra Response to FOF 543.)

547. Mr. McCown reviewed no information that supported his proposition that OOCL controlled terminal gate operations or appointments at U.S. marine terminals. APP 1463 (McCown Tr. 107:14-25).

RESPONSE: Admitted that McCown’s statement was not based on a review of OOCL documents, but rather his extensive experience in the ocean shipping industry.

548. Congestion at marine terminals in the United States acted as a restriction on effective vessel capacity. RX 002947-73 (OOCL_0000162021, p. 20 – State of Logistics Ocean & Air Freight Procurement Report, September 23, 2021) (Congestion at marine terminals in the United States has significantly restricted effective vessel capacity). This documentation indicates despite record levels of vessel capacity being added, congestion has reduced effective capacity by up to 20% due to the inability of networks to handle unprecedented volumes, particularly in North America, which has the lowest productivity.

RESPONSE: Denied. The proposed finding contains multiple factual propositions and thus contravenes the Presiding Officer’s Scheduling Order. (Dkt. 12 (June 8, 2023)); and the proposed finding sites to 27 pages of the appendix while the pincite at p. 20 does not include any reference to the congestion at marine terminals or a 20% reduction in effective capacity. The proposed finding is contradicted by the record, which establishes that during the 2021-to-2022 shipping year, OOCL’s ships continued to ship at capacity. *See* Mitchell Dep. Tr. 303:10-13 (“Q And in the 2021-to-2022 shipping year, did OOCL’s ships continue to ship at capacity during that time? A Yes.”) [APP-1753]. Further, the claimed reduction in capacity does not explain OOCL’s abysmal performance for its BCO shippers.

549. Terminals in China had sporadic closures due to COVID-19. APP 1490 (McCown Tr. 214:6-18); APP 1050 (Jensen Tr. 215:5-20).

RESPONSE: Admitted.

VIII. COUNT III – ALLEGED VIOLATION OF 46 U.S.C. § 41104(a)(2) – ALLEGED SYSTEMATIC FAILURE TO MEET SERVICE COMMITMENTS AND COERCING BBBY TO PAY PSS AND ENTER PREMIUM RATE CONTRACTS

A. OOCL Provided the Container Space It Was Obligated to Provide under the 2020 and 2021 Service Contracts

550. BBY's Director of International Supply Chain, Patrick Hacket, testified as follows:

Q. Did you ever do an analysis to determine whether or not OOCL provided all of the space that it said it was going to provide?

A. Not to my knowledge. APP 887 (Hackett Tr. 294:6-10).

RESPONSE: Admitted over the objection to form in the cited deposition testimony. Hackett provided testimony in his personal capacity, not as a designated corporate representative, and answered OOCL counsel's question in that context. Whether Hackett himself personally analyzed OOCL's shortfalls is not probative of the fact of the shortfalls or whether he was generally aware of such shortfalls based on his experience with OOCL despite not undertaking an analysis. BBY complained to OOCL that they were not getting space under the Service Contracts, and OOCL ultimately did not provide all of the contracted-for space under either the 2020 or 2021 Service Contract. (BBY FOF 95, 104-109).

[REDACTED]

[REDACTED]

[REDACTED]

RESPONSE: Admitted. In his letter, [REDACTED]

[REDACTED]

552. Patrick Hackett admitted that there was never an MQC breakdown "by week or by month." APP 859 (Hackett Tr. 183:15-184:4).

RESPONSE: Denied. Hackett's statement simply responds to whether the service contracts themselves mandated a fixed weekly or monthly MQC allocation. However, when allocating space, OOCL divided MQC by 52 weeks. See RPF 550; see also Mitchell Dep. Tr. 341:15-25 ("...you understand that the CSAL allocation is not the MQC that is agreed to under the contract, correct? A. Well, the CSAL allocation is the contract MQC divided by 52. Q. Yes. But there's -- and there's nothing -- is there anything in the Service Contract that allows OOCL to unilaterally determine how the MQC divided by 52 will be delivered to a customer? A. No.") [APP-1762]; Ex. 381 (McCown Report) ¶ 56 [APP-3765].

553. Patrick Hackett admitted that the only input to the February 9, 2022 letter that he signed was the graph at the bottom of the letter, which reflected the volume actually moved under the two service contracts in place in 2021. APP 860 (Hackett Tr. 186:7-22).

RESPONSE: Admitted only that Hackett testified that “The only thing that *I remember* providing was where we were on the --- you know, the graph below”. Hackett Dep. Tr. 186:10-12 (emphasis added) [APP-860].

554. Patrick Hackett admitted that he only knew what was carried rather than the amount of space that OOCL provided. APP 860 (Hackett Tr. 189:13-20).

RESPONSE: Admitted that Hackett testified to the graph in his February 9, 2022 letter: “Yeah. I only know what’s -- this just shows what you carried for us under each contract each month.” [APP-860].

555. Patrick Hackett assumed the amount carried came from Yusen, but he did not remember. APP 860-61 (Hackett Tr. 189:22-190:6).

RESPONSE: Admitted that Hackett testified as such based on his memory. in the course of its work for BBY, particularly during peak seasons and at BBY’s request, Yusen provided manually prepared booking reports detailing booking acceptances and rejections. See Jacobus Dep. Tr. 97:21-98:20 [APP-952-953].

556. Patrick Hackett did not know whether BBY or Yusen ever tracked all of the container space that OOCL allocated but which BBY did not use during the pandemic years. APP 861 (Hackett Tr. 190:7-20).

RESPONSE: Admitted that when asked, “Did Bed Bath or Yusen ever track all of the container space that OOCL allocated, but which was not used by Bed Bath during the pandemic years?”, Hackett testified: “That, I don't know. I know they did track and report on, especially during this critical time, how often they made a booking request and how often that was accepted. That, I remember. I don't have, obviously, copies of any of that stuff, but I do know that there was reporting that we did get from them that showed, hey, I asked them -- you know, requested bookings for X and I only got Y.” However, the issue is not whether BBY tracked every unused space allocation, but rather why such tracking would have even been necessary in the first place. It was OOCL that failed to fulfill its service commitments.

557. Patrick Hackett did not know whether BBY verified that in each case where a booking was declined, that it was the correct service loop. APP 861 (Hackett Tr. 190:21-191:2).

RESPONSE: Admitted that Hackett did not remember this. Bookings could be declined for many reasons, including because they were not in the CSAL system or the CSAL volumes were incorrect. See [REDACTED]; Murdoch Dep. Tr. 164:12-15 [APP-1842]. As of Week 11 of 2022, OOCL's North America Group had declined approximately 24% of total booking activity for that year. See Dep. Ex. 105; Donohue Dep. Tr. 149:21-24 [APP-571].

558. Patrick Hackett did not know whether BBBY or Yusen verified that for every booking declination that the booking was timely made in accordance with guidance that OOCL provided. APP 861 (Hackett Tr. 192:12-20).

RESPONSE: Admitted that Pat Hackett made the cited testimony over the objections to form and foundation in the cited deposition testimony. Hackett provided testimony in his personal capacity, not as a designated corporate representative, and answered OOCL counsel's question in that context.

559. Patrick Hackett did not know for every booking request that was declined whether BBBY or Yusen verified that the booking was made in accordance with the cargo allocation provided by OOCL. APP 862 (Hackett Tr. 194:9-18).

RESPONSE: Admitted over the objections to form and foundation in the cited deposition testimony. Hackett provided testimony in his personal capacity, not as a designated corporate representative, and answered OOCL counsel's question in that context.

560. There exists **no testimony or other evidence** in the record that anyone with or on behalf of BBBY, or its booking agent Yusen Logistics, ever calculated the amount of container space that OOCL provided to BBBY during the 2020 and 2021 shipping years. Rather, there exists abundant evidence showing such calculation was never undertaken. See e.g., APP 887 (Hackett Tr. 294:6-10); APP 2405 (Shippee Tr. 61:4-13); APP 1547 (McQuade Tr. 15:4-11); APP 1159-60, 1199 (Kastin Tr. 71:11-77:2; 231:10-232:5); APP 2068, 2083 (Pinchuk Tr. 103:4-13; 163:13-25); APP 1466-67 (McCown Tr. 118:8-122:24); APP 1248 (Klosowsky Tr. 48:7-21 (Reid Klosowsky looked to Paul Pastor as the person who would determine how much container space an ocean carrier actually provided)); APP 1956 (Pastor Tr. 107:6-20) (Paul Pastor testified that he would

have to look at the data and he did not recall the number of shipping years 2020/21 and 2021/22); APP 275-76 (Cunniff Tr. 13:24-14:5); APP 1567 (McQuade Tr. 94:7-95:10).

RESPONSE: Denied. BBBY employees provided testimony in their personal capacity, not as designated corporate representatives, and answered OOCL counsel's questions in that context. The record is replete with evidence of BBBY and Yusen repeatedly requesting space, being denied bookings, and tracking what was carried. *See* BBBY's Finding of Fact 130.1. Yusen Logistics, as BBBY's booking agent, tracked and recorded space allocation information: "During the time period at issue in this action, BBBY provided Yusen with OOCL's cargo space allocation to BBBY pursuant to the Service Contracts." BBBY's Finding of Fact 26.1. "In the course of its work for BBBY, particularly during peak seasons and at BBBY's request, Yusen provided manually prepared booking reports detailing booking acceptances and rejections." BBBY's Finding of Fact 25.1. "In the course of its work for BBBY, Yusen prepared various reports, including Key Performance Indicators (KPIs) reports, related to the performance of ocean carriers (including OOCL) and suppliers." BBBY's Finding of Fact 25.2. BBBY produced certain Yusen booking reports and also produced data to support its calculation of the shortfall, which is reflected in spreadsheets produced to OOCL and in the McCown Report. *See* Ex. 381 (McCown Report, Appendices A-1 through A-4 and Appendices B-1 through B-4) [APP-3794-3844]; Ex. 328 [APP-3357]; Ex. 329 [APP- 3358]; Ex. 330 [APP-3359].

561. BBBY has produced no data as to any calculation, evaluation, determination, verification or review of the actual container space provided by OOCL during shipping years 2020 and 2021; the only data provided was the number of containers actually carried in Patrick Hackett's letter of February 9, 2022. APP 860 (Hackett Tr. 189:13-20); APP 3307-08 (Ex. 177).

RESPONSE: Denied. BBBY produced data to support its calculation of the shortfall, which is reflected in spreadsheets produced to OOCL and in the McCown Report. *See* Ex. 381 (McCown Report, Appendices A-1 through A-4 and Appendices B-1 through B-4) [APP-3794-3844]; Ex. 328 [APP-3357]; Ex. 329 [APP- 3358]; Ex. 330 [APP-3359]. Further, BBBY has produced data indicating what space was provided by OOCL, and those citations were included in the original Findings of Fact in support of BBBY's opening brief at paragraphs 339 and 340:

[REDACTED]

562. BBY has placed **no documents** in the record that calculate or otherwise explain the amount of **actual space** OOCL provided to BBY over the entirety of shipping years 2020 and 2021.

RESPONSE: Denied. The record contains numerous documents showing the lack of space provided to OOCL. (BBY's Finding of Fact 137, 153.1, 160, 169.) BBY has produced data indicating what space was provided by OOCL, and those citations were included in the original Findings of Fact in support of BBY's opening brief at paragraphs 339 and 340:



563. BBY's purported liability expert John McCown did not prepare the appendices to his report, did not know who prepared them, and could not correlate any of the shipments set forth therein to any attempted booking by BBY (or Yusen) or a booking denial by OOCL. APP 1467-1468; 1469, 1470 (McCown Tr. 123:16-128:13; 130:20-132:17; 134:11-135:19).

RESPONSE: Admitted that BBY's expert John McCown testified as cited, but otherwise denied.

564. Mr. McCown testified he did not know whether the shipments in Appendices A-1 to B-4 correlated to any shipments not carried by OOCL that should have been. He stated: "[w]hat I do know is that that number of FEUs correlates with the shortfall that Bed Bath & Beyond experienced with OOCL. I don't have information on anything else that it correlates with, other than just the number of loads that were the shortfall." APP 1468 (McCown Tr. 128:13-25). And Mr. McCown took the shortfall number from BBY's Complaint.

RESPONSE: The proposed finding contains multiple factual propositions and thus contravenes the Presiding Officer's Scheduling Order. (Dkt. 12 (June 8, 2023)). Admitted that John McCown testified as cited, but denied that whether a shipment with an NVO on a relevant lane during a relevant time period need be correlated to any specific shipment not carried by OOCL in light of OOCL's systemic shortfalls. The second sentence lacks a citation to the record, also in contravention of the Presiding Officer's Scheduling Order. (Dkt. 12 (June 8, 2023)).

565. Mr. McCown relied on *allegations* of container space shortfalls as described in BBY's Complaint as the entire basis for his opinion that OOCL did not provide the space contracted for under the 2020 and 2021 service contracts. In his deposition, Mr. McCown testified:

Q. Okay. So, essentially, you would agree with me that you accepted the proposition that OOCL only provided 1,475.85 FEUs of space during the 2020 service contract year and only 2,432.74 FEUs of space during the 2021 service contract year, that you obtained from reviewing the original Complaint, correct?

A. Yes, I agree with that.

Q. Do you know where those numbers came from?

A. Those numbers came from Bed Bath & Beyond, from their professionals, Mr. Hackett and other folks in their area.

Q. Do you know any specific documents that it refers -- that refer to those numbers?

A. I mean, in quite a few of the depositions they're referenced, but the -- you know, the Complaint was the basis for that.

APP 1467 (McCown Tr. 122:4-122:24).

RESPONSE: Admitted that McCown relied on the allegations within the Verified Complaint regarding the amount of space that OOCL ultimately provided to BBY during each relevant shipping year. However, the numbers in the both the complaint and BBY's brief are derived from credible data from professionals at BBY, as McCown testified.

566. Not only did Mr. McCown rely on allegations instead of facts, he did not bother to even read the service contracts before opining about OOCL's compliance with same. APP 1473 (McCown Tr. 147:5-9).

RESPONSE: Admitted only that McCown testified as cited, but he was familiar with their key terms, evaluating many other documents in preparation of his report, and in light of his

experience in the shipping industry and his review of numerous other documents, it is unclear why he needed to read every page of the service contracts, including legal boilerplate. Ex. 381 (McCown Expert Report) at ¶¶ 2, 4-8, 12, 15, 16, 17, 20-23 [APP-3755-3758].

567. BBY did not do an independent analysis of the container space provided by OOCL but relied on calculations by counsel that the information provided in the Complaint was correct. APP 1186-87 (Kastin Tr. 180:25-182:3) (“I reviewed the documents provided to me by Huth Reynolds in connections with my verification of the Complaint.”).

RESPONSE: Denied. Mr. Kastin relied on documents provided to him by counsel, but BBY personnel assembled analyses regarding the amount of cargo space carried out by OOCL. BBY has produced data indicating what space was provided by OOCL, and those citations were included in the original Findings of Fact in support of BBY’s opening brief at paragraphs 339 and 340:



568. Pages 9 and 10 of Ex. 326 (APP 3345-46) are excerpts from BBY’s supplemental discovery responses, in this case to OOCL’s Interrogatory Number 2, which asked: “For every container identified in response to Interrogatory No. 1, identify the date a booking was attempted, where the booking was attempted, by whom, with whom, and the intended load port to destination route.” BBY’s supplemental answer (again verified by David Kastin) was: “Subject to and without waiver of the foregoing, Complainant supplements its previous answer to Interrogatory No. 1 by referring Respondents to Appendices A-1 through A-4 and Appendices B-1 through B-4 of the Expert Report of John D. McCown, dated September 17, 2024, and documents bates-stamped P-0000810432 and P-0000353819, produced to Respondents in this action.” APP 3337-56 (Ex. 326, 18th page (unnumbered)).

RESPONSE: The proposed finding does not state a fact but merely quotes a source. Admitted that the supplementary answer states the above quote. Denied to the extent the proposed finding addresses OOCL's theories about the legal sufficiency of Kastin's verification, would constitute a conclusion of law. Moreover, in the context of OOCL's rejected Motion to Strike Verification and Dismiss the Complaint, the Presiding Officer has ruled such verifications are proper. (Order, Dkt. 89 (December 6, 2024).)

569. Ex. 328 (APP-3357, bates-stamped P-810432) was produced by BBY as purportedly responsive to a discovery request that asked for the containers by container number concerning which OOCL allegedly refused to carry or denied a booking by BBY. APP 3337-56 (Ex. 326, pages 7 and 8, Supplemental Answer to Interrogatory No. 1).

RESPONSE: Admitted.

570. Ex. 328 lists more than 7,000 containers that are not logically connected to OOCL in any way. BBY's former general counsel David Kastin testified:

Q. Well, I mean, the question -- the interrogatory asked to identify all the containers concerning which OOCL refused to carry or denied a booking. This is a spreadsheet that lists in excess of 7,000 containers with no reference to OOCL. And so I guess the question is which of these containers did Bed Bath, if any -- which of these containers, if any, did Bed Bath attempt to book with OOCL?

A. No independent knowledge. APP 1149 (Kastin Tr. 33:6-17).

RESPONSE: Denied. The proposed finding contains multiple factual propositions and thus contravenes the Presiding Officer's Scheduling Order. (Dkt. 12 (June 8, 2023)). The documents produced in the Supplemental Interrogatory Responses indicate BBY's shipments for which BBY had cost data, identifying the cost of covering containers that were not carried by OOCL.

571. Ex. 329 (APP-3358, bates-stamped 353819) was produced by BBY as purportedly responsive to a discovery request that asked for the containers by container number concerning which OOCL allegedly refused to carry or denied a booking by BBY. APP 3337-56 (Ex. 326, pages 7 and 8, Supplemental Answer to Interrogatory No. 1).

RESPONSE: Admitted.

572. However, as to Ex. 329, BBY's former general counsel David Kastin admitted he did not independently verify the information in the spreadsheet and testified:

Q. And you would agree with me that none of the headings make reference to booking denials or refusals to carry, correct? MR.

REYNOLDS: Object to form. You can answer.

A. Those words are not on the column headings, correct.

Q. Okay. And do you see any text in the spreadsheet that refers to booking denials or refusals to carry?

A. Those words are not used in the Excel spreadsheet.

Q. Do you know what this spreadsheet is?

A. A spreadsheet.

Q. Yes. But what is it? What does it reflect?

A. A lot of information about carriers and customer numbers and invoice numbers and bills of lading. It's the information under the headings.

Q. Do you know who prepared it?

A. I do not know what individual prepared it. I assume it came from Huth Reynolds, but I do not know... .

Q. Okay. But from your perusal of the document, you cannot identify any containers concerning which OOCL allegedly denied a booking or refused to carry, correct?

MR. REYNOLDS: Object to form. You can answer.

A. Those words are not used on this document. APP 1150-51

(Kastin Tr. 35:14-36:16; 38:10-18).

RESPONSE: Admitted that the above proposed finding states Kastin's testimony (over an objection to form).

573. David Kastin verified the truth of BBY's discovery response when it produced Exhibits 328 and 329, yet it is evident he had no knowledge of their content. APP 3337-56 (Ex. 326, pages 6, 7 and the 18th page (unnumbered)).

RESPONSE: Denied. The proposed finding addresses issues related to the legal sufficiency of a verification and thus constitutes an inappropriate conclusion of law. Further, the proposed finding mischaracterizes David Kastin’s verification which states, in relevant part: “I have read the foregoing Verified First Amended Complaint and believe, to the best of my knowledge, information, and belief, including information received from others, that the facts stated therein are true and correct. I declare under penalty of perjury that the foregoing is true and correct.” See Ex. 380 (Verified First Amended Complaint, Verification Page) [APP-91]. Moreover, in the context of OOCL’s rejected Motion to Strike Verification and Dismiss the Complaint, the Presiding Officer has ruled such verifications are proper. (Order, Dkt. 89 (December 6, 2024).)

574. Ex. 330, bates-stamped, was produced as an attachment to BBY’s supplemental responses to OOCL’s interrogatories. It is captioned “BBY Shipments with OOCL During the 2020-2021 Service Contract Term on Service Contract Lanes”, which relates to freight charges, not allegedly declined bookings. David Kastin testified:

Q. Do you know who prepared it?

A. I do not know which individual prepared it.

Q. Do you know when it was prepared?

A. I do not.

Q. Do you know the source of the data?

A. I do not.. . .

Q. Sure. There’s no -- there’s no column references to booking date or when or where bookings were made, correct?

A. There are no columns with those words on it, correct.

Q. All right. Let’s go on to the next tab. And the same would be true for this tab, which is identified at the bottom, “20 But For,” that there is no reference to booking dates or when or where the bookings were made?

A. Those words are not used on this page.

Q. Okay. Let’s go on to the next tab, which is identified as “20 Damages.” And the same would be true for this tab, correct?

A. Correct.

Q. And if we go on to the next tab, which is tab “SY 21” -- and we’ll scroll over to the right so you can see all of the columns. And you would agree with me that there’s no reference to booking dates or when or where bookings were made, correct?

A. Those words are not used on the spreadsheet, correct.

Q. And if we go to the next tab, “21 But For,” the same would be true for this tab; that there’s no reference to booking dates or when or where bookings are made, correct?

A. Those words are not used, correct.

Q. And then last tab is “21 Damages.” You would agree, again, there’s no reference here to booking dates or when or where bookings are made, correct?

A. Those words are not used.

Q. Sorry. I didn’t hear that.

A. Those words are not used.

Q. Okay. And it’s a fair statement to say that you cannot verify the accuracy of any of the information set forth in this spreadsheet, correct?

MR. REYNOLDS: Object to form. You can answer.

A. I have no independent knowledge.

APP 1152-53 (Kastin Tr. 42:19-42:21; 42:22-43:3; 44:10-46:13).

RESPONSE: Admitted that the above cites to the testimony of David Kastin (over an objection to form).

575. As for David Kastin’s knowledge of the appendices to John McCown’s report, he testified that he did not know the source of the data, did not know who compiled it, there are no booking denials or refusals to carry in any of the columns of the spreadsheet, and he has no idea whether any of the shipments referenced in the spreadsheet correlate to when OOCL denied a BBBY booking. APP 1147-48 (Kastin Tr. 22:2-29:17).

RESPONSE: Admitted that Kastin testified that he did not know at the time of his deposition the source of the data, did not know who compiled it, that there were no columns specifically

referencing booking denials or refusals to carry, and that he does not know whether the shipments in Appendices A-1 and B-1 correlate to when OOCL denied a Bed Bath booking or when OOCL had space available for service loops covered by those shipments, but otherwise denied that this testimony has any relevance to BBY's claims.

576. OOCL's Trans-Pacific Trade General Manager Karen Lam and her team evaluated the amount of space that OOCL actually provided to BBY during the 2020 and 2021 shipping years by service lane. APP 1388 (K. Lam Tr. 187:10-188:20).

RESPONSE: Denied. The proposed fact lacks credibility, specifically as to Lam's self-serving booking analyses. See BBY's Finding of Fact Arg.VIII.A-B. Admitted only that Lam, her team, and others at OOCL produced analyses that purported to evaluate the amount of space that OOCL "actually provided" to OOCL but that this term is unclear and that BBY has produced sufficient information to demonstrate the actual carriage by OOCL of BBY cargo.

577. Not only did Karen Lam testify about the results of the work performed, but each member of her team also executed a sworn declaration attesting to the work that each performed in carrying out the analysis. RX 000643-44 (K. Lam Declaration); RX 000652-54 (S. Wong Declaration); RX 000637-42 (A. Lam Declaration); RX000655-60 (Cheung Declaration); RX 000645-51 (M. Wong Declaration); see also APP 1344; 1346; 1385; 1392; 1396; 1399 (K. Lam Tr. 25:10-25; 30:22-31:15; 188:2-188:20; 215:10-215:23; 233:13-233:22; 244:11-13).

RESPONSE: Admitted that Karen Lam testified about the analysis mentioned in the proposed finding. Admitted that Lam and other OOCL employees submitted self-serving declarations in this case. These declarations lack credibility. (See generally BBY's Finding of Fact Arg.VIII.A) For example, the



578. Each member of Ms. Lam's team possesses the requisite education and training necessary to carry out the work undertaken as detailed in their respective declarations. RX 000637-42 (A. Lam Declaration); RX 000645-51 (M. Wong Declaration); RX 000655-60 (Cheung Declaration).

RESPONSE: Denied. The proposed fact states an opinion that requires expert knowledge, i.e., what particular education and training is necessary to perform the work the OOCL employees mentioned undertook on behalf of Karen Lam, which renders the proposed finding impossible to fully respond to. More importantly, the evaluations in question lack credibility for reasons that have nothing to do with the Information Technology skills or other qualifications of OOCL’s employees who performed work on these evaluations for Karen Lam possess. See

[REDACTED] Lam Dep. Tr. 25:5-26:5-9 (discussing submitting the slides in Exhibit 39 to OOCL’s lawyer for the deposition), 29:16-30:10 (noting that Lam’s meeting with OOCL’s lawyers in preparation for the deposition included “one session covering the document I prepare for the slide, I invited also my teammate Sharon Wong, as she is the coordinator in preparing the slide”), 30:22-31:15 (discussing communicating with Sharon Wong in preparation for the deposition and noting that it had only “been a few months that we tried to fine-tune the data given by ISD department” regarding the graphs in OOCL’s exhibits) [APP-1345-1346]. (As to Karen Lam’s credibility in general, see BBY’s Finding of Fact Arg.VIII.A.)

579. Karen Lam directed Sharon Wong to work with OOCL’s Information Services Department (“ISD”) to evaluate OOCL’s space protection (also known as Customer Space Allocation List or CSAL) and BBY’s booking and delivery of containers during service contract years 2020/21 and 2021/22. RX 000643-44 (K. Lam Declaration).

RESPONSE: Denied. The proposed finding lacks credibility, specifically as to the Lam Declaration. *See* BBY’s Finding of Fact 620.

580. Sharon Wong asked ISD’s Mickey Wong, Alex Lam and Stanley Cheung to carry out that work. RX 000652-54 (S. Wong Declaration).

RESPONSE: Admitted that the Sharon Wong Declaration states, in paragraph 3, that Sharon Wong asked for Mickey Wong, Alex Lam, and Stanley Cheung for assistance in evaluating container space allocations, while she prepared two slides. Like the K. Lam Declaration, the S. Wong Declaration lacks credibility because it was crafted by OOCL’s lawyers for purposes of this litigation, was not contemporaneously created during the relevant period of this case (2020-2022), and was executed after the deposition of the OOCL official who ordered this work (Karen Lam). (As to Karen Lam’s credibility in general, see BBY’s Finding of Fact Arg.VIII.A.)

581. Ms. Lam’s Team examined OOCL’s databases, specifically, OOCL’s space protection (also known as CSAL) and shipment data. RX 000637-42 (A. Lam Declaration); RX 000655-60 (Cheung Declaration); RX 000645-51 (M. Wong Declaration).

RESPONSE: Denied. Like the K. Lam and S. Wong Declarations, the A. Lam, Cheung, and M. Wong Declarations lack credibility because they were crafted by OOCL’s lawyers for purposes of this litigation, were not contemporaneously created during the relevant period of this case (2020-2022), and were executed after the deposition of the OOCL official who ordered this work (Karen Lam). Further, while the Declarations state that OOCL’s ISD team evaluated CSAL data and shipment data, the language in the Declarations about “database[s]” is ambiguous. It is unclear whether there was a pre-existing CSAL “database” the ISD team used or if the ISD team’s evaluation included creating this “database”. The exact description in the Declaration about CSA data is: “This is digitized data from a bunch of user files stored in the business department that is maintained by the users for operational purposes. ISD imports all user files into a database and uses them to generate graphs.” Based on this description, it appears to be possible that the CSAL “database” may have been created specifically for this litigation by combining a large number of files from multiple users into one large dataset. (As to Karen Lam’s credibility in general, see BBY’s Finding of Fact Arg.VIII.A.)

582. As for CSAL data, OOCL’s Information Services Department (“ISD”) imports all user files into a database and uses them to generate Spotfire graphs, about which we expound below. RX 000637-42 (A. Lam Declaration); RX 000655-60 (Cheung Declaration); RX 000645-51 (M. Wong Declaration).

RESPONSE: Denied. Admitted that the declarations state this. However, as noted in the above Response to OOCL’s FOF 581, it is unclear if the Declaration is stating that ISD imports user files related to CSAL into a database on a routine basis, or that the ISD team did this one time to prepare for this litigation. Further, the A. Lam, Cheung, and M. Wong Declarations lack credibility. (See *Supra* Response to FOF 581.) Further, CSAL data in various assorted files alleged retained by OOCL employees lacks credibility, even if it could be assumed that such files accurately represented the CSAL data that OOCL used: CSAL accuracy was a constant problem at OOCL, as OOCL’s employees attested. [REDACTED]

583. The shipment data was extracted from OOCL’s IRIS-4 database, which is OOCL’s Enterprise Resource Planning Platform used by OOCL’s business departments and which undergoes an annual external audit. RX 000637-42 (A. Lam Declaration); RX 000655-60 (Cheung Declaration); RX 000645-51 (M. Wong Declaration).

RESPONSE: Denied. The proposed finding lacks credibility, specifically as to the A. Lam, Cheung, and M. Wong Declarations. (See *Supra* Response to FOF 581.) On the topic of IRIS-4,

the declarations’ credibility is further undermined by their overwrought statement that IRIS-4 is the “single source of truth”. M. Wong Declaration at 3 [RX-000647].

584. IRIS-4 is OOCL’s Integrated Regional Information System used “for bookings, to capture bookings, to track bookings, to track operations-related items ... So, globally, any OOCL office has access to IRIS, and they can see where bookings are, what bookings are being completed, confirmed, deleted, pending; all that information.” APP 1593 (Metzger Tr. 14:18-15-9).

RESPONSE: Denied. The proposed finding lacks credibility, specifically as to Metzger’s testimony. (See BBY’s Finding of Fact Arg.VIII.B.)

585. The Team cross-validated the data collected to confirm that the digital records matched the original records without discrepancies, and cross-checked the digitalized CSAL in the database with the original CSAL in the excel file row by row, as well as conducted a duplicate detection search, missing value check, and summary and detail alignment to ensure the accuracy of the data collected. RX 000637-42 (A. Lam Declaration); RX 000655-60 (Cheung Declaration); RX 000645-51 (M. Wong Declaration).

RESPONSE: Denied. Admitted that the declarations state this. However, the A. Lam, Cheung, and M. Wong Declarations lack credibility, which renders the proposed finding lacking in credibility as well. (See *Supra* Response to FOF 581.) The Declarations also use ambiguous and vague language to describe these quality checks: It is not clear what “original CSAL” refers to; what “scanning the data” means; or what “Summary and Detail Alignment” is.

586. Ms. Lam’s Team analyzed the data collected and developed the Spotfiregraphs that ultimately were marked as Exhibits 66 and 67, verified the accuracy of the information therein, and provided data results to Sharon Wong. RX 000637-42 (A. Lam Declaration); RX 000655-60 (Cheung Declaration); RX 000645-51 (M. Wong Declaration).

RESPONSE: Denied. Admitted that the declarations state this. However, the A. Lam, Cheung, and M. Wong Declarations lack credibility, which renders the proposed finding lacking in credibility as well. (See *Supra* Response to FOF 581.)

587. Those graphs provide a summary of the results the Team found when they examined the data. RX 000637-42 (A. Lam Declaration); RX 000655-60 (Cheung Declaration); RX 000645-51 (M. Wong Declaration).

RESPONSE: Denied. Admitted that the declarations state this. However, the A. Lam, Cheung, and M. Wong Declarations lack credibility, which renders the proposed finding lacking in credibility as well. (See *Supra* Response to FOF 581.)

588. Sharon Wong reviewed and evaluated BBY's booking and shipping data, BBY's CSAL, and BBY's service contracts. RX 000652-54 (S. Wong Declaration).

RESPONSE: Denied. The proposed finding lacks credibility, specifically as to the S. Wong Declaration. (See *Supra* Response to FOF 580.)

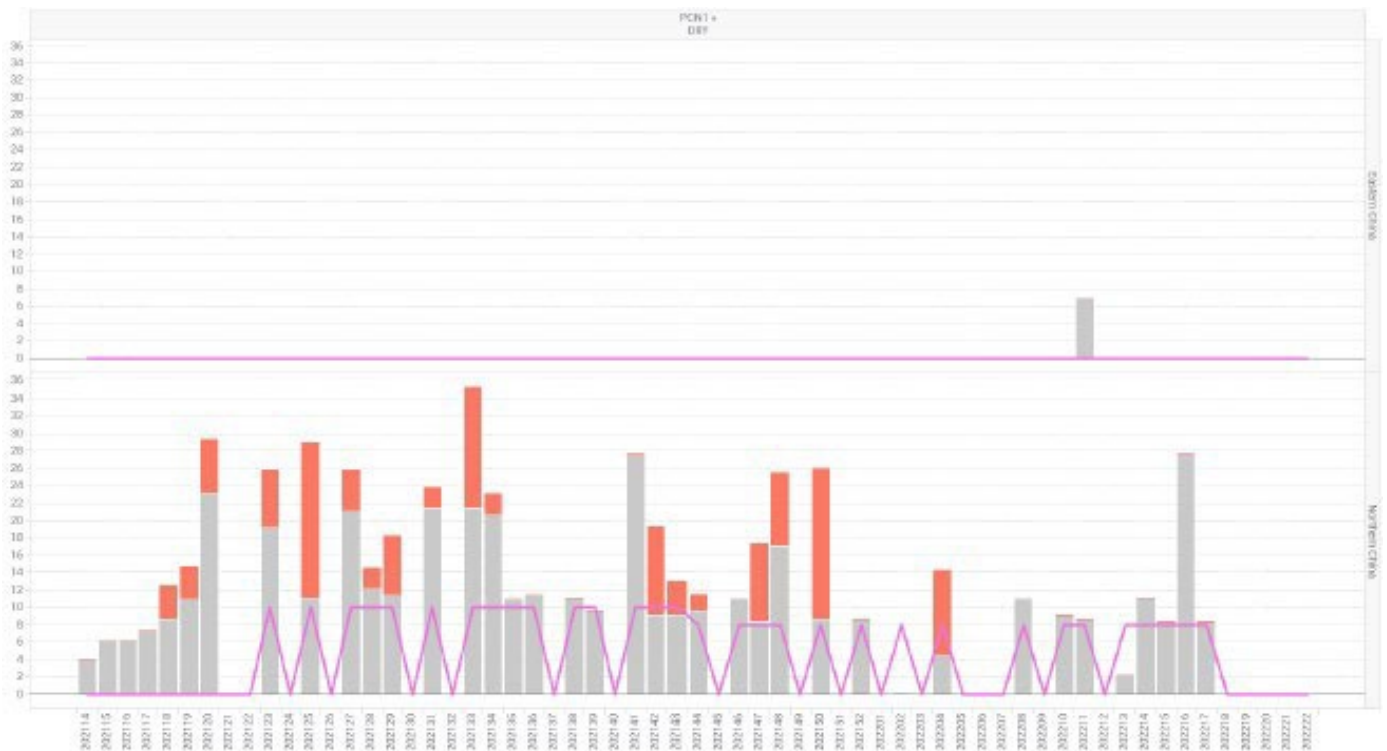
589. Sharon Wong asked the Team to help draw and summarize the data. RX-000652-54 (S Wong Declaration).

RESPONSE: Denied. The proposed finding lacks credibility, specifically as to the S. Wong Declaration. (See *Supra* Response to FOF 580.)

590. Sharon Wong also double-checked the data prepared by the Team and used the data to prepare the slides marked as Ex. 39. RX 000652-54 (S. Wong Declaration); APP 3039-40 (Ex. 39).

RESPONSE: Denied. The proposed finding lacks credibility, specifically as to the S. Wong Declaration. (See *Supra* Response to FOF 580.)

591. The Spotfire graphs show the container space allocations provided by OOCL to BBY for each service loop during the 2020 and 2021 service contract years, the amount of space used and unused by BBY, and the amount of space that OOCL provided to BBY beyond its allocations. APP 3122-44, 3145-66 (Exs. 66 and 67). An example follows for the PCN1 DRY Service Loop (meaning Northern (upper half of the graph) and Eastern China (lower half of the graph) to the United States for the carriage of dry cargo) for the 2021-2022 shipping year:



RESPONSE: Denied. The proposed finding lacks credibility, specifically as to the Spotfire graph and the exhibits cited in the proposing finding lack credibility. *See* BBY’s Finding of Fact Arg.VIII.A. The proposition relies on self-serving analyses that lack credibility, as the evidence suggests that the Spotfire graphs were not part of OOCL’s standard business operations and were instead prepared for the litigation. *See* BBY’s Finding of Fact 614-614.3. OOCL never conducted analyses as reflected in Exhibits 66 or 67 for any other of OOCL’s BCO customers. *See* BBY’s Finding of Fact 616. During her deposition, on cross-examination, OOCL’s lawyers walked Karen Lam step-by-step through documents, asking Mrs. Lam repetitive and leading questions designed to align her testimony with OOCL’s legal theories in this case. *See* BBY’s Finding of Fact 617.

592. The pink lines are OOCL's CSAL (space allocation) for a given week. APP 3122-44, 3145-66 (Exs. 66 and 67). Gray represents confirmed bookings, and orange reflects rejected/declined bookings by OOCL. APP 3122-44, 3145-66 (Exs. 66, 67).

RESPONSE: Admitted that this is what the key to the chart says the line and colors represent but denied that they reflect anything other than a shortfall in OOCL's service commitments to BBY.

593. The Spotfire graphs only relate to OOCL's space allocations under the 2020/21 and 2021/22 service contracts, not to any space afforded under the so-called premium contracts. APP 1395 (K. Lam Tr. 228:15-22).

RESPONSE: Denied. The proposed fact lacks credibility, specifically as to Karen Lam's testimony. (See BBY's Finding of Fact Arg.VIII.A.)

594. OOCL analyzed the amount of space it allocated to BBY for each service loop, how much space was actually afforded (consisting of OOCL's space allocation (CSAL) and over allocation, that is, amounts above BBY's allocation), how much space BBY did not use, and how many bookings were rejected. APP 3039-40 (Ex. 39); APP 1385; 1392 (Karen Lam Tr. 187:10-22; 214:25-215:23). The Spotfire graphs visually depict all of this information. APP 3122-44, 3145-66 (Exs. 66, 67). The ISD Team also gathered the cumulative data for these two shipping years, which Sharon Wong converted into the two slides below:

PE203297 (2020-2021 regular contract) Summary for TPTEB

*Excluded commodity Group A for extra loaders

- OOCL space protection
 - CSAL provided (excluded blank sailings 55 TEU) = 2544 TEU
 - Over CSAL accommodation = 1275.25 TEU or 458 cases
 - CSAL + Over accommodation = 3819.25 TEU
 - Rejected TEU below CSAL = 191.75 TEU or 69 cases
 - Total space provided by OOCL = 3627.5 TEU
 - Original MQC = 4200 TEU
 - Pro-rata MQC (PE203297v0: 52 weeks, PE203297v17: 43 weeks) = $4200/52 \times 43 = 3473$ TEU
 - Total space provided under regular services by OOCL vs pro-rata MQC = 104.4%
- BBBY fulfilment
 - Total confirmed bookings = 2586.25 TEU
 - Cancelled, terminated, no show bookings = 552.75 TEU
 - Loaded bookings = 2033.50 TEU
 - Unfulfilled TEU = 1041.25 TEU (Total space provided by OOCL of 3627.5 TEU - Total confirmed bookings of 2586.25 TEU)
 - Pro-rata MQC = 3473 TEU
 - Total confirmed bookings vs pro-rata MQC = 74.5%
 - Loaded bookings vs pro-rata MQC = 58.5%

*All calculations based on MQC TEU, i.e. the MQC calculation logic as per the terms and conditions set forth in customer's contract

Remarks:

1. TPTEB data only, excluded TAT
2. Excluded Group A commodities (for extra loaders)

<https://misspotfireddev.oocl.com/spotfire/wp/OpenAnalysis?file=6de94727-b7e4-4205-878d-c740d8139a1a>

PE213179 (2021-2022 regular contract) Summary for TPTEB

- OOCL space protection
 - CSAL provided (exclude blank sailings 1258 TEU) = 5095 TEU
 - Over CSAL accommodation = 1658 TEU or 427 cases
 - CSAL + Over accommodation = 6753 TEU
 - Rejected TEU below CSAL = 104 TEU or 22 cases
 - Total space provided by OOCL = 6649 TEU
 - TPTEB Sub-MQC = 7072 TEU
 - Total space provided under regular services by OOCL vs MQC = 94%
- BBBY fulfilment
 - Total confirmed bookings = 5556 TEU
 - Cancelled, terminated, no show bookings = 1308 TEU
 - Loaded bookings = 4248 TEU
 - Unfulfilled TEU = 1093 TEU (Total space provided by OOCL of 6649 TEU - Total confirmed bookings of 5556 TEU)
 - TPTEB Sub-MQC = 7072 TEU
 - Total confirmed bookings vs MQC = 78.6%
 - Loaded bookings vs MQC = 60%

*All calculations based on MQC TEU, i.e. the MQC calculation logic as per the terms and conditions set forth in customer's contract

Remarks:

1. TPTEB data only, excluded TAT
2. Excluded Group A commodities (for extra loaders)

<https://misspotfireddev.oocl.com/spotfire/wp/OpenAnalysis?file=6de94727-b7e4-4205-878d-c740d8139a1a>

RX 000652-654 (Sharon Wong Declaration); [REDACTED] APP 1392-1395 (K. Lam Tr. 214:25-226:11).

RESPONSE: Denied. The proposed fact lacks credibility, specifically as to Karen Lam's testimony, the Sharon Wong Declaration, and the self-serving booking analyses in Exhibits 66 and 67. (See BBY's Finding of Fact Arg.VIII.A, *Supra* Responses to FOF 580, 591.) The proposed finding also contains multiple factual propositions and thus contravenes the Presiding Officer's Scheduling Order. (Dkt. 12 (June 8, 2023).)

595. Karen Lam explained the above bullet points during her deposition. APP 1392-95 (K. Lam Tr. 214:25-226:11).

RESPONSE: Admitted that Karen Lam testified about these bullets. This testimony lacks credibility, and OOCL asked repetitive and leading questions designed to align Lam's testimony with OOCL's legal theories in this case. (See BBY's Finding of Fact Arg.VIII.A.)

596. The 2021-21 service contract period was shortened to 10 months at BBY's request, which accounts for the pro-rated references in the first slide. APP 1394 (K. Lam Tr. 224:18-225:24).

RESPONSE: The proposed finding is ambiguous, particularly through an apparent typographical error regarding OOCL's use of the term "2021-21 service contract period" in that it is unclear what service contract this statement refers to, which renders the proposed finding impossible to fully interpret. It is admitted that Karen Lam testified this with respect to the 2020-2021 Service Contract.

597. In calculating the amount of space provided, OOCL accounted for the space it allocated to BBY during each shipping year and the amount of space above its allocations that it provided to BBY minus the number of rejected TEUs below CSAL (that is, rejected bookings that were within CSAL but not accepted for some reason. APP 1392-95 (Karen Lam Tr. 214:25-234:17); APP 3039-40 (Ex. 39); APP 3122-44, 3145-66 (Exs. 66, 67); RX-000643-644, 000661-62, 00652-54, 000655-60, 000637-42, 000645-51 (Declarations of K. Lam, S. Wong, S. Cheung, A. Lam, and M. Wong).

RESPONSE: Denied. The proposed finding lacks credibility, specifically as to Karen Lam's testimony, the K. Lam, S. Wong, Cheung, A. Lam, and M. Wong Declarations, and the self-

serving booking analyses in Exhibits 66 and 67. (See BBY's Finding of Fact Arg.VIII.A; *Supra* Responses to FOF 579, 580, 581, 591.)

598. OOCL was not obligated to accept bookings that exceeded its allocated space to BBY. APP 1392-95 (K. Lam Tr. 214:25-226:11).

RESPONSE: Denied. Because the proposed finding cites to thirteen consecutive pages of Karen Lam's deposition transcript, it fails to include "an exact citation to evidence" and thus contravenes the Presiding Officer's Scheduling Order. (Dkt. 12 (June 8, 2023).) Further, the proposed finding concerns the nature of OOCL's obligations to accept booking requests and thus constitutes an inappropriate proposed conclusion of law. OOCL was obligated to ensure that it provided BBY and other shippers with carriage to fulfill OOCL's service commitments.

599. OOCL then compared that sum against the pro-rated MQC for the 2020/21 shipping year and found that OOCL provided 104.4% of the space that it said it would provide to BBY. APP 1392-95 (K. Lam Tr. 214:25-226:11).

RESPONSE: Denied. During the 2020 Service Contract year, OOCL carried approximately 1,475.85 FEUs of the 2,100 contracted FEUs, or 70.3% of its service commitment (not 104.4%). (See BBY's Finding of Fact 101.) The proposed finding lacks credibility, specifically as to Karen Lam's testimony. (See BBY's Finding of Fact Arg.VIII.A.) Further, because the proposed finding cites to thirteen consecutive pages of Karen Lam's deposition transcript, it fails to include "an exact citation to evidence" and thus contravenes the Presiding Officer's Scheduling Order. (Dkt. 12 (June 8, 2023).) OOCL in fact fell well short of its service commitments.



600. OOCL replicated the process for the 2021/21 shipping year and found that OOCL provided 94% of the space that it said it would provide to BBY. APP 1392-95 (K. Lam Tr. 214:25-226:11).

RESPONSE: Denied. During the 2021 Service Contract year, OOCL carried approximately 2,432.74 FEUs of the 3,796 contracted FEUs, or 64% of its service commitment (not 94%). (See BBY's Finding of Fact 104.) The proposed finding lacks credibility, specifically as to Karen Lam's testimony. (See BBY's Finding of Fact Arg.VIII.A.) Further, because the proposed finding cites to thirteen consecutive pages of Karen Lam's deposition transcript, it fails to include "an exact citation to evidence" and thus contravenes the Presiding Officer's Scheduling Order. (Dkt. 12 (June 8, 2023).) OOCL in fact fell well short of its service

commitments.

601. OOCL's analysis extended to evaluating the extent to which BBY fulfilled its container obligations, which accounted for confirmed bookings minus cancelled, terminated, and no-show bookings plus unfilled TEUs (that is, unused space). APP 1392-95 (K. Lam Tr. 214:25-226:11).

RESPONSE: Denied. The proposed finding lacks credibility, specifically as to Karen Lam's testimony. (See BBY's Finding of Fact Arg.VIII.A.) Further, because the proposed finding cites to thirteen consecutive pages of Karen Lam's deposition transcript, it fails to include "an exact citation to evidence" and thus contravenes the Presiding Officer's Scheduling Order. (Dkt. 12 (June 8, 2023).)

602. OOCL then compared that total against BBY's annual MQC obligation for each shipping year and found that for the 2020/21 service contract, BBY only fulfilled 58.5% of its container obligation (2,033.5 TEUs of loaded cargo divided by 3,473 TEUs of pro rata space provided by OOCL ($2,033.5 / 3,473 = 58.55$)) and 60% for the 2021/22 service contract (4,248 TEUs of loaded cargo divided by 7,072 TEUs of space provided by OOCL ($4,248 / 7,072 = 60$)). APP 1392-95 (K. Lam Tr. 214:25-226:11).

RESPONSE: Denied. The proposed finding lacks credibility, specifically as to Karen Lam's testimony. (See BBY's Finding of Fact Arg.VIII.A.) During the 2021 Service Contract year, OOCL carried approximately 2,432.74 FEUs of the 3,796 contracted FEUs, or 64% of its service commitment (not 94%). (See BBY's Finding of Fact 104.) Further, because the proposed finding cites to thirteen consecutive pages of Karen Lam's deposition transcript, it fails to include "an exact citation to evidence" and thus contravenes the Presiding Officer's Scheduling Order. (Dkt. 12 (June 8, 2023).) OOCL in fact fell well short of its service commitments.



603. To address the allegations that OOCL failed to afford BBY adequate space, OOCL's Director of Marketing and Sales in Salt Lake City, Glenn Metzger, dug deeper into the actual bookings made by BBY or on its behalf, cancelled (by BBY), and declined (by OOCL) during shipping year 2021/22. APP 1596-18; 1622-27 (Metzger Tr. 29:7-115:21; 131:9-151:15).

RESPONSE: Denied. The proposed finding lacks credibility, specifically as to Glenn Metzger's testimony. (See BBY's Finding of Fact Arg.VIII.B.) Further, because the proposed finding cites to over one hundred pages of Glenn Metzger's deposition transcript, it fails to include "an exact citation to evidence" and thus contravenes the Presiding Officer's Scheduling Order. (Dkt. 12 (June 8, 2023).)

604. Glenn Metzger testified that after he had done a deeper dive regarding the booking activity between OOCL and BBY during the 2021 shipping year, he found that most of the problems were on BBY's side, that OOCL met its space allocation obligations, and that BBY cancelled numerous bookings or had no shows and did not meet its MQC container tender obligations. APP 1626; 1627; 1629 (Metzger Tr. 146:13-147:8; 151:16-24; 159:13-161:4); RX-000618, RX-000619 (Ex. 393, 394).

RESPONSE: Denied. The proposed finding lacks credibility, specifically as to Glenn Metzger's testimony. (See BBY's Finding of Fact Arg.VIII.B.)

605. OOCL (USA)'s Tom Schmiemann's August 5, 2021 email to President Paul Devine, indicating that less than 5% of NAG shippers were meeting their MQC's at that time does not suggest the reason for shippers falling behind, nor does it indicate who may have been at fault for MQCs not being met. APP 1076 (Jensen Tr. 319:5-320:13).

RESPONSE: Denied that low MQC achievement for almost all NAG shipper does not suggest a systematic failure on OOCL’s end, but admitted that Jensen provided this opinion in the cited deposition testimony. The evidence in this case shows that OOCL systematically failed to meet its service contracts to BBY and other North America-based shippers. (See BBY’s Finding of Facts Arg.I.D.1, Arg.I.D.3-4, Arg.III.A.)

606. Mr. Metzger possesses the requisite IT and OOCL corporate database experience to undertake this analysis. APP 1591-96 (Metzger Tr. 7:19-27:11; 28:17-29:5).

RESPONSE: Denied. The proposed fact states an opinion that requires expert knowledge or a judicial determination, i.e., what particular education, training, or experience is necessary to perform the work Metzger undertook for his purported analysis, which renders the proposed finding impossible to fully respond to. To the extent this proposed finding of fact attempts to establish that Mr. Metzger’s opinions as a “non-retained expert” are admissible under *Daubert*, it constitutes an inappropriate proposed conclusion of law.

607. Mr. Metzger also authenticated all of the data he relied upon, save for one spreadsheet (Ex. 390), which was separately authenticated by OOCL’s Inside Sales Analyst Peter Nash. APP 1618-22 (Metzger Tr. 117:15-130:9); RX 000663-64 (Peter Nash Declaration, referencing two spreadsheets, the second of which was provided to OOCL’s container liability expert Lars Jensen for review).

RESPONSE: Denied. The proposed finding lacks credibility, specifically as to Glenn Metzger’s testimony. (See BBY’s Finding of Fact Arg.VIII.B.) The proposed finding lacks credibility as to the cited Declaration of Peter Nash, as well. The Nash Declaration lacks credibility because it was crafted by OOCL’s lawyers for purposes of this litigation, was not contemporaneously created during the relevant period of this case (2020-2022), and was signed on November 5, 2024, after the October 31, 2024 deposition of Glenn Metzger (in which the data Nash allegedly “verified” was discussed).

608. Mr. Metzger had concerns in August 2021 about the performance of the North American Group (“NAG”) and its shippers. APP 1627-28 (Metzger Tr. 153:23-154:21).

RESPONSE: Denied. The proposed finding mischaracterizes the cited testimony, in which Metzger conceded he had concerns about “our performance”, and as a whole lacks credibility, specifically as to Glenn Metzger’s testimony. (See Metzger Dep. Tr. 154:15-21 [APP-1628]; BBY’s Finding of Fact Arg.VIII.B.) Admitted that around August 2021, Mike Young and Glenn Metzger had concerns about low MQC achievement for major Service Contract customer accounts. [REDACTED]

BBBY's Finding of Facts Arg.VIII.B.)

609. In preparing a slide show back then to address his concerns, Metzger looked at overall MQC numbers for NAG shippers, but he did not evaluate the actual bookings made by the shippers referenced in the slide show. APP 1628-29 (Metzger Tr. 156:2-161:4); APP 3176-83 (Ex. 73).

RESPONSE: Denied. The proposed finding lacks credibility, specifically as to Glenn Metzger's testimony. (See BBBY's Finding of Facts Arg.VIII.B.)

610. Mr. Metzger, as a non-retained expert, evaluated two issues, the second of which is germane to space allocation in the 2021/22 shipping year – he evaluated the overall booking behavior in relation to CSAL. APP 1596 (Metzger Tr. 28:2-15).

RESPONSE: Denied. The proposed fact addresses issues of whether Metzger is a “non-retained expert”, and thus constitutes an inappropriate proposed conclusion of law. The proposed finding lacks credibility, specifically as to Glenn Metzger's testimony. (See BBBY's Finding of Fact Arg.VIII.B.) BBBY objects to OOCL's holding out Metzger as a “non-retained expert”, which unfairly skirts the procedural safeguards and requirements applicable to expert witnesses under FMC regulations and the Federal Rules of Civil Procedure. Metzger has submitted no report, summary of his credentials, or a complete list of materials he considered in giving his testimony or other participation in this action. Accordingly, OOCL's self-serving declaration of one of its own employees as an “expert” is devoid of meaning and should not be credited.

611. Mr. Metzger reviewed the booking activity for every vessel during the 2021/22 shipping year against which BBBY had any activity. APP 1622 (Metzger Tr. 130:17-131:7).

RESPONSE: Denied. The proposed finding lacks credibility, specifically as to Glenn Metzger's testimony. (See BBBY's Finding of Fact Arg.VIII.B.)

612. If the vessel had any activity involving BBBY, he pulled those vessels from the system and then examined how that booking activity related to CSAL. APP 1622 (Metzger Tr. 130:17-131:7).

RESPONSE: Denied. The proposed finding lacks credibility, specifically as to Glenn Metzger’s testimony. (See BBY’s Finding of Fact Arg.VIII.B.)

613. Mr. Metzger explained in detail his methodology and findings during his deposition. APP 1622-27 (Metzger Tr. 131:9-151:15).

RESPONSE: Admitted that he provided testimony about his alleged methodology and findings but otherwise denied. This testimony lacks credibility. (See BBY’s Finding of Fact Arg.VIII.B.)

614. Based upon his review of the data, Mr. Metzger opined that “OOCL met and exceeded its commitments, or its allocation.” APP 1627 (Metzger Tr. 151:16-24). Mr. Metzger found in his analysis that OOCL afforded BBY all of the space to which it was entitled. APP 1620-21; 1626; 1627 (Metzger Tr. 125:23-128:3; 146:13-147:8; 151:16-24); APP RX-000618, RX-000619 (Ex. 393, 394). Bed Bath did not meet its MQC container tender obligations. APP 1926 (Metzger Tr. 146:13-147:8). Mr. Metzger also found that OOCL’s booking declinations were justified. APP 1624-25 (Metzger Tr. 140:9-142:21); APP RX-000618, RX-000619 (Ex. 393, 394, Data analysis of OOCL Booking Data v. CSAL for BBY from May 1, 2021 to September 30, 2021, and from October 1, 2021, to May 1, 2022, respectively).

RESPONSE: Denied. The proposed finding contains multiple factual propositions and thus contravenes the Presiding Officer’s Scheduling Order. (Dkt. 12 (June 8, 2023).) The proposed finding lacks credibility, specifically as to Glenn Metzger’s testimony and his data analyses in Exhibits 393 and 394. (See BBY’s Finding of Fact Arg.VIII.B.) Further, to the extent this proposed finding asserts that Metzger can “opine” in this case as an expert witness, as opposed to a fact witness, it constitutes an inappropriate proposed conclusion of law.

615. Mr. Metzger also explained how his analysis differed from that of Karen Lam and her Team. He testified:

Q. You’re familiar with Karen Lam’s slides of space OOCL allocated to Bed Bath during the shipping years 2021 and -- excuse me -- 2020-’21 and ‘21-’22?

A. Yes.

Q. How does your analysis differ from Karen Lam’s analysis?

A. So my analysis takes into account BBB's activity. So, basically, looking at the activity that BBB had, in terms of bookings, in relation to Karen Lam's report, she did that review. In addition, she showed where there was vessels that had a CSAL that was not utilized. In my report, if there was no booking activity, basically, I didn't analyze that.

Q. Okay. So fair to say your analysis was limited to where there was some form of booking activity?

A. Correct.

APP 1627 (Metzger Tr. 152:2-152:23).

RESPONSE: Admitted that Metzger provided this testimony, which lacks credibility, but otherwise denied. (See BBY's Finding of Fact Arg.VIII.B.)

616. Further, employing a very detailed methodology, Glenn Metzger analyzed whether OOCL shifted any space from service contracts to premium rate contracts. APP 1596-1618 (Metzger Tr. 29:7-115:21).

RESPONSE: Denied. The proposed finding lacks credibility, specifically as to Glenn Metzger's testimony. (See BBY's Finding of Fact Arg.VIII.B.)

617. Mr. Metzger evaluated the period May 1 through September 30, 2021, and testified that he did not "see any reason to believe that OOCL was shifting space from any - - one contract to another." APP 1618 (Metzger Tr. 115:22-116:9); RX-000612 (Ex. 387, OOCL254177); see also APP 1084-85 (Jensen Tr. 352:22-355:13).

RESPONSE: Denied. The proposed finding lacks credibility, specifically as to Glenn Metzger's testimony. (See BBY's Finding of Fact Arg.VIII.B.) The cited testimony of Lars Jensen should also be discounted as biased. (See BBY's Finding of Facts Arg.VII.B.) Admitted that Metzger and Jensen gave testimony as reflected in the cited excerpts.

618. Lars Jensen testified about his evaluation of the methodology employed by Karen Lam (and her team):

Q. And what process did you undergo in the course of looking at those exhibits to assess the testimony of Karen Lam?

A. That was to -- simply to look at the data which was fairly straightforward. There was a CSAL, which is the allocation provided by OOCL. Note there's a difference

between whether we look at bookings and whether we look at allocations. What is the allocation that OOCL makes available, then in a quantitative -- that's on the graphs -- to which degree there were bookings placed within those, whether these bookings were accepted, whether there were attempts to book beyond the CSAL, which there would not be an obligation to necessarily come up with, and whether there was allocation provided that was unused.

Q. Do you express any expert opinion with respect to these statements made by Karen Lam?

A. I don't know what you mean by that question.

Q. Well, I'm just trying to figure out what your opinion is here because this section mostly seems to me to be a summary of what the testimony and documents say. So, other than the summary of what the documents and the testimony says, do you personally have any expert opinion concerning the statements made in the Karen Lam deposition on the pages you reference here?

A. Yeah. What I see here is I would agree with the statements made, that there was substantial capacity that was made available by OOCL but not utilized by Bed Bath & Beyond, and there were a significant amount of cases where there was rejection for Bed Bath & Beyond bookings, but that was because those were attempted to be booked beyond the CSAL. And that, to some degree, refers back to what we talked about earlier. These might have been some of the cases where Bed Bath & Beyond then had to go and book this excess cargo with NVOs somewhere else.

Q. Okay. And that opinion that you just expressed is based on the OOCL documents that are cited as exhibits in the deposition of Karen Lam in those pages, right?

A. Yes.

APP 1031-32 (Jensen Tr. 140:22-143:12).

RESPONSE: Admitted that Jensen provided the quoted testimony but otherwise denied. As the cited testimony makes clear, Jensen's opinion was based on self-serving analyses performed by Karen Lam that lack credibility. (See BBY's Finding of Facts Arg.VIII.A, Supra Response to FOF 591.)

619. During the shipping years at issue, OOCL regularly advised BBY and its booking agent Yusen Logistics about BBY's monthly space allocations. See e.g., APP 3000-01, RX-000974-976, RX-000977-978, RX-001028, RX-001029 (Exs. 25, 196, 198, 317, 318).

RESPONSE: Admitted that the evidence cited are examples of OOCL sharing or discussing its allocations with BBY and Yusen, [REDACTED]

620. OOCL's sales representative in charge of BBY's account, Jim Mitchell, kept in regular touch with Yusen Logistics as BBY's Paul Pastor admitted. RX-000188 (Ex. 323 (On May 7, 2021, Paul Pastor wrote: "Rita and I had a good call with Jim today in regards to [sic]OOCL's monthly allocation and Yusen's booking against those allocations. . . . Jim as you know is very active with his communication with Pacy / Yusen so it is important that continues which I have no doubt it will."))).

RESPONSE: Admitted that BBY employees were in regular contact with Jim Mitchell seeking space and determining the reasons for OOCL's lack of space allocations to BBY but otherwise denied. Jim Mitchell was not responsible for determining allocations. (See BBY's Finding of Facts Arg.I.D.1.i.a.)

621. Mr. Mitchell testified: "We were doing everything in our capacity to provide space under their allocation, find them extra space. And we were, you know, just working on a daily basis to help them manage their supply chain." APP 1761 (Mitchell Tr. 335:6-11).

RESPONSE: The proposed finding does not state a fact but merely quotes a source. Admitted that Mitchell stated this in his deposition, but otherwise denied that OOCL did everything in its capacity to provide space or worked daily to help them manage their supply chain. To the contrary, OOCL's practices included failing to provide space to meet the MQC under the Service Contracts and preferring higher-priced freight at the expense of its service commitments. (See BBY's Finding of Facts Arg Arg.I.D.1-4, Arg.III.A.)

622. BBY's contract with its booking agent, Yusen Logistics, provided that Yusen was to use the ocean carrier allocations that BBY provided to Yusen on a monthly basis for purposes of making bookings. RX-000105-106 (Ex. 274, Yusen Logistics-BBY Contract, pp. 26-27); APP 954; 958 (Jacobus Tr. 102:2-13; 104:15-24; 119:23-120:10 ("Q. Okay. And if we go to Paragraph 10, it reads, in the first sentence, "BBB shall provide monthly projections for each carrier." The second sentence, "Yusen will book per this and report any issues to BBB." Did I read that correctly? A. Yes. Q. And so for the CY loading, this was the agreement that was reached between BBB and Yusen as to how the CY cargoes were going to be booked; correct? A. Yes." APP 2396-97; 2398 (Shippee Tr. 25:1-28:20; 30:1-9).

RESPONSE: Denied. The proposed finding mischaracterizes the evidence cited. The contract states, “BBB shall provide monthly projections for each carrier”, that “Yusen will book per this”, and that “BBBY will send a bi-weekly allocation by Carrier”, and does *not* state that BBBY must provide Yusen with the “ocean carrier allocations”, as claimed in the proposed finding. *See* Ex. 274 at 26 [RX-000105].

623. BBBY through Yusen failed to properly manage bookings. Yusen regularly double-booked BBBY’s containers during the pandemic. APP 1554 (McQuade Tr. 43:12-44:9 (McQuade wrote an email to BBBY’s Reid Klosowsky that said, among other things: “Many times, we are booking more than the carrier has allocated to BBB in hopes of getting additional space.”)); APP 2395-96 (Shippee Tr. 19:16-22:18 (with respect to double booking, she testified, among other things: “Because it was Bed Bath & Beyond’s practice to book with more than one carrier”)); APP 960 (Jacobus Tr. 126:2-21).

RESPONSE: Denied. The proposed finding contains multiple factual propositions and thus contravenes the Presiding Officer’s Scheduling Order. (Dkt. 12 (June 8, 2023).) [The proposed finding misstates and mischaracterizes the record. [The first testimony indicates that BBBY and Yusen strategically booked in excess of allocation to secure space, not that they repeatedly double-booked the same containers on multiple vessels as the witness explicitly stated: “Many times, we are booking more than the carrier has allocated to BBB in hopes of getting additional space.” McQuade Dep. Tr. 43:19-22. McQuade further explain that “[t]he release may not [be] happening in the same week as bookings at times. It is not uncommon for the percentage booked to be higher than what is ultimately released.” Id. 43:15-19. The testimony does not suggest that BBBY/Yusen repeatedly booked the same container on different vessels, which is what “double booking” typically means in a logistics context. The testimony only describes an attempt to secure additional space by overbooking beyond allocation, which is distinct from actually duplicating bookings for the same shipment. Regarding the second statement, BBBY, through Yusen, engaged in a strategy of booking the same shipments with multiple carriers to secure space, sometimes leading to double-booked allocations that were later canceled. As the witness explained, “it was Bed Bath & Beyond’s practice to book with more than one carrier,” often using a tiered approach where they would “accept the booking from the carrier who responded first” and “confirmed booking would result in the cancellation of the booking with, for lack of a better term, the extra carrier.” Shippee Dep. Tr. 22:9-23.

624. Yusen did not book per the ocean carriers’ allocations provided by BBBY, but rather beyond those allocations. APP 2414 (Shippee Tr. 94:9-22 (“I remember Bed Bath telling us

to book for the allocation and then secure that allocation and then go back and book more if necessary.”); APP 1554 (McQuade Tr. 43:12-44-9).

RESPONSE: Denied. The proposed finding mischaracterizes the testimony. In context, it is clear that Yusen was talking about booking above OOCL’s “CSAL” allocations, in light of the fact that OOCL’s system would automatically reject bookings above CSAL: “During your time at Yusen during the time wire discussing 2021, 2022, had you ever heard of a phenomenon where OOCL would reject bookings if those bookings were in excess the allocation for that specific sailing oranges time period? A. OOCL advised that they would, yes. Q. How did they advise you? A. Well, in the correspondence that was shown OOCL advised any booking for over the allocation would be rejected. I remember Bed Bath telling us to book for the allocation and then secure that allocation and then go back and book for more if necessary”) [APP-2414]. Per the contract with BBY, Yusen had an obligation to try to secure space based on BBY’s projections, not allocations OOLC unilaterally inputted into its “CSAL” system. (See *infra* Response to OOCL FOF 622; Ex. 274 at 26 [RX-000105].)

625. Yusen was contractually obligated to book per the ocean carriers’ monthly allocations. RX-000079-153 (Ex. 274, Yusen Logistics-BBY Contract, pp. 26-27).

RESPONSE: Denied. The proposed finding mischaracterizes the evidence cited. The contract states, “BBB shall provide monthly projections for each carrier”, that “Yusen will book per this”, and that “BBY will send a bi-weekly allocation by Carrier”, and does *not* state that Yusen must book per the ocean carriers’ monthly allocations, as claimed in the proposed finding. See Ex. 274 at 26 [RX-000105].

626. Yusen Logistics Americas had limited involvement in bookings unless they were passing an email along that was received from origin about a booking (APP 932 (Jacobus Tr. 15:4-23)), and Brian McQuade was not a booking agent, had nothing to do with bookings related to BBY, and has no personal knowledge about any bookings as between BBY and OOCL. APP 1547; 1571 (McQuade Tr. 14:23-15:3; 110:5-19). McQuade was part of Yusen Logistics director of business development. APP 1545 (McQuade Tr. 8:13-24). No one reports to him. *Id.* BBY’s booking agent was Yusen Logistics based in Asia. APP 932 (Jacobus Tr. 15:25-16:11).

RESPONSE: Denied. The proposed finding contains multiple factual propositions and thus contravenes the Presiding Officer’s Scheduling Order. (Dkt. 12 (June 8, 2023).) The testimony cited for Ms. Jacobus was given over objections of both counsel and did not ask who BBY’s booking agent was.

627. Amanda Jacobus testified that she did not have any personal knowledge about the bookings involving OOCL and BBY, and she did not know how many reports were prepared by Yusen on BBY's behalf with respect to OOCL. APP 962 (Jacobus Tr. 137:13-138:1).

RESPONSE: Admitted, but Ms. Jacobus testified that she was aware of such reports within the citation above.

628. Aside from a few sporadic Yusen reports, BBY has neither identified nor produced any documents from Yusen in this case that show BBY's booking activity with OOCL (that is, bookings that were attempted, confirmed, cancelled, no shows, etc.) over the entirety of the 2020 and 2021 shipping years. Further, Amanda Jacobus was not involved in Yusen's booking agent work for BBY. APP 932 (Jacobus Tr. 15:4-12). She testified: "I don't, really, know all that a booking agent entails," APP 967 (Jacobus Tr. 157:2-3).

RESPONSE: Denied. As the proposed finding notes, certain Yusen booking reports were produced, and BBY has cited to numerous emails regarding booking activity. Admitted that Amanda Jacobus gave testimony as cited.

B. No One Coerced BBY into Signing 47 Contracts with OOCL during Shipping Years 2020 and 2021

629. [REDACTED]

[REDACTED]

RESPONSE: Admitted.

[REDACTED]

[REDACTED]

[REDACTED]

RESPONSE: Admitted.

[REDACTED]

[REDACTED]

[REDACTED]

RESPONSE: Denied as to the dates. Admitted that PE212602 was a premium service contract that BBY signed effective January 14, 2021 through May 31, 2021. *See* BBY's Finding of Facts 290.1.

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

RESPONSE: [REDACTED]

[REDACTED]

[REDACTED]

RESPONSE: Admitted.

634. There exists no evidence in the record that BBY's signatories signed the foregoing service contracts or amendments thereto involuntarily or under threat of coercion. APP 3261-92, 3360-753 (Exs. 163, 332-379); APP 1177-78 (Kastin Tr. 144:17-147:22).

RESPONSE: Admitted that BBY's employees attached their signatures to premium service contracts and other amendments without being under physical duress. But otherwise denied that there was no coercion. BBY had no choice but to acquiesce and sign in order to have any chance of OOCL's fulfilling the original MQCs and providing carriage for products that BBY desperately needed to get on its shelves. OOCL presented the amendments and premium contracts as an essential precondition to getting space on OOCL's vessels. (*See* BBY's Finding of Facts 298.) Moreover, the evidence in this case shows that this was the reality: much of the cargo that OOCL did carry on behalf of BBY and other customers during the years at issue was under premium contracts. (*See* [REDACTED])

[REDACTED]

635. Amendment No. 8 to the 2020 service contract presents a good example as to how these amendments were readily accepted by BBY. On November 20, 2020, Patrick Hackett wrote an email to Jim Mitchell at OOCL about extra loaders proposed by OOCL. He wrote:

“Jim....yes, we accept and thank you for the below space on these extra loaders. I'm cc'ing Laurie and Pacy from Yusen so we're all on the same page. If possible, can you just add the below rates into the amendment you just sent me this morning and resend to me and Paul later today/Monday so he can validate and then route for internal review/approval on Monday when he's back from vacation? If not, then just create/send us another amendment just for these rates. Thanks.”

RX-001150-54 (OOCL_0000049048).

RESPONSE: Admitted that this is an example of an email about an amendment. But otherwise denied as to the characterizations. BBY only “readily” accepted amendments because it had no alternative to getting space and that given the urgency of the need to get space in order for BBY to have goods to sell to its customers, BBY needed to accept amendments quickly. (See BBY’s Finding of Facts 291.)

636. BBY’s Director of International Supply Chain testified about how the amendments with OOCL were negotiated:

Q. And so this amendment would have been -- again, the details of it would have been negotiated between you and, presumably, Jim Mitchell at OOCL and you would present it to your management through Reid Klosowsky and then Juan Guerrero would sign off on it; fair statement?

A. That’s the process, yes. APP 825 (Hackett Tr. 48:8-15).

RESPONSE: Admitted.

637. Amendment No. 7 presents another good example of BBY’s approval. Pat Hackett sent Jim Mitchell an email that said: “Jim, I approve, so please file. Paul will send you a signed copy ASAP. Thanks.” APP 1183 (Kastin Tr. 167:10-168:15).

RESPONSE: Admitted that this is an example of an email about an amendment, which demonstrates the urgency and high stakes for BBY during this time. BBY had to approve amendments “ASAP” because not getting goods in time was critical for BBY’s business. (See BBY’s Finding of Facts 291.)

638. Service contract amendments that amended rates and peak season surcharges would not go into effect until the amendment was signed and filed. APP 821(Hackett Tr. 31:19-32:22).

RESPONSE: Admitted.

639. Per Fed. R. Civ. P. 206, OOCL requests that that Presiding Officer take judicial notice of the fact that each of the foregoing service contracts and amendments thereto were filed with the FMC. See e.g., RX 002633 (OOCL_0000000997) (OOCL’s Pete Nash informs BBY’s Paul Pastor and Edward Wtulich that “Bed Bath and Beyond’s new service contract [MT226042] was filed with the FMC effective 05/01/2022.”).

RESPONSE: It is not possible to respond to this paragraph because it is a request to the Presiding Officer.

640. OOCL and BBY signed the 2020 Service Contract (No. PE203297) and all 17 Amendments thereto. [REDACTED] APP 1167-71 (Kastin Tr. 103:15-120:9).

RESPONSE: Admitted that BBY signed the 2020 Service Contract and 17 amendments to the 2020 Service Contract. While not all of these documents in BBY’s Appendix cited in the proposed finding appear to signed by OOCL, BBY presumes OOCL did approve them.

641. OOCL and BBY signed the 2021 Service Contract (No. PE213179) and all 16 Amendments thereto. [REDACTED] APP 1171-74 (Kastin Tr. 120:10-133:21).

RESPONSE: Admitted that BBY signed the 2021 Service Contract and 16 amendments to the 2021 Service Contract. While not all of these documents in BBY’s Appendix cited in the proposed finding appear to signed by OOCL, BBY presumes OOCL did approve them.

[REDACTED]

[REDACTED]

[REDACTED]

RESPONSE: Admitted that BBY signed the PE212602 premium contract and three amendments to this contract. While these documents in BBY’s Appendix cited in the

proposed finding do not appear to be signed by OOCL, BBY presumes OOCL did approve them.

RESPONSE: Admitted that BBY signed the PE212612 contract and nine amendments to this contract. While these documents in BBY's Appendix cited in the proposed finding do not appear to be signed by OOCL, BBY presumes OOCL did approve them. Further, the cited Exhibit 57 does not support the proposed finding.

644. There is **no evidence** in the record that BBY's signatories signed the foregoing service contracts or amendments thereto involuntarily or under threat of coercion. APP 3360-753 (Exs. 332-79); APP 1177-78 (Kastin Tr. 144:17-147:22).

RESPONSE: Denied. The proposed finding is overbroad and inaccurate. BBY's Finding of Facts cite record evidence supporting that BBY was coerced into signing premium contracts. *See, e.g.,* BBY's Finding of Fact 298 (quoting Paul Hackett's testimony that the way premium contracts were presented "it was like, if you want to get any space, you're going to need to sign these premium contracts and move these goods under these premium rates"). OOCL presented no real negotiation options, instead making demands under take-it-or-leave-it terms. *See, e.g.,* BBY's Finding of Fact 276 (quoting Paul Hackett's testimony that "[t]here wasn't much negotiation. Let's put it that way. It was more one way. And then it was like, if you want to get space on the vessel, you're going to have to do this, and we said all right.") BBY acknowledged that it had no choice but to accept OOCL's terms to keep shelves stocked, as Hackett stating: "So, candidly, our hand was kind of forced, as it was with other importers because it was a global phenomenon. And, so, yeah, we did agree to them. Keeping in mind that we are a retailer, right? If we don't have product on the shelves, we don't have business." BBY's Finding of Fact 275.

645. There is **no evidence** in the record that OOCL charged a freight rate to BBY that was not filed with the FMC.

RESPONSE: Admitted that there is no evidence in the record about this.

646. There is **no evidence** in the record that OOCL charged a demurrage or detention rate to BBY that was not included in its published tariff.

RESPONSE: Admitted that there is no evidence in the record about this.

647. BBY signed an amendment to the 2020 service contract that reduced its minimum quantity commitment to 2,171 TEUs. [REDACTED] APP 1181 (Kastin Tr. 158:3-159:12).

RESPONSE: Admitted that the amendment speaks for itself to reduce MQC to 2,171 TEUs.

648. BBY signed an amendment to the 2021 service contract that reduced its minimum quantity commitment to 3061TEUs. APP 3643-46 (Ex. 365).

RESPONSE: Admitted that the amendment speaks for itself to reduce MQC to 3061 TEUs.

649. The two foregoing amendments are known as drawdown or shortfall amendments. APP 1715; 1738 (Mitchell Tr. 152:22-153:12; 243:5-13).

RESPONSE: Admitted.

650. Drawdown or shortfall amendments are customary amendments that are signed at the end of a shipping year to avert deadfreight charges. APP 1738 (Mitchell Tr. 243:5-244:18).

RESPONSE: Denied that drawdown amendments necessarily have the purpose of averting deadfreight charges. The cited deposition testimony is speculation about customers' motives, and the MQC quantities in service contracts contain obligations for both a shipper and a carrier. Admitted only that that drawdown amendments are common in the shipping industry.

651. None of Jim Mitchell's customers, which included BBY, pushed back on the drawdown amendments at the end of the 2020 or 2021 shipping years. APP 1738 (Mitchell Tr. 244:3-18).

RESPONSE: Admitted that Jim Mitchell testified to this effect.

652. OOCL's customers expected to sign drawdown amendments, which were customary. APP 1738 (Mitchell Tr. 244:3-18).

RESPONSE: Admitted that drawdown amendments were a common practice in the shipping industry but denied that customers expected to sign drawdown amendments where OOCL failed to satisfy its service commitments.

653. Because of continuing high demand for space in the Fall of 2020, OOCL started discussing PSS with its customers. APP 1724 (Mitchell Tr. 186:9-22).

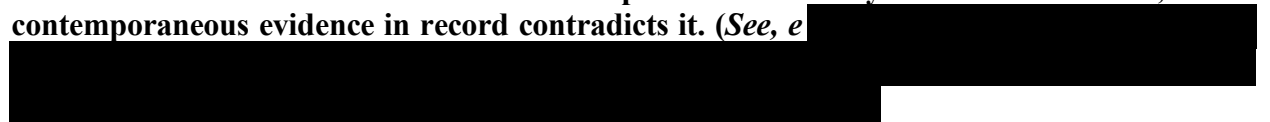
RESPONSE: Denied insofar as the proposed finding asserts that OOCL's PSS during the relevant shipping years was due to external factors and not profit-seeking. OOCL did respond to increased demand and higher spot market prices by imposing PSS effectively as a year-round price adjustment to service contract rates. (See BBY's Finding of Facts 267.)

654. INTENTIONALLY LEFT BLANK.

RESPONSE: N/A

655. OOCL's customers would get their MQC "regardless if they were paying peak-season surcharge." APP 1725 (Mitchell Tr. 191:17-23; 192:9-14).

RESPONSE: Denied. While the cited deposition testimony makes this claim, other contemporaneous evidence in record contradicts it. (See, e



656. Contrary to BBY's First Amended Complaint ¶¶ 60 and 61, BBY's bookings were not being held hostage until BBY paid a PSS. Jim Mitchell testified:

Q. So based on what we've discussed, releasing the bookings, that would not be bookings under CSAL; that would be bookings for additional space?

A. No. That'd just be bookings against their CSAL allocation. I don't know what he was really referring to. I think he was just, you know, asking that we ensure that their bookings were released because space was hard to get. Their bookings were not being held up for -- until they, you know, agreed to the PSS, if that's what you're driving at.

APP 1729 (Mitchell Tr. 207:2-15).

RESPONSE: Denied. While the FOC accurately quotes the cited deposition testimony, it omits the full discussion of the email in this part of the deposition immediately preceding the testimony cited in the proposed finding above:

Q. And here, it says the -- so in the second e-mail on this chain, which is an e-mail from Paul Pastor to you on December 22, 2020, at a date - - at a time that's reflected as 21:15 p.m., where he said, "To accept bookings and hopefully you can communicate based on this e-mail that BBB has accepted PSS, so continue to accept bookings from Yusen. As you know, bookings are being made weeks out, and we

cannot have any delays, as it's hard enough to get space, as you know. Thanks.” Do you recall receiving that e-mail?

A. Well, reading it now, yes.

Q. And you responded that “We are releasing the bookings,” correct?

A. Correct.

Mitchell Dep. Tr. 206:7-25 [APP-1729].

Mitchell’s later claim that he did not know what Paul Pastor meant in Pastor’s email is puzzling and difficult to credit in light of Mitchell’s reply to that email stating, “We are releasing the bookings”. Paul Pastor’s email indicates Pastor’s understanding that his acceptance of PSS would allow OOCL to start accepting bookings again from Yusen. If that was incorrect, it is telling that Mitchell did not clarify the matter. Mitchell’s actual response, “We are releasing the bookings”, clearly would not have corrected Pastor’s misunderstanding, but would only have reinforced Pastor’s view that the bookings were being held up pending the acceptance of PSS. The most convincing explanation for Mitchell’s response to Pastor’s email is that Pastor’s understanding was *correct*. Indeed, other record evidence and emails produced in discovery confirm that BBY’s bookings *were* held hostage until BBY paid a PSS. (See BBY’s Finding of Facts 269-271, 275-280.)

657. OOCL would perform swaps regardless of PSS. APP 1726 (Mitchell Tr. 205:8-23).

OOCL has the ability to swap space within its own allocations, provided it is done three weeks in advance of the vessel’s sailing. *Id.*

RESPONSE: Denied. OOCL may have performed swaps for BBY before it began paying PSS. However, OOCL flatly told BBY that paying PSS would help “differentiate” BBY to get “equipment for the space allocated”. Mitchell Dep. Tr. 203:9-21 [APP-1728]. In the deposition testimony cited in the proposed finding, OOCL’s Mitchell claims OOCL would have worked with BBY on swaps regardless of PSS. But at the time, the implied threat that OOCL would not do so was used to coerce BBY into accepting PSS. Further, the proposed finding contains multiple factual propositions and thus contravenes the Presiding Officer’s Scheduling Order. (Dkt. 12 (June 8, 2023).)

658. Paying a PSS would not give BBY a better chance of getting more MQC in the next year’s shipping contract (APP 1741-42 (Mitchell Tr. 257:22-258-2)), but instead “it would help them in terms of being positioned to get space on the loops that were in high demand because [OOCL] had a competitive advantage on the West Coast. It was a high-demand terminal, and it was very competitive in terms of customers looking for space.” APP 1729 (Mitchell Tr. 207:25-208:12).

RESPONSE: Denied.

Even that there was ultimately an MQC shortfall, clearly any space OOCL could have provided to BBBY would have given BBBY a better chance of meeting its MQC.

659. OOCL offered secondary contracts to select customers that OOCL knew were looking for additional space and came to OOCL “asking if we offered a premium contract, and Bed Bath & Beyond was one of those customers.” APP 1727 (Mitchell Tr. 201:6-15).

RESPONSE: Admitted only that BBBY had a premium contract offering and BBBY was one of the customers that signed a premium contract in order to try to get space but denied that this was “additional space” as OOCL systematically failed to meet its service commitments to many of its BCO customers.

660. The secondary service contract prices per TEU were higher than in the annual service contracts but “lower than what else was in the market.” APP 1730 (Mitchell Tr. 211:2-8); APP 1088 (Jensen Tr. 369:15-23) (rates charged by OOCL during the two shipping years at issue were competitive with the market).

RESPONSE: Admitted in part. The proposed finding of fact is vague and ambiguous because it is not clear if “lower than what else was in the market” refers to other premium service contracts offered in the market or spot market prices. Admitted that premium contract prices were sometimes lower than (fluctuating) spot market prices available through NVOCCs.

661. Lars Jensen testified:

If we go to question 3, whether OOCL’s charges for additional space were within market during the foregoing years, what is your opinion?

A. My opinion there is, yes, that was definitely within market, and the price increases that I’ve seen in the amended contracts were less than what we even saw in spot markets.

Q. And what’s the basis of your opinion?

A. The basis is partly the amended contract rates in the amendments to the contracts, and then it’s the spot rate data in this case from Drewry’s WCI Spot Rate Index.

APP 1084 (Jensen Tr. 352:5-352:20); see also APP 1398 (K. Lam Tr. 238:14-239:8).

Lars Jensen testified:

Q. And what about in an increasing market? What is your experience as to whether or not shippers and carriers enter into amendments to adjust rates?

A. That is just as normal as when it goes down. Then there are also mutual discussions along as the market changes, and then typically rates are adjusted upwards.

APP 1090 (Jensen Tr. 376:7-376:15).

RESPONSE: Admitted only that Mr. Jensen testified as cited. Mr. Jensen lacks qualifications and/or methodological reliability to constitute appropriate “expert” testimony in this action. (See BBY’s Finding of Fact Arg.VII.) The proposed finding lacks credibility, specifically as to Lam’s testimony. (See BBY’s Finding of Fact Arg. VIII.A.)

662. Donna Forminio testified that the rates were set by the market:

A. Once space became a premium and COVID hit, and there was so much confusion and the -- the rates did soar because space was at such a premium and, like anything else, you know, you can't get something, they'll pay anything to get it, so the rates went up, and that's what happened.

APP 630 (Forminio Tr. 105:17-24). Further, she testified that “each contract was negotiated based on the market at the time.” APP 682 (Forminio Tr. 312:11-13).

RESPONSE: Admitted, and this is demonstrative of OOCL’s policy and practice of failing to satisfy its service commitments to customers so that it could sell the same space to customers through PSS and other surcharges or through NVOCCs on the spot market. The proposed finding contains multiple factual propositions and thus contravenes the Presiding Officer’s Scheduling Order. (Dkt. 12 (June 8, 2023).)

663. The secondary service contracts were “a response to customer demand and the opportunity to secure additional space to supplement their primary contract.” APP 1730 (Mitchell Tr. 211:20-23).

RESPONSE: Admitted that OOCL used premium contracts to take advantage of the changing market conditions but otherwise denied that this was “additional” space as OOCL was not meeting its service commitments to a majority of its BCO customers and OOCL required such customers to pay higher rates to get the same space that they should have received under their primary service contracts.

664. “Extra loaders,” that is, container vessels added to a service loop, were “outside of the contracted MQC, or what would fall under the CSAL program. It was supplemental space.”

APP 1734 (Mitchell Tr. 226:17-21). See *supra* RPF 47 (definition of “extra loader”).

RESPONSE: Denied. OOCL treated “extra loaders” as a premium service outside of the contract MQCs even though those loaders could have been used to replace blanked sailings or otherwise shorted service commitment allocation. “Extra loaders” could be chartered vessels, but also included ships that OOCL owned. (See BBY’s Finding of Fact 329.) OOCL also had a program with the carrier COSCO, a carrier that is ultimately controlled by the same corporate entity as OOCL, in which COSCO would launch an “extra loader” and share space to OOCL and in return OOCL would launch an extra loader and share space with COSCO. See Lam Dep Tr. 175:14-20 [APP-1382].

665. The secondary service contract was introduced in January 2021, and OOCL would file rates by individual extra loader, that is, per additional container ship. APP 1734 (Mitchell Tr. 229:4-8).

RESPONSE: Denied that “extra loaders” were “additional” container ships. Admitted that BBY and OOCL entered into the first premium contract in January of 2021.

666. The PSS rate was negotiated with the customer. APP 1736 (Mitchell Tr. 237:8-238:2).

RESPONSE: Denied. The proposed finding mischaracterizes the cited testimony, in which Mitchell explained why he wrote in an email to BBY, “The requested PSS will be \$X,000 per 40’ GP/HQ.” First, Mitchell’s full answer was: “The X was because I would have to be advised by Trade what the PSS would be for this given extra loader, or based on what we negotiate with the customer.” Mitchell Dep. Tr. 237:16-19 [APP-1736]. Second, Mitchell admitted when he wrote that email, “I did not have what Trade’s feedback was or guideline would be in terms of, you know, what they would like us to offer in terms of the peak-season surcharge”. Mitchell Dep. Tr. 238:10-14 [APP-1736]. Thus, even if some negotiation was possible, the PSS rate was ultimately set by Trade.

667. If BBY said “no” to a PSS, OOCL did not pursue it. APP 1749 (Mitchell Tr. 289:16-24).

RESPONSE: Denied. The proposed finding is overbroad and goes beyond the evidence cited. Mitchell states in the deposition, “they said no, and we did not pursue it” with reference to one PSS proposal, and therefore this evidence does not support the conclusion that if BBY said no to PSS, BBY would never pursue it. See Mitchell Dep. Tr. 288:13-289:24 [APP-1749].

668. Secondary service contracts were used because they were easier to manage in terms of “booking, control and admin.” APP 1749 (Mitchell Tr. 287:7-17).

RESPONSE: Denied. The proposed finding is overbroad based on the evidence cited. Mitchell did not testify that he knew or recalled the reason for the shift away from PSS to premium contracts, but rather speculated on what he thought the reason was. Mitchell Dep. Tr. 287:7-17 [APP-1749].

[REDACTED]

[REDACTED]

[REDACTED]

RESPONSE: Admitted that Mitchell provided the quoted testimony but denied that OOCL did not, indeed, intend to gouge by reducing allocation away from customers not willing to pay PSS or by telling customers that agreeing to pay PSS would put them in a better position.

IX. COUNT IV – ALLEGED VIOLATION OF THE FORMER 46 U.S.C. § 41104(a)(3) (NOW CODIFIED AT 46 U.S.C. § 41102(d)) – RETALIATION CLAIM

670. The signatory of the two letters that form the basis of this claim, Patrick Hackett, BBBY’s Director of International Supply Chain, testified that he had no intention of threatening to bring a claim to the FMC by sending his October 18, 2021 letter to OOCL. APP 829 (Hackett Tr. 65:21-64:15).

RESPONSE: Denied. Mr. Hackett stated that “it was never my intent to threaten anything to anybody” (Hackett Tr. 64:11-15) but [REDACTED]
[REDACTED] **and Mr. Hackett is not responsible for making litigation decisions. (Hackett Tr. 63:21-64:3)**

671. Despite Mr. Hackett’s sworn testimony that he never intended a threat by his letter, BBY nevertheless asserts on page 72 of its brief that “[o]n October 18, 2021, BBY conveyed a threat to file a complaint with the FMC to OOCL, the October 21 Letter.”

RESPONSE: Admitted. But regardless of Mr. Hackett’s personal intent, [REDACTED]

[REDACTED] Thus, the letter was a threat of a legal complaint and compliance action. Further, *OOCL’s own employees interpreted the letter as a legal threat.* (See BBY’s Finding of Fact 407 (quoting an OOCL email discussing an OOCL attorney’s involvement in reviewing the letter and referring to OOCL email that said, “[t]hese are the same folks behind the *threatening* DD letter dated 18 October”) (emphasis added).)

672. Though Patrick Hackett’s letter of October 21, 2021, complained of generalized reasons why containers could not be pick up or returned in a timely fashion, he provided no details as to any particular instance when delays were caused by reasons beyond BBY’s control. APP 2936 (Ex. 4). After receiving the letter, OOCL followed up with BBY requesting details; none were forthcoming. APP 2237 (Schmiemann Tr. 248:16-249:2).

RESPONSE: Admitted that the letter did not provide particular instances when delays were caused by reasons beyond BBY’s control and that after receiving the letter, OOCL followed up requesting details. Otherwise denied. The proposed finding contains multiple factual propositions and thus contravenes the Presiding Officer’s Scheduling Order. (Dkt. 12 (June 8, 2023).) The proposed finding misstates and mischaracterizes the record. The proposed finding states that the letter was from October 21, 2021, but it was really from October 18, 2021. The cited deposition testimony of OOCL’s employee Thomas Schmiemann also does not say that BBY did not provide details to follow up. Schmiemann testified, “I don’t *think* they ever provided it”, indicating that he did not know whether or not BBY provided such details. Schmiemann Dep. Tr. 248:21-249:2 pAPP-2237].

673. Mr. Hackett also testified that he “sent this exact letter out to every carrier that we were doing business with because we had similar issues with them that we had with OOCL.” APP 829 (Hackett Tr. 63:4-16).

RESPONSE: Admitted.

674. Further, the second letter Mr. Hackett signed made no reference to the FMC. APP 3307-08 (Ex. 177, Patrick Hackett letter of February 9, 2022).

RESPONSE: Admitted. However, the February 9, 2022 Letter specifically refers to the October 18, 2021 letter that did mentioned the FMC. Further, [REDACTED]

675. Each OOCL witness asked whether OOCL retaliated against BBY testified that no retaliation occurred. APP 711 (Forminio Tr. 426:19-42711, “A. I never saw any incidents of retaliation. If anything, you know, they were a value customer, and we all worked pretty hard to try and get them what they needed under very difficult circumstances. So I did not see any retaliation at all. There was certainly none as far as space. And I didn’t see anything in any contract negotiations that gave me any pause at all when it came to that.”); APP 1869 (Murdoch Tr. 273:3-8, “A. we certainly did not retaliate or – you know, against any of our customers. You know we try to help our customers. So, again, it’s complete rubbish.”); APP 1397 (K. Lam Tr. 34:23-235:22, “A. I totally disagree about the statement about for OOCL have done any retaliation against BBY”); APP 226 (Chen Tr. 300:20-301:12), “Q. in your assessment, did OOCL retaliate against Bed Bath & Beyond at any time during the period 2020 through 2022? A. No. No.”); APP 459 (Devine Tr. 188:23-24, “There’s no – there’s no retaliation”); APP 2895 (Young Tr. 286:8-14, “I would say that I have not seen any evidence and I do not believe OOCL has retaliated in any way, shape or form.”).

RESPONSE: Admitted only that the OOCL employees testified as cited. On October 18, 2021, BBY conveyed a threat to file a complaint with the FMC to OOCL, [REDACTED]

[REDACTED] OOCL’s employees interpreted BBY’s October 2021 Letter as a threat to file a complaint with the FMC and considered OOCL’s conduct to be retaliation against BBY. *See* [REDACTED] Two days after receiving BBY’s October 21 letter, [REDACTED]

676. Karen Lam testified:

A. I totally disagree about the statement about for OOCL have done any retaliation against BBB. As mentioned previously we are undergoing the normal contract negotiations starting from a higher point of a rate offer and then we'll go compromise the rate with both parties.

And secondly on the MQC signed, we are willing to honor the same MQC volume compared to the previous year; however, the discounted MQC applicable for many of the customer at the same time was under the estimated potential and reduced capacity based on the situations happened in the previous year.

So we trying not to overcommit to the customer instead we get the understanding from many of the customer who are willing to sign with the discount if eventually the land sailing not happen in our capacity we will protect them the space up to 100 percent back.

So customer buying, also we believe also that BBB also agree to the discount MQC and sign. So I believe this is not a kind of retaliation action towards BBB.

Q. As trade director what is your assessment as to whether or not OOCL discriminated against Bed Bath & Beyond between 2020 and the present day?

A. We actually treat customer the same while we always have the commercial considerations to review about the rate level. Also, the MQC and at the same time we honor the commitment offering the CSAL and also offer accommodations to the customer.

So basically BBB is in the same position with other customers in the same contract year. We did not show any discrimination towards BBB.

APP 1397 (K. Lam Tr. 234:23-236:12).

RESPONSE: Admitted only that Karen Lam testified as cited but otherwise denied. The proposed finding lacks credibility, specifically as to Lam's testimony. (See BBY's Finding of Fact Arg.VIII.A.) The proposed finding does not state a fact but merely quotes a source. Further, Lam's self-serving testimony is belied by the evidence in this case. Lam refers to the "discounted MQC applicable for many of the customer" but OOCL's headquarters' decision to impose a reduction on "every" customer was a pretextual justification concocted by OOCL's trade team after OOCL initially targeted only BBY's (which prompted OOCL's sales team to raised concerns about the "perception from a retaliatory standpoint"). (See [REDACTED])

677. OOCL Trade employees testified that they did not engage in retaliatory pricing.

APP 217, 221-22 (Chen Tr. 262:3-12, 281:23-282:24).

RESPONSE: Admitted Chen so testified, but one individual is not “employees”. This testimony is unfounded and self-serving, as OOCL’s trade team was itself responsible for the scheme to retaliate against BBY by reducing the MQC commitment that OOCL had previously committed to BBY for the upcoming service contract. (See [REDACTED])

678. OOCL’s sales rep with BBY Jim Mitchell testified: “We were very concerned about compliance and how commercial decisions may be viewed based on, at that time, what was happening at the FMC, and so we were just cautious, overly cautious, in terms of trying to be compliance with what the Federal Maritime Commission expected from carriers.” APP 1756 (Mitchell Tr. 316:21-317:8). He further testified:

Q. What was your belief about whether OOCL engaged in retaliatory pricing or conduct against Bed Bath & Beyond?

MR. CRAPANZANO: Objection. Objection to form.

A. We were not retaliatory at all. We were doing everything in our capacity to provide space under their allocation, find them extra space. And we were, you know, just working on a daily basis to help them manage their supply chain.

APP 1761 (Mitchell Tr. 334:24-335:11).

RESPONSE: Admitted that Mr. Mitchell testified as cited, but otherwise denied. The proposed finding does not state a fact but merely quotes a source. The proposed finding also misstates and mischaracterizes the record. The quoted language cited in Mitchell Tr. 316:21-317:8 fails to include the question of whether Jim Mitchell “recall[ed] writing, ‘Please, bear in mind that if we go this route we could be open to FMC scrutiny for retaliatory pricing’”. Mitchell Dep. Tr. 316:21-24 [APP-1756]

679. It was not uncommon to charge different rates to different shippers; as Mr. Chen noted “we negotiate the rate with Bed Bath & Beyond, but we don’t necessarily compare the price we offer to other BCO customer – each BCO customer may have something unique.” APP 217 (Chen Tr. 264:13-18).

RESPONSE: Admitted that rates are not identical for all shippers. [REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

RESPONSE: Admitted that the block quotation above is in the Lam Declaration. The Lam Declaration lacks credibility. (*See* BBY’s Finding of Fact Arg.VIII.A.) [REDACTED]

681. A sound business reason existed for OOCL not to further reduce its previously negotiated rates with BBY in the fall of 2022. Specifically, in August 2022, OOCL's Financial Control Team warned its sales force that BBY represented a solvency risk and restricted business to cash, no credit. APP 2253 (Schmiemann Tr. 311:4-19); APP 1397 (K. Lam Tr. 236:13-25).

RESPONSE: Admitted that OOCL's Financial Control Team reported on BBY's financial wellbeing, but otherwise denied that this was the reason for OOCL not further reducing BBY's previously negotiated rates.

Further, the rationale that BBY was represented a solvency risk does not logically explain why OOCL would want to charge them higher rates, as doing so would only exacerbate any risks perceived by OOCL in working with a company that supposedly represented a solvency risk.

682. As for maintaining rates during contract negotiations, Marvic Chen wrote: "For your heads up, considering the uncertainty of space supply in 2022, BBB's inability to manage their supply chain efficiently and OOCL's corporate direction of more IPI, OOCL would like [sic] reduce our MQC space commitment significantly if BBB would accept our rates and [boilerplate] revision for renewal. We may further discuss." APP 2962-63 (Ex. 22, OOCL_0000055992-93). OOCL continued the iterative negotiations process with BBY and ultimately reached an agreement for the 2022 service contract. Contract negotiations are not written in stone and rates are but one facet of negotiations.

RESPONSE: Admitted that Marvic Chen wrote the above quote showing OOCL maintained rates during contract negotiations. Otherwise denied. The proposed finding contains multiple factual propositions and thus contravenes the Presiding Officer's Scheduling Order. (Dkt. 12 (June 8, 2023).) Additionally, the proposed findings in the last two sentences fail to include "an exact citation to evidence" and thus contravenes the Presiding Officer's Scheduling Order. (Dkt. 12 (June 8, 2023).) As the evidence in record shows,

OOCL’s stated reasons for reducing BBY’s MQC while maintaining rates were a pretext to hide OOCL’s retaliatory purpose. (See BBY’s Finding of Facts Arg.IV.)

683. Though it reduced freight rates with BBY once in the latter half of 2022, APP 2976-85 (Ex. 23, OOCL_0000070353), OOCL made a prescient decision not to further reduce BBY’s rates. APP 1397 (K. Lam Tr. 236:13-237:15).

RESPONSE: Admitted that OOCL made a decision not to further reduce BBY’s rates but otherwise denied that such a decision was “prescient” when it was, in fact, retaliatory. (See BBY’s Finding of Facts Arg.IV.)

684. BBY filed for bankruptcy in the spring of 2023 in concert with first-day motions in the bankruptcy action. RX-000671-763 (Ex. 385, Etlin Declaration)).

RESPONSE: Admitted.

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

RESPONSE: Denied. The proposed finding misstates and mischaracterizes the record and falsely accuses BBY of failing to apprise the Tribunal of OOCL’s

[REDACTED]

[REDACTED]

Additionally, regarding the proposition that “this was another prescient decision as market demand indeed dropped in the fall of 2022”, the proposed finding contains multiple factual propositions and thus contravenes the Presiding Officer’s Scheduling Order as well as failing to include “an exact citation to evidence” and thus contravenes the Presiding Officer’s Scheduling Order. (Dkt. 12 (June 8, 2023).) It is also unclear how the fact that *in hindsight* OOCL’s actions appear prescient given a later drop in demand is evidence that they were not acting at the time with the intent of retaliating against BBY. Lastly, the proposed finding lacks credibility, specifically as to Lam’s testimony. (See BBY’s Finding of Fact Arg.VIII.A.)

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

RESPONSE: Admit that the quoted language from the email in Ex. 52 and the Forminio testimony is accurate. Otherwise denied. The proposed finding does not state a fact but merely quotes a source. Forminio admitted in the cited, contemporaneous email that the across-the-board” reduction was “just using it as a justification to reduce BBB”.

687. OOCL submitted a bid when it was invited to participate in BBY’s RFP process, and ultimately reached a signed agreement with BBY for the 2022 service contract.

RESPONSE: Admitted that OOCL submitted a 2022-2023 RFP for a service contract but otherwise denied that OOCL’s signing a service contract was result of a good faith negotiation by OOCL. The proposed finding fails to include “an exact citation to evidence” and thus contravenes the Presiding Officer’s Scheduling Order. (Dkt. 12 (June 8, 2023).) The proposed finding overlooks that

[REDACTED]

688. INTENTIONALLY LEFT BLANK.

RESPONSE: N/A

689. It was reasonable for OOCL to act prudently and not to extend credit to BBY when it became clear BBY was a failing company. On April 11, 2022, OOCL's Financial Control Team warns that BBY's failure (bankruptcy) score and delinquency score are high risk; at the time, BBY owes OOCL \$1,846,582. RX-001188-1203 (OOCL_0000098840). Again, in August 2022, the OOCL Sales and Trade Teams received information from North America Financial Control Team that there was potential financial risk with BBY in Fall 2022, and that transactions should be in cash, no credit. APP 2253 (Schmiemann Tr. 311:4-19); APP 1397 (K. Lam Tr. 236:13-25). Though it reduced freight rates with BBY once in the latter half of 2022, APP 2976-85 (Ex. 23, OOCL_0000070353)), OOCL made another prescient decision not to further reduce BBY's rates. APP 1397 (K. Lam Tr. 236:13-237:15). BBY continued its financial plummet until it filed for bankruptcy in the spring of 2023. RX-000671-763 (Ex. 385, Etlin Declaration).

RESPONSE: Denied. The proposed finding addresses issues of reasonableness of OOCL's behavior regarding the extension of credit to BBY and thus partly constitutes an inappropriate proposed conclusion of law. The proposed finding contains multiple factual propositions and thus contravenes the Presiding Officer's Scheduling Order. (Dkt. 12 (June 8, 2023).) The proposed finding lacks credibility, specifically as to Lam's testimony. (See BBY's Finding of Fact Arg.VIII.A.) Moreover, the cited Etlin Declaration, which post-dates negotiations over the 2022-2023 Service Contract by over a year to BBY's filing of bankruptcy, does not provide evidence that OOCL knew that BBY would go bankrupt when they engaged in those negotiations and whether actions can be characterized as "prescient" with be benefit of hindsight has no relevancy to the justification of those actions. Further, the rationale that BBY was "high risk" does not logically explain why OOCL would maintain their rates when OOCL was reducing the rates of its other customers; as maintaining rates could only exacerbate any bankruptcy or delinquency risks perceived by OOCL. Lastly, the proposed finding lacks credibility, specifically as to Lam's testimony. (See BBY's Finding of Fact Arg.VIII.A) Admitted only that the cites to OOCL_0000098840, and the Schmiemann and Lam transcripts are accurate.

690. Although freight is deemed earned when the cargo is loaded [tendered], pre-payment is not the norm. Creditworthiness of customers is therefore a very important consideration to carriers. RX 002983-84 (OOCL_0000187973); RX 3099-100 (OOCL_0000240048); RX 002926-46 (OOCL_0000151561).

RESPONSE: Admitted that creditworthiness is something carriers may consider, but denied that this factor either explains or justifies OOCL's misconduct in its dealings with BBY. OOCL cites to no evidence whatsoever that BBY ever failed to pay OOCL for cargo carried by OOCL, and therefore OOCL knew—not in the abstract but from its actual course of dealing—that BBY was a customer that could be relied on for payment.

691. INTENTIONALLY LEFT BLANK.

RESPONSE: N/A

692. The Parties agreed on a performance clause whereby BBY could have terminated the contract for unsatisfactory performance. It never did. RX 003122 (P-0000664066); [REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

RESPONSE: Admitted that the cited evidence references contract language regarding termination for unsatisfactory performance. Otherwise denied. The proposed finding contains multiple factual propositions and thus contravenes the Presiding Officer's Scheduling Order. (Dkt. 12 (June 8, 2023).) The proposed finding attempts to re-craft the claims in this proceeding, which is not about BBY's termination rights under the Service Contracts but rather about violations of the Shipping Act. Further, the proposed finding apparently seeks to treat a shipper's permissive right to terminate as a *duty* to terminate a service contract when a carrier provides unsatisfactory performance—a mechanism that would allow a carrier to void its own service commitments simply by not performing them.

693. OOCL did not single out BBY for credit risk monitoring and cargo flow problems, but had a practice of monitoring all customers. APP 186697 (Murdoch Tr. 259:8-262:23).

RESPONSE: Denied. The proposed finding misstates and mischaracterizes the record. The cited transcript testimony talks about financial risk and credit suspension with OOCL and makes no reference to “cargo flow problems”. Further, while Mr. Murdoch claimed in the cited testimony that FinCon’s communications about BBY did not have to do with the communication OOCL had received from BBY’s Reid Klosowsky in this time frame, he did not state that OOCL did not single out BBY and did not provide any examples of other shippers that were subject to similar “red-flagg[ing]” from FinCon. Murdoch Dep. Tr. 258:16-262:23 [APP-1866-1867].

694. OOCL’s careful compliance program is not an indicator of any attempt to retaliate. On the contrary, it shows OOCL was careful to comply with all FMC directives and Shipping Act requirements. See generally, APP 2873 (Young Tr. 200:2-201:6) (compliance with U.S. regulations was OOCL’s “top hat” priority).

RESPONSE: Denied The proposed finding addresses issues of retaliation under the Shipping Act and/or FMC regulations, and thus partly constitutes an inappropriate proposed conclusion of law. Further, the proposed finding is overbroad based on the evidence cited, in that the cited testimony is an answer to a question about the meaning of the term “top hat” in a PowerPoint presentation. Young Dep. Tr. 200:2-201:6 [APP-2873]. The cited testimony does not state any personal knowledge about the facts underlying the retaliation claim and does not contain any denial about whether compliance concerns were used as a pretext to retaliate against BBY. Young Dep. Tr. 200:2-201:6 [APP-2873].

695. OOCL did not retaliate against BBY. APP 1885 (Murdoch Tr. 336:25-337:18) (“We don’t retaliate against our customers. We never do. Our corporate culture is to help our customers. It’s in our logo: “We take it personally.” So we do everything we can to help our customers, bend over backwards., do anything we can to help them. And even the – I use the example of the 333 containers that we moved by rail out of LBCT and shipped them inland through our subsidiary, through ESI, just to help Bed Bath & Beyond get those containers out of the Port of Long Beach rather than have them sitting there and continuing to accrue demurrage.”); APP 1263 (Klosowsky Tr. 109:8-109:19); APP 2246 (Schmeimann Tr. 283:4-23).

RESPONSE: Admitted only that the cited testimony is accurate about helping BBY move containers. Otherwise denied. The proposed finding addresses issues of determining whether OOCL retaliated against BBY and thus constitutes an inappropriate proposed conclusion of law. As the reference in the quoted testimony to “our subsidiary” indicates, while OOCL did assist in the rail move described in the proposed finding, it was also in their financial interest to assist. [Same as paragraph 675: On October 18, 2021, BBY conveyed a threat to file a complaint with the FMC to OOCL, explicitly challenging OOCL’s detention and demurrage charges because OOCL did not satisfy the guidelines issued by the FMC. See [REDACTED] OOCL’s employees interpreted BBY’s October 2021 Letter as a threat to file a complaint with the FMC and considered OOCL’s conduct to be retaliation against BBY. See [REDACTED] Two days after receiving BBY’s October 21 letter, [REDACTED]

696. OOCL took active measures to assist BBY in October 2021 to help arrange the transportation by of 330 or so containers from LBCT (Long Beach Container Terminal) to Savannah and Dallas. APP 857 (Hackett Tr. 174:7-176:16).

RESPONSE: Admitted.

697. OOCL kept BBY apprised of BBY’s long-dwell containers in an effort to get them moved. See e.g., APP 3293-306 (Ex. 166).

RESPONSE: Admitted that OOCL sent the cited email exhibit to BBY referring to long dwelling containers. As the full thread in the cited exhibit shows, BBY responded by communicating with Odyssey Logistics and developing a plan to move the containers by rail. See Ex. 166 [APP 3293-3306]

X. COUNT V – ALLEGED VIOLATION OF 46 U.S.C. § 41104(a)(10) – UNREASONABLE REFUSAL TO DEAL OR NEGOTIATE CLAIM

See OOCL Proposed Findings of Fact Under Section VI above, which are incorporated herein by reference.

XI. REPARATIONS

A. BBY HAS FAILED TO SHOW ANY ACTUAL INJURIES CAUSED BY ANY ALLEGED VIOLATION

698. The Bankruptcy Plan Administrator hired David Kastin to collect “as much revenue for the wind-down debtor as possible through either litigation or negotiation with vendors.” APP 1193 (Kastin Tr. 208:7-11).

RESPONSE: Denied. The proposed finding misstates and mischaracterizes the record. David Kastin testified that he was “retained by the plan administrator to help wind down and liquidate the wind-down debtor” and only answered about “collecting as much revenue for the wind-down debtor as possible through either litigation or negotiation with vendors” when asked what he did to carry out the duties described when hired by the plan administrator, not that it was a direct directive from the plan administrator himself.

699. BBY’s reparations claim is again predicated on BBY’s fallacious container space shortfall allegations, APP 37-91 (Amended Complaint, ¶¶ 175, 176, 178-187 (Count VIII)) that David Kastin has promoted through specious verifications and testimony. See OOCL Proposed Findings of Fact addressing OOCL container space during shipping years 2020 and 2021 above, RPFFs 576 to 618, which are incorporated herein by reference.

RESPONSE: Denied. The proposed finding addresses issues related to the legal sufficiency of a verification and thus constitutes an inappropriate conclusion of law. Contrary to the proposed finding, there is no error in BBY’s calculations of shortfall damages. (See BBY’s Finding of Facts 515-517.) BBY restates its responses to RPFFs 576-618 above which are incorporated herein by reference. Moreover, in the context of OOCL’s rejected Motion to Strike Verification and Dismiss the Complaint, the Presiding Officer has ruled such verifications are proper. (Order, Dkt. 89 (December 6, 2024).)

700. BBY submitted **no proof** of the cargo, purchase orders, containers, or container numbers that BBY or its booking agent booked or attempted to book with OOCL that OOCL declined to carry.

RESPONSE: Denied. The proposed finding fails to include “an exact citation to evidence” and thus contravenes the Presiding Officer’s Scheduling Order. (Dkt. 12 (June 8, 2023).) The evidence in this record firmly establishes lost profits based on the actual cost of the goods for the containers affected by OOCL’s failure to allocate space to BBY under the Service Contracts. (See [REDACTED] Rick Cunniff, BBY’s former Senior Director of Financial Analysis, testified, “There were a lot of steps because it was not a simplistic approach. I needed to get information from multiple sources; one of which was the *actual containers* that were shipped over that window of time, *what was on those containers from a product standpoint, what the markup was of those goods* with the information that was in the system, and *how much those goods sold for* over a reasonable

window of time.” Cuniff Dep. Tr. 21:6-16 (emphasis added) [APP-277]. In contrast to OOCL’s claim in the proposed finding that there was no proof of the cargo, containers, or purchase orders that OOCL declined to carry, BBY’s calculations are based on container and Purchase Order details for actual shipments. *See* Cuniff Dep. Tr. 90:3-91:11, (“So we basically go through and say, identify the containers, when they were received. In that window of time, get the SKU information that’s on those containers, and then take those containers and identify what the cost was.” [APP-295]. More to the point, the record shows *systematic* failures by OOCL to meet its service commitments, namely:

[REDACTED]

[REDACTED] Lam Dep Tr. 175:14-20 (describing program with the carrier COSCO, a carrier that is ultimately controlled by the same corporate entity as OOCL, in which COSCO would launch an “extra loader” and share space to OOCL and in return OOCL would launch an extra loader and share space with COSCO) [APP-1382].)

The record is replete with examples of OOCL’s own employees acknowledging such systemic failures, policies, and practices. (See generally BBY’s Finding of Facts Arg.VI.)

701. There exists **no evidence** of the goods carried within the containers that OOCL purportedly declined to carry, no evidence of the cost of such goods, and no evidence that such goods ever sold.

RESPONSE: Denied. The proposed finding fails to include “an exact citation to evidence” and thus contravenes the Presiding Officer’s Scheduling Order. (Dkt. 12 (June 8, 2023).) The evidence in this record firmly establishes lost profits based on the actual cost of the goods for the containers affected by OOCL’s failure to allocate space to BBBY under the Service Contracts. (See BBBY’s Finding of Facts 530-543). Rick Cunniff, BBBY’s former Senior Director of Financial Analysis, testified, “There were a lot of steps because it was not a simplistic approach. I needed to get information from multiple sources; one of which was the actual containers that were shipped over that window of time, what was on those containers from a product standpoint, what the markup was of those goods with the information that was in the system, and how much those goods sold for over a reasonable window of time.” Cunniff Dep. Tr. 21:6-16 (emphasis added) [APP-277]. In contrast to OOCL’s claim in the proposed finding that there was no evidence of the cost of the goods for containers that OOCL declined to carry, BBBY’s calculations are based on container and Purchase Order details for actual shipments. See Cunniff Dep. Tr. 90:3-91:11, (“So we basically go through and say, identify the containers, when they were received. In that window of time, get the SKU information that’s on those containers, and then take those containers and identify what the cost was.” [APP-295].

702. BBBY’s Senior Director of Financial Analysis testified that he did not recall ever identifying any of the containers that BBBY booked or attempted to book with OOCL that OOCL did not carry, or reviewing any manifests or costs of products carried in these allegedly declined containers, or the revenue or profit margin generated by such containers. APP 276 (Cunniff Tr. 14:14-16:18).

RESPONSE: Admitted. The proposed finding attempts to re-craft the claims in this proceeding by asking for a container by container replacement, when the claim is based on OOCL’s under-allocating space from the beginning of the Shipping Years at issue, via its flawed CSAL system, booking failures, diverting space to the spot market, diverting space to Asian BCOs, and other practices. As set forth in the response to OOCL’s Finding of Fact 700, the record shows *systematic* failures by OOCL to meet its service commitments, including:

1. OOCL’s practice of systematically violating its service commitments to BBBY and other customers; (See BBBY’s Findings of Fact 95-102, 104-109, 111-119, 137, 149-160, 164, 167-185, 187-234, 235, 239; Ex. 381 (McCown Expert Report) ¶ 48 [APP-3764].)

2. OOCL's practice of systematically preferring higher-priced freight over meeting its service commitments under the Service Contracts with BBY and service contracts with other customers; (See BBY's Finding of Facts 240-262, 289-311.)
3. OOCL's practice of systematically negotiating service contracts without intending to comply with them; (See BBY's Finding of Facts 317-321.)
4. OOCL's practice of over-booking ships and not having any reserve in its total capacity to account for unexpected congestion, delays, or other factors; (See BBY's Findings of Fact 158-159, 219-220.)
5. OOCL's practice of systematically imposing PSS and coercing customers, including BBY to "agree" to PSS and premium contract; (See BBY's Finding of Facts 263-288, 289-311.)
6. OOCL's practice of systematically preferring Asia-based customers to North American BCOs; (See BBY's Finding of Facts 312-316)
7. OOCL's failure to maintain reasonable booking practices, including using the rigid "CSAL" system, that had the effect of under-allocating space to BBY that was then freed up to be used for higher-paying freight, and failing to accurately track booking attempts; (BBY's Finding of Fact 140-234, 333.)
8. OOCL's failure to maintain reasonable practices with respect to its vessel and fleet management, including by (a) artificially designating "extra loader" ships as a separate "additional" service, even though the service provided was identical to the ocean container shipping business that OOCL holds itself out as engaged in, (b) chartering out its own vessels despite high demand from BCO customers like BBY that were not getting their space under the MQC in their service contracts, and (c) acting in concert with COSCO to mutually designate space on one another's ships as "extra" and thereby divert this space from being available to regular service contract customers and make it available to premium contract or NVO cargo. (BBY's Finding of Facts 105, 137.8, 222, 246, 254-258, 292, 296-297, 299, 311, 317.6, 319.2, 329, 324, 331, 332, 334; Lam Dep Tr. 175:14-20 (describing program with the carrier COSCO, a carrier that is ultimately controlled by the same corporate entity as OOCL, in which COSCO would launch an "extra loader" and share space to OOCL and in return OOCL would launch an extra loader and share space with COSCO) [APP-1382].)

703. BBY has produced no evidence of any specific container that OOCL failed to carry or the contents thereof, or the profit margin of the products carried therein.

RESPONSE: Denied. The proposed finding fails to include "an exact citation to evidence" and thus contravenes the Presiding Officer's Scheduling Order. (Dkt. 12 (June 8, 2023).) Contrary to the proposed finding, BBY's lost profit calculations are based on actual data and sound methodology. BBY's former Senior Director of Financial Analysis, testified, "There were a lot of steps because it was not a simplistic approach. I needed to get information from multiple sources; one of which was the actual containers that were shipped over that window of time, what was on those containers from a product standpoint, what the markup was of those goods with the information that was in the system, and how much those goods sold for over a reasonable window of time." Cuniff Dep.

Tr. 21:6-16 [APP-277]. BBY's calculations are based on container and Purchase Order details for *actual shipments*. See Cuniff Dep. Tr. 90:3-91:11, ("So we basically go through and say, identify the containers, when they were received. In that window of time, get the SKU information that's on those containers, and then take those containers and identify what the cost was." [APP-295]).

704. Richard Cuniff also testified:

Q. Would it be a fair statement to say that, with respect to any of the containers that were booked with OOCL or attempted to be booked with OOCL, that OOCL allegedly did not carry, that you don't know whether or not any goods contained in such containers were ever sold?

MR. REYNOLDS: Objection. Mischaracterizes the allegations in the Complaint. You can answer.

A. I don't specifically know. I would have to – I mean, I don't know.

APP 293 (Cuniff Tr. 82:14-83:3).

RESPONSE: Admit that that Cuniff testified to this issue over objection. The proposed finding does not state a fact but merely quotes a source. BBY's lost profit calculations are based on actual data and sound methodology. BBY's former Senior Director of Financial Analysis, testified, "There were a lot of steps because it was not a simplistic approach. I needed to get information from multiple sources; one of which was the actual containers that were shipped over that window of time, what was on those containers from a product standpoint, what the markup was of those goods with the information that was in the system, and how much those goods sold for over a reasonable window of time." Cuniff Dep. Tr. 21:6-16 [APP-277]. BBY's calculations are based on container and Purchase Order details for actual shipments. See Cuniff Dep. Tr. 90:3-91:11, ("So we basically go through and say, identify the containers, when they were received. In that window of time, get the SKU information that's on those containers, and then take those containers and identify what the cost was." [APP-295]). Mr. Cuniff testified, in response to the question "do you know, of all the items in the aggregate that were shipped during this window of time, how many of those items went unsold" that "there's no definitive way to know the answer to that" (Cuniff Dep. Tr. 48:12-18), but further testified in looking at the tab labeled "remaining" on that document that it was "used as a representation of the exhaustion of sales so that there is minimal inventory. We sold through everything that was received on those containers" (Cuniff Dep. Tr. 63:9-64:6).

705. BBY earned no profit in any of the years at issue and ultimately filed for bankruptcy protection in the spring of 2023. RX-000680 (Ex. 385, Holly Etlin Declaration p. 10, ¶ 21); APP 3937-94 (Ex. 384, Boris Steffen Report, pp. 36-37, 40-41).

RESPONSE: Admitted that p.10, ¶ 21 in the Holly Etlin Declaration contains a graph illustrating a negative net income in 2020, 2021 and "TILL Q3 2022" for BBY. Otherwise denied. The proposed finding fails to include "an exact citation to evidence" to the actual

filing for bankruptcy in the spring of 2023 and thus contravenes the Presiding Officer's Scheduling Order. (Dkt. 12 (June 8, 2023).) Mr. Steffen lacks qualifications and/or methodological reliability to constitute appropriate "expert" testimony in this action. *See* BBY's Finding of Fact Arg.VII. Further, OOCL's proffered expert Steffen himself conceded that companies with operating losses prior to bankruptcy can still pursue lost profits claims. (*See* BBY's Finding of Fact 600.)

B. BBY HAS NOT PROVEN ITS LOST PROFITS PER CONTAINER CLAIM

706. BBY'S lost profits claim is predicated upon a false narrative as to how much container space OOCL afforded BBY during shipping years 2020 and 2021. *See* OOCL Proposed Findings of Fact addressing OOCL container space during shipping years 2020 and 2021 above, RPFFs 576 to 618, which are incorporated herein by reference.

RESPONSE: Denied Many of the RPFFs cited rely on self-serving litigation documents such as declarations. The proposed finding lacks credibility, specifically as to the RPFFs citing the testimony of Metzger and Lam. (*See* BBY's Finding of Fact Arg.VIII.) Additionally, some of the referenced RPFFs rely on cites to Jensen's testimony and Mr. Jensen lacks qualifications and/or methodological reliability to constitute appropriate "expert" testimony in this action. (*See* BBY's Finding of Fact Arg.VII.) BBY incorporates its responses to RPFFs 576 to 618 herein by reference.

707. BBY then takes its fallacious shortfall numbers and multiplies them by the purported lost profit per container number calculated by BBY's former Senior Director of Financial Analysis Richard Cuniff to produce the astounding claim amount set forth in Amend Complaint ¶ 182. APP 37-91 (Ex. 380, First Verified Amended Complaint).

RESPONSE: Admit that ¶ 182 in the Amended Complaint states what BBY's total lost profit amount is. Otherwise deny. When noting the "purported lost profit per container number calculated by BBY's former Senior Director of Financial Analysis Richard Cuniff" that OOCL states BBY used to help reach this total lost profit amount, the proposed finding fails to include "an exact citation to evidence" and thus contravenes the Presiding Officer's Scheduling Order. (Dkt. 12 (June 8, 2023).) More important, the lost profit calculations are based on based on actual data and sound methodology. BBY's former Senior Director of Financial Analysis, testified, "There were a lot of steps because it was not a simplistic approach. I needed to get information from multiple sources; one of which was the actual containers that were shipped over that window of time, what was on those containers from a product standpoint, what the markup was of those goods with the information that was in the system, and how much those goods sold for over a reasonable window of time." Cuniff Dep. Tr. 21:6-16 [APP-277]. BBY's calculations are based on container and Purchase Order details for actual shipments. *See* Cuniff Dep. Tr. 90:3-

91:11, (“So we basically go through and say, identify the containers, when they were received. In that window of time, get the SKU information that's on those containers, and then take those containers and identify what the cost was.” [APP-295]. Contrary to the proposed finding, BBY’s shortfall numbers are not “fallacious” and there is no error in BBY’s calculations of shortfall damages. (*See* BBY’s Finding of Facts 515-517.)

708. Richard Cunniff, BBY’s Senior Director of Financial Analysis, was tasked in the summer of 2023 to determine the relative profitability of a container over a window of time. APP 277 (Cunniff Tr. 18:16-20:12).

RESPONSE: Admitted that Cunniff was tasked to determine the relative profitability of a container over a window of time. Otherwise denied. The proposed finding misstates and mischaracterizes the record. Cunniff does not state with certainty that this was done in the summer of 2023, instead that he did not specifically recall the timeframe and that it “would *probably* be the right time.” Cunniff Dep. Tr. 19:15-19 [APP-277] (*emphasis added*).

709. Mr. Cunniff’s lost-profit-per-container number was not based upon the containers that OOCL allegedly declined to carry. Instead, he thought it was reasonable to assume that the profit-per-container number in his spreadsheet is based on the aggregate value of all of the goods shipped during the period he evaluated, but he did not know specifically if that was the case. APP 281-82 (Cunniff Tr. 37:20-38:2).

RESPONSE: Admitted that the proposed finding accurately cites Cunniff’s testimony. Otherwise denied. The proposed finding contains multiple factual propositions and thus contravenes the Presiding Officer’s Scheduling Order. (Dkt. 12 (June 8, 2023).) Rick Cunniff’s calculations are based on actual data and sound methodology. BBY’s former Senior Director of Financial Analysis, testified, “There were a lot of steps because it was not a simplistic approach. I needed to get information from multiple sources; one of which was the actual containers that were shipped over that window of time, what was on those containers from a product standpoint, what the markup was of those goods with the information that was in the system, and how much those goods sold for over a reasonable window of time.” Cunniff Dep. Tr. 21:6-16 [APP-277]. BBY’s calculations are based on container and Purchase Order details for actual shipments. *See* Cunniff Dep. Tr. 90:3-91:11, (“So we basically go through and say, identify the containers, when they were received. In that window of time, get the SKU information that's on those containers, and then take those containers and identify what the cost was.” [APP-295]. Admitted further that it was reasonable to calculate the average profit-per-container for all containers shipped during the relevant period and multiply that by the shortfall during the relevant period.

710. In the spreadsheet he created for this purpose, Mr. Cunniff could not point to any container in the spreadsheet that was booked or attempted to be booked with OOCL that OOCL did not carry, and did not know whether any of the shipments in his spreadsheet replaced OOCL's allegedly declined bookings. APP 278; 279-80 (Cunniff Tr. 23:18-24:10; 29:24-31:20).

RESPONSE: Denied. The proposed finding mischaracterizes the evidence cited. When asked, "Can you point to any container in this spreadsheet that was actually booked with OOCL, that OOCL did not carry?", Rick Cunniff responded "No. Because it's not labeled. So I wouldn't know without having to -- you'd have to go back and time and pull up that container and find out who carried that container. It's not on this spreadsheet." Cunniff Dep. Tr. 23:18-24:5 [APP-278]. So while it is true that Cunniff could not point to a container when asked to do so in the deposition, due to the labeling of the spreadsheet, that does not mean there are no such containers. Admitted that Cunniff did not know whether any of the shipments replaced OOCL's declined bookings, but that issue is not relevant to the analysis undertaken. As to Cunniff's calculations generally, Cunniff's calculations are based on actual data and sound methodology. BBY's former Senior Director of Financial Analysis, testified, "There were a lot of steps because it was not a simplistic approach. I needed to get information from multiple sources; one of which was the actual containers that were shipped over that window of time, what was on those containers from a product standpoint, what the markup was of those goods with the information that was in the system, and how much those goods sold for over a reasonable window of time." Cunniff Dep. Tr. 21:6-16 [APP-277]. BBY's calculations are based on container and Purchase Order details for actual shipments. *See* Cunniff Dep. Tr. 90:3-91:11, ("So we basically go through and say, identify the containers, when they were received. In that window of time, get the SKU information that's on those containers, and then take those containers and identify what the cost was." [APP-295]).

711. Concerning the 14,000 or so containers identified in Tab 1 to this spreadsheet, Mr. Cunniff did not know whether those containers were carried on the same service loops under the OOCL-BBY service contracts, and did not how many of these containers were booked or attempted to be booked with OOCL. APP 281 (Cunniff Tr. 36:5-37:7).

RESPONSE: Denied. The proposed finding mischaracterizes the evidence cited. Cunniff did not testify that he did not know *whether* those containers were carried on the same service loops under the OOCL-BBY service contracts, he testified that he did not know "how many" were carried on the same service loops. Cunniff Dep. Tr. 36:23-3 [APP-281]. Further, Cunniff testified that he did not "know or recall" how many of these containers were booked or attempted to be booked with OOCL, that OOCL did not carry, and therefore Cunniff may have once known. Cunniff Dep. Tr. 37:4-7 (emphasis added) [APP-281]. As to Cunniff's calculations generally, Cunniff's calculations are based on actual data and sound methodology. BBY's former Senior Director of Financial Analysis, testified, "There were a lot of steps because it was not a simplistic approach. I needed to get information from

multiple sources; one of which was the actual containers that were shipped over that window of time, what was on those containers from a product standpoint, what the markup was of those goods with the information that was in the system, and how much those goods sold for over a reasonable window of time.” Cuniff Dep. Tr. 21:6-16 [APP-277]. BBY’s calculations are based on container and Purchase Order details for actual shipments. *See* Cuniff Dep. Tr. 90:3-91:11, (“So we basically go through and say, identify the containers, when they were received. In that window of time, get the SKU information that’s on those containers, and then take those containers and identify what the cost was.” [APP-295]).

712. Though Tab 2 includes BBY purchase order numbers you cannot identify any purchase order numbers of containers booked or attempted to be booked with OOCL. APP 282-83 (Cuniff Tr. 41:17-42:4).

RESPONSE: Admitted; the full answer contained in the cited evidence is as follows:

Q. And would it be a fair statement that you cannot identify any purchase order numbers of containers booked with OOCL or attempted to be booked with OOCL, that OOCL did not carry from this tab?

A. Not from this tab, correct.

Cuniff Dep. Tr. 41:23-42:4 [APP-282-283].

713. Tab 3 of his spreadsheet, Sales, identifies the sales of stock-keeping units (“SKUs”), which reflects individual product items. APP 282 (Cuniff Tr. 39:5-40:3; 42:6-17).

RESPONSE: Admitted.

714. The Sales Tab does not include items that went unsold, nor does Mr. Cuniff know of all the items in the aggregate that were shipped during this window of time how many of the items went unsold, nor does he know whether any of the goods allegedly not carried by OOCL were ever sold. APP 284, 292-93 (Cuniff Tr. 47:23-48:18; 81:18-83:3).¹

¹ The other tabs in Mr. Cuniff’s spreadsheet are equally unavailing to support BBY’s lost profits per container claim: Tab 4, SKU Receipts, identified 23,701-line items of receipts during the period 2019 through 2023. APP 283-84 (Cuniff Tr. 44:25-46:9). Mr. Cuniff did not know what accounted for the difference between Tabs 3 and 4. *Id.*

Tab 5, Container Receipts – BOL, included 25,000-plus-line items and represents items that were received on containers during the window of time evaluated for which Mr. Cuniff had a shipping expense record. APP 285 (Cuniff Tr. 51:2-8). Mr. Cuniff did not know whether the costs of sales in columns S and T of Tab 5 included sales commissions, marketing costs, fulfillment center costs, shipping costs, or discounts. *Id.* (Cuniff Tr. 52:12-53:11).

RESPONSE: Admitted that Cunniff testified that the “Sales” tab does not include items that went unsold because, as he testified, “it had to be sold to be on this spreadsheet”. Cunniff Dep. Tr. 47:23-48:4 [APP-284]. Also admitted that Cunniff testified “I don’t specifically know” when asked “Would it be a fair statement to say that, with respect to any of the containers that were booked with OOCL or attempted to be booked with OOCL, that OOCL allegedly did not carry, that you don’t know whether or not any good contained in such containers were ever sold”. Cunniff Dep. Tr. 82:14-83:3 [APP-293]. Otherwise denied. In footnote 1, OOCL’s statement that “[t]he other tabs in Mr. Cunniff’s spreadsheet are equally unavailing to support BBY’s lost profits per container claim” constitutes an inappropriate proposed conclusion of law. Additionally, the proposed findings in footnote 1 misstate and mischaracterize the record. In Cunniff Dep. Tr. 44:25-46:9, Cunniff just could not recall how tab 3 differed from tab 4 without doing a cross-check. Cunniff just states that he does not know about the correlation between the purchase orders and containers that BBY or Yusen attempted to book with OOCL in Cunniff Dep. Tr. 71:21-72:7 or the correlation between the POs and bookings OOCL declined in Cunniff Tr. 70:18-24. Mr. Cunniff also testified, in response to the question “do you know, of all the items in the aggregate that were shipped during this window of time, how many of those items went unsold” that “there’s no definitive way to know the answer to that” (Cunniff Dep. Tr. 48:12-18), but further testified in looking at the tab labeled “remaining” on that document that it was “used as a representation of the exhaustion of sales so that there is minimal inventory. We sold through everything that was received on those containers” (Cunniff Dep. Tr. 63:9-64:6).

As discussed herein, Rick Cunniff’s calculations are based on actual data and sound methodology. BBY’s former Senior Director of Financial Analysis, testified, “There were a lot of steps because it was not a simplistic approach. I needed to get information from multiple sources; one of which was the actual containers that were shipped over that window of time, what was on those containers from a product standpoint, what the markup was of those goods with the information that was in the system, and how much those goods sold for over a reasonable window of time.” Cunniff Dep. Tr. 21:6-16 [APP-277]. BBY’s calculations are based on container and Purchase Order details for actual shipments. See Cunniff Dep. Tr. 90:3-91:11, (“So we basically go through and say, identify the containers,

Tab 6, Container Receipts - None, was not data that Mr. Cunniff gathered, nor did he know whether Columns S and T, extended retail and extended cost, respectively, included costs for sales commissions, marketing costs, fulfillment center costs, shipping costs or discounts. APP 286 (Cunniff Tr. 55:13-56:4).

Mr. Cunniff could not recall what Tab 7, Container Receipts – No Match, represents and he did not gather the data therein. *Id.* (Cunniff Tr. 56:6-21). He did not know whether Columns T and U, extended retail and extended cost, respectively, included costs for sales commissions, marketing costs, fulfillment center costs, shipping costs or discounts. APP 287 (Cunniff Tr. 58:3-18).

Tab 8, Container Cost, included 19,726 containers landed in the United States from Asia during the period he examined. *Id.* (Cunniff Tr. 59:11-61:5). This tab does not address any costs other than transportation of the goods in the containers; sales commissions, marketing costs, fulfillment center costs and discounts are not included in this spreadsheet. APP 287-88 (Cunniff Tr. 61:24-declined, or BBY or Yusen attempted to book with OOCL. APP 290 (Cunniff Tr. 70:18-24, 71:21-72:7). Mr. Cunniff did not know whether any of the 1,900 purchase orders were ever actually carried. APP 292 (Cunniff Tr. 81:6-16). None of the costs in columns B and C of this tab include sales commissions, marketing costs, fulfillment center costs or discounts. APP 290 (Cunniff Tr. 71:2-7).

when they were received. In that window of time, get the SKU information that's on those containers, and then take those containers and identify what the cost was.” [APP-295].

715. Mr. Cunniff testified:

Q. It's a fair statement to say, based upon your -- what you've done, you haven't made any identification of the goods that were in those containers, the sales price of those goods, or the purchase price of the goods for any containers that were allegedly booked or attempted to be booked with OOCL, that OOCL did not carry, correct?

MR. REYNOLDS: Objection. Mischaracterizes the allegations in the Complaint. You can answer.

A. I did not, not to that extent. APP 292 (Cunniff Tr. 79:7-20).

RESPONSE: Admit that the citation to Cunniff's testimony is accurate. Otherwise denied. The proposed finding does not state a fact but merely quotes a source. Rick Cunniff's calculations are based on actual data and sound methodology. BBY's former Senior Director of Financial Analysis, testified, "There were a lot of steps because it was not a simplistic approach. I needed to get information from multiple sources; one of which was the actual containers that were shipped over that window of time, what was on those containers from a product standpoint, what the markup was of those goods with the information that was in the system, and how much those goods sold for over a reasonable window of time." Cunniff Dep. Tr. 21:6-16 [APP-277]. BBY's calculations are based on container and Purchase Order details for actual shipments. See Cunniff Dep. Tr. 90:3-91:11, ("So we basically go through and say, identify the containers, when they were received. In that window of time, get the SKU information that's on those containers, and then take those containers and identify what the cost was." [APP-295].

716. Mr. Cunniff testified:

Q. Is it a fair statement to say that, with respect to these allegedly missing containers, you never evaluated what they contained or the sales price of any of the goods, correct?

MR. REYNOLDS: Objection. Mischaracterizes the allegations in the Complaint.

You can answer.

A. In -- I don't -- it wasn't the intent to scrutinize the items that were on there or not. You know, there's some general calculations that were, kind of, overlapping with that. But to specifically answer your question, no. It wasn't, like, my focus, so I didn't really ...

APP 292 (Cunniff Tr. 78:2-78:18).

RESPONSE: Admit that the citation to Cunniff's testimony is accurate, albeit incomplete. Otherwise denied. The proposed finding does not state a fact but merely quotes a source. Rick Cunniff's calculations are based on actual data and sound methodology. BBY's former Senior Director of Financial Analysis, testified, "There were a lot of steps because it was not a simplistic approach. I needed to get information from multiple sources; one of which was the actual containers that were shipped over that window of time, what was on those containers from a product standpoint, what the markup was of those goods with the information that was in the system, and how much those goods sold for over a reasonable window of time." Cunniff Dep. Tr. 21:6-16 [APP-277]. BBY's calculations are based on container and Purchase Order details for actual shipments. *See* Cunniff Dep. Tr. 90:3-91:11, ("So we basically go through and say, identify the containers, when they were received. In that window of time, get the SKU information that's on those containers, and then take those containers and identify what the cost was." [APP-295]).

717. Mr. Cunniff also testified:

Q. How do you know that these containers that allegedly were not carried by OOCL were ever carried by any other carrier?

MR. REYNOLDS: Objection. Mischaracterizes the allegations in the Complaint.

You can answer.

A. I do not know. I didn't need to check that.

Q. How do you know that they weren't -- they were not carried because Bed Bath's suppliers did not deliver the goods?

A. I do not know.

APP 292 (Cunniff Tr. 80:7-80:21)

Q. And we have at least 1,900-plus purchase orders that were canceled during this period, correct?

A. On that tab that we ran, those were purchase orders that were canceled in that window, 19 -- whatever the number was. Yes, correct.

Q. Okay.

And do you know, of those 1,900 containers, how -- or 1,900 purchase orders, how many of those were actually carried?

A. I do not know. To my knowledge, a canceled PO means that those goods didn't arrive. They would have to be rewritten on

another PO or something like that to be on another container. So all I know is from dataset that they were canceled.

APP 292 (Cunniff Tr. 80:22-81:16)

Q. And I was asking you before about goods that went unsold, and I just want to make sure I'm clear on the record here.

We have a list of all of the commodities that were included within the containers that you identified were carried during the two-year period that you identified, correct?

A. Correct.

Q. Okay.

But you don't know how many of those goods actually went unsold during that period. Would that be a fair statement?

A. It would be a fair statement in that I couldn't specifically tell you with certainty the condition -- you know, what happened to every item that was on -- in those containers.

APP 293-93 (Cunniff Tr. 81:18-82:13)

Q. What is your experience in performing any type of lost-profits analyses?

A. Not tremendously experienced.

Q. Have you ever performed a profit-per-container analysis before?

A. Not on -- I don't recall. I may have done something similar to that in my Christmas Tree Shop role, but, you know, I -- and I did it maybe on inbound, like, land freight, kind of, in general. Like, we did some trucking analysis on goods being shipped, but that was in the Christmas Tree Shop space.

Q. But you've never done an analysis like you've done with respect to this, Exhibit 401, before, correct?

A. Correct.

APP 293 (Cunniff Tr. 83:15-84:8).

RESPONSE: Admitted that the citations to Cunniff's testimony is accurate. The proposed finding does not state a fact but merely quotes a source. Rick Cunniff's calculations are based on actual data and sound methodology. BBY's former Senior Director of Financial Analysis, testified, "There were a lot of steps because it was not a simplistic approach. I

needed to get information from multiple sources; one of which was the actual containers that were shipped over that window of time, what was on those containers from a product standpoint, what the markup was of those goods with the information that was in the system, and how much those goods sold for over a reasonable window of time.” Cuniff Dep. Tr. 21:6-16 [APP-277]. BBY’s calculations are based on container and Purchase Order details for actual shipments. *See* Cuniff Dep. Tr. 90:3-91:11, (“So we basically go through and say, identify the containers, when they were received. In that window of time, get the SKU information that’s on those containers, and then take those containers and identify what the cost was.” [APP-295].

718. Further, Mr. Cuniff does not know whether any of the containers that were allegedly not carried by OOCL were carried by any other carrier, or whether they were ever delivered by BBY’s suppliers. APP 292 (Cuniff Tr. 80:7-21).

RESPONSE: Admitted. Rick Cuniff’s calculations are based on actual data and sound methodology. BBY’s former Senior Director of Financial Analysis, testified, “There were a lot of steps because it was not a simplistic approach. I needed to get information from multiple sources; one of which was the actual containers that were shipped over that window of time, what was on those containers from a product standpoint, what the markup was of those goods with the information that was in the system, and how much those goods sold for over a reasonable window of time.” Cuniff Dep. Tr. 21:6-16 [APP-277]. BBY’s calculations are based on container and Purchase Order details for actual shipments. *See* Cuniff Dep. Tr. 90:3-91:11, (“So we basically go through and say, identify the containers, when they were received. In that window of time, get the SKU information that’s on those containers, and then take those containers and identify what the cost was.” [APP-295]. BBY entered into its MQC quantities with OOCL and other carriers the intention to ship all of those quantities, and thus any shortfall by OOCL that was shipped with another carrier still represented a shortfall and lost profitability on that container.

BBY consistently entered into service contracts covering 100% of its anticipated shipping needs for the year, and OOCL was fully aware that BBY intended to fulfill its MQC obligations under the Service Contracts. *See* BBY’s Finding of Fact 335-336. BBY had substantial cargo ready for shipment throughout the contract period and historically made up any shortfalls later in the year. *See* BBY’s Finding of Fact 290. The only barrier to fulfilling its MQC was OOCL’s failure to provide the agreed-upon space. *See* BBY’s Finding of Fact 128. Despite BBY’s high shipping demand, OOCL repeatedly failed to allocate sufficient space, forcing BBY to take extraordinary measures—such as chartering vessels at inflated rates and utilizing alternative carriers—to move the cargo that should have been transported under its contracts with OOCL. *See* BBY’s Finding of Fact 260, 340-345. OOCL’s failure to meet its contractual obligations was not due to a lack of available capacity but rather its preferential treatment of premium-rate customers. *See* BBY’s Finding of Fact 259-262. Had OOCL honored its commitments, BBY could have easily met its MQC without resorting to costly alternatives.

719. Richard Cunniff never did a comparison between his spreadsheet 401 and Appendices A-1 and B-1 of John McCown's report, and he does not know whether any of the shipments identified replaced OOCL's declined bookings or were made when OOCL has space available for the service loops covered by the shipments. APP 279, 280 (Cunniff Tr. 28:17-29:20; 31:4-20).

RESPONSE: Admitted. Rick Cunniff's calculations are based on actual data and sound methodology. BBY's former Senior Director of Financial Analysis, testified, "There were a lot of steps because it was not a simplistic approach. I needed to get information from multiple sources; one of which was the actual containers that were shipped over that window of time, what was on those containers from a product standpoint, what the markup was of those goods with the information that was in the system, and how much those goods sold for over a reasonable window of time." Cunniff Dep. Tr. 21:6-16 [APP-277]. BBY's calculations are based on container and Purchase Order details for actual shipments. See Cunniff Dep. Tr. 90:3-91:11, ("So we basically go through and say, identify the containers, when they were received. In that window of time, get the SKU information that's on those containers, and then take those containers and identify what the cost was." [APP-295]).

720. Of all the items in the aggregate that were shipped during this window of time [that is, the two shipping years at issue], he did not know how many of them went unsold. APP 284 (Cunniff Tr. 48:12-18).

RESPONSE: Denied. Mr. Cunniff testified, in response to the question "do you know, of all the items in the aggregate that were shipped during this window of time, how many of those items went unsold" that "there's no definitive way to know the answer to that" (Cunniff Dep. Tr. 48:12-18), but further testified in looking at the tab labeled "remaining" on that document that it was "used as a representation of the exhaustion of sales so that there is minimal inventory. We sold through everything that was received on those containers" (Cunniff Dep. Tr. 63:9-64:6). Rick Cunniff's calculations are based on actual data and sound methodology. BBY's former Senior Director of Financial Analysis, testified, "There were a lot of steps because it was not a simplistic approach. I needed to get information from multiple sources; one of which was the actual containers that were shipped over that window of time, what was on those containers from a product standpoint, what the markup was of those goods with the information that was in the system, and how much those goods sold for over a reasonable window of time." Cunniff Dep. Tr. 21:6-16 [APP-277]. BBY's calculations are based on container and Purchase Order details for actual shipments. See Cunniff Dep. Tr. 90:3-91:11, ("So we basically go through and say, identify the containers, when they were received. In that window of time, get the SKU information that's on those containers, and then take those containers and identify what the cost was." [APP-295]).

721. Mr. Cunniff did not know whether there was any correlation between any of the purchase orders and bookings that OOCL allegedly declined to carry. APP 290 (Cunniff Tr. 70:18-72:7).

RESPONSE: Admitted. Rick Cunniff's calculations are based on actual data and sound methodology. BBY's former Senior Director of Financial Analysis, testified, "There were a lot of steps because it was not a simplistic approach. I needed to get information from multiple sources; one of which was the actual containers that were shipped over that window of time, what was on those containers from a product standpoint, what the markup was of those goods with the information that was in the system, and how much those goods sold for over a reasonable window of time." Cunniff Dep. Tr. 21:6-16 [APP-277]. BBY's calculations are based on container and Purchase Order details for actual shipments. See Cunniff Dep. Tr. 90:3-91:11, ("So we basically go through and say, identify the containers, when they were received. In that window of time, get the SKU information that's on those containers, and then take those containers and identify what the cost was." [APP-295].

722. Mr. Cunniff did not know whether any of the containers in his spreadsheet were filled with goods that OOCL agreed to carry under its service contract with BBY. APP 291 (Cunniff Tr. 76:16-77:24).

RESPONSE: Admitted that Rick Cunniff gave the cited testimony but otherwise denied. Rick Cunniff's calculations are based on actual data and sound methodology. BBY's former Senior Director of Financial Analysis, testified, "There were a lot of steps because it was not a simplistic approach. I needed to get information from multiple sources; one of which was the actual containers that were shipped over that window of time, what was on those containers from a product standpoint, what the markup was of those goods with the information that was in the system, and how much those goods sold for over a reasonable window of time." Cunniff Dep. Tr. 21:6-16 [APP-277]. BBY's calculations are based on container and Purchase Order details for actual shipments. See Cunniff Dep. Tr. 90:3-91:11, ("So we basically go through and say, identify the containers, when they were received. In that window of time, get the SKU information that's on those containers, and then take those containers and identify what the cost was." [APP-295].

723. As for Exhibit 401, Mr. Cunniff did not know how many of the containers listed were carried on the same service loops under the OOCL Bed Bath service contracts, or how many of the containers were booked or attempted to be booked with OOCL that OOCL did not carry. APP 281, 282 (Cunniff Tr. 36:23-37:7; 40:5-23).

RESPONSE: Admitted. Rick Cunniff's calculations are based on actual data and sound methodology. BBY's former Senior Director of Financial Analysis, testified, "There were a

lot of steps because it was not a simplistic approach. I needed to get information from multiple sources; one of which was the actual containers that were shipped over that window of time, what was on those containers from a product standpoint, what the markup was of those goods with the information that was in the system, and how much those goods sold for over a reasonable window of time.” Cuniff Dep. Tr. 21:6-16 [APP-277]. BBY’s calculations are based on container and Purchase Order details for actual shipments. See Cuniff Dep. Tr. 90:3-91:11, (“So we basically go through and say, identify the containers, when they were received. In that window of time, get the SKU information that's on those containers, and then take those containers and identify what the cost was.” [APP-295].

724. Any damages to BBY were a mere rounding error in bankruptcy and did not contribute to BBY’s bankruptcy filing. APP 2589-90 (Steffen Tr. 280:22-282:9).

RESPONSE: Denied. As Steffen himself conceded, BBY’s decreased profitability and excess costs were a factor in BBY’s bankruptcy. (*See* BBY’s Finding of Facts 581). Tens of millions of these excess costs were caused by the misconduct of carriers such as OOCL’ and were thus a clear factor in BBY’s eventual bankruptcy. Further, Mr. Steffen lacks qualifications and/or methodological reliability to constitute appropriate “expert” testimony in this action. *See* BBY’s Finding of Fact Arg.VII.

725. Boris Steffen testified:

Q. You testified earlier about OOCL, the dollar amount of its impact upon Bed Bath being a rounding error. Do you recall that testimony?

A I do.

Q And can you elaborate on that? What did you mean by that?

A. Okay. Well, my intuition, given what I have seen of the calculations by Mr. McCown versus the extent of the net operating losses recorded by Bed Bath & Beyond, the size disparity is such that those damages calculated by Mr. McCown would be a rounding error, relatively speaking.

Q. So if it's a rounding error, what is your opinion as to whether or not OOCL's conduct, based upon the allegations in the Amended Complaint, caused Bed Bath to enter bankruptcy?

MR. HUTH: Objection to form.

A. I do not believe that that was a factor whatsoever.

Q. And why do you say that?

A. Given the scale of the damages that have been alleged by Mr. McCown versus the extent of the net operating losses realized by Bed Bath & Beyond. And further to that, my analyses of the underlying causes of Bed Bath & Beyond's failure, given its failure in its competitive strategy, and given its issuance of a tremendous amount of debt to repurchase \$11 billion worth of its shares. That was a remarkable amount.

APP 2589-90 (Steffen Tr. 280:22-282:9).

RESPONSE: Admitted that Steffen provided his unfounded opinion on this issue and testified as above over objection. Otherwise denied. As Steffen himself conceded, though, BBBY's decreased profitability and excess costs were a factor in BBBY's bankruptcy. (See BBBY's Finding of Facts 581). Tens of millions of these excess costs were caused by the misconduct of carriers such as OOCL's, and were thus a clear factor in BBBY's eventual bankruptcy. Further, the proposed finding does not state a fact but merely quotes a source. Lastly, Mr. Steffen lacks qualifications and/or methodological reliability to constitute appropriate "expert" testimony in this action. *See* BBBY's Finding of Fact Arg.VII.

726. Per container average profit in aggregate cannot measure with reasonable certainty lost profits. APP 3937-3994 (Ex. 384, Steffen Report at 25).

RESPONSE: Denied. The proposed finding represents a question of law. Mr. Steffen lacks qualifications and/or methodological reliability to constitute appropriate "expert" testimony in this action. *See* BBBY's Finding of Fact Arg.VII. The evidence in this record firmly establishes lost profits based on the actual cost of the goods for the containers affected by OOCL's failure to allocate space to BBBY under the Service Contracts. (See BBBY's Finding of Facts 530-543). Rick Cunniff, BBBY's former Senior Director of Financial Analysis, testified, "There were a lot of steps because it was not a simplistic approach. I needed to get information from multiple sources; one of which was the actual containers that were shipped over that window of time, what was on those containers from a product standpoint, what the markup was of those goods with the information that was in the system, and how much those goods sold for over a reasonable window of time." Cunniff Dep. Tr. 21:6-16 [APP-277]. In contrast to OOCL's claim in the proposed finding that there was no evidence of the cost of the goods for containers that OOCL declined to carry, BBBY's calculations are based on container and Purchase Order details for actual shipments. *See* Cunniff Dep. Tr. 90:3-91:11, ("So we basically go through and say, identify the containers, when they were received. In that window of time, get the SKU information that's on those containers, and then take those containers and identify what the cost was." [APP-295]. As BBBY had adequate space needs to fulfill its MQC with OOCL had OOCL properly satisfied its service commitments over each shipping year, per-container profit measures lost profits with adequate certainty.

a. **No Proof of Actual Injury Caused by MQC Shortfalls**

i. BBY's Pre-Pandemic Management Mistakes Led to Liquidation

727. BBY's "supply chain and method of product development and selection were outdated and supported by old systems." RX-000680 (Ex. 385, Etlin Declaration, p. 10, ¶ 21).

RESPONSE: Admitted that the Etlin Declaration contains the above quote. Otherwise denied. The proposed finding does not state a fact but merely quotes a source. With respect to BBY's supply chain, the evidence in record shows a sophisticated operation that included numerous employees, the engagement of a leading, experienced booking agent and logistics providers, Yusen, and a third party to assist in drayage in EDRA. (See BBY's Finding of Facts Intro.I.C.)

i. BBY's Share Repurchase and Debts Lead Vendors to Reduce Business Dealings

728. Between FY2014 and FY2018, while BBY's revenue grew marginally, net income declined each year. APP 3937-94 (Ex. 384, Steffen Report at 30).

RESPONSE: Admitted that Steffen's report states the above. However, Mr. Steffen lacks qualifications and/or methodological reliability to constitute appropriate "expert" testimony in this action. See BBY's Finding of Fact Arg.VII.

729. In early 2019, BBY reported its seventh consecutive quarter of declining same-store sales and recorded its first annual loss in nearly 30 years. APP 3937-94 (Ex. 384, Steffen Report at 30).

RESPONSE: Admitted that Steffen's report states the above. However, Mr. Steffen lacks qualifications and/or methodological reliability to constitute appropriate "expert" testimony in this action. See BBY's Finding of Fact Arg.VII.

730. In March 2019, a group of activist investors demanded the reconstitution of the board and the replacement of the CEO (Steven Temares, who had led BBY since 2003). APP 3937-94 (Ex. 384, Steffen Report at 31).

RESPONSE: Admitted that Steffen's report states that a group of activist investors "requested the reconstitution of the board and replacement of the CEO Steven Temares."

However, Mr. Steffen lacks qualifications and/or methodological reliability to constitute appropriate “expert” testimony in this action. See BBY’s Finding of Fact Arg.VII.

731. Mark Tritton was named BBY CEO in November 2019. APP 3937-94 (Ex. 384, Steffen Report at 31).

RESPONSE: Admitted.

732. In an attempt to replicate a strategy he had employed at his former company, Target, Mr. Tritton shifted BBY’s focus to the creation of private-label brands and a strategy of growth, resulting in a substantial reduction in national brands and changing vendor relationships. APP 3937-94 (Ex. 384, Steffen Report at 31).

RESPONSE: Admitted that Steffen provided this description of BBY’s “strategy” under the leadership of Mark Tritton. However, Mr. Steffen lacks qualifications and/or methodological reliability to constitute appropriate “expert” testimony in this action. See BBY’s Finding of Fact Arg.VII.

733. Mr. Tritton’s strategy was unsuccessful; the changes made could not be supported by BBY’s existing systems and BBY’s supply chain was overwhelmed. The strategy was also unsuccessful with BBY’s customers. APP 3937-94 (Ex. 384, Steffen Report at 31-32).

RESPONSE: Admitted that Steffen’s report states that BBY’s “strategy” under the leadership of Mark Tritton “did not achieve the desired success”. However, Mr. Steffen lacks qualifications and/or methodological reliability to constitute appropriate “expert” testimony in this action. See BBY’s Finding of Fact Arg.VII.

734. Starting in 2004, BBY spent \$11.8 billion to repurchase its own shares, more than the \$5.2 billion in debt reported in its last SEC filing. APP 3937-94 (Ex. 384, Steffen Report at 10).

RESPONSE: Admitted that Steffen’s report states the above. However, Mr. Steffen lacks qualifications and/or methodological reliability to constitute appropriate “expert” testimony in this action. See BBY’s Finding of Fact Arg.VII.

735. Despite these challenges, BBY embarked on an aggressive share repurchase program starting in October 2020. APP 3937-94 (Ex. 384, Steffen Report at 31).

RESPONSE: Admitted that Steffen’s report described an “aggressive share repurchase program” announced in October 2020. However, Mr. Steffen lacks qualifications and/or methodological reliability to constitute appropriate “expert” testimony in this action. *See* BBBY’s Finding of Fact Arg.VII.

736. Between Q3 FY2020 and Q4 FY2021, BBBY allocated \$919 million to repurchase shares, and borrowed heavily to do so. APP 3937-94 (Ex. 384, Steffen Report at 31).

RESPONSE: Admitted that Steffen’s report states, “During the six quarters from Q3 FY2020 to Q4 FY2021, when the share repurchase program was announced and completed, BBBY allocated \$919 million to repurchase shares” and that “Going back to 2004, BBBY spent a total of \$11.8 billion to buy back its own shares, and in 2014, began to borrow money to do so.” However, Mr. Steffen lacks qualifications and/or methodological reliability to constitute appropriate “expert” testimony in this action. *See* BBBY’s Finding of Fact Arg.VII.

737. At the same time, cash on hand declined, and net income dropped. APP 3937-94 (Ex. 384, Steffen Report at 31).

RESPONSE: Admitted that Steffen’s report states, “During the six quarters from Q3 FY2020 to Q4 FY2021, . . . cash on hand declined from \$1,463 million to \$439 million while net income dropped from (\$75) million to (\$159) million.” However, Mr. Steffen lacks qualifications and/or methodological reliability to constitute appropriate “expert” testimony in this action. *See* BBBY’s Finding of Fact Arg.VII.

738. BBBY continued the share repurchase through Q1 FY2022. APP 3937-94 (Ex. 384, Steffen Report at 32).

RESPONSE: Admitted that Steffen’s report states, “The Company continued to repurchase shares through Q1 FY2022”. However, Mr. Steffen lacks qualifications and/or methodological reliability to constitute appropriate “expert” testimony in this action. *See* BBBY’s Finding of Fact Arg.VII.

739. Mark Tritton was removed from the CEO role on June 29, 2022. APP 3937-94 (Ex. 384, Steffen Report at 35).

RESPONSE: Admitted.

740. On April 23, 2023, BBBY filed for Chapter 11 bankruptcy, converted to Chapter 7 liquidation on September 29, 2023.

RESPONSE: Admitted. Note that the proposed finding fails to include “an exact citation to evidence” and thus contravenes the Presiding Officer’s Scheduling Order. (Dkt. 12 (June 8, 2023).)

741. BBY’s management mistakes led to its decline and eventual liquidation. RX-00671763 (Ex. 385, Etlin Declaration ¶¶ 21-26, 28-33, 51).

RESPONSE: Admitted that the Etlin Declaration contends BBY’s management’s adopted unsuccessfully strategies, but denied that BBY’s management “mistakes” were the sole cause of its eventual liquidation. As OOCL’s proffered expert Steffen admitted, BBY’s decreased profitability and excess costs were a factor in BBY’s bankruptcy. (*See* BBY’s Finding of Facts 581). Tens of millions of these excess costs were caused by the misconduct of carriers such as OOCL’s, and were thus a clear factor in BBY’s eventual bankruptcy. The proposed finding also mischaracterizes Etlin’s Declaration which also notes macroeconomic and industry trends and “global supply chain hardships and inflationary conditions”. Ex. 385 at 10, 13 [RX-000680, RX-000685].

742. BBY’s decline and eventual liquidation was a result of deteriorating operational performance. APP RX-000671-763 (Ex. 385, Holli Etlin Declaration ¶¶ 21-26, 28-35, 51-61).

RESPONSE: Admitted that Etlin provided her opinion on BBY’s deteriorating performance and identified a number of factors, including “global supply chain hardships and inflationary conditions”. Ex. 385 at 13 [RX-000685]. As to BBY’s “operational performance”, as OOCL’s proffered expert Steffen admitted, BBY’s decreased profitability and excess costs were a factor in BBY’s bankruptcy. (*See* BBY’s Finding of Facts 581). Tens of millions of these excess costs were caused by the misconduct of carriers such as OOCL’s, contributing to the decline in BBY’s declining operational performance and eventual bankruptcy.

743. Any damages to BBY were not caused by any action or inaction of OOCL. RX-000671-763 (Ex. 385 (Etlin Declaration; in her lengthy declaration to the bankruptcy court, BBY’s Restructuring Officer makes no mention of OOCL)).

RESPONSE: Denied. The proposed finding misstates and mischaracterizes the record. The fact that OOCL is not explicitly mentioned in the bankruptcy declaration does not mean that its conduct had no role in BBY’s financial distress. Bankruptcy filings, especially declarations by restructuring officers, tend to focus on high-level financial and strategic failures, rather than dissecting individual contractual disputes with suppliers or logistics partners. The presence of larger, more obvious financial problems (such as excessive debt, declining sales, and failed turnaround efforts) does not negate the possibility that OOCL’s alleged breaches of contract contributed to BBY’s financial distress in a way that is relevant to this litigation. Indeed, as OOCL’s purported expert Steffen admitted, BBY’s decreased profitability and excess costs were a factor in BBY’s bankruptcy. (*See* BBY’s Finding of Facts 581). Tens of millions of these excess costs were caused by the misconduct of carriers such as OOCL’s, and were thus a clear factor in BBY’s eventual bankruptcy.

744. BBY's decline and eventual liquidation was as a result of debt financed share repurchases. APP 3937-94 (Ex. 384, Steffen Report at 9).

RESPONSE: Denied. Steffen's report states, "BBY's fall from its position atop its industry was the result of deteriorating operational performance, debt financed share repurchases, and burdensome debt obligations". However, Mr. Steffen lacks qualifications and/or methodological reliability to constitute appropriate "expert" testimony in this action. *See BBY's Finding of Fact Arg.VII.*

745. From FY2016 through FY2022, BBY allocated an aggregate of \$2,015,000,000 to repurchase shares. This exceeded BBY's outstanding debt of \$1,821,000,000 by \$194,000,000 when it filed for bankruptcy on April 23, 2023. APP 3937-94 (Ex. 384, Steffen Report at 10).

RESPONSE: Admitted that Steffen's report states, "From fiscal year 2016 (or "FY2016") through FY2022, BBY allocated an aggregate of \$2,015 million to repurchase shares, which exceeded the Company's outstanding debt of \$1,821 million by \$194 million when it filed for bankruptcy on April 23, 2023." However, Mr. Steffen lacks qualifications and/or methodological reliability to constitute appropriate "expert" testimony in this action. *See BBY's Finding of Fact Arg.VII.*

746. BBY's decline and eventual liquidation was as a result of burdensome debt obligations. APP 3937-94 (Ex. 384, Boris Steffen Report at 9).

RESPONSE: Admitted that Steffen's report states, "BBY's fall from its position atop its industry was the result of deteriorating operational performance, debt financed share repurchases, and burdensome debt obligations". However, Mr. Steffen lacks qualifications and/or methodological reliability to constitute appropriate "expert" testimony in this action. *See BBY's Finding of Fact Arg.VII.*

747. Between July 2020 and April 2022 (Q1 2020 - Q1 2022), BBY incurred an operating loss in seven out of eight quarters. APP 3937-94 (Boris Steffen Report at 9).

RESPONSE: Admitted that Steffen's report states, "During the period covering 2020 and 2021 Service Contracts, which encompassed July 2020 through April 2022 (or Q2 FY2020 through Q1 FY2022), BBY incurred an operating loss in seven out of eight quarters" but the proposed finding cites the wrong pages of the record.

748. BBY raised funds between Q4 2019 and Q4 FY2020 by selling One Kings Lane, PersonalizationMall.com, Linen Holdings, Christmas Tree Shops, and Cost Plus World Market. APP 3937-94 (Ex. 384, Steffen Report at 35).

RESPONSE: Admitted that Steffen’s report provides a description of the above events. However, Mr. Steffen lacks qualifications and/or methodological reliability to constitute appropriate “expert” testimony in this action. *See* BBY’s Finding of Fact Arg.VII.

749. Appointed to succeed Mr. Tritton in mid-2022, new Interim CEO Sue Gove began several transformation initiatives:

- a. A 20% reduction in corporate and supply chain operations workforce;
- b. Reducing private label brands;
- c. Shutting down stores;
- d. Exited the Canadian market;
- e. Implemented drastic selling, general and administrative expense reductions;

and

- f. Other measures to reduce capital expenditures. APP 3937-94 (Ex. 384,

Steffen Report at 36).

RESPONSE: Admitted that Steffen’s report provides a description of changes under Gove’s management that includes the above points. However, Mr. Steffen lacks qualifications and/or methodological reliability to constitute appropriate “expert” testimony in this action. *See* BBY’s Finding of Fact Arg.VII.

750. In August 2022, as these transformation plans were being executed, a single investor sold 11.8% of outstanding BBY shares. That investor, Ryan Cohen and BBY’s CFO Gustavo Arnal, were named in a \$1.2 billion shareholder class action securities fraud complaint. APP 3937-94 (Ex. 384, Steffen Report at 36).

RESPONSE: Admitted that Steffen asserts these facts in his report. However, there is no evidence in the record to established that the lawsuit referenced had any merit and accordingly, the proposed finding constitutes mere innuendo.

i. McCown’s Methodology for Damages Are Based on False Assumptions

751. BBY's purported Expert John McCown explained his breach of contract methodology as "(i) identifying the amount by which [OOCL] fell short of its MQC; (ii) identifying shipments [BBY] secured through NVO, premium, or alternative means at higher prices to replace the missing containers on the lanes covered by the service contract; and (iii) awarding as reparations [for actual injury] the difference between how much [BBY] actually paid for such shipments and how much [BBY] would have paid under the initial service contract terms..." APP 3754-936 (Ex. 384, McCown Report at ¶ 174 (as quoted in the Steffen Report at 20)).

RESPONSE: Admitted as a general characterization of the methodology, except that the added brackets "[for actual injury]" in the proposed finding mischaracterize the cited evidence, which reads, "(iii) awarding as reparations the difference between how much the shipper actually paid for such shipments and how much the shipper would have paid under the initial service contract terms for the same containers on the same lanes." Ex. 381 (McCown Report) at ¶ 174 [APP-3791]. The proposed finding does not state a fact but merely quotes a source.

752. As OOCL's damages expert explained, Mr. McCown's focus on incremental expenses fails to account for the offset of incremental revenues as its done in a lost profits analysis, where the principal is to compensate, not enrich, the Complainant. APP 3754-936 (Ex. 384, Steffen Report at 20).

RESPONSE: Admitted that Steffen provided his unfounded opinion on this issue but that the citation is incorrect. However, Mr. Steffen lacks qualifications and/or methodological reliability to constitute appropriate "expert" testimony in this action. *See* BBY's Finding of Fact Arg.VII. Steffen did not analyze in his report incremental revenues associated with BBY's MQC shortfall claims in this proceeding; and admitted that the incremental revenues for the goods in the containers shipped under the OOCL Service Contract with BBY, assuming they arrived at the same place and were sold in the same manner, would not be materially different from the goods BBY shipped by alternative shippers but otherwise would have shipped with OOCL (BBY's Finding of Facts 572, 577.)

753. Lost profits calculations are typically measured as the difference between profits actually earned by the Complainant and profits that it would have earned but for the Respondent's wrongful conduct. APP 3754-936 (Ex. 384, Steffen Report at 21).

RESPONSE: Admitted that a formula based on the approximate additional amount a complainant would have profited “but for” the wrongful conduct, is the correct formula for lost profits, which is the formula used in BBBY’s claims. Denied to the extent the proposed finding asserts, erroneously, that a bankrupt company cannot pursue lost profits claims. See BBBY’s Finding of Fact 600 (noting OOCL’s purported expert Steffen himself conceded that companies with operating losses prior to bankruptcy can still pursue lost profits claims.)

754. It is not possible to calculate the difference between profits actually earned by BBBY and profits BBBY might have earned but for OOCL’s allegedly wrongful conduct, since BBBY had nothing to show but net losses between July 2020 through April 2022. APP 3754-936 (Ex. 384, Steffen Report at 21).

RESPONSE: Denied. Admitted that Steffen provided his unfounded opinion on this issue in his *report*. But when deposed, Steffen conceded that companies with operating losses prior to bankruptcy can still pursue lost profits claims. (See BBBY’s Finding of Fact 600.) Further, Mr. Steffen lacks qualifications and/or methodological reliability to constitute appropriate “expert” testimony in this action. See BBBY’s Finding of Fact Arg.VII.

2021-2022 Service Contract PE213179

755. BBBY asserts that it suffered actual injuries in the amount of [7,109.296 + 2,193,438.07] caused by OOCL’s failure to provide 1475.85 FEUs of space between July 1, 2020 to April 30, 2021.

RESPONSE: Admitted.

756. OOCL provided 6,649 TEUs to BBBY under PE213179, amounting to 94% of the space it was obliged to provide to BBBY under PE213179. Supra, RPFF 485.C.iii; APP 3039-40 (Ex. 39).

RESPONSE: Denied. During the 2021 Service Contract year, OOCL carried approximately 2,432.74 FEUs of the 3,796 contracted FEUs, or 64% of its service commitment (not 94%). (See BBBY’s Finding of Fact 104.) OOCL in fact fell well short of its service commitments. During the 2021 Service Contract year, during which OOCL fell short of its service commitments to BBBY by 1,363.26 FEUs, BBBY had to undertake using NVOs or ocean freight forwarders on lanes that were supposed to be covered by OOCL’s 2021 Service Contract. See P-0000801023 [APP-4418]; [REDACTED]

2020-2021 Service Contract PE203297

757. OOCL provided 104.4% of the MQC space required under PE203297. APP 3754-936 (Ex. 384, Boris Steffen Report at 19); APP 1394 (Karen Lam Tr. 224:14-225:24); APP 3039-40 (Ex. 39).

RESPONSE: Denied. In fact, despite committing to provide 2,100 FEUs of space to BBY during the 2020 Service Contract year, OOCL provided only approximately 1,475.85 FEUs of space, or 70.3% of its service commitment. During the 2020 Service Contract year, during which OOCL fell short of its service commitments to BBY by 624.15 FEUs, BBY had to undertake using NVOs or ocean freight forwarders on lanes that were supposed to be covered by OOCL's 2020 Service Contract. See P-0000801023 [APP-4418]; Dep. Ex. 328 [APP-3357]; Dep. Ex. 329 [APP-3358]; Ex. 381 (McCown Report, Appendices A-1 through A-4) [APP-3794-3809]. See also 1AC ¶ 35 [APP-85]; Ex. 330 (Tabs "SY 20", "20 But For," and "20 Damages") [APP-3359]; see also Ex. 326 at 9, 10 [APP-3345-3346]. As to the cited report by OOCL's purported expert Boris Steffen, Mr. Steffen lacks qualifications and/or methodological reliability to constitute appropriate "expert" testimony in this action. See BBY's Finding of Fact Arg.VII. The proposed finding lacks credibility, specifically as to Lam's testimony. (See BBY's Finding of Fact Arg.VIII.A.) OOCL in fact fell well short of its service commitments.

758. BBY's purported damages expert (John McCown) failed to evaluate or independently analyze whether OOCL in fact failed to provide the space under the 2020 and 2021 contracts. APP 3754-936 (Ex. 384, Steffen Report at 9).

RESPONSE: Denied. McCown independently evaluated whether OOCL failed to fulfill its obligations through reviewing the FMC docket, OOCL's annual reports, OOCL's quarterly operational updates, OOCL's website, and numerous materials produced in discovery including 20 depositions and hundreds of documents. See Ex. 381 (McCown Report) ¶¶ 20-23 [APP-3758]. Admitted only that Steffen provided his unfounded opinion on this issue. However, Mr. Steffen lacks qualifications and/or methodological reliability to constitute appropriate "expert" testimony in this action. See BBY's Finding of Fact Arg.VII.

759. By failing to identify and account for offset of incremental revenues, Mr. McCown overstated actual injuries alleged by BBY. APP 3754-936 (Ex. 384, Steffen Report at 9).

RESPONSE: Admitted that Steffen provided his unfounded opinion on this issue. However, Mr. Steffen lacks qualifications and/or methodological reliability to constitute appropriate "expert" testimony in this action. See BBY's Finding of Fact Arg.VII. Further, Steffen did not analyze in his report incremental revenues associated with BBY's MQC shortfall claims in this proceeding; and admitted that the incremental revenues for the goods in the containers shipped under the OOCL Service Contract with BBY, assuming they arrived at the same place and were sold in the same manner, would not be materially different from the

goods BBY shipped by alternative shippers but otherwise would have shipped with OOCL (BBY's Finding of Facts 572, 577.)

760. Boris Steffen makes clear in his report that he fundamentally disagrees with the purported analysis and methodology undertaken by John McCown. APP 3937-94 (Ex. 384, pp. 17, 20-26).

RESPONSE: Admitted that Steffen provided his unfounded opinion on this issue. However, Mr. Steffen lacks qualifications and/or methodological reliability to constitute appropriate "expert" testimony in this action. See BBY's Finding of Fact Arg.VII.

761. The conceptual and methodological flaws inherent to Mr. McCown's analysis render his opinions regarding the alleged damages to BBY irrelevant, speculative and unreliable.

In particular,

- Mr. McCown failed to evaluate and independently analyze whether OOCL in fact failed to fulfill its obligation to provide space agreed upon under the 2020 and 2021 Service Contracts.
- With his focus on incremental costs alone, Mr. McCown's alleged shortfall damages are overstated by an indeterminate amount given his failure to identify and take into account the matching offset of incremental revenues.
- The effect of Mr. McCown adopting the damages from PSS and Premium Charges as his own in the Verified Complaint was to rubber stamp BBY's allegations.

- [REDACTED]

APP 3754-936 (Ex. 384, Steffen Report at 9; see also pp. 15-17, 20-26).

RESPONSE: Denied. The proposed finding represents a conclusion of law, not fact. Notably, Mr. Steffen lacks qualifications and/or methodological reliability to constitute appropriate "expert" testimony in this action. See BBY's Finding of Fact Arg.VII. Further, the proposed finding mischaracterizes and misconstrues the record and the McCown report in several ways:

- Mr. McCown independently evaluated whether OOCL failed to fulfill its obligations through reviewing the FMC docket, OOCL's annual reports, OOCL's quarterly operational updates, OOCL's website, and numerous materials produced in

discovery including 20 depositions and hundreds of documents. See Ex. 381 (McCown Report) ¶¶ 20-23 [APP-3758].

- As to Mr. McCown’s analysis of incremental costs and revenues, the incremental revenues for the goods in the containers shipped under the OOCL Service Contract with BBBY, assuming they arrived at the same place and were sold in the same manner, would not be materially different from the goods BBBY shipped by alternative shippers but otherwise would have shipped with OOCL (BBBY’s Finding of Facts 577.)
- Mr. McCown’s adopting the damages from PSS and Premium Charges in the Verified Complaint did not “rubber stamp” BBBY’s allegations because he applied his own significant expertise in the container shipping industry and provided an analysis of the claims in the Verified Complaint in light of this experience. See Ex. 381 (McCown Report) ¶¶ 4-17, 24-25 [APP-3755-3759].
- OOCL claims that Mr. McCown failed to explain how Trailer Bridge was a comparable benchmark, but in fact the McCown Report highlighted several reasons why Trailer Bridge was a reasonable benchmark to compare to OOCL with respect to detention and demurrage rate: (1) Trailer Bridge’s “per diem” rates bear a close connection to actual operational costs and the need to incentivize customers to move containers expeditiously (see Ex. 381 (McCown Expert Report) ¶¶ 136-139) [APP-3783-3784]; (2) Trailer Bridge is an integrated a U.S. flag carrier that Mr. McCown led as CEO that provided a complete integrated service to customers using its own assets (see Ex. 381 (McCown Expert Report) ¶¶ 8, 134 [APP-3756, APP-3783]; and (3) Trailer Bridge allows a comparison undistorted by the phenomenon unique to international carriers of an exponential change to per diem rates (see Ex. 381 (McCown Expert Report) ¶ 134 [APP-3783].

762. BBBY’s supply chain woes were caused by its own actions or inactions.

RESPONSE: Denied. The proposed finding fails to include “an exact citation to evidence” and thus contravenes the Presiding Officer’s Scheduling Order. (Dkt. 12 (June 8, 2023).) To the extent BBBY experienced “supply chain woes” during the years at issue, these were caused by circumstances brought on by the pandemic and outside of BBBY’s control, including severe port congestion, not by its own actions or inactions. (See BBBY’s Finding of Fact Intro.III.) OOCL’s efforts to lay blame on BBBY’s employees or supply chain management are unavailing in light of the evidence of record that shows that BBBY, among other things, hired an experienced booking agent and logistics provider, Yusen and drayage intermediary EDRAI (see BBBY’s Finding of Facts Intro.I.C); organized calls that included carriers, distribution centers, and BBBY’s drayage vendor, EDRAI, in order to help coordinate solutions to port congestion and shipping backlog issues (see BBBY’s Finding of Fact 413.9); sent a senior logistics employee to personally visit the port of LA/Long Beach to proactively gain insights into the port congestion situation (see BBBY Finding of Fact 414); and diligently attempted to make bookings by providing OOCL and other carriers with updated container forecasts (see BBBY’s Finding of Facts 129, 441.1).

763. Boris Steffen possesses the requisite credentials and experience to assess John McCown's methodology and analysis. APP 3937-94 (Boris Steffen Report, pp. 2-6).

RESPONSE: Denied. The proposed finding of fact is a question of law, not fact. Mr. Steffen lacks qualifications and/or methodological reliability to constitute appropriate "expert" testimony in this action. See BBY's Finding of Fact Arg.VII.

764. Mr. Steffen testified at his deposition:

A. Well, Mr. McCown failed to undertake the analysis and verification of whether or not OOCL, in fact, failed to live up to its obligations to provide the space agreed to in the 2020 and 2021 service contracts.

In addition to that, his methodology fails to account for incremental revenues; thus, his analysis is overstated by an indeterminate amount.

APP 2561 (Steffen Tr. 169:2-169:11).

Q. And that's all I'm asking, is assuming that the Federal Maritime Commission agrees that that shortfall is of OOCL's fault, would you agree with me that Mr. McCown's math is correct as presented in his Appendices A-1 through B-4 of his report?

A. I don't think --

MR. LETOURNEAU: Objection. Misstates the record.

A. Yeah, I don't think I can agree with that because Mr. McCown talks about his method about missing containers, the need to account for missing containers, and he does not. Fails to do so.

Q. What do you mean by "missing containers"?

A. He talks about the methodology that he uses, that he adopts from one of the opinions or decisions that we discussed previously. And he talks about the need to take into account missing containers. He doesn't define what the missing containers are, but he talks about it. He identifies a specific need to do so that -- but he does not do that analysis.

APP 2563 (Steffen Tr. 175:6-176:8).

RESPONSE: Admitted that Steffen provided his unfounded opinion on this issue. Otherwise denied. The proposed finding does not state a fact but merely quotes a source. Mr. Steffen lacks qualifications and/or methodological reliability to constitute appropriate "expert"

testimony in this action. *See* BBY's Finding of Fact Arg.VII. With regard to the "missing containers", Appendices A-1 through A-4 of the McCown Report reflect actual shipments undertaken by BBY during the 2021 Service Contract Year on lanes covered by the 2020 Service Contract, using NVOs or ocean freight forwarders, which BBY was forced to undertake due to OOCL's failure to meet its service commitments under the 2020 Service Contract (BBY's Finding of Fact 515); and Appendices B-1 through B-4 of the McCown Report reflect actual shipments undertaken by BBY during the 2021 Service Contract Year on lanes covered by the 2021 Service Contract, using NVOs or ocean freight forwarders, which BBY was forced to undertake due to OOCL's failure to meet its service commitments under the 2021 Service Contract. (BBY's Finding of Fact 516). Thus, BBY actually incurred these costs to ship containers in the face of OOCL's shortfalls during each shipping year, these containers *are* the containers missing from OOCL's service commitments, imposed through reduced allocations and rejected bookings, and thus represent the incremental increased cost for BBY to ship containers as a result of OOCL's misconduct, and there was no error in the calculations in the McCown Report Appendices. (BBY's Finding of Fact 517.)

765. Mr. Steffen also testified:

Q. And the second is that Mr. McCown, in your view, failed to incorporate incremental revenues in calculating the damages. Did I get those right?

A. I would say that -- with respect to my first point is that Mr. -- in calculating shortfall damages, Mr. McCown did not at all investigate -- take into account the factors necessary to show with reasonable certainty that, in fact, OOCL did not abide by its contractual obligations to provide space. I think, as I said earlier, in his deposition, he doesn't know where the data came from. He did not prepare it. He did not direct it. He accepted it and wrote about it in his report.

APP 2561-62 (Steffen Tr. 169:24-170:19).

RESPONSE: Admitted that Steffen provided his unfounded opinion on this issue. Otherwise denied. The proposed finding does not state a fact but merely quotes a source. Mr. Steffen lacks qualifications and/or methodological reliability to constitute appropriate "expert" testimony in this action. *See* BBY's Finding of Fact Arg.VII. Further, Steffen did not analyze in his report incremental revenues associated with BBY's MQC shortfall claims in this proceeding; and admitted that the incremental revenues for the goods in the containers shipped under the OOCL Service Contract with BBY, assuming they arrived at the same place and were sold in the same manner, would not be materially different from the goods BBY shipped by alternative shippers but otherwise would have shipped with OOCL (BBY's Finding of Facts 572, 577.) Incremental revenues are also irrelevant as the shortfall calculations represent costs *actually* incurred to ship containers that *should* have shipped

pursuant to the BBY-OOCL service contracts, and thus the difference between those amounts reflects BBY's reparations for OOCL's misconduct.

766. INTENTIONALLY LEFT BLANK.

RESPONSE: N/A

767. Mr. Steffen testified that decreased profitability and excess costs could have been a factor in Bed Bath's collapse, but that Bed Bath & Beyond "did not break that [information] out." APP 2538 (Steffen Tr. 75:20-21).

RESPONSE: Admitted that Steffen provided his unfounded opinion on this issue. However, Mr. Steffen lacks qualifications and/or methodological reliability to constitute appropriate "expert" testimony in this action. See BBY's Finding of Fact Arg.VII. The proposed finding misstates and mischaracterizes the record. The testimony shows that Mr. Steffen did not analyze the impact of supply chain costs on Bed Bath & Beyond's bankruptcy and does not have a specific understanding of the direct financial impact of those costs. While he acknowledges that Bed Bath & Beyond did not break out that information, he does not state that decreased profitability and excess costs could have been a factor in the company's collapse. Steffen Dep. Tr. 74:25-21 [APP-2538].

768. Mr. Steffen testified:

A. Well, I think that with respect to the analysis of Bed Bath & Beyond as an entity -- I think that -- with respect to the operational performance, I think a key factor in my mind is that they brought in a new chief executive officer from Target who changed from marketing branded goods to private-label goods. I think that that was a mistake that -- a major contributor to the operational decline -- operational performance decline of Bed Bath & Beyond. I mean, I also think that, you know, they -- over time, they devoted -- they spent \$11 million on share repurchases financed with debt for debt equity, you know, and that is a -- then that created a severe or significant debt load of debt service payment that the company simply could not, you know, operate over time, you know, be viable over time.

APP 2542 (Steffen Tr. 91:25-92:21).

Q. And I want to take your statement here as a whole, so it doesn't include just burdensome debt obligations or just debt-financed share repurchases. It also discusses deteriorating operational performance, which you've testifying could be affected by increased shipping costs, including from OOCL, correct?

A. I would have to say that, to the extent that it is -- that those costs had an effect on Bed Bath & Beyond's operating profit, it would be an influence. But I would say, from what I have seen, you know, Bed Bath & Beyond was a multibillion-dollar company, and over the period of this contract, its operating profit declined in a range of, like, 123 million to the negative as much as 330 -- 30 million, I believe. So the scale of Bed Bath & Beyond's operations seems to obviate anything that OOCL would have done, in terms of shipping.

APP 2542 (Steffen Tr. 92:22-93:21).

RESPONSE: Admitted that Steffen provided his unfounded opinion on this issue. Otherwise denied. Steffen's analysis of the contribution that OOCL's misconduct had on BBBY's eventual bankruptcy was flawed and incomplete. Steffen (1) did not analyze BBBY's supply chain costs in his report, (2) did not analyze how increased supply chain costs directly impacted BBBY's bankruptcy, (3) admitted that BBBY had a decline in "EBITDA" caused by an imbalance between revenue and costs, and (4) admitted decreased profitability and excess costs caused by supply chain dislocations were a factor in BBBY's bankruptcy. (See BBBY's Finding of Facts 570-571, 574-575, 581.) The proposed finding does not state a fact but merely quotes a source. Mr. Steffen lacks qualifications and/or methodological reliability to constitute appropriate "expert" testimony in this action. (See BBBY's Finding of Fact Arg.VII.)

769. Further, in reference to paragraph 18 of his Report, Mr. Steffen wrote:

As for the reasons underlying BBBY's eventual liquidation, BBBY's fall from its position atop its industry was the result of deteriorating operational performance, debt financed share repurchases, and burdensome debt obligations, all of which were the product of management mistakes and not attributable to OOCL in any way, shape or form. More specifically:

- During the period covering 2020 and 2021 Service Contracts, which encompassed July 2020 through April 2022 (or Q2 FY2020 through Q1 FY2022), BBBY incurred an operating loss in seven out of eight quarters, varying from (\$123 million) in Q3 FY2020 to (\$339 million) in Q1 FY2022.² Given these results, BBBY's allegation that OOCL's conduct caused it to incur lost profits is dubious at best.
- From fiscal year 2016 (or "FY2016") through FY2022, BBBY allocated an aggregate of \$2,015 million to repurchase shares, which exceeded the Company's outstanding debt of \$1,821 million by \$194 million when it filed for bankruptcy on April 23, 2023. Starting in 2004, BBBY spent \$11.8 billion to repurchase its own shares, more than the \$5.2 billion in debt reported in its last SEC filing.

- From Q3 FY2020 through Q1 FY2022, BBY allocated \$962 million to repurchase shares, while earnings before interest, taxes, depreciation and amortization ("EBITDA")—a proxy for operating cash flow — plummeted from (\$143) million to (\$241) million. During the same period, cash on hand dropped from \$1,463 million to \$108 million, while total debt (excluding leases) increased from \$1,190 million to \$1,380 million.
- BBY's cash flow from operations was approximately (\$384) million for Q1 FY2022. This continued through the next three quarters from Q2 FY2022 through Q4 FY2022, with cash flow from operations totaling an aggregate of (\$607) million.
- Ultimately, BBY's operating losses, oppressive debt load, and lack of liquidity left the Company with no choice but to file for bankruptcy in Chapter 11, followed by a liquidation of its business in Chapter 7.

APP 3937-94 (Ex. 384, pp. 9-10).

RESPONSE: Admitted that Steffen provided his unfounded opinion on this issue. Otherwise denied. The proposed finding does not state a fact but merely quotes a source. Steffen's analysis of the contribution that OOCL's misconduct had on BBY's eventual bankruptcy was flawed and incomplete. Steffen (1) did not analyze BBY's supply chain costs in his report, (2) did not analyze how increased supply chain costs directly impacted BBY's bankruptcy, (3) admitted that BBY had a decline in "EBITDA" caused by an imbalance between revenue and costs, and (4) admitted decreased profitability and excess costs caused by supply chain dislocations were a factor in BBY's bankruptcy. (See BBY's Finding of Facts 570-571, 574-575, 581.) Mr. Steffen lacks qualifications and/or methodological reliability to constitute appropriate "expert" testimony in this action. (See BBY's Finding of Fact Arg.VII.)

770. Mr. Steffen also testified:

Q. Let's take a look at the service contract for the 2020-'21 service contract year. And let me -- you -- you've reviewed this document before, correct?

A. Yes, I have.

Q. And let's go down to the list of commodities. And these are the lists of commodities that the parties agreed would be carried by OOCL in the loaded containers from Bed Bath. Would you agree with that?

A. I agree.

Q. Okay. Have you seen any documentation that identifies the products that were contained within the containers that allegedly -- allegedly OOCL declined or refused to carry? If you answered that question, sir, we didn't hear you.

A. I have not.

Q. One of the questions that you were asked, a hypothetical by Mr. Huth, previously related to if the containers were all the same and basically containing all of the same products. But my question to you, sir, is what is the profit margin of each of these projects -- or products, if you've seen any evidence that demonstrates what they are?

MR. HUTH: Objection to form.

A. I've not seen any of that type of analysis or evidence. APP

2586-87 (Steffen Tr. 269:22-271:10).

RESPONSE: Admitted that Steffen provided the above testimony. Otherwise denied. The proposed finding does not state a fact but merely quotes a source. Mr. Steffen lacks qualifications and/or methodological reliability to constitute appropriate "expert" testimony in this action. See BBY's Finding of Fact Arg.VII.

771. Measure of Damages: Any damages to BBY were a mere rounding error in bankruptcy and did not contribute to BBY's bankruptcy. APP 2589-90 (Steffen Tr. 280:22-282:9).

RESPONSE: Admitted that Steffen stated that the dollar amount of the damages in the McCown Report would be a "rounding error, relatively speaking" compared to BBY's net operating losses. However, Steffen's analysis of the contribution that OOCL's misconduct had on BBY's eventual bankruptcy was incomplete. Steffen (1) did not analyze BBY's supply chain costs in his report, (2) did not analyze how increased supply chain costs directly impacted BBY's bankruptcy, (3) admitted that BBY had a decline in "EBITDA" caused by an imbalance between revenue and costs, and (4) admitted decreased profitability and excess costs caused by supply chain dislocations were a factor in BBY's bankruptcy. (See BBY's Finding of Facts 570-571, 574-575, 581.) Mr. Steffen lacks qualifications and/or methodological reliability to constitute appropriate "expert" testimony in this action. (See BBY's Finding of Fact Arg.VII.)

772. Mr. Steffen testified that there were no conflicts and he was not involved in the pitch. APP 2586-87 (Steffen Tr. 16:3-17:20). After his deposition, Mr. Steffen confirmed that the

pitch deck materials referenced in his deposition were not used in his submission and this information was conveyed to BBY's counsel on November 4, 2024.

RESPONSE: Admitted that Steffen testified that he was not involved in this pitch and said "There are no conflicts". The second statement lacks in the proposed finding fails to include "an exact citation to evidence" and thus contravenes the Presiding Officer's Scheduling Order. (Dkt. 12 (June 8, 2023).)

b. BBY BENEFITTED FROM ADDITIONAL CAPACITY PROVIDED BY OOCL AND DRAWDOWN AMENDMENTS THAT ELIMINATED POTENTIAL LIQUIDATED DAMAGES

773. As shown above, BBY obtained 4% MORE TEU capacity under the 2020 service contract PE203297 than OOCL was obliged to provide. APP 3039-40 (Ex. 39), as well as additional capacity provided under the secondary service contracts, which were over and above the space provided under the original 2020 and 2021 service contracts. See RX-000618, RX-000619 (Ex. 393, 394); see RPFFs 485.A.iii, 485.B.iii, 485.C.iii, and 485.D.iii.

RESPONSE: Denied. The proposed finding contains multiple factual propositions and thus contravenes the Presiding Officer's Scheduling Order. (Dkt. 12 (June 8, 2023).)

774. BBY's MQC shortfall in shipping years 2020 and 2021 would have resulted in liquidated damages, but for the drawdown amendments agreed to between the parties in each of those years. APP 3469-70 (Ex. 349, Amendment 17 to 2020 service contract number PE203297), and APP 3643-46 (Ex. 365, Amendment 16 to 2021 service contract PE213179).

RESPONSE: Denied. The proposed finding in 774 addresses issues of contract interpretation and legal consequences, making it an inappropriate proposed conclusion of law rather than a proper factual finding. First, whether BBY's MQC shortfall would have resulted in liquidated damages absent the drawdown amendments requires an analysis of the legal effect of those amendments, which is a matter of law, not a fact. Second, the statement presumes causation—asserting that the amendments were the sole reason liquidated damages were not assessed. Whether BBY's shortfall would have triggered liquidated damages depends on multiple interpretive questions related to the contract's enforceability, performance, and any contemporaneous agreements between the

parties. These are inherently legal questions that should not be presented as a mere factual finding.

c. ALLEGED ACTUAL INJURIES CAUSED BY DETENTION AND DEMURRAGE CHARGES

i. Causation: No allegations that BBY could not timely pick up or return containers

ii. McCown's Flawed Assumptions and Calculations

775. Mr. McCown's calculations of BBY's demurrage and detention damages are illusory. APP 3754-936 (Ex. 384, Steffen Report at 22).

RESPONSE: Denied. The calculations of damages are based on actual detention and demurrage charges that OOCL charged BBY for OOCL shipments, which were assessed during a period in which port congestion issues and other factors made it impossible for BBY to move containers underlying the total amount of claimed damages. (*See* BBY's Finding of Facts 522-523.) Further, the evidence cited lacks credibility, specifically as to the Steffen Report. Mr. Steffen lacks qualifications and/or methodological reliability to constitute appropriate "expert" testimony in this action. (*See* BBY's Finding of Fact Arg.VII.) Moreover, Steffen also admitted that he was not aware of any industry standards for calculating detention and demurrage damages. (*See* BBY's Finding of Facts 524.1.)

[REDACTED]

[REDACTED]

[REDACTED]

RESPONSE: Denied. The statement that McCown used demurrage rates from the 1980s as a benchmark is simply incorrect; the report used Trailer Bridge's current rates as a benchmark. See Ex. 381 (McCown Report) at ¶¶ 138, 140. [APP-3784]. Steffen provided his unfounded opinion on this issue. However, Mr. Steffen lacks qualifications and/or methodological reliability to constitute appropriate "expert" testimony in this action. *See* BBY's Finding of Fact Arg.VII.

[REDACTED]

[REDACTED]

RESPONSE: Denied. This proposed finding constitutes a proposed conclusion of law and, in any event, Mr. Steffen lacks qualifications and/or methodological reliability to constitute appropriate "expert" testimony in this action. *See* BBY's Finding of Fact Arg.VII.

[REDACTED]

[REDACTED]

RESPONSE: Denied. This proposed finding constitutes a proposed conclusion of law and, in any event, Trailer Bridge represents a reasonable comparison for OOCL’s detention and demurrage rates as it was an integrated U.S. flag container carrier with hundreds of assets. (See BBY’s Finding of Facts 359.) Steffen provided his unfounded opinion on this issue. However, Mr. Steffen lacks qualifications and/or methodological reliability to constitute appropriate “expert” testimony in this action. *See BBY’s Finding of Fact Arg.VII.*

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

RESPONSE: Denied. This proposed finding constitutes a proposed conclusion of law. Mr. Steffen lacks qualifications and/or methodological reliability to constitute appropriate “expert” testimony in this action. *See* BBY’s Finding of Fact Arg.VII. The citation to McCown’s testimony in McCown Dep. Tr. 18-24 misstates and mischaracterizes the record. *See* McCown Dep. Tr. 18-24 (McCown testified that the seven vessels carried “seven or 8,000 TEUs”). While Steffen notes the lack of availability of financial reports from before 2011 on Trailer Bridge’s website, McCown does note that McCown provided data from 2008 and McCown also noted “In a cover article in American Shipper in 2006, Trailer Bridge was ranked first in terms of operating income as a percent of revenue in a comparison of more than fifty container shipping companies worldwide for which actual results were known”. Ex. 381 (McCown Expert Report) at ¶ 11 [APP-3756].

780. [REDACTED]

[REDACTED]

fact, for the period 2020 to 2022, OOCL’s demurrage and detention fees were the lowest among its peers. APP 3937-94 (Steffen Report, p. 24).

RESPONSE: Denied that OOCL’s demurrage and detention fees were the lowest among its “peers”. Admitted that Steffen’s report states that OOCL’s demurrage rates were lowest among its “peers” of COSCO, Yang Ming, and ZIM. Notably, that grouping of carriers is different from the grouping of “peers” he used for his analysis of demurrage rates. The use of one peer group for comparing demurrage charges and another peer group for comparing detention charges strongly suggests the cherry picking of data in order to reach a predetermined outcome. The proposed finding contains multiple factual propositions and

² Though a subsidiary of Seacor Marine, a review of Seacor Marine’s Annual reports for 2019- 2023 reveals no references to Trailer Bridge. [Annual Reports & Proxy Statements | SEACOR Marine Holdings Inc.](#)

thus contravenes the Presiding Officer’s Scheduling Order. (Dkt. 12 (June 8, 2023).) With respect to the first statement, admitted that McCown testified to this issue.

781. [REDACTED]

[REDACTED]

[REDACTED]

[REDACTED] Yet, despite these concessions, McCown testified that he did not compare OOCL’s D&D rates with other ocean carriers because “that wasn’t particularly relevant to include in [his] report.” APP 1464 (McCown Tr. 111:2-5).³ Said differently, McCown knew

[REDACTED] OOCL’s D&D rates were within market of other ocean carriers, but intentionally avoided those facts to reach the predetermined outcome he was hired to write in his report.

RESPONSE: Denied that OOCL knew or believed a comparison to Trailer Bridge was inapposite. While OOCL and Trailer Bridge’s operations are not comparable, that does not change the economics of whether their rates can be compared. Trailer Bridge’s rates were reasonably related to Trailer Bridge’s actual costs in conjunction with the need to incentivize freight fluidity, in contract to OOCL’s rates which were intended to drive profit. Thus, it was reasonable for McCown to compare Trailer Bridge’s detention and demurrage rates with OOCL’s, especially as such a comparison allowed McCown to apply insights from his personal experience with detention and demurrage. *See* McCown Dep. Tr. 42:21-43:3 (“Q Did you have any experience establishing demurrage or detention rates while at Trailer Bridge? A Yes. Q What was that experience? A It was certainly experience in terms of approving our tariff rates”) [APP-1447]. Admitted that McCown was aware that Trailer Bridge and OOCL are operationally different and stated “it wouldn’t be -- you know, to compare the two, *in terms of their operations*, it just wouldn’t be particularly meaningful”, in contrast to the “demurrage and detention tariff area”, where such a comparison is meaningful. McCown Dep Tr. 110:12-21 [APP-1464] (emphasis added). Admitted that McCown testified, “I’m broadly aware of their tariffs relative to other carriers but that wasn’t particularly relevant to include in my report.”

782. OOCL’s demurrage daily demurrage rates in 2020-2022 were lower than those of three comparable operators. APP 3754-936 (Ex. 384, Steffen Report at 24). John McCown

³ Fortunately, Borris Steffen *did* undertake analyzing other ocean carriers’ D&D rates, finding that “in all three years, OOCL’s fees were the lowest among its peers.” APP-3964 (Steffen Report ¶¶ 58-60).

testified that OOCL's DD charges were comparable to other ocean carriers, [REDACTED]

[REDACTED] APP 1464 (McCown Tr. 111:6-22; 112:5-12).

RESPONSE: Denied as to the claim about what operators are comparable to OOCL. Admitted that Steffen's report states that OOCL's demurrage rates were lowest among its "peers" of COSCO, Yang Ming, and ZIM. Notably, that grouping of carriers is different from the grouping of "peers" he used for his analysis of demurrage rates. The use of one peer group for comparing demurrage charges and another peer group for comparing detention charges strongly suggests the cherry picking of data in order to reach a predetermined outcome.

783. OOCL's freight, demurrage and detention rates were all within market. APP 1088 (Jensen Tr. 101:2-10; 369:15-23) (rates charged by OOCL during the two shipping years at issue were competitive with the market); APP 1084 (Jensen Tr. 352:5-352:20); APP 3754-936 (Ex. 384, Steffen Report at 24).

RESPONSE: Admitted that Jensen testified as to this issue. Denied that the rates of others leads to the conclusion that the rates imposed by OOCL were reasonable.

784. [REDACTED]

[REDACTED], McCown testified that he did not compare OOCL's D&D rates with other ocean carriers because "that wasn't particularly relevant to include in [his] report." APP 1464 (McCown Tr. 111:2-5).

RESPONSE: Admitted that Tailer Bridge and OOCL are different and that McCown stated "it wouldn't be -- you know, to compare the two, *in terms of their operations*, it just wouldn't be particularly meaningful", in contrast to the "demurrage and detention tariff area", where Mr. McCown clearly believed such a comparison was meaningful. McCown Dep Tr. 110:12-21 [APP-1464] (emphasis added). Admitted that McCown testified, "I'm broadly aware of their tariffs relative to other carriers but that wasn't particularly relevant to include in my report."

785. OOCL's demurrage free time in 2020-2022 was more generous than three comparable operators. APP 3754-936 (Ex. 384, Steffen Report at 24).

RESPONSE: Denied. In the cited exhibit, Steffen states in Paragraph (59) that COSCO, Yang Ming, ZIM, and OOCL all offered the same demurrage free time of 4 working days from 2020 to 2022. Thus OOCL’s demurrage free time was not more generous. Admitted that Steffen states that OOCL’s demurrage fees were the lowest among its peer group. It should be noted that Steffen used a “peer group” of COSCO, Yang Ming, and ZIM for his “demurrage study” but a different peer group of Hapag-Lloyd, Yang Ming, and OOCL for his “detention study,” which indicates cherry picking of data. *See Ex. 384 at 24 [APP-3964].*

786. Ocean carriers suffered significant lost opportunity costs by the failure of shippers to return containers during the pandemic. Lost opportunity cost of not having containers available during the pandemic resulted in a significant lost opportunity cost to ocean carriers. Dr. Lars Jensen testified:

Q. So when you were talking about lost opportunity cost, what lost opportunity cost were incurred by the ocean carriers during this time?

A. The lost-opportunity cost the carriers would have in mind was the risk that, if the container was not redelivered delivered on time, it would not make it out to Asia in time, and they might be in a situation where they did not have an empty container available for a customer at a point where going freight rates were 10 to 15,000 dollars. This was a risk assessment based by the carriers because it would be based on a forecast of how many empty containers would you need at a specific depot in a specific city, typically, two months into the future?

APP 1036 (Jensen Tr. 359:16-360:10).

RESPONSE: Denied as to the first two statements. OOCL’s detention and demurrage rates assessed during the pandemic are not justified on the basis of opportunity costs. (*See BBY’s Finding of Facts 361-365.*) Admitted that Jensen provided the quoted testimony. The proposed finding contains multiple factual propositions and thus contravenes the Presiding Officer’s Scheduling Order. Because OOCL was able to run its carriers full on transpacific routes throughout the relevant time period, there was no opportunity cost associated with any delays in moving or returning freight. *See Ex. 381 (McCown Report) ¶ 184 [APP-3792].*

787. John McCown acknowledged that: “In order to incentivize pickup [the stated goal of D&D charges], the demurrage charge needs to exceed the cost of local storage.” APP 1488 (McCown Dep. Tr. 206:10-207:6).

RESPONSE: Admitted.

Certificate of Service

I hereby certify that I have this day served the foregoing document upon Respondents Orient Overseas Container Line Limited and OOCL (Europe) Limited by emailing copies of the document to their counsel of record listed below:

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Dated: March 20, 2025

/s/ J. Lee Hill

J. Lee Hill

*For Complainant 20230930-DK-Butterfly-I,
Inc., formerly known as Bed Bath & Beyond Inc.*